Poly Medicure (POLYMED)

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"Poly Medicure Limited
Q1 FY 23 Earnings Conference Call"

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 Moderator: Ladies and gentlemen, good day and welcome to the Poly Medicure Limited Q1 FY '23 Earnings Conference Call hosted by ICICI Securities. As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mitesh Shah from ICICI Securities. Thank you and over to you sir.

Mitesh Shah: Thank you, Neerav. Good afternoon, everyone on behalf of ICICI Securities, I welcome you all for the Q1 FY23 earning conference call of Poly Medicure Limited. We have our senior management team of the company with us today represented by Mr. Himanshu Baid – Managing Director and Mr. Naresh Vijayvergiya – CFO and Avinash Chandra as Company Secretary. With this I will handover this call to Mr. Baid for the opening remarks. Over to you sir.

Himanshu Baid : Thank you, Mitesh. Thank you once again and thank you everyone who's on the call and thank you for your time. I'll take you through the other Q1 highlights and for this particular quarter we are talking there. So the revenue has grown by around 18%. If you compare from Q1 of last financial year, so from INR 203 crore to INR 239 crore on standalone basis. And as you know, we have given a guidance for FY '23, completely as 20% plus revenue growth over FY '22, so we are on track to deliver that. As you all know that couple of new plants will be operational by end of the year. So that will also help us to get this revenue target of 20% plus, but we have given a guidance earlier. As you see in this particular quarter our operating inhibitor is similar to Q4 but at PAT level we have seen some you know, lower numbers and I think there are a couple of reasons for that. One is our unrealized loss on mutual fund investments, and that was approximately close to INR 9.5 crore for the quarter one. And also there was some lower other income due to some changes in the portfolio re-gig and the portfolio did, investment portfolio we did over the quarter one, seeing what was happening in the market, especially our hybrid funds. So we had moved from hybrid to more to debt funds and also to more to fixed deposits. And because of that, as we moved the money from one fund to another fund, there was some realized loss. So because of that, the

PAT went down, but if you look at the operating level, the EBITDA is still similar close to around 24%, 23% - 24%.
So we, we have done fine in terms of operational business and overall if you see now, but you know, in July we have already seen again over 5,5 crore on the mutual fund investments, so I think by the time we end this quarter two, all the losses we have made will be actually we recovered very quickly and we should be back to track in terms of our PAT numbers. So this is the current situation. Now on some positive momentum in Q1. I think the most important thing was that the raw material prices have started coming down and we will see, definitely see an impact in quarter 2 performance. We have

seen that from peak in quarter
four raw material prices in quarter one actually came down slightly lower, but as the material delivery takes almost two to three months, the real impact will come in quarter two.
And also now in quarter two, when we look at the new quotation we are getting for raw materials, they are even lower than quarter one numbers. So overall we have seen a downward slide of around 15% normal price, which is very positive for us, that is in repeat terms. So if you see in dollar terms, it could be around 20%, rupee terms already we see a 15% impact in our major raw materials. In this plastics. We are also seeing a downward trend in the freight rates. In last three to four months, we have seen the freight rates also decreasing by around 15% to around 20% in some cases, even higher. So that will also impact positively our margins and quarter two and going forward in quarter three and quarter four. Also there is a devaluation in INR against US dollar, and that is positive for the company in the long run. And as most of our exports are denominated in US dollar terms, so we will see also some positive impact in quarter two and quarter three as we see forward. And I think rupee still seems to be on a weaker trend. So I think this will definitely benefit the company in the long run as we have almost 67% of the revenue coming from exports and out of that almost 70% to 75% is your dollar denominated.
In terms of the business, I think in quarter one 67% revenue came from exports and 33% was some domestic business. Domestic business were more or less lagged because in last year
 quarter one, we have seen a spike because of COVID, but now it's more or less around flat, but we have still guilty a significant growth in quarter two because there's already upward trend. And I think in most of the hospitals, the patients are back and I think that is going to really help us in the long run. But overall, I think there's a good growth in the renal business, that's grown over 25% in quarter one compared to the previous quarters. And also when we look at exports, we have seen a healthy growth in exports in quarter one and last year at exports only grew by 10% to 11%, but this year, I think because of the current trends and the current traction we have seen -- we will see exports also growing by around 16% to 18% in this financial year. So that's a good sign.
On the US FDA front, it is delayed by two, three months because we had to do some additional testing and that was requested by US FDA, certain testing related to bar compatibility and for UV light testing, which was never a requirement before, as for as consultant the requirement is a new requirement, which they have flagged, and we are retesting some products based on our requirement. These are only two things which we have to do. This will take around three months. So instead of getting FDA approval in quarter two, which we are anticipating very eagerly, it may be pushed to quarter three now, but we have some positive developments in the us. We have signed a contract with large distribution company and as we get the FDA, our sales should start with this company. It's a very large company. They have revenues in north of billions of dollars and this company will be putting our FDA approved product in the US market. So we were able to sign the contract with them. We also had a new VP Sales and a business development person, and he'll be joining the company from 1st September. And he has got experience of around 18 to 20 years. So this person will be also on board. So this will further strengthen our reach in the US market. And this person's main job will be to work with this company whom we have signed the contract to work with their team an

d do on-boarding and do product let's say approvals and to
different hospitals and also work with their team to improve the sales of the product in the US market. In terms of regulations, I think we were surprised by a new bill announced by Government of India on medical devices, drugs, and cosmetics. This is a draft bill, which was published. We had very little knowledge of this happening, but government was working internally and they have put this bill on the website. The good part is that there is a separate chapter for medical devices, and this will definitely be a game changer for the industry as medical device will be credit separately from pharma and drugs and you know many challenges we were facing earlier because of being clubbed as drugs. A lot of these

regulations were applicable, which were related to pharma industry. So everything goes away now. And we have a more let's say, robust act, and this will replace the Drug and Cosmetic act of 1940. So the act was very old and medical device was just implanted into the current act, but now we'll have a separate chapter, separate act. And this will give a big push to the medical device industry. There'll be new lab testing labs for medical device industry, there'll be medical device officers instead of drug officers also there will be penalties for companies making substandard products, which was not there earlier. I think I'm sure you recall a case where hip implants were fault implants were put in India, and there was very little penalty charge to a company. And because there were no law to do that. So now there'll be penalties for companies who are making substandard products.

Most of the medical devices are now getting regulated. So from 1st October you know, all class A and class B devices, which is the majority of the products will get regulated. So I think we will see a big change in the market. And I think government has already made sure that there's no extension for companies who don't have licenses to make these products. So at least now we are moving from an unregulated industry in India to regulated industry, which is good for us in a way that we are part of the regulatory framework. So at least we'll have a smooth ride on this area and companies, which were selling sub-standard products or low price products and not following GMP standards will no longer be able to do that because of the new regulations.

The construction of two new plants is in final stages. Faridabad 117 plant will be ready by the end of the year. And Jaipur SEZ phase 2 will be also ready by October, November. We have also started construction of a third plant, which is in IMT, and this is also expected to be ready by July - August, 2023. So the new and manufacturing infrastructure, which we are creating will help the company to expand the capacity of existing products. Invest in new manufacturing. We are looking at newer opportunities where we will look at expanding to new products in vascular access area. Of course, renal business expansion is already happening. We are also looking at working with large companies and global companies.

 We're also looking at JV opportunities. So all that will also help us when this infrastructure's ready. We'll be able to do plug and play very quickly and move manufacturing into this new plants at a much faster pace.

And the infrastructure will be ready so we can add some products at a very fast pace as we were compared to earlier. Recently, we have seen that many companies are trying to de-risk from China and earlier, a lot of these companies went to Vietnam, Thailand, Malaysia, India was never on the radar. And but now we see that there is a mandate already with most of these companies to move out of China and I thin

k with their experience in Vietnam and Thailand and Malaysia, not being that great, I think India offers a great opportunity. I think for that, I think PolyMed is pretty much well poised because we are creating this infrastructure and I think there's a big potential for PolyMed to target these companies and look at opportunities to work with them. And I think we are already strengthening our US presence and most of these companies are US or European based companies. So we are strengthening our base. We already won a very large account in Europe, recently in Germany and that was -- and that account also was transformed from China and to India, to us. So I think we are looking at more such opportunities like this, and in next, maybe 6 to 12 months, we'll see a lot of traction happening in this area.

I think India already has a good software potential. We also have hardware because we have a lot of good engineering talent today. And I think that is a plus point for us. And plus the cost of manpower in India is one of the cheapest in the world. So we are trying to push that to all our customers, the large global customers. We're trying to engage more with more companies today and see what we can do together with them. So the contract we sign in the US is just for one product right now, there could be many such products which would come our way in next one or two years, and that could become a big game changer for us in future. We also hired some senior resources in manufacturing, R&D, quality and we have only hired these people in the plants and we continue to attract good talent across the industry and build great team around us. Recently, we received also ISO14,000 for two plan. Again we are very focused on our ESG compliance goals and also on sustainability goals. So we are working very hard on that and we have made a very stiff target for next three to five years to reduce our wastage, reduce our water consumption.

Also, do more recycling of materials if we can recycle them internally. So we are doing a lot right now in that area. And we see also savings coming off this exercises, what we are doing right now. So over period of one or two years, we will see substantial savings also coming because of sustainability measures we are taking, we are trying to reduce the content of plastic on the packaging, reduce the content of paper on the packaging. So we are looking at

alternate measures. We are also looking at alternate plastics because we are looking at more biodegradable plastics used in manufacturing in -- also in packaging, a lot of work is happening in that direction, and ultimately that will result in cost saving. Also, it'll help us to attract very large companies who are very focused on ESG compliance and on sustainability goals.
So we are working on that. We also received MDSAP certification which, which is certification for Brazil, US, Australia. And this is a regulatory approval and this is -- we have received for two plants already, and this is an added advantage because this fast tracks our registration process in this country. So this is also a big advantage we have got today. Very few companies which have got MDSAP registration for medical devices in India.
Also, I'm very happy to inform our esteem friends that Dr. Amrish Mittal who's a Padma Bhushan and BC Roy awardee has joined our Board as additional director. Of course, this is subject to shareholder’s approval in the AGM. Dr. Mittal Chairman and Head of Endocrinology in Max Hospital. And he is also domain expert and on the governing board of National Health Authority of India, also President of AIIMS Gorakhpur.
So Dr. Mittal has a vast experience in MedTech medical devices and has a great exposure and has a very renowned name as a doctor. So I think this is good addition to PolyMed’s board. And I think this gives a more depth in terms of clinical understanding of products and also maybe we will take h

elp of Dr. Mittal to even work on new devices and new areas in the med tech field.
 So these are the comments on my side. I'm happy to get more questions from you, from friends who are on the call and thank you once again for taking time out and patiently listening to me. Over to Mitesh.
Moderator: You very much. We will now begin the question and answer session. The first question is from the line of Rashmi Sancheti from Dolat Capital. Please go ahead.
Rashmi Sancheti: Sir, I just want some clarity in the numbers. Can you provide you know, the sales breakup in terms of domestic and export for quarter one of FY ‘22, like you said for this quarter, but I need it for quarter one FY22.
Himanshu Baid: So for quarter one exports was INR 125 crore roughly. And domestic sale was INR 78 crore. So total sale was around INR 203 crore in quarter one.
Rashmi Sancheti: Okay. So basically what I want to understand that in the last conference call, you mentioned that domestic business we will be doing higher growth of around 24% 25%, but this quarter we have done a very lower growth and in fact, quarter-on-quarter, we have seen a decline. So what are the reasons for it? And are we on track that we would be able to achieve you know, 24% 25% growth for the entire year?
Himanshu Baid: Yes. So we are on track. I'll tell you why, because in that INR 78 crore around INR 20 crore was more related to COVID products, especially on the respiratory care side. Remember last year, quarter one was the Delta wave quarter.
Rashmi Sancheti: Okay. You mean to say Q1 FY 22 INR 20 crore was something which was related to COVID.
Himanshu Baid: Like the VTM kits and the respiratory care products. Well, there was a huge demand for those particular products. So demand for those products was completely gone now. So that is a zero demand. So if you look at actually the business is grown because if you remove those products and the business, we have added INR 20 crore on new products, basically in this particular quarter.
Rashmi Sancheti: Okay. And we are on track for achieving 24%, 25%.
Himanshu Baid: Yes, exactly. We are on track and you will see the numbers and quarter two and quarter three. We are already on track and already we have seen a good July already.
Rashmi Sancheti: Okay. And on exports front, we have seen 33% sort of growth. So it is mainly driven by all the infusion therapy business only, or it is from the across segment.
Himanshu Baid: It's primarily infusion therapy because that's our core segment for exports renal we are still focusing on India only right now.
Rashmi Sancheti: Yes. And infusion therapy. The entire part goes to the export business only, or we do supply to the domestic market.
Himanshu Baid: We supply domestic also we have a big share in domestic market.
Rashmi Sancheti: Okay. So can you just break up infusion therapy ratio in exports and domestic?
Himanshu Baid: Infusion therapy. I don't have the number right now, but all I can say is infusion therapy constitutes in terms of exports, if you look at exports of INR 163 crore, which you have done in quarter one, so out of that infusion would be around 90%. And in domestic, let's around INR 75 crore of businesses there for domestic business. So in that almost 65% is infusion therapy.
Rashmi Sancheti: Okay. And sir another question on the dialysis machine. What is the current status of which

is under clinical trials and how many sales reps are we allocating for this machines? Are the machines are already installed in the various dialysis centre.
 Himanshu Baid: Yes, so we have started installing. So in last year we installed around 80 machines and they were like CKT, but now we are developing our own machines. So this year the target is to install on 150 machines.
Rashmi Sancheti: But it is still under clinical trials or it is out of the clinical.
Himanshu Baid: It is out of the clinical trials. Now we are -- we have started assembly process.
Rashmi Sancheti: Okay. And sir, how many sales reps are we allocating for these machines?
Himanshu Baid: No, I can't give you that number, like directly that it's a progressive thing. So every quarter on quarter you add people. So we have service team, we have clinical team and we have sales team. So there are three teams which are working collectively to do this business.
Rashmi Sancheti: I was mainly asking for the service team only like one person getting allocated for at least hundred machines or 50 machines.
Himanshu Baid: No. So the ratio is much lower. So we are putting wherever -- we are sending machines, we are ensuring that we have a service team ready to be there in next say four to eight hours. That is what we are trying to do to establish ourselves, because today if we put in a remote location, we will not be able to service the machine.
Rashmi Sancheti: Okay. And mainly which are the regions, which are focused in this particular.
Himanshu Baid: We are doing currently North, western, and south India, all big cities.
Rashmi Sancheti: And so one last thing, which I want to know that generally as per government rules in one dialysis center, it is expected that at least five machines are to be installed. So is this the statement, even we are doing the same way that in every dialysis center we are keeping it…
Himanshu Baid: No. We don't run those centers. It is the operator who will put five machines. We are only selling machines to operators like DCDC or other dialysis centers who are wanting the machines. We don't run those centers.
Rashmi Sancheti: Okay, sir. And one last question on this only basically you know, whatever machine which we are installing, is it at a discounted price to MNC players?
Himanshu Baid: So definitely as we are now locally making the machine will be cheaper in the market, but we are pricing ourselves maybe 5% to 7% lower than the MNC players. And also there was a duty put on these machines on 1st February, 2022. So I think as, as a company, we have an advantage because now making a local machine plus also in government procurement, anything which is locally manufactured is given a preference because of the public procurement orders, which government brought in in 2017 and 2020 amended. So that will be advantage for in government procurement also.
Moderator: Thank you. The next question is from the line of Sumit Gupta from Motilal Oswal. Please go ahead.
Sumit Gupta: Yes. Hi, thank you for the opportunity. I just want to get like information on the third plant that you said. So first is in the Faridabad, second is Jaipur and I want to understand regarding the third plant, where is it and what is the capacity utilization that it'll be that you plan it for?
Himanshu Baid: So third plant is again, set up in Faridabad. Location is IMT Faridabad, so we already have a plan there which will established in 2018, sorry. And then we did various expansion the plant till 2021, and we are running out of space. So we are expanding a capacity for dialysis and prefill syringes in this new expansion we are doing.
Sumit Gupta: Right, sir. Can you give me -- give a highlight of how the dialysis procurement -- dialysis agreement with the government is going on. What kind of….
 Himanshu Baid: Don't have any agreements with

the government. We only supply machines and consumers to providers.
Sumit Gupta: Obviously the providers, but what kind of traction that you're seeing, is there any improvement in the month or month orders?
Himanshu Baid: Yes. So as I told you in the call already, we have seen a 25% growth in the dialysis business in quarter one already, and quarter on quarter, we are seeing the growth happening in dialysis business. Yes. Dialysis was a bit subdued because of COVID, but now the patients are coming back and also the government revised rates in Ayushman Bharat. So it's 1500 rupees in tire 2, tire 3 entire cities and 1800 rupees in tire 1 cities. So now there's a reimbursement already happening in the Ayushman Bharat program. So because of that I think we are seeing more patients coming to larger center and I think all these providers like NESO plus and DCDC are also expanding their capacities, setting up more centers and more -- and as they

established more centers, I think is good for us because then the demand for consumers and machines will also increase.
Sumit Gupta: Okay, sir. Last question regarding the currency. So you like obviously exports the products and obviously the raw also is imported. So in that case, the rupee depreciation would not be much of an advantage. Am I right on this?
Himanshu Baid: Not really. Not really because see we have more export than imports and probably the ratio is I would say we have exports in let's say in dollar terms or exports around 75% of total exports. So this year our target is to do maybe INR 675 crore to INR 700 crore of exports. And our imports will be around INR 250 crore of INR 300 crore in dollar terms. So on that INR 700 crore about INR 500 crore to INR 550 crore or INR 525 crore, so we will probably have a surplus of INR 250 crore of foreign exchange where we will have a positive impact.
Sumit Gupta: Okay. And majority of this imports that is being done is from countries like Taiwan and countries in Southeast Asia, right?
Himanshu Baid: No, also we have in Europe, we are from US. We are from Japan. We are from China, Taiwan, Korea.
Sumit Gupta: So, Yes. So just want to understand on that part only. So the net-net export, obviously not in -- not particularly in dollar terms, but in Euro and other currencies also. So net-net is a positive impact that you see.
Himanshu Baid: Absolutely. It'll be a positive impact.
Sumit Gupta: Okay. So how much percentage would that be?
Himanshu Baid: Overall, we might see, let's say an improvement let's say rupee is depreciated by around 6%, 7% over last two, three months. So net should have an impact of 2% to 3% on our receivables.
Sumit Gupta: And sir, going forward so what kind of working capital cycle do you see going forward? Like the inventory you maintained for three to four months. So going forward also, you would plan to maintain that or what kind of working capital?
Himanshu Baid: The current geo situation every day is changing. So and then plus those whole supplies in disruption we have seen in the last six, eight months and with what is latest development, which are happening in the east -- in China, Taiwan. So we don't know what is going to happen eventually. So we maintained adequate stock raw materials to cover ourselves for at least 2, 2.5 months, 3 months. So, but as we have 200 transfer vendors, so it keeps on fluctuating depending on their manufacturing capability. But we are fairly covered for a moment.
Sumit Gupta: Okay, sir. Thank you.
Moderator: Thank you. Next question is from the lion of Pankit Shah from Dinero Wealth. Please go ahead.
 Pankit Shah: So wanted to understand more on the industry side, what you discuss that after the new bill getting in

troduced more of the unregulated industry is probably expected to move out. So in our therapy or say, infusion therapy or renal care, how big is this unregulated or say substandard product or unlicensed market?
Himanshu Baid: So I would call it substandard. I would call it unlicensed, unregulated, and almost 70% or 75% industry was unregulated because there was no proper mechanism to regulate and they were not part of any regulatory framework because there was no regulation in India. So there are two things. One is the regulation getting -- the old regulation getting implemented and this is already in process and from 1st October, class A and class B devices will be regulated all devices, and most of our devices following class B category. C and D are more like orthopedic implants and stents, and those kind of long term implants which are covered in CND category, but all short term usage products are in A and B category. So this is getting regulated first from 1st October, 2022. So this is a big change. And with the new act also coming there is separate carpal for medical devices. Now we have currently one drug controller who's taking care of pharma, drugs, cosmetic, everything. So now there'll be a separate department for medical devices only. This will, this will actually now regulate manufacturing import, everything will be more deeply regulated. Currently. There was more regulation.
Pankit Shah: So according to using, for example, hundred to industry size and out of the say 60% 70% is unregulated or unlicensed.
Himanshu Baid: Exactly. Exactly, exactly.
Pankit Shah: So probably an opportunity size should double for us.
Himanshu Baid: If under this – players are kind of weaning out or probably they will not be able to get approvals or licenses then probably the market will and plus market is changing. We are seeing more leaning towards Indian company, which is corporate hospitals. So we are getting into more accounts. So now things are changing actually.

Pankit Shah: Okay. And wanted your view on the PLA schemes, both on the renal care and diagnostics.
Himanshu Baid: So that is -- it's a work in progress PLA is always, it has just started this year. So it's a work in progress. So this is the first quarter of the PLI scheme actually start from 1st April 2022. So we are already making investments. We are already part. So only by end of the year, we will know that how much we have done as a progress. And have we met those targets? If we meet those targets, we get incentives. If we not, we can carry forward to the next year and then add it to the next year. So it is a five year program. So something which is a long term goal for the organization.
Pankit Shah: And on the margin side, so we have seen the expenses moving quite sharply.
Himanshu Baid: So this other expenses constitutes that MTM loss on investments, mutual funds.
Pankit Shah: On the 9.5 crore.
Himanshu Baid: That was 9.5 crore unrealized loss. And then we are also had realized losses where we moved certain fund money from hybrid funds to debt funds and to FDRs. When we move the, so we have to realize the losses and move to the other side.
Pankit Shah: So this INR 9.5 crore is probably the unrealized part, which will get reversed in the next quarter or so.
Himanshu Baid: You will already see it because that has become zero now. So from operating profit and plus already, as I told you, in July only I've seen a five and a half per gain on this investments. So in terms of operating margin, operating profit is exactly the same.
Pankit Shah: And in future, if we would want to avoid this realize loss kind of a thing as a policy, we are planning to do only debt.
 Himanshu Baid: Well, that's a big que

stion. You know, you guys can answer. It's very difficult for me to answer this because everybody was caught guard off guard on this. And of course our finance team and of course Naresh is on the call CFO, she's taking some measures, at least in future. We don't get these kind of losses.
Moderator: Thank you. Next question is from the line of Girish Jain from KJMC Capital. Please, go ahead.
Girish Jain: Thank you. So I have two questions. One is, can you give some idea about the US business? When do you think the revenues can start from the US business and what can be the revenue maybe into ‘23, ‘24? And the second question I had was of the money, which has been raised in the QIV program left. And what is the current debt level of the company?
Himanshu Baid: Yes, I'll answer the first one. And as I informed earlier as the US FDA has got delayed by a quarter because of some additional testing requirements. So we are expecting the approval to come in quarter three now, and the testing is already undergoing, and these are the two queries which were raised by US FDA And we are already in the process of submitting them the additional testable will take three months. The three months already started from around middle of June. So that's already in progress. We have already signed a contract with our US company, as I mentioned earlier. And this is a big game change for us. And with this company our major product, the infusion category products, we are going to launch them in the US market. And we expect the sales to start from early January because we expect the approval to come by October or November. And meantime, we are already doing some clinical testing in the US. And once everything is done in the approval is in place. We will start maybe sales in January.
And in terms of business revenue for the particular contract on business, we have product sign. We see a business of maybe USD 15 million for this particular product category. But as I told you, the opportunity is much bigger. This company itself has around 15-18 divisions. So as we move forward within we may work with other division, other category of products, we'll maybe see more, maybe a few more products being added to the portfolio in incoming maybe four to six months. And we are also talking to other US companies right now, as you know, most of them have a task to move away from China, some of the production. So I think there are a lot of is opportunities opening for us. So I think maybe early next year we'll have much bigger clarity on what we will be able to do in US once FDA approval in place and also then we start exporting products to this one particular customer and then add more customers in this category. In terms of debt, the debt we have not added any new debt. It is all on the reducing side, in terms of QIP utilization, I think we have already informed, I think maybe I'll just give you a number if I have. Yes, so we have utilized almost INR 188 crore in CapEx. We have invested around INR 15 crore , INR 16 crore in the subsidiaries overseas subsidiaries. We have recapitalized that, and we have done INR 61 crore of repayment of existing loans. So we have around INR 130 crore, which is still remaining another QIP money which we have raised INR 400 crore. And most of it will be utilized in next one year or so in all the existing projects.
Moderator: Thank you. Next question is from the line of Sandeep from Anand Rathi. Please go ahead.

Sandeep Abhange: So I had questions regarding, and can you give me some numbers on your market share in domestic as well as export market.
Himanshu Baid: that is difficult number.
Sandeep Abhange: Even ballpark number would be okay. Like in…
Himanshu Baid: Global market is huge, Global is maybe today when you look at vascular access is USD 30 - 40 billion. So it's a huge potential, whether it's US, Europe all over the world, so the product can be sold in every country

. So the potential, the market size is huge in every category. So let's say the categories we do, the market will be around USD 20 to 30 billion.
Sandeep Abhange: Okay. So that includes also infusion therapy as well as other segments.
Himanshu Baid: Correct. All other segments.
 Sandeep Abhange: And in terms of domestic, like you were mentioning on call the recent regulation government is going to pass a draft bill. So in that, once this 70% of unregulated industry gets regulated then is there a possibility to gain significant amount of share from these unorganized players?
Himanshu Baid: I think that is already going to happen. See most of these unorganized players were in the lower segment of the market tire 2, tire 3 cities. The tire 1 was still dominant MNC companies. So for us, the bigger pie is we are taking from MNC companies. For us that is a bigger -- we don't want to go to take market share on unregulated sector or smaller fringe players, because we don't want to reduce our prices and take businesses. We want to take the upper segment where there MNC companies and where we can, because see it is getting expensive for them to import. There are no import duties on products, which are not there earlier. So I think for us, that's the window -- bigger window of opportunity to replace MNC from the market rather than replacing the smaller players.
Sandeep Abhange: Okay. And in terms of raw material, I just wanted to understand, like you, as per I read your annual reports in that you said that almost 70% of your raw materials are imported. So in terms of imports, is there any particular country which in which you have greater exposure, significant exposure?
Himanshu Baid: We have from Korea in terms of raw that's major exposure there. And then we have exposure from Malaysia. We have exposure from Taiwan, Japan I'm talking about Eastern region right now, China. Then we have Germany, Denmark, US, Italy. These are major imported raw markets.
Sandeep Abhange: Okay. And one last question I had on margin front. So your margins haven't got below 20%. So this was the first quarter when you report 19% margin, like in operating margin. So in terms of going forward, what is your view on margins? Will you be able to sustain around 23%, 25% level, or is there any..?
Himanshu Baid: As I told earlier in the call, the raw price started coming down, I'll just give an example of raw material, like PVC raisin, which was INR 135 in quarter 1 now the new quotation has come to INR 100. And we consume around 300 tons of PVC Raisin in month. So that's a drop. And let's say we also use plasticizers which have come down significantly from INR 170 to -- and I'm taking on dollar terms. In spiral Rupee is depleting by 7.5% still we are seeing in rupee terms almost 15%, 25% reduction in key raw materials.
Sandeep Abhange: Okay. Can we expect to….
Himanshu Baid: We will see a better Q2 definitely. And I think as I told you, some currency will also come in and play. So I think -- we will see our improvement of at least 250 to 350 BPS of margin improvement. That's what we are anticipating.
Moderator: Thank you. Next question is from the line of Sumit Gupta from Motilal Oswal. Please go ahead.
Sumit Gupta: Thanks again for the opportunity, sir. So I have two questions regarding the renal segment. So first, so have you seen any quarter-on-quarter improvement in the market share? And second point is in the revenue share for the renal segment. So what kind of improvement has been there in FY '22, it contributed around 7% of sales. So in this quarter, what kind of percentage share would be?
Himanshu Baid: Renal has grown actually, if you look at quarter one to quarter one numbers it has grown by o

ver 25% if you look at the renal business if we compare quarter one to quarter one of last financial year.
Sumit Gupta: but volume basis?
Himanshu Baid: Yes. So I'm coming to that. So in terms of total, I think on the domestic business, the renals contribution would be around now 10%. But again our focus still is in vascular, so renal is one of the new businesses we are developing, but our core business is more important for us also, which is our bread and butter business.

 Sumit Gupta: Right, sir. So my point was, so renal is sticking share from the core business, in the contribution to the total sales. Therapy segment that is expected to be around 60% - 62%, like you guided.
Himanshu Baid: Exactly. Absolutely. Absolutely.
Sumit Gupta: Okay. Okay. So within renal, it is expected to currently 10% this quarter.
Himanshu Baid: Yes. So this year our target is to close renal by around INR 100 crore. So last year it was around INR 55 crore , INR 56 crore – INR 57 crore. So this year our target is to close renal in our business by FY23 around INR 100 crore. That is the growth we are expecting in renal over the years.
Moderator: Thank you. Next question is from the line of Krishna Prasad, individual investor. Please go ahead.
Krishna Prasad: Yes, sir. Thank you for taking my question first. You mentioned about you know, this US FDA query and you know, some delays to the eventual approval. Can you just talk a little bit more about that? Actually, I'm not very aware of how that process works in devices. So maybe if you can just you know, help me understand and, and you know, how does this delay the process and is there a specific target date or a specific timeline provided to you for approval? Thank you.
Himanshu Baid: Yes. So of course I mentioned answer this before, but I'll answer it again for you. So basically FDA approvals in medical devices based on 510 K approval. So anything which is higher risk category goes to FDA for review directly and certain products exempted, but the categories we operate are basically high risk device, medium to high risk devices. So we have to do all the testings, clinical approval, clinical testings are done on the product and bio compatibility testing is done on the product. So we are expecting the approvals to come in quarter 2, but because they've asked to do some more bio compatibility testing's so the approval is probably delayed by three months. We are expecting now the final approval to come in quarter three. So that is number one, number two sorry, the second question you asked?
Krishna Prasad: This is one question, just a follow up. So have you now submitted what was requested of you?
Himanshu Baid: Yes, we are submitting it'll take three months, as I said, middle of June, we received the queries like three months for resubmission. We have to do testing, testings are done by outside labs, third party labs, not done internally. So the third body labs almost take three months to do bio test. And once we have the results we will share with US FDA and probably the timeline will be around 30 days to 60 days for them to give a final approval.
Krishna Prasad: Okay. Understood. And that timeline is specifically provided 30 to 60 days.
Himanshu Baid: Yes. FDA has their own timeline. Yes.
Krishna Prasad: Okay. Understood sir. The second question is relating to this mutual fund investment book that you've been talking about. So the last annual report that we see, I think is FY ‘21 ’22 is not out yet. So let's say ‘21. I don't see any investment in hybrid funds. Is there a reason you moved from bond funds or debt funds to hybrid funds?
Himanshu Baid: So FY ‘21 there was very limited investment. FY ‘22 we raised the funding, when we ra

ised
the QIP money. And that is where this money and the surplus funds of the company are parked in mutual funds. And mostly we are in debt funds. And I think debt funds actually gave a negative return in quarter one and that is one of the reasons that we have unrealized loss of INR 9,5 crore on that.
Krishna Prasad: You said, realized losses as well.
Himanshu Baid: Unrealized.

 Krishna Prasad: Okay. So these were not realized losses?
Himanshu Baid: No, no, but they have been booked in the P&L because that's how we have to do it.
Moderator: Thank you. Next question is from the line of Rashmi Sancheti from Dolat Capital. Please go ahead.
Rashmi Sancheti: Yes. Thanks for the follow up. Just again, on the US business you know can you let us know the name of the products how many products have you applied to the US FDA and which are those products. And when you say that USD 15 - 20 million these products has got the potential when, can we expect that kind of revenue to come in? I mean, in which year,
Himanshu Baid: Could you repeat the question? Because I think a lot of things I've answered earlier, but I think, is there any specific point you want to ask Rashmi?
Rashmi Sancheti: Yes. So basically what I want to understand -- when you said that you have applied for the high risk product. So can you just let us know, which are those products out of your total

portfolio? I mean, can you name them whether those products are you know, catheters.
Himanshu Baid: There's a lot of confidential information there, but I can tell you, this is from infusion portfolio. These are core products and the core products, which we today manufacture and supply globally. And those are the similar products from the infusion portfolio.
Rashmi Sancheti: Okay. From the infusion portfolio. And when you say these products have got potential you know, to make sales of around USD 15 million to USD 20 million in the US business you know, by what I mean -- by which year are we expecting this kind of sales?
Himanshu Baid: No. So I I've told about one product category, which we have signed a contract and that is a potential of revenue USD 15 million over five years. Similarly, there will be more products we'll add during next one or two years. That'll also add more potential to this business.
Rashmi Sancheti: Okay. Basically it's over five years.
Himanshu Baid: Yes. Correct. One product only just one product. So there could be multiple products actually in future.
Rashmi Sancheti: And sir my last question is on Euro depreciation. Do we have any impact or any impact expected from currency?
Himanshu Baid: No, I don't think because we have taken -- our benchmark Euro is almost between 80 and 81 when we do our business planning. So if it is in that range, I think we are pretty good with that.
Moderator: Sir we don't have anyone in the questions queue would you like to make any closing comments.
Himanshu Baid: I think thank you again. I think I'm thankful to all the people who are on the call and were they -- had a very deep dive on and they had a great study on the company and thank you for all the encouragement, all these questions actually help us to do better every quarter and improve our performance. And we'll look forward to talk to you in coming few months also. Thank you so much.
Moderator: Thank you very much. On behalf of ICICI Securities Limited that concludes this conference. Thank you for joining us. You may now disconnect your line. Thank you.

Call: Nov 2022

“Poly Medicure Limited's Q2 FY'23 Earnings Conference
Call”

November 7, 2022

MANAGEMENT : M R. HIMANSHU BAID – MANAGING DIRECTOR , POLY
MEDICURE LIMITED
MR. NARESH VIJAYVERGIYA – CHIEF FINANCIAL
OFFICER , POLY MEDICURE LIMITED
MR. AVINASH CHANDRA – COMPANY SECRETARY ,
POLY MEDICURE LIMITED

MODERATOR : M R. ROHAN JOHN – ICICI SECURITIES

Moderator: Good day ladies and gentlemen, and welcome to the Q2 FY'23 Earnings Conference Call of Poly Medicure Limited hosted by ICIC I Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistan ce during the conference call, please signal an operator by pressing ‘*’ then ‘0’ on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Rohan John from ICICI Securities. Thank you and over to you, sir.
Rohan John: Yes. Thank you, Michelle. Good afternoon, everyone. On behalf of ICICI Securities, I welcome you all to the Q2 & Half Year FY'23 Earnings Conference Call of Poly Medicure Limited.
So, we have the senior management of the company with us today, represented by Mr. Himanshu Baid -- Managing Director; Mr. Naresh Vijayvergiya – CFO; and Avinash Chandra -- Company Secretary.
With this, I hand over the call to Mr. Baid for the Opening Remarks. Over to you, sir.
Himanshu Baid: Thanks, Rohan, and thank you once again, everybody for joining this call, and I really appreciate your time,
I'll take you through the Q2 Earnings. And for this particular quarter, as you're aware, the standalone revenue was Rs.263.99 crores. And if you look at quarter-on-quarter growth, we were able to grow around 10%, on quarter-on-quarter growth, whereas if we compare from the quarter of last year to this year, we have had a grow th of around 24%. So, that's very good growth, looking at the current situation in the markets.
Just to inform all the listeners, the export under the current quarter grew by around 22% and domestic business grew by around 27%. So, both the businesses have done well. As you all know, exports contribute to around two-thirds of the business and one-third contribution comes from the domestic business.
If you look at the H1-to-H1 performance, the revenue has grown from around Rs.415 crores to around Rs.503 crores roughly in that range, and the year-on-year growth is around 21%-plus.
So, our guidance for current FY'23, which was 20%-plus growth, I think we are on track to deliver that growth and that guidance.
I will now take you through some of the significant numbers. So, as you all know that EBITDA margin also increased in the current quarter to Rs.63 crores and PAT was Rs.45.22 crores for the quarter-ended September 2022. In the previous quarter, PAT was around Rs.28.8 crores. There is a significant jump in the PAT numbers. And in terms of EBITDA, I think we have been around 24% EBITDA. So, that's a constant number.

The current raw material pricing, still, we are actually using a material which was procured at a higher price because the normal delivery cycle from booking to consumption is almost three and

a half months. The time we book the raw materials that comes to the factory, because most of is imported, and then we've always maintained our inventory of around 45 days to 60 days. So, by the time it consumes around almost three and a half months. So, now, from November onwards, we have started using material which are a lower price, which we started buying in August, and we will definitely see an impact in the costing of the products going forward, though, there is a slight increase in procurement cost due to exchange rate, but I think that has already been factored in. And we hope that in Q3 and Q4, we will see some impact in terms of improved profitability for most of the products we manufacture.
On the currency front, there is no major impact because 60% to 65% revenues in US dollar, balance in GBP and euro and also some export revenue, also in INR, is exported to the some countries in INR also, and we al so have some local exporters who buy in INR and export.

So, if you look at the currency impact in revenue, it's very minimal; maybe less than 1%. So, there is practically no impact of dollar appreciating against the INR because other currencies have devaluated, so, the net effect is almost negligible . But, I think overall, we will see Q3, Q4, doing better in terms of margin. Freight cost started co ming down and you'll see their impact also in Q3 and Q4.
If you look at H1-to-H1 performance, last year H1, there were some COVID products which we were selling like VTM and some oxygen therapy products. But that revenue is completely off, so that was close to around Rs.15, 20 crores, so that is already zero in this current financial year.
So, if you remove that, the growth is still higher than 20%. But, as we have normalized it, so we are at 21%-plus right now between H1-to-H1 of previous year and this year.
On the US FDA front, I think we are in the process of completing the new biofilms studies, and reports will be submitted to US FDA by November end, that's the current target, and we are expecting the approval to come in 60-to-90 days. That will be our first approval and hopefully, revenue will start coming in, first orders should start flowing out of the company maybe end of Q4.
We have also appointed a new person in the USA, Heyward Powe. He has joined the company on 1
st September 2022; he has joined as VP, Sales and Business Development, and Heyward is also helping us to connect to large customers in the US, and also is helping us to build the business in the US right now.
In terms of regulation in India, I think, as we all aware that 1st October 2022, all Class-A and B products have been now regulated. And that's a very good news for industry because for a long time we were looking for this to come and finally government has acted on this and regulated the industry. And Class-C and D products which more critical, will be regulated by 1st of October 2023. But now all medical devices are classified as drugs, and there's a price monitoring by NPPA since 1st April 2020. So, that's a big change in the industry which is coming.
Also, government is coming with a new medical device and drugs bill, which is for 2022. The government has already taken industry comments and they are looking to bring this new bill in

the parliament. Hopefully, it is stable in the winter session and hopefully maybe early next year, this bill is passed and the industry will be a ne w regulation, which will be more smoother and medical devices will be having a completely separate chapter. Currently, we are under drugs, but with their denotifying medical device out of th e drugs, will be a separa te chapter to regulate medical devices, which is positive for the industry.
In terms of the construction activities at three facilities in Faridabad plants and one plant in Jaipur, due to current pollution situation in Delhi as you're all aware in the NCR region, construction activities have been stopped, so that has put some delay in our plans. But, as we see right now, Jaipur Mahindra SEZ plant which was supposed to start sometime in end of this year, will go in Q4 of FY'23. And the Faridabad EOU plant is still on track. We are doing final finishing work. So, we 'll be able to start partially in this plant in Q1 of FY'24 and two other plants in IMT and Sector 56 in Faridabad are slated for Q2 of FY'24. We may have few months delay here and there due to current situation and pollution issues. But I think we're on track, we'll be able to partially start some plants on the due date which we had announced earlier. So, not full, but partial operations may start on the due dates.
On the CAPEX front, in H1-to-HI this current financial year, we invested close to around Rs.100 crores and we are on track to invest around Rs.175 crores to Rs.200 crores as I mentioned earlier.
So, all this new CAPEX investment is going into new pl

ants to build the capability.
I think in the last few months we have seen a lot of traction on India in terms of China Plus One strategy. A lot of companies have got a mandate to move away from China in some of the production. Though it will take so me time but I think Polymed is ve ry well positioned to look at those opportunities as we have new infrastructure which will be ready and will have spare capacity to look at new projects. I think this investment has come at a very appropriate time to really grab this business, which is an opportunity which is coming to India I think in the long run.
Also, if you look at the PLI Scheme, we are on track. Investments under PLA scheme is on track, this is the first year of operation of PLI scheme. So, in the renal space, we had to invest around close to Rs.15,20 crores which we have already done, new CAPEX for new machinery over the last 18 months, we have already invested in, in vitro diagnostics sector, where we are committed to invest around Rs.10 crores every year in plant and machinery which we are doing to increase capacity. So, all the investments are on track.
In terms of growth, already as I mentioned, the things are good, export markets are still active. Though there has been a little bit of crisis in em erging markets, I think, for us, there is little slowdown in Africa, in Southeast Asia, but they don't contribute too much to the revenue. So, as you know 1/3 revenue comes from Europe, 1/3 from India, and 1/3 from rest of the world. So, other markets have done well. So, if you look at the current growth in exports from H1-to-H1, the growth is almost close to 27%. So, it's a very healthy growth in exports. And domestic business from H1-to-H1, if you see has grown by around 11%. In the domestic business, of course, there was a lot of COVID product sale in t the previous year. So, if we normalize that,

the other products have grown by around 20% to 22%, but in terms of absolute numbers it's around 11%.
So, this is the update, and I'm happy to take questions from people on the call and thank you very much once again, for the patience and time.
Moderator: We will now begin the question-and-answer session. We have the first question from the line of Aditya from HDFC Securities. Please go ahead.
Aditya: Sir, just had a question on Europe. Obviously, it's one of your largest markets and yet, we are seeing some sort of a war. So, on the one hand, companies are saying it's a Euro Plus One opportunity, but on the other hand, there's going to be some demand disruption. So, can you just explain how should we look at the bigger picture?
Himanshu Baid: There's no demand disruption. I think the demand is pretty much intact. There are still global constraints on the supply chain. And specifically, when you look at China, most of the companies were so dependent on China on 80% to 90% of their purchases. So, most of these companies are looking at India and alternate sources to buy new products. So, I think for us, it's a bigger opportunity than what it was probably a year or two years ago.
Aditya: So, near term you're seeing the orders to come, there's no problem?
Himanshu Baid: There's no problem, absolutely. In fact, the Europe has done the best actually out of the whole lot in the first six months.
Aditya: Second question is, this medical devices bill is obviously a great initiative as the government and industry has been lobbying for it. So, where do you see yourself gaining market share, because I believe there's not much of an unorganized sector, so , will you really gain market share both for you as well as the Indian medical devices industry?
Himanshu Baid: For us, I will first take Polyme d. So, Polymed, I think we are looking at market share from MNC companies. I think today with dollar getting so st rong, so a lot of these companies import into India and sell the products,

very few companies are manufacturing in India at least in our space.
So, I think for us, that's a bigger opportunity. Earlier, Indian industry was not regulated. So, there was a huge gap in terms of perception. But now once we are regulated under the same regulation, then the barrier kind of reduces. And for us, that is the market we are targeting with larger hospitals. Now, for the Indian industry, I think it's a similar situation. Earlier because of non-regulation, Chinese products were being followed into the Indian market with very little oversight on regulation. And you have seen that in the past, I'm not going to talk about this product, but we have seen in the past for products like thermometers and pulse oximeter and mask and everything, was coming from China completely unregulated. Now because of regulation, I think Indian companies were making in India, will benefit, because then there will be a barometer to judge the quality and there will be a standa rd to follow. BIS has already been

standards of 1,400 medical devices. So, people will have to follow standards, and that is part of

the regulation.
Aditya: So, will you introduce new products or you expect to gain share from your renal portfolio?
Himanshu Baid: I think we're also introducing a lot of new products, because every year if you see our website also we add six to eight new products, that will continue to happen, and already a lot of new products are in pipeline as we speak, so it is a continuous innovation, continuous development. We will have to increase the basket as we move along.
Moderator: We have the next question from the line of Karan Khanna from Ambit Capital. Please go ahead.
Karan Khanna: So, firstly, on your renal business, you highlight ed in your interviews earlier that you plan to grow your renal revenues aggressively in line with your PLI target and are receiving good support from the government. So, what portion of your renal sales would be coming from government hospitals?
Himanshu Baid: We don't have direct sales to government hosp itals, and renal is still pretty much out of the government business right now. Government has set up dialysis centers, but those dialysis centers are running privately. So, government support means in terms of policy like PLI Scheme, they've added some duty on the products which were duty free earlier. So, that's the support government is giving for local manufacturing in the country, not as a direct support in terms of buying the product.
Karan Khanna: In new product segments like renal care itself, how are you able to drive conversion across private hospitals where innovation of the products is still present?
Himanshu Baid: I think innovation of the products are present in every segment, it's not only renal, it's in cardiology, it's in infusion blood, in neuro, everywhere. But I think as time progresses where if Indian companies start demonstrating clinical eq uivalence. See, for example, as a Fresenius dialyzer is reused seven times. If Polymed dialyzer can also be reused seven times, then that is kind of a benchmark. Though it should not be reused at all, the benchmark currently is because dialysis is kind of like more charitable than a curative business, okay, benchmark, Fresenius product is good because it can be used seven times. So, if our product is also used the same times if the quality is okay. Or when they are using single use, the factors, the clearing, toxic removability, everything is judged. I think for In dian companies is more clinical equivalence than anything else. If you prove that we are clinically equivalent, that is where we will see the runway increasing.
Karan Khanna: If I see our gross margin say four, five years prior, you had maintained gross margins of 66% to 68% and share of increase in therapy products and your domestic versus export mix was largely stable. So, do you ex

pect to reach those levels, and if so, by when are you expecting to again revert to 66% kind of gross margins?

Himanshu Baid: Karan, it's very difficult to project the future in that long term in current scenario, because you've seen what's happened in last one or two years. But I think our target is to move to high-25s in terms of EBITDA margins, so that is in that rang e of 25%, 27%, that is what we are targeting. And if you can go back to that number, that's what our internal plan is to do that. And I think if we achieve that number, then the gross margins wi ll come back to that original level already.
Karan Khanna: Lastly, on your export business, you highlighted 20%-plus YoY growth during the quarter. So, has there been new significant wins during the quarter, is it largely coming from the existing customers?
Himanshu Baid: It's coming from existing clients, mostly 95%-plus is existing clients.
Moderator: We have the next question from the line of Rashmi Sancheti from Dolat Capital. Please go ahead.
Rashmi Sancheti: So, a clarification on the break up, when you sa id exports 22% growth and domestic 27% growth, it is on YoY basis right?
Himanshu Baid: No, this is on quarter-to-quarter comparison.
Rashmi Sancheti: Can you give us either a contribution or an absolute number for this quarter as well as for the Q1 FY'23? And do you get the contribution on the standalone sales or –
Himanshu Baid: The numbers are standalone right now. You are right, Rashmi. Already for the year as a whole, we have set around 20% growth and out of that that exports will be close to Rs.700 crores, that's the whole plan we have discussed.
Rashmi Sancheti: Rs.700 crores, we are talking about for the –
Himanshu Baid: For the whole financial year.
Rashmi Sancheti: So, basically 15% to 17% is something which we are on track, right?
Himanshu Baid: In terms of export growth?
Rashmi Sancheti: Yes, export growth.
Himanshu Baid: No, export will be higher, last year was around Rs.575 crores or something… I don't remember number correctly, but it will be in that number. So , if we are touching Rs.700 crores, it will be over 20%.
Rashmi Sancheti: On domestic also, earlier, we guided that, we'll be doing around 24% to 25%. So, that was something ex-COVID because in the first half, you mentioned that we have done only 11% growth, right?

Himanshu Baid: Yes, H1 is 11%, because last year in Q1 and initial part of Q2, there was a lot of spike because of respiratory care products and some mediums an d all that, which is already not there in this current financial year. Still, we have grown the business by 11%. That business was taken out and the new things we have added. So, I think by the time we end the year, we should be between that 20% to 25% growth cycle in domestic business overall.
Rashmi Sancheti: 20% to 25%, you meant excluding COVID products or including COVID products?
Himanshu Baid: No, this is overall growth, including everything. Absolute number last year and absolute number this year, that is the growth we are looking.
Rashmi Sancheti: On your gross margins on quarter-on-quarter also, we have seen contraction. This was also basically related to the KSM sizes, which you mentioned that, since you talked about on the higher prices, and that's the reason we are seeing qu arter-on-top contraction also or it is because of some other reasons?
Himanshu Baid: No, I think it is mainly because of the raw material pricing, because if you see, at peak level, most of the plastic prices were like $1,500 or $2,000 a ton, and now they have dropped to around $1,000 a ton or maybe $1,200 a ton in that range. But, as I told you, we have a cycle of three, three and a half months, we see really use the material of lower pricing, because we order today, the material is shipped at the end of t

he month, we get the material… what I'm ordering right now, I'll get the material only in my factory by 15th January. And then we already have 45-days inventory. So, by then we used it, it is end of February basically. It's a three and a half months to four-month cycle. Today's current price, for example, now the prices have further dropped a little bit, but currency has gone a little bit up. So, it's kind of normalized, but still it is much lower than it was maybe in the beginning of the year, 40% down than what was in the beginning of the year.
Rashmi Sancheti: And about infusion therapy, if you can update, how much was the contribution to the total sales or let's say in the export as well as in the domestic market, and what was the kind of growth that we have seen during the quarter, because I think in exports we have done well, and since 80% to 90% of exports come from the infusion products only? And also, on your renal sales contribution to the total sales, are you on track of achieving Rs.100 crores in the renal segment as you guided earlier?
Rashmi Sancheti: We are not sharing revenues division wise in the half year period and I don't have the numbers, so I can't share it with you right now, but we are on track because renal will grow towards Rs.100 crores number. And in terms of infusion, you're right absolutely, 85% contribution from exports comes in the infusion segment because that's our core business in exports and we have a lot of patents and technology in that area. So, we continue to grow in the exports market. And overall if you see in the domestic market, contribution it will be around 65%.
Rashmi Sancheti: You are talking of inclusion therapy to domestic is 65%?

Himanshu Baid: Exactly. Exports will be around 85%.
Rashmi Sancheti: Finally, on your dialysis mach ine installation, how mu ch have we done so far till H1 and what is our expectation for this year as well as for the future?
Himanshu Baid: So, till September, we have totally installed from the beginning around 140 machines, and we expect to install around 60 to 70 machines in the balance part of the year, and next year, we are scaling up already manufacturing, so our target is to sell around close to 500 machines.
Rashmi Sancheti: These machines are basically installed across pan In dia or it is related to some particular region?
Himanshu Baid: Pan India.
Moderator: The next question from the line of Pankit Shah from Dinero Wealth. Please go.
Pankit Shah: Actually wanted to understand more on the US business part. I think you should start some revenue contribution from the next year in FY'24. Can you indicate what would be the opportunity and how should we see the ramp up?.
Himanshu Baid: As we are still waiting for the US FDA approvals as I mentioned initially in the call, but I think when we see a three, four-year wi ndow, I think, definitely, for us, our opportunity is around $15 million to $20 million, so that is pretty much ther e. And I think that part is pretty much clear to us that once we have approvals and once we start with one product, more products will follow in the US market.
Pankit Shah: Initially, we'll be starting w ith infusion therapy, right?
Himanshu Baid: Yes, that is our core business. So, we'll have to start with infusion. We will keep on adding more products as time progresses. You have to enter the market with the new products. I think there is some traction already building for the US right now, again, because of China Plus One strategy, a lot of companies have a mandate to move away from China, look for alternative suppliers. I think we are pretty much placed to really look at some of those opportunities.
Pankit Shah: Any update on the new R&D center, which was in planning?

Himanshu Baid: R&D center is already there and there's nothing new, the new center was established already in 2017 or something, and

it is stil l there, and it's functioning.
Pankit Shah: I think we had plans to set up a new center in North Carolina.
Himanshu Baid: Yes, that is correct, that was planned during last one, one and a half year, but we're not going ahead with that. We hired with a couple of people, but very difficult to work during the COVID period, travel was not possible and we could not do much, so we continue to have R&D presence in India.

Pankit Shah: Because if I see over a period of for the last eight, ten years, our R&D expense has been in the similar range of Rs.3-4 crores.
Himanshu Baid: You have to see the cost of hiring engineers, th e cost of hiring microbiologists or people working in the R&D. It was much lower compared to the western world. In the western world, the same cost is 10 times sometimes. We are hiring people for $15,000 and in Americas you hire engineer for $150,000. If you want to hire in R&D in India, maybe you get for $50,000, in US it is $300,000. There is a difference in terms of costs. So , I think for us we are still able to file patents, develop new products, we already have more than 300 patents, which is currently a testimony to our R&D efforts what we are doing right now in the organization. And as a Indian med tech company, I think we have the highest number of patents.
Pankit Shah: When we say we introduce new products, these new products are new to the markets or like existing products and we are adding to that product?
Himanshu Baid: Could you repeat that question? Sorry, there was some background noise. I could not get this.
Pankit Shah: When we say we introduce new products in the market, these products are completely new to the market itself or there are existing products and we also add to a supplier base?
Himanshu Baid: It depends on the category, for example, there could be a product where we come up with an incremental innovation, there will be a product where we completely co me with a completely new device altogether, and sometimes it could be a process improvement or design improvement. So, there are different categories where you are offering. So, let's say if in infusion category, we have a very strong portfolio there. So, it is more on new product development focus. In other categories, you could be more focused on incremental innovation or just a change in design and then working on that. So, that's how it works basically. It depends on product-to-product. Very hard to describe you on phone.
Pankit Shah: And coming to this dialysis, earlier the original plan was to do like 300, 500 machines in two, three years and we will hit that number this year as well. So, are we planning to get into any different type of machines where similar –?
Himanshu Baid: One type of machine which is used in hospital, though have different models and different levels in terms of what the machines can do. So, I think we are going and comparing ourselves with the best available product in the market which is coming from Fresenius in Germany. So, we are comparing ourselves with that, because today almost 70% installations are done by Fresenius in India. So, out of the 40,000 installations in India, almost 70% are from Fresenius. So, we have to compare with them. And then, of course, they have a very strong service backup, they are very strong, after-sales service. We'll have to move slowly in that direction and offer similar service, similar backup across the country because we can't say, we don't have a service in Bangalore, we don't have spares in Bangalore. It is a very cumbersome business, but if for dialysis business to grow, it has to be equipments and consumables. This is our first foray into equipments. And it is not easy to make a new equipment in India, which has disadvantage of not

finding PCB suppliers or touchscr een s

uppliers, or hardware suppliers. So, it has been a big, journey so far as learning. But I think we have done that and I think we are in a good space right now.
Moderator: The next question is from the line of Prateek Rathi from Armour Capital Advisors. Please go ahead hi sir
Prateek Rathi: We do have a factory manufacturing in China. When we have this Chin a Plus One policy that we are talking about, what about this China unit are there, what's the focus area, and what kind of sales pick up we will be reaching in future from this?
Himanshu Baid: China contributes to less than 1%, 1.5% of our total revenue right now. In the long run, yes, China is more expensive. So, it's not a very big plant. So, now you can understand from the number, 98.5% India, 1.5% China if you look at India-China operation. So, there's not a much significant operation. Ad maybe in due course of time as you see the cost going up, maybe we'll have to take a call. but right

now, it is more strategically being there just to understand new
technologies of China, maybe better sourcing and making some critical components there. So,
that is what is happening in China.
Prateek Rathi: There won't be any further investments in China over a period of –
Himanshu Baid: We have made significant investments in the last four or five years in China.
Prateek Rathi: On the dialysis machines part specially, what kind of margins do you see after once you run
manufacturing of full capacity?
Himanshu Baid: India is close to 3,000 to 4,000 machines a year right now, but I think as everybody talks about
dialysis that is underpenetrated today, maybe in five years the market grows to around 6,000
machines or 7,000 machines, that is my current estimate with –
Prateek Rathi: Number of machines, there was a –
Himanshu Baid: 7,000 machines in the market per annum could be in next five years from now from the current
4,000 numbers.
Prateek Rathi: What's the margin of one machine like would be?
Himanshu Baid: I can't disclose it on the call, sorry.
Prateek Rathi: On the dialysis machine, it's only going to be direct sales to the customers, so there won't be
any….
Himanshu Baid: Some machines are placed sometimes, some are sold directly, it depends on the contract how
you operate your business. Sometimes you could place the machine, sell the consumables where

you have a contract for consumables and then take out the cost of machine from consumables,
it could be anything. It depends on the customer-to-customer how you want to address that.
Moderator: We have the next question fro m the line of Girish Jain from KJMC Capital. Please go ahead.
Girish Jain: I just wanted to understand the roll out of the plants. In the earlier call, you had mentioned that
the Faridabad plant would be operational by this quarter, but now I believe there might be some
delay because of the fog issue and the smog issue. If you could just tell about it more and Jaipur too?
Himanshu Baid: One plant is coming in Jaipur. Though earlier we have mentioned around Q3 end, but I think it
would go to Q4 sometime. So, that is what we see right now. Few months of delay, but we are on track. But partially it will be
starting by the end of this year. In Faridabad, of two plants, one
plant will start in Q4 ending or Q1 next year, so between March and April this plant should be
operational; one plant would be operational in Q2 and also Fari dabad 56 Sector plant will be
also operational in Q2 next financial year.
Girish Jain: So, Faridabad-IV is focusing on infusion products or rental products?
Himanshu Baid: Faridabad-IV has some diagnostic products there where we will be expanding our diagnostic
products range.
Girish Jain: Jaipur-II would be I believe for the exports?
Himanshu Baid: Exactly sir, it is in SEZ, so it will be in exports.
Girish Jain: If you could give some sense of the cash position of th

e company from the money which that
we will raise in the QIP, how much has been used and how much is balance?
Himanshu Baid: Currently, we are having maybe a cash balance of close to Rs.300 crores on the balance sheet.
And out of the QIP proceeds of Rs.400 crores, around Rs.85 crores was used for working capital
and retiring from existing loans, and around Rs.250 crores was closely used in CAPEX over the
last 18, 19 months in that range. So overall, with the current cash flows of the company and the QIP money, we still have a
cash balance of close to Rs.300 crores. Naresh ji, please correct me if I'm wrong.
Naresh Vijayvergiya: Yes, sir, we have Rs.300 crores. On the QIP par ticularly breakup is out of Rs.400 crores we have
CAPEX of around Rs.250 crores.
Moderator: As there are no further questions from the participants, I would now like to hand the conference
over to the management for closing comments.
Himanshu Baid: I like to thank all those joinin g on the call and I think it was a ve ry interactive participation by
everybody. Thanks, again everyone for your encouragement and support and definitely we are

on track to deliver the growth we had promised to all our investors and our stakeholders and
look forward to talking to you in Q3 once again.
Moderator: On behalf of ICICI Securities Limited, that concludes this conference call. Thank you for joining
us and you may now disconnect your lines.

Call: Feb 2023

(no extractable text — likely a scanned image PDF)

Call: Aug 2023

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Scrip Code:-POL~ .
The Manager We Care As We Cure
. National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1-Block-G
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Subject: Submission of Transcript for Ql-FY24 Earnings Conference Call under the SEBI
(Listing Obligations and Disclosure Requirements), Regulations, 2015
Dear Sir/ Madam,
Pursuant to Regulation 30(6) of SEBl (Listing Obligations and Disdoslll'e Requirements)
Regulations, 2015, we hereby submit Transcript of the Investor Meet/Call held on 8th August
2023, on the Unaudited Financial Results of the Company for the quarter ended 30th June 2023,
on Standalone and Consolidated basis, which were considered and approved by the Board of
Directors of the Company, at its meeting held on 7th August 2023.
This is for your information and record.
Thanking You,
Yours Sincerely
For Poly Medicure Limited
Avinash Chandra
Company Secretary
Encl: As above ~""":-"I:::,...
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C-Sc e

"Poly Medicure Ltd Q1FY24 Earnings Conference
Call"
August 08, 2023

M
ANAGEMENT : MR. HIMANSHU BAID – MANAGING DIRECTOR , POLY
MEDICURE LIMITED
MR. NARESH VIJAYV ARGIY A – CHIEF FINANCIAL
OFFICER , POLY MEDICURE LIMITED
MR. AVINASH CHANDRA – COMPANY SECRETARY ,
POLY MEDICURE LIMITED
MODERATOR : M R. ROHAN JOHN – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day and welcome to Poly Medicure Limited Q1 FY24 Earnings Call hosted by ICICI Securities.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Rohan John from ICICI Securities. Thank you and over to you sir.
Rohan John: Thank you, Yousuf. Good evening, everyone. On behalf of ICICI Securities, I welcome you all to the First Quarter FY24 Earnings Conf erence Call of Poly Medicure Limited.
Today, we have the senior management of the company with us represented by Mr. Himanshu Baid -- Managing Director; Mr. Naresh Vijayvargiya -- CFO and Mr. Avinash Chandra -- Company Secretary. I thank the management for gi ving ICICI Securities the opportunity to host this call.
With this, I hand over the call to the management for opening remarks. Over to you, sir.
Himanshu Baid: Thank you, Rohan. Good afternoon, everyone again.
I'll first take you through the Q1 Earnings. I think if we compare Q1 to Q1 of previous financial year and current financial year, the standalone revenue has increased from Rs.239 crores to Rs.305.6 crores, there's increase of 28%. EBITDA margins have also increased from Rs.57.48 crores to Rs.85.1 crores, there's increase of ar ound 48%. And PAT has increased from 28.8 crores to 60.52 crores, there's increase on 110%. So, there's a big improvement in the performance of the company and I'll also tell you the reason why is that.
So, first of all, when we look at first quarter of previous year, I think the raw materia

ls were very
volatile, the shipping freight rate was almost at peak level, and because of that the margin kind of dropped, and also there were certain losses due to some investments in mutual funds, so because of that, the profit was low. But now because of improved performance, increased revenue and focus on high-end export markets that we were able to improve the performance of
the company, and in absolute terms the EBITDA has increased significantly. And also, if you look at percentage, we almost maintained similar or higher percentages compared to Q4, which
is above 50%.
Consolidated Revenue also saw an increase of 29% from Rs.248.85 crores to Rs.320.83 crores.
EBITDA margins also increased from Rs.55.75 crores to Rs.87.19 crores, 56% increase, and
PAT margin increased from 26.96 crores to Rs.62.70 crores, an increase of 133%.

If you look at quarter-on-quarter, the revenue increased from Rs.306.85 crores in Q4 to Rs.320.83 crores in Q1, an increase of 5% .
So, for us it was very important that we maintain the same mome ntum. In spite of headwinds in the markets most of the global economy is going through a very tough phase. But we have been very resilient and we focus on our business and because of that, I think we are seeing quarter-on-quarter growth and also sharp increase when we compare Q1 to Q1 previous year to this year.
Exports in the current quarter has increased from Rs.154 crores to Rs.205 crores, an increase of 25%. And India business has increased from Rs.75 cr ores to Rs.101 crores, that's on standalone basis which is around 34%.
So, margins are steady with stab ilization of raw material pric ing and normalization of these freight rates. So, in the Q1 we also had steady ra w material pricing and freight rate, so that has helped us to be steady . I think we expect to maintain EBITDA margin in the range of 25% to 27% for the rest of the year. So that is our guidance for rest of the year.
Guidance for revenue continues to be 20%-plus for FY24. We have seen a robust growth of 28% in the first quarter. So, we expect that we will maintain a good momentum in the coming quarters also, and we have about pipeline of orders right now from export customers and also in India we're seeing a good growth.
EU business has grown by over 35% in the first quarter. Though there has been some slowdown in export, but those are not our main markets. EU being one of the core markets, because 1/3 of the revenue of the company comes from EU, and that has a 35% growth and India, which is also one of the core markets for revenue contributors, has also grown by around 35%. So, most of
the most important markets have grown by around 35%, which is a very good healthy sign for the company.
I've told you in the past we go live within this year, first plant in Faridabad started for operation

in Q1, second plan t which will be operationa l in Q2, third plant is IMT Faridabad will start
operations in Q4 and fourth plant in Jaipur SEZ wi ll start operations in Q3. So, all the four plants
will go live within this financial year. So, our new capacity will give us bandwidth to expand
faster with ready infrastructure in place, we'r e almost adding A-class square feet of new
infrastructure in these four plants and for FY24 will be close to around Rs.110 crores. And from
FY25 onwards, we will see CAPEX to be able to bring down to 100-125 crores level which will
be mainly maintenance and then augmenting more capacity or investing in new products and
new technology.
The new critical care business will be launched in Q3. Curren tly, clinical trials and new
permissions are being awaited. This is also a very new development in the company, because
this will give us an ability to serve hospitals much deeper, especially consumption of product is
much higher and the value also is higher. Import substitution is our key focus in this critica

l care
space.

Domestic business, as I said, did show good momentum with the 34%, 35% growth in Q1. Our
presence across segments like corporate hospitals and multinational companies will increase.
We are seeing the sector has been growing steadily in last one year. So, I think we are getting
advantage of that. So, it will be growing around 10% to 12% or even maybe a little higher. But
we have shown a growth around 34%, 35%. So, we are taking more market share from
multinational companies now and we hope to maintain some momentum during the year. The renal segment has grown by
around 22% in Q1 and we expect to end the year of approximately 25% to 30% growth rate.
Manufactured dialyzer machine is already launched, has shown good acceptance by users. We
still have some advantage in the segment because imports coming from China and products in
our country. Lower import duty and more duty structure is also hampering our targeted growth.
Currently IGST on finished product is just 5% whereas on all raw materials we pay 18% GST, which results in inverted duty
structure and additional cost. We do not expect any PLI benefit
coming to us in the current financial '24. for dialysis, renal segment and those numbers are not
high, almost 60% to 70% year-on-year growth. So, the number currently which you see without any PLI benefits and we don't
see any PLI benefits for the whole year because we've been
requesting the government to reduce the target and the PLI because it's kind of unattainable 60% to 70% year-on-year
growth. And to my knowledge of 20 companies who've got PLI on medical
devices, only three or four companies have met the target for the first year. So, the scheme is
still not very workable. We have suggested many changes in the scheme to suit domestic
manufacturers. So, this is the status and we will wait for government to look into our suggestions
and then see what happens next. But we expect that we will have some headwinds in the sector
but still grow between 25% and 30%, it is still a decent goal.
US market we received the US FDA approvals for two products two weeks ago. We expect sales
on these two products in next three months. Already received our first orders from the customers.
We plan to apply for more products for US FDA approval in the coming months. And we are seeing more momentum our way
and we are more confident now to get more products under
FDA approval. For US business, we are maintaining a guidance of $15 to $20 million revenue
for next three to four years.
Italy or a joint venture in Egypt, or in China, all are profit making and performing well and we
see good growth opportunity in India going forward. Our Italian subsidiary has almost doubled
the revenue in the first quarter itself. They are doing very well, the momentum is very good, and
we're adding new customers to subsidiaries. Egypt JV also has a better profitability compared to
last year. Last year in Q1, there was a loss of 1.8 crores across the subsidiaries but this quarter
we have almost made a profit of 2.25 or 2.3 crores, so there has been a good turnaround in all the subsidiaries.
In R&D side, the company continues to develop new products and will launch 10 to 12 new
products in the critical care segment and that's your segment this year. We also got new products
for two to three years.

The company currently owns 370 patents and 70-plus application pending for approvals in
various geographies.
We continue to invest in new product development at a rapid pace. For us I think the company,
the major thrust has been launching more products every year and that has kept up the
momentum. So, we will continue to invest in new product areas, continue to invest in new R&D
and new design. So, this is really helping us to improve our margins also, a

ddress more
customers within the same segment. And also, once we are in the hospital, it becomes easier to
introduce products in the same channel in the same pipeline.
China plus one has been a key focus of many countries and company also benefits by adding
new customers of EU and USA in the next few years. We already are seeing good traction
building up and new infrastructure which we ar e building will definitely help us to add new
products much faster.
We also welcome you all to visit our facilities in Faridabad and a request can be sent to the
Company Secretary.
We are also focusing on new technologies, and for that to explore inorganic opportunities in the
med tech sector. And we feel that technology is one key area in medical that will keep on
progressing at a very rapid pace and to keep up with the rapid pace, I think we have to bridge
this gap because currently develop a new product right from beginning to the end, it takes around four to five years from
scratch to the product development in the market because there's a few
years of developments either in clinical trials and there's a few years of regulatory approvals. So, we are thinking to shorten
this cycle, to look into, companies whic h have technology, which
have products, and then maybe, look at inorganic opportunities to grow faster in new technology areas, and then if we see
something we'll definitely let our investors and stakeholders know about
it.
These were some of the highlights of Q1. Are there any questions, I'm happy to take them. Thank
you again for your time and patiently listening to me. Thank you again very much.
Moderator: We will now begin the question-and-answer sessio n. First question was fro m the line of Jaiveer
Shekhawat from Ambit Cap ital. Please go ahead.
Jaiveer Shekhawat: Mr. Baid Congratulations for another strong quarter. Sir, my first question is in relation to your
international business. So, one, want to understand what's really driving your 25 percentage plus
growth in your Europe business. And also, if you can share light on the other markets likes of
Europe, and what factors can help you sustain this high growth rate that you're seeing in the
export market over the next 2-3 years?
Himanshu Baid: So first of all, when you look at the Europe market, so we have been in Europe for now more
than 10 years. But in last 4-5 years since we started our office, we have a full time CEO who
manages the business from Europe and we have a sales and marketing team on the ground. So, P+IY.MED MEDICAL
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Poly Medicure Ltd
August 08, 2023

this really helps also connect with the customers much faster and that is the key reason for
success. And our acquisition in 2019 also improved the image of the company because that was
in critical care business of oncology and combining two businesses together has really given us
that momentum. And when we're looking at this China plus one, as I mentioned, so there is an
opportunity right now for Indian companies, if we can make good products at and high
technology and good quality, I think we have a good potential. And I th ink with the pipeline of
projects we have today and the arrangements we have with the current customers, so in the
current year we will see Europe growing at least around 30% to 35%. which we achieved in the
first quarter, we'll see and we are seeing the same momentum in the coming quarters. And looking at the other markets, so
1/3 revenue comes from exports to Europe, 1/3 is India and 1/3
is the rest of the world. And rest of the worl d contributions are from Latin America, from Asia,
from Africa, from Middle East. So, all these markets contribute the 1/3 of the revenue. Of course,
there are some headwinds in Africa and some Asian countries because of the current crisis. But,
overall, there is a good momentum, geographies have also by grown around 15% to 20%. So, we're pretty hopeful that during
the year we w ill get

a growth rate of around north of 20% in
exports also.
Jaiveer Shekhawat: Secondly, sir, given that you are continuously evaluating inorganic opportunities, given that you
have even earlier partnered with, say, the likes of Covidien and Conwell, are you also evaluating any joint ventures which can
again give you that access to technology and help you crack certain
markets like US?
Himanshu Baid: So, I think that's a very good question. Of course, I don't have a concrete answer here, but
definitely we will be exploring this possibility because when we look at the opportunity in front
of us because China has been the global factory of the world and gradually the momentum is
shifting outside. China. Of course, Vietnam, Me xico, all these countries had the first advantage.
But I think India is also now on the radar of the large companies. And with the ready infrastructure which we have today, I
think we'll be really going forward to the new opportunities very fast because now it will be just plug-and-play. Facilities, we
can add up any new product
or capability very quickly.
Jaiveer Shekhawat: And sir lastly, just want to understand your critical care business in mo re detail. Now apart from
needing more clinical specialists, what other investment would you be required to really scale up that piece? And what's your

expectation in terms of overall revenue potential possibly two or
three years down the line, and how should we see the benefit from that segment in terms of
margins as well?
Himanshu Baid: So, I think critical care segmen t definitely has a bette r margin because these are products made specifically for ICU, applications, specialized categories and specialized guidelines, all these are very specialized. So, business has a better margin definitely compared to current business we do. Though the revenue initially will be small, but I think in three or four years… I'm just making
a guess today, I can't give you a real estimate, but we should be looking at around 75-100 crores
of revenue in this particular segment. This is a new segment. The investments were all being
done as part of the current CAPEX plan. P+IY.MED MEDICAL DEVICES

Jaiveer Shekhawat: Also, in terms of your product capabilities, how different are these products versus your existing line of products?
Himanshu Baid: They are very adjacent to what we do today. So, we are currently in vascular care and we have
more in general products but now same surgery product, OT. So now we're moving from OT and
let's say vascular care to basically critical care. So, basically when a patient is in a bed, either he
goes to OT or from OT he goes to either to ICU or to a normal room. So, we were currently serving OT and the normal room for a patient, now we are moving to ICU basically also, we're
covering that area which we're missing in the hospital.
Moderator: Next question is from the line of Rashmi S from Dolat Capital. Please go ahead.
Rashmi S: Just a follow up from earlier participant –
Himanshu Baid: Can you repeat the question again please?
Rashmi S: So, I was saying the critical care segment which you mentioned is this a part of our infusion
therapy and vascular care segment only?
Himanshu Baid: Yes. There will be new products, new customers. So yes, we basically intensive care units.
Rashmi S: You mentioned that export growth will be somewhere between 20% a nd 25% which will be
given by the Europe, however domestic market you mentioned in your initial comment that you
are growing in Europe to make the income, why you are going to make it, why you are not going
-?
Himanshu Baid: I explained in detail in my opening comments, but I'll repeat again. So, we have grown in
domestic business in first quarter, 35%. That also includes the renal business. That is part of the
domestic business. In the past because we have PLI on renal, that's the reason we mentioned
se

parate growth for this segment. So, in domestic, renal is one of the parts of the business and
in this part, we are growing around 20%, 22%, bu t still overall growth in domestic business is
say 35% in Q1. And today, we are not basing our business in PLI or any incentive or growing the business, we are growing the business on its own merit. And that is more important for us
and the current PLI is based on the current what we are doing today. So, whenever we get the
PLI, it will be addition to the bottom line.
Rashmi S: Any specific guidance you want to give on domestic business and how much was the renal
contribution to the overall domestic business?
Himanshu Baid: Renal contribution in domestic business is close to around 20% roughly, the guidance for the
whole year is 20%, so domestic business should grow faster, maybe the guidance is between
25% and 30% overall. P+IY.MED MEDICAL DEVICES

Rashmi S: Lastly, on infusion therapies, is it a still bi gger pie when it comes to the export market and
domestic market and how much contribution in the export business?
Himanshu Baid: Overall contribution is 70% of infusion business.
Rashmi S: Exports still in the range of 85% to 90%?
Himanshu Baid: It will be slightly higher, but yes, that's our core business, we have a lot of expertise in that area,
so it could be slightly higher, but overall contribution is 70%.
Rashmi S: And the last question with the new launches in the US business and we're going to feel good
momentum when the capacity expansion is also taking place. Do you think that EBITDA margin
for FY25 we could see a margin expansion, is this something that is possible?
Himanshu Baid: See, we have not given any guidance for FY25, but of course whatever we are trying to do should
help us in getting better margins because we are addressing new segments, new markets, but
initially there will be a cost to launch these products and to stabilize these markets. So, we'll see,
but I think our guidance is very firm and I think we will maintain the several momentum going forward.
Moderator: Next question is from the line of Harsh Mulchandani from Kriis PMS. Please go ahead.
Harsh Mulchandani: Wanted to get one clarification on the revenue potential from the US business 15 to 20 million
USD. In next two to three years is it the cumula tive or at the end of third year we would have a

20 million run rate which you would be able to maintain?
Himanshu Baid: In three to four years the run rate would be around 15 to 20 million, not cumulative.
Harsh Mulchandani: Just wanted to understand how fast do we see these capacities, wh ich will go like this year like you mentioned that it would be a plug-and-play for whatever clients you're trying to tap, but would that would we see significant chunk of capacity is getting utilized in FY25 or the ramp up would take few years depending on your -
Himanshu Baid: No, ramp up always will take few years because every product you need a separate approval… in med tech industry, every product needs a separa te approval. So even if your plant which is ready, but if you want to bring a new product to market or a new launch, you still have to go through the clinical trial cycle and also go through the whole regulatory process for India and for each country, globally I don't export the prod uct. But the time to build the infrastructure which is now zero today, infrastructure is ready, otherwise earlier we were taking even additional one, one and a half years, two years to build th e infrastructure before we could even think about these things. So that's how it is.
Harsh Mulchandani: And just a last question on the renal segment. So, I think the dialyzer, etc., which are the consumables, there we can see a stable revenue coming in subsequently and what I could P+IY.MED MEDICAL DEVICES

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and is the sale of the ma chine is slower than what we had anticipated earlier. Is this understanding correct or -?
Himanshu Baid: No, this year we have already given a guidance that we'll be selling over 200 machines. So, this is still on track. We are already four months in this year and this is still on track. Because machine is a one-time sale which is then would do three to four treatments per day per machine. But consumables, of course, they are used more often. So, the percentage of consumables versus machine will be 90% and 10% machine.
Moderator: Next question is from the line of Girish Jain from KJMC Capital. Please go ahead.
Girish Jain: My question was relating to the CAPEX and the operationalization of th e new plant. There was some disturbance in your opening remarks, so I couldn't really follow. If you could just elaborate on the schedule of the plants which are getting started?
Himanshu Baid: What I mentioned was that we have four new plants which are going live this year, and the first plant in Faridabad started operation in Q1, second plant which is the extension of EOU, a new plant, will start operation in Q2, third plant in Faridabad, which is an IMT Faridabad, will start operations in Q4 and the fourth pl ant in SEZ, Jaipur will start op erations in Q3. So, all the four plants will go live in this current financial year. The CAPEX plan for FY24 will be close to Rs.210 crores, but from FY25 we'll see tapering do wn because most of th e infrastructure CAPEX and initial machinery everything is already set up in these plants, and then it will be more like a you know maintenance CAPEX or a new technology CAPEX where we'll be adding new products or new technologies. So that is where we're spending money going forward. And yes, it will take around two to three years to fully op erationalize, running at maximum capacity in all these plants.
Girish Jain: If I recollect correctly from your previous conversation calls, the Faridabad plant, the new one which has already started, that is for diagnostic, am I right?
Himanshu Baid: Yes, absolutely correct.
Girish Jain: And the EoU which is expected in Q2, that would be for?
Himanshu Baid: EoU again is an extension for US business and also some new products, we are doing for export markets, SEZ is mainly for European business and IMT will be for domestic.
Girish Jain: Would it be fair to assume that in the next three years, let's say assuming an asset turn of 1.5x, the capacity would more or less double?
Himanshu Baid: Sure. Absolutely.
Girish Jain: That would be FY27?
Himanshu Baid: Yes, by FY27 we should be able to double our cap acity, absolutely. P+IY.MED MEDICAL DEVICES

Girish Jain: Any guidance on the cash balance and the debt situation of the company?
Himanshu Baid: So currently we have a debt of Rs.125 crores, of which Rs.100 crores is working capital and around Rs.25 crores is long term debt which is ECB we have taken a few years ago. The cash position is close to around Rs.295 crores. So net cash in the company will be around Rs.170 crores.
Girish Jain: Obviously, we are adding cash every year now?
Himanshu Baid: I hope so, and also would be spending.
Girish Jain: Last question on the US business. Are we also planning to file some more approvals?

Himanshu Baid: Yes, exactly, that's what I informed. So, as we got the approval, now we are applying for more products. So maybe within the next 12 to 18 months, we should have around five to seven products more and that is what our plan.
Girish Jain: So, the guidance of $15 million run rate is including the new approvals which are expected?
Himanshu Baid: Yes, because it takes 12 to 18 months to get appr oval. So, it will take tim e and it is a cumbersome process. As you know US FDA is not easily available, so it takes time. So, in three to four years, some products will go live, some will go n

ext year, some will go the following year. So, once we move into the third or fourth year, we'll see revenue touching $15 to $20 million.
Moderator: Next question is from the line of Sumit Gupta from Motilal Oswal. Please go ahead.
Sumit Gupta: I joined the call a bit late. So just wanted to know the guidance regarding the revenue as well as the EBITDA for the next 12 to 15 months?
Himanshu Baid: The line is not very clear. So, could you repeat the question please?
Sumit Gupta: I would like to know the guidance regarding the revenue growth. So, you guide around 20% plus growth for the next one or two years. And regarding the margin, so this quarter was really good, so how do you expect it to go going forward in FY24 and FY25?
Himanshu Baid: We have only given guidance for FY24 right now which is a firm guidance and FY25 we have not given any guidance to the investors and maybe in next three months or so we will be able to have more clarity on how things are. But for FY24 we have very firm guidance that we should go over to 20% plus and also the EBITDA margin will stay in the range of 27%.
Sumit Gupta: So, this quarter like it was 9%. So, going forward you expected to decline going forward to because -?
Himanshu Baid: I'm not saying it's going to decline or it's not going to increase, but we are saying that is the guidance.

Moderator: Next question is from the line of Gagan Thareja from ASK Investment Managers. Please go ahead.
Gagan Thareja: Regarding the sales split that you gave for Q1, if you could poss ibly repeat it again, growth in domestic sales for the renal and the balance segment and Europe growth and RoW growth?
Himanshu Baid: Absolutely. Absolutely. So, exports overall have grown by around 25%, because 2/3 of our revenue comes from exports and 1/3 is from India, so India has grown by around 34%, and that's the reason you see an overall growth of around 28%, 29% blended growth. And when you look at Europe, Europe has grown over by 35% in the first quarter, and the rest of the world probably has grown by around 15% or so. So, 1/3 revenue of the company is from Europe, 1/3 is India, and 1/3 is rest of the world. And India growth has been around 34% in the first quarter and renal business has grown by around 22% in the first quarter, renal is part of the India business.
Gagan Thareja: So, the renal part if the India business is grown by 22% and if I understood it correctly, renal itself is around 20% of India sales?
Himanshu Baid: That's correct.
Gagan Thareja: So, the balance part of the India sales would have actually grown at much more than 34%?
Himanshu Baid: Yes, absolutely correct.
Gagan Thareja: So, what was the reason for that very strong domestic growth, if you could elaborate a little more there?
Himanshu Baid: So, I think our penetration is increasing now more in corporate hospitals. Today, you will see Polymed products everywhere. I th ink that is very important. Just taken us time to build the brand, build the structure, networks and win the trust of these large corporate hospitals. No. 2, we have increased our penetration in Tier-2 and Tier-3 cities also. So that is also helping us to gain momentum across different product segments, especially our vascular access is a core segment and that's growing at a very fast rate and there's a lot of room to grow further also.
Gagan Thareja: Is it possible to understand excluding renal in India, how much would have been contributed from vascular and from the diagnostics?
Himanshu Baid: Vascular is 70% of our total business.
Gagan Thareja: Specifically for India, how much would it be?
Himanshu Baid: 70% for India.
Gagan Thareja: The new medical devices policy which you indicated has come through, you are expecting certain contours and -

Himanshu Baid: There is still no clarity on this till now. Govern ment announces pol icies, but the fine prints we are awaiting. The policy is very vague right now, and hopefully there is a meeting now in

Gandhinagar called by the Ministry of Health, so they are going to make some more announcements regarding this policy and see what incentives will be available to the industry. So, I'm seeing maybe incentives on R&D side, that's another area government is focusing, so there could be something on R&D. And the new medical devices you're already hearing that they're talking of in the parliament, the Cosmetic Act, which was made in 1940, is getting changed to a bill, which is a medical device drugs and cosmetic bill. So that's a big change that will also make Indian regulation harmonize with the rest of the world. The policy is basically at a very high level. Now, it's for the industry to see what policy Government of India is going to push in this sector. And with policy coming in, I think we are very sure that the purchasing from the government side and government investments in this sector will also increase… and government investments I mean putting more labs, more medical device parks, more common facilities. So, all that will follow through this policy.

Gagan Thareja: So specifically pertaining to the policy, I think there was a clause around single window clearance, there was supposed to be a clause -

Himanshu Baid: There are a lot of things around the policy, but as I told you, everything is work-in-progress by the government. A new export promotion council now specifically set for medical device exports, part of Pharmxl. So, lot of initiatives are there, but I think it will take a few years before we can see really the impact of these policies and the policy becomes and you won't see an impact on day one.

Gagan Thareja: I am just trying to understand it's a matter of time and not any more a question of whether or not the policy -

Himanshu Baid: What I can say is first time when there is a policy of this sector. Nobody knew this sector before COVID.

Gagan Thareja: So, the India growth in any case that you are currently seeing is largely driven by your own efforts and has no support from the policy which will come on later?

Himanshu Baid: Absolutely, absolutely. The policy was just around last month in June or so.

Gagan Thareja: So, the current momentum that you're seeing in India ex of renal, I understand renal will grow organically at its own pace as and when you are able to scale that market up. But the other piece you feel that the current growth rates that you're seeing, are they sustainable for you or you can say -?

Himanshu Baid: Again, when we look at India, 70% is more de pendent, right? And there is a lot of now import substitution products we are making in India now in the last few years. When we started working with them after COVID, we started working d eeper with the corporat e hospitals. And I think when we can offer a good quality product in India at a good price to the hospitals, I think why

one would not buy. So, I think that is the momentum is. So, there is a change in approach by a lot of these corporate hospitals.

Gagan Thareja: Is it also possible to broadly understand the total sort of market size addressable for you in the domestic market and what's -?

Himanshu Baid: Very hard to say, very fragmente d, it's a very long question, maybe we will have to talk separately about it.

Gagan Thareja: But suffice to say that your efforts are sort of bearing fruit and this momentum will continue going ahead as well?

Himanshu Baid: Yes, we have just crashed above the iceberg, that's all I can say.

Gagan Thareja: Just a clarification, these four plants will double your capacity is what you said?

Himanshu Baid: Yes, the infrastructure will almost double our capabili

ty and capacity not with current products, we are adding a lot of new product line and that is where we will see. It is not doubly existing capacity of existing products, also a lot of new products are going to be made under in these new plants.

Gagan Thareja: Can you maybe give us a little more sort of elaborate flavor of what's in the pipeline in terms of new products and -?

Himanshu Baid: I can't disclose this on a call, sir. I'm sorry, a lot of information is confidential.

Gagan Thareja: This capacity addition you said partially will be used for the existing products and partially for -

Himanshu Baid: Yes, partially for existing prod ucts and partially for a lot of new products which we are going to launch in now till three years.

Gagan Thareja: How much of this will be for existing products, is it possible to give us some idea on that?

Himanshu Baid: So, we can say for existing products will be around 40% and 60% for new products.

Gagan Thareja: This 60% would include renal as well?

Himanshu Baid: Yes, yes, yes, of course.

Gagan Thareja: You indicated renal has been a little unde rwhelming for you comp ared to your initial anticipation. Could you sort of also help us understand because you were saying you're well on target to achieve your 200 machines -?

Himanshu Baid: The machines are only 10% of the total business compared to the whole renal business. So, of these 200 machines, each machine is 5 or 6.5, so it is 11 crores, so nothing is compared to the consumables. So yes, the traction is basically on consumables side right now where there will be a lot of resistance and cheap Chinese imports coming in and dumping.
Gagan Thareja: On dialyzer use, I think you the industry was tr ying to advocate single use which is currently -
Himanshu Baid: You're aware of the industry. So yes, we are trying it because currently there's a reuse of 7 to 8 times and the single use market is only 20%, 25 %, around 70%, 75% is multi use, it is 6 to 8 times and minimum is 6 to 8. So that's the reason the industry is not growing at that pace what we have anticipated. So, we are also trying to get a better outcome for every dialysis patient because it's designed for single use. Because dialysis is seen as a charitable business, most of the dialysis centers in Mumbai, Maharashtra or any part of the country you will see are running by charitable trusts. So, they want to do it cheap and maybe almost free for patients, and that is where we compromise quality of the care by reusing the product.
Gagan Thareja: But what's the global practice, is it largely -?
Himanshu Baid: Most of the world is single use.
Gagan Thareja: Because I think NephroPlus was indicating that they have eno ugh evidence to show that, six times use is very, very safely possible and -
Himanshu Baid: They are bidding for contracts which are very low priced in states. So, they will have to make that statement because they are using the produc ts. So, somebody will justify by using these products. And that's the reason in India dialysis patients don't survive as their survival is not more than three to five years, globally the survival rate is between 10 to 15 years. Clotting of the fibers, the efficiency of filtration reduces. So, all these things happen.
Moderator: As there are no further questions from the participants, I would now like to hand the conference over to the management for the closing comments.
Himanshu Baid: So, thank you once again for support and encouragement and I think we'll continue to work towards the guidance we provided to all our stakeholders and we're very hopeful that with healthcare industry kind of on a new momentum in the country, the same momentum we'll be able to maintain through volume and I think next you know few years look very good for healthcare industry as well as the med tech industry in the c

ountry. With the government attention to this sector, I think we will see a lo t of, indigenous traction coming up in the country and as well as growth in the market share of the domestic companies. So, we hope we are in the right direction. Thank you very much.
Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Call: Nov 2023

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Subject: Submission of Transcript for O2-FY24 Earning Conference Call under the SEBI
(Listing Obligation and Disclos..:ire Requirements) Regulation, 2015
Dear Sir/Madam,
Pursuant to Regulation 30(6) of SEBI (Listing Obligation and Disclosure Requirements)
Regulation, 2015, we hereby· submit Transcript of the Investor Meet/Call held on 6th November
2023, on the Unaudited Financial Results of the Company for the quarter and half year ended
on 30IB September 2023, on Standalone and Consolidated basis, which were considered and
approved by the Board of Directors of the Company, _at its meeting held on 4rn November 2023.
1bis is for your information and record.
Thanking You,
Yours Sincerely
For Poly Medicure Limited
Avinash Chandra
Company Secretary
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“Poly Medicure Limited
Q2 FY2024 Conference Call”
November 06, 2023

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POLY MEDICURE LIMITED
MR. NARESH VIJAYVARGIYA – CHIEF FINANCIAL
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MR. AVINASH CHANDRA – COMPANY SECRETARY –
POLY MEDICURE LIMITED
Poly Medicure Limited
November 06, 2023

 Moderator : Ladies and gentlemen, good day and welcome to the Poly Medicure Limited Q2 FY2024 Earnings Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assi stance during the conference, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now, handover the conference over to Mr. Abdul Kader Puranwala from ICICI Securities. Thank you and over to you Sir!

Abdul Kader Puranwala: Thank you Aman. Good afternoon everyone. On behalf of ICICI Securities I welcome you all to the Q2 FY2024 earnings call of Poly Medicure Limited. Today we have the senior management of the company with us represented by Mr. Himanshu Baid - Managing Director and Mr. Naresh Vijayvargiya CFO and Mr. Avinash Chandra, Company Secretary. I thank the management of Poly Medicure for giving ICICI Securities the opportunity to host this call and with this, I hand over the call to the management for opening remarks. Over to you Himanshu Sir!

Himanshu Baid: Thank you Mr. Abdul thank you so much and good afternoon everyone. I would like to take your through this Q2 earnings call and I will just mayb e share the results with you and then go little descriptive on what we have done in last few months and update all the people who are on the call. So, on the result fro nt as you can see the standalone revenue for half yearly stood at around 625 Crores and on consolidated basis the revenue was 658 Crores and there is almost 25% increase over the previous H1 of FY2023 versus FY2024 so we have done a good performance compared to what we had initia lly projected. Our initial guidance was for close to around 20% plus but we have clocked a

round a revenue increase of around 25% plus so we are also revising our whole year guidance for the revenue from 20% plus to ranging 22 to 24% as we see more traction for our businesses in domestic market as well as export markets. On the quarterly side the standalone revenue was around 320 Crores versus 264 Crores the previous year and on the consolidated basis revenue of Q2 was 337 Crores versus 274.7 Crores of Q2 of the previous financial year so again on the quarterly basis also we have seen a good growth of 22-23% over previous years. Overall the growth is around 25% if we compare H1 to H1 numbers. Profit has also grown very healthy. If you look at the profitability in standalone terms from 74 Crores PAT has increased to around 119 Crores and whereas EBITDA has also increased from 120 Crores to 167 Crores. On consolidated basis the EBITDA ha s increased from 117 Crores to 171 Crores and PAT has increased from 70 Crores to around 125 Crores so there is a pretty healthy increase in PAT numbers and EBITDA numbers. EBITDA margins have also increased if you compare from the previous year and again the guidance for the year is between 25 to 27% EBITDA margins for the whole year and we are on track to deliver that as we go along. If we compare our domestic versus export business it continues to be in the same trend. Export business is close to around 66%, 2/3 of the business is exports and 1/3 of the business is domestic business which is around 33-34% and they continue to grow in the same trajectory. If you compare H1 numbers to H1 numbers around 25% compared to previous years so there is healthy growth across both the businesses, and we also see similar trend going forward for next couple of quarters as we end this current FY2024.

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November 06, 2023

 The most important highlight for this current quarter and for H1 is that the exports to Europe has increased quite a lot. The export numbers to Europe have grown by almost 40% in spite of the current geopolitical situation in Europe and in Middle East, exports to Europe have seen a remarkable increase of around 40% as compared to previous years and if you compare quarter to quarter also H1 to H1 is also a similar growth of 40% in Europe. So, we are gaining more market share in Europe and we are adding more customers in spite of the fact that Africa has slowed down a bit. There is a slowdown in South Cent ral America, also in Middle East there is a considerable slowdown in intake but still in spite of all these f actors exports have still grown by 25% overall and we continue to see that traction going forward. I think of the current geopolitical situation we will see probably

no impact during the ye ar for export business. The company also
received a CE certificate for plaster device un der new European MDR. We are one of the very
few companies which have received this kind of certification and this will also open the access for this particular product to European market and we expect some good results for this particular product because again the European MDR regulation is become very, very strict and stringent
and in some category of products it is even more stringent than the US FDA so this is a very good sign for the company that we were able to get this certification and also there are a lot of
other products which will be certified under European MDR in next 6 to 12 months and that will
make the company fully compliant under the new regulation. We are already complied under the
old regulation which is valid ti ll 2027 but the company plans to accelerate this and get all
products European MDR compliant by 2024 so we will be doing three years ahead of time, but
we still have those three years but our target should do this three years before time. In terms of
new products, new division our clinical care division has already been launched. We h

ave hired
around 7 to 8 new people and we are adding 20 more new people in next 4 to 5 months and critical care division which has products more under ICU and these are mostly import substitute
products. We are also launching our cardiology divisi on and this will go live by Q4 of FY2024.
We have already hired 7 to 8 people in this division. We will be hiring another 10 to 12 new
people in next 4 to 5 months so almost there will be addition of 50 new people in two new divisions and also we will be adding 50 more people in our existing divisions in India.
Internationally also we have hired more people. In Europe we have hired just two new people new clinical managers who will be responsible for additional business in Europe as Europe
continues to perform well to the overall growth rate of the company, so we are hiding more
people in Europe to further soli dify the business in Europe. In terms of EBITDA margins if you
compare from Q1 to Q2 of the current financial y ear there is a slight dr op but this is around 150
bps but this is mainly due to change in some product mix and some initial cost which were attributed to new product and new launches and some new divisions which have launched but overall it is well within that 25% range or 25% over range and we see that being maintained over
next two quarters also so there is no change in guidance for EBITDA margins as I said between 25 to 27%. Also though in India we have grown at around 25% if you see H1 to H1 revenue we
are further strengthening our India business as I said with two new divisions adding more people almost 100 people we will be adding during the year and out of this 100 people around 25 will be
from the clinical side will be nurs es and clinical application team so we are continuing to solidify
our clinical application team so that when we are launching new products we are able to go P-blY/v1ED
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 strongly to hospitals and talk about clinical a dvantages of these products and most of these
products will be import substitu tion products and they will have more higher margin compared to
our existing products. So we are building that whole network and infrastructure to launch these
products. Also if you if you recall I mentioned about the change in regulation, so from 1st
October 2023 all medical devices sold in the country are now finally regulated. This whole process started on 1
st April 2020, and it has taken three and a half years to regulate the whole
industry, and this is a positive plus for the company because now everything which is sold in the
country is regulated. Earlier we were struggling where lot of unregulated products were being imported into the country, also a lot of unregulated manufacturing was happening in the country
but in last 12 to 18 months the government has appointed almost 200 new medical device officers and there is talks of new regulation coming for pharmaceutical and medical devices, a new drugs
and pharmaceuticals act which will replace the ol d drugs and cosmetic act and this is a big
change from the past where it is more proactive law where they are trying to bring in more ease
of doing business for the med tech industry supported by new department where we have
dedicated medical device officers and also lot of levy has been given to state drug controllers where they can regulate class A and B devices and C and D which are more critical will be
regulated by the center so a lot of ease of doing business and everything has gone digital. There
is no physical submission of documents today, it is all done online, all applications are reviewed online or all permissions are given online so that has actually added to ease of doing business
plus almost 1,000 new licenses have been given to small companies, MSME companies to make medical devices in the country because earlier these companies were making dev

ices, but not
regulated, not licensed but now all of them fall under licensed category so a big change has
happened in the industry in last few months.
Regarding the US business the first shipment has gone to the US last week so I am very happy to
inform all our partners that this is a big mileston e for the company that we have been able to ship
the products to US after due inspection and now as the products reach the US market, I think we will see new orders coming

in. We have already got a contract in place with one of the major
companies in the US to sell these products in the US market and we are adding more products to this portfolio. We have applied for more products for USFDA and hope that by end of 2024 we
will have at least 8 to 10 products which will be USFDA approved 510k approved and this will
further strengthen our presence in the US market. There is a big traction as we all talk about
China Plus One so there is a lot of interest coming from foreign companies to make in India or to
outsource the products from India and with the new infrastructure we have created over past two and a half years I think that will be a big plus point for the company where we can take on new
projects. We can develop new technologies and it will be much faster for us to take products to market and also there is a significant capacity increase for new products which we are going to
launch in next few years and we are almost doubling the capacity for our renal business and also
for new critical care products, cardiology products also there will be a new production line being set up for the new technology products. A lot of expansion is happening by end of FY2024 we
would have spent close to Rs.500 Crores in new expansion which includes setting up of four new
manufacturing plants, state of art facilities, and all these facilities will go live by end of this financial year so we will have the new capacity available to us early next year. Of course, it will
take time to ramp up the plants to work on full capacity which we see between two to two and a
half years but now we have the capability and capacity to scale up the business and scale up capacities for even existing products and new products. All subsidiaries remain in profit except
the US subsidiary which was just formed last year and we just st arted shipping products to US.
The first shipment has gone as I mentioned so our Italian subsidiary has seen a good revenue
jump of almost 70% if we compare the first nine months of the current year because they work
on calendar year basis so they have seen a revenue jump of 70% from January to September compared to last year in current year and they have also turned largely profitable. We continue to
expand the manufacturing footprint there and we are going to more markets in Europe and Latin America. We are waiting for some registrations to happen so we will open more markets with
these products which are made in Italy which are basically oncology products used in cancer
treatment and the market for these products is growing very rapidly not only in Europe but also in rest of the world and at some point of time we will also start manufacturing some of these
products in India and also push this products in the Indian market also. China sub continues to be
profitable. We have not done any capex in last tw o, three years and also there is no further capex
plan in China other than the maintenance capex to run that plant but there is no further
investment happening and our idea is to make it at the current status quo and not add any new products or new production lines there. Egypt of course is facing through a challenging situation.
We all know the current geopolitical situation in Middle East but the company is profitable. They
have done well. They are expanding revenue by 10 to 12% in last

6 to 8 months, year on year
there is growth and company remains profitable and in spite of the challenging environment there
in Middle East the company is running on full capacity and we continue to strengthen the technology there, the manufacturing infrastructure there to ensure that we can cater to the
emerging needs in nearby markets. Again when we look at further capabilities which we are developing there is a huge capability enhancemen t in terms of building new generations of
devices. We are trying to see whether we can combine drug and devices together. We already
have couple of products like blood bags where we have drug and device combination. We have
prefilled syringes where we have drug and device combination so we are looking at new
generation of devices and this is a biggest area to work on and we are doing some R&D in this
area already and expanding our presence in this space. On the product development we are
further adding close to around 30 new products in intervention cardiology some of these products will be launched in Q4 and some of these pro ducts will be launched in Q1 and Q2 of next
financial year and then later on during the next financial year we will be adding another three to five products so currently a lot of investment is happening in development of these devices. We have already received manufacturing licenses for six of these products already from CDSCO,
DCGIs office. We are waiting licenses for six or seven new products in next three to six months
and this portfolio will again put the company in th e next orbit where we will be directly working
with doctors in catalyst for intervention cardiology products like products used in angiography
and angioplasty. This is a big area not only in India but we will also expand our footprint because
Polymed as a majority of business is export business so as time progresses we will also take these
developed products to export markets which also opens a big opportunity for company in next

 coming years. The company is currently net debt free, the long-term debt is currently approximately 20 Crores which will be fully repaid by mid of next financial year.
Our short-term debt is close to around 100 Crores which is mainly used for working capital needs. The current cash and cash equivalents are close to around 290 Crores and we continue to work efficiently and diligently and conserving cash for expansion activities. The company is also setting up a new gamma radiatio n plant for sterilization. This will make the company self-sufficient over a period of time for sterilization activities. Currently we use third party vendors and again this is also a major step in terms of ma king self-sufficiency in terms of all activities to be done for production. The government of India has recently launched a research link incentive scheme which talks about new generation of medical devices especially which are based on digital technologies. The scheme has been finally been announced but the controls have not been finalized till now. We hope in next few months the scheme will be fully finalized by the government so we are evaluating the possibility that can Poly Med get into some new generation of technology devices and take advantage of this scheme. Currently we already have dialysis machine which we have developed over last three to four years and this machine will have almost 50% local content and already with our own indigenous made machine we have already seen over 3000 dialysis sessions over last 6 months and the performance has been quite satisfactory and now we have started scaling up. Of course we will sell more than 200 machines this year but the idea is to scale up now with the locally made machine and grow the business and take almost 10% market share which is currently in India almost 4,000 machines are

being sold annually and there are 40,000 machines placed in various dialysis centers but we see that now government is being a kind of a caregiver where they are giving free dialysis to patients and I think a lot of private sector players are trying to enter this segment and especially in the service segment where they are buying our consumables and providing service to patients through government schemes and also Ayushman Bharat has been covering dialysis treatment which is recently happened so that segment will also grow and with PPO orderi ng, purchase preference order in place and with 50% local content we also plan to garner our significant share of dialysis machines in the government and autonomous institutions which buy these machines regularly. This is another area of growth for us so we continue to expand there and we are pretty happy with the progress of the current machine which we have installed so with this I will end my comments and thank you very much again for listening to me and these were some of the highlights of Q2 and if there are any questions I will be very happy to answer to them and give explanation on what we have done so far. Thank you again for your time. I am looking forward to talk to you. Thank you.
Moderator: We will now begin the question and answer session anyone. The first question is from the line of Karan Khanna from Ambit Capital. Please go ahead.
Karan Khanna : Thanks for the opportunity and thanks for the very detailed intro ductory comments and congratulations on a great quarter as well. I have three questions Sir first on your us business as for your us FDA filings you have received additional site 510k approval for a range of IV catheter during the quarter so what kind of potential does that open up for you and as a followup given you have demonstrated substantial equiva lence of your devices with pedicure device P-blY/v1ED
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Poly Medicure Limited
November 06, 2023

 devices of global MNC such as B Braun, Baxter are you looking to replace these manufacturers as well in the US market.
Himanshu Baid: So you are right absolutely we have received 510k approvals for IV catheters and we have also received some new approvals recently and of course if you recall in my previous calls I said we are going with a bouquet of products not only one product. There will be almost a bouquet of 8 to 10 products over next about 8 to 12 months and we expect that revenue coming from 8 to 10 products over next 3 to 4 years which will between $15 to $20 million so th at is the guidance we have given and this is the initial set of products and of course as time progresses we will be adding more products in the portfolio because the market is progressive and that is how we will develop it and of course we have proved our substantial so what we are trying to prove that the quality of Poly Med products is equal to products and the performance and quality of products equal to products made by very large multinational companies and we are able to prove the excellence of our devices with that so that will open up the US market and especially the customers or the hospitals using our products will see that equivalence of these products are products with large multinational company product so definitely the idea is to replace them and bring in Polymed. Of course, it is going to take a long time. Those companies have been in the US market for many, many decades but again that is a journey we will have to take.
Karan Khanna : Sure that is helpful. My second question is on your growth guidance. When you upgraded your guidance for FY2024 how should one think about the growth guidance for the next 2 to 3 years

as a followup with your cardiology division and your critical care division also coming on stream
by end of FY2024 how should one think about revenue contribution from these businesses in the next 2 to 3 years

.
Himanshu Baid: So first I will talk about the new divisions, so these are new divisions which are starting. If you recall our renal business which we started four years ago so it has almost taken let us say the market is around 1200 to 1500 Crores so it has just taken us around 4 years to reach the revenue of around 100 Crores in this business so we will end close to let us say 100 Crores maybe 90 Crores in that range so it takes time to build up a new business, critical care product again it needs a lot of clinical te aching, lot of clinical CME sessions so we are engaging there in this but we see a great potentia l in both the divisions in critical care and cardiology is completely dominated by multinational companies especially intervention cardiology and critical care products so our idea is to bring in higher technology products and I cannot give you a number because we are still in the very initial phase. We have still not launched many of the products. Cardiology will be launched only early next year and probably during the next year and critical care has just been launched few weeks ago so we are actually in the initial phase but maybe I will have more clarity maybe in next 4 to 6 months where I will give you some more better understanding on this business. We have not shared the guidance beyond FY2024 but maybe in subsequent calls I will be able to give you guidance for FY2025 and 2026. Of course, with new plants being operational I think we should be ab le to maintain a steady growth rate of over 20% in the next couple of years. This is what I can tell you right now. P-blY/v1ED

 Karan Khanna : Sure and a last question at the end of your 500 Crores capex cycle which ends in FY2024. Now you are already sitting on 150 Crores of net cash on your balance sheet and generating fairly healthy operating cash flows as well yeah so where would you look to deploy the extra cash beyond your capex needs say from FY2025 onwards that would be last question, thank you.

Himanshu Baid: So I think this is a very capex heavy industry and needs constant investment so we have to up our anti on R&D as we get into cardiology and critical care we have to increase our spending's on R&D and bring in some new capital equipment for R&D so we have to work in that direction and this medical device industry if you look at the global industry it grows through acquisitions and MNAs and we have done one acquisition in 2019 and I have talked about a few minutes ago that how important it is for us in terms of oncology products and it is growing very steadily so if we find any new opportunity we will definitely deploy our surplus crash into this new opportunities.

Karan Khanna : That would be my last question. Thank you and best wishes for the festive season to the entire team.

Moderator: Thank you. The next question is from the line of Rashmi S from Dolat Capital. Please go ahead.

Rashmi S : Yes, thanks for the opportunity. Just on the sales guidance front basically you have mentioned that there is a change in the overall medical regulation and ahead say in next 3, 4 years I know that we will be growing gradually but in next 3, 4 years the mix would remain similar, or we feel that the contribution from the domestic business is likely to go up in a big way.

Himanshu Baid: We think that the mix will remain the same because Polymed has a very strong global presence and our business model as it looks like for next 2, 3 years we see it 2/3 exports and 1/3 local market. Because if you look at five years history it is also in the similar range so we probably in next 2, 3 years also will remain like that be cause both the business are growing at the same percentage level so I think we are very happy and confident that we will stay in that range only.

Rashmi S : Okay and when you mentioned the US

business that you are trying to take up the MNC market share and those companies are already in the industry for decades so is it like we are going to play on pricing that we are going to give a discount compared to the MNC products or it will be more or less similar so if you can just give more colour on how we will be able to achieve that kind of market share from them.

Himanshu Baid: I think the most important thing is I think you have already said that and because you already mentioned asking the question so if you produce an Indian and maybe an equivalent quality product so there definitely will be a price area because once you have to prove your performance and quality equivalence first so that we have proven that our product is equivalent in quality and performance so based on that and if we are able to let us say break the price barrier then probably we will have a better way of addressing that market. Of course, we will continue to bring in Innovation, some incremental changes in the product as time progresses but of course you are right because being in manufacturing in India definitely we will have the price advantage. P-blY/v1ED

 Rashmi S : Okay and Sir in the domestic business how much was the renal care contri bution for this quarter and first half and how much it has grown.
Himanshu Baid: So renal business contribution was close to 40 Crores and probably by the end of the year we should be close to 90 Crores or so that is what I mentioned earlier and second half looks to be more stronger for us and also Y-o-Y has grown around close to 30%.
Rashmi S : So, this is the growth which you ar e talking about is for the Q2 FY2024.
Himanshu Baid: H1.
Rashmi S : H1 so 40 Crores you have done in first half right.
Himanshu Baid: Yes, that is correct.
Rashmi S : Okay and what about your infusion segment that contribution if you can give it.
Himanshu Baid: Madam we do not give the contribution. This is a confidential number.
Rashmi S : Okay as a total sales also earlier you used to give it.
Himanshu Baid: We have because the numbers are not in front of me right now but specifically you can send an e-mail then we will be share with you.
Rashmi S : Okay Sir so on your gross margin front I understand that you mentioned in your comments that due to the sales mix we have lost some gross margin in this quarter on quarter-on-quarter basis but you have not seen any sort of inflationary pressure on your raw materials is that correct to understand.
Himanshu Baid: Yes, that is correct because there has been a very slight correction in raw material prices if you see between Q1 and Q2 because of higher crude oil pricing but we do not see a major impact and that is the reason we are still maintaining a guidance of 25% even for the next half of the year.
Rashmi S : Understood Sir and my last question is related to the other expenses. This quarter you mentioned that the cost associated to new products have gone up and that is the reason our other expenses have gone up but in the coming quarters also you mentioned that there will be new launches, the company is going to catch the launch momentum so is this number fair to ta ke it for rest of the quarters to model how you feel that this number is likely to go up.
Himanshu Baid: Revenue also started for critical care and the revenue will start also for cardiology products in next quarter so I think that then it will even out because once the revenue starts then the expenses will core end with the revenue.

 Rashmi S : Critical care and the cardiac, both products are basically will be catering for the export market or for the domestic.
Himanshu Baid: Of course, it will be domestic b ecause we need almost 2 to 3 years to get regulatory approvals for global markets so any new product launched today from India and if you have to go to developed markets in Europe or US it takes 2 to 3 for any company not even us, for any company.
Rashmi S : Understood Sir. Thank you so much.
Moderator: Thank you. The next question is from the line of Vishal Manchanda from Systematix. Please go ahead.
Vishal Manchanda : Thanks for the opportunity. Sir with respect to th e new medical device regulation you shared that class A, class B devices would be regulated by the state regulators and the class C and D would be so could you share has this in anyway impacted existing competition so basically have competitors exited the market.
Himanshu Baid: Because Poly Med was already a fully regulated company. Because we are already exporting our products as I said earlier 50% export is coming from European market for Polymed so we are already in the highly regulated markets of the wo rld so we were anyways regulated, the impact was coming from unregulated companies and also affecting the quality of the product but we will see the impact of regulation over next 2, 3 years not happening because lot of companies have to upgrade the facilities, some have upgraded, some have not and some have to upgrade the product also because there are now 1400 standards for medical devices so this is all going to change and we are going to see an impact so for us I will say India market offers a very exciting promise because with everything else getting regulated now we have a good traction for products and also we are seeing a lot of increase of revenue in corporate hospitals so all that will impact because earlier corporate hospitals were worried to buy local products because they were not regulated and they could not distinguish between a good or a bad company but with now regulation in place now everything is at par so the companies which will be regulated there is a good future and especially companies who have prior history and who have been in the market for a long time will have a better market going forward.
Vishal Manchanda : Just a follow up on this so should I understand Poly Medicure already has approval from the regulator.
Himanshu Baid: Yes, we do have for all the products we manufacture we do have.

Vishal Manchanda : Just so this can become a differentiation value.
Himanshu Baid: Of course, that is what I am trying to say absolutely.
Vishal Manchanda : And any number as to how many players in your space of products would have those approvals.
 Himanshu Baid: I do not know the data, that data will be w ith DCGIs office. I do not have access to that information.
Vishal Manchanda : Just one more what percentage of your sales would be from class C and class D devices which are regulated by the center.
Himanshu Baid: Majority of our products fall in class B and C.
Vishal Manchanda : Okay just on the gamma radiatio n facility that you are setting up so just wanted to understand how much you would save basically on account of this.
Himanshu Baid: It is not about saving for exam ple today most of the gamma radiat ion facilities in India work for multiple products they work for fo od grains, they work for let us say sea product like fisheries lot of stuff is being today gamma radiated for export and typically we have a challenge that some of the facilities do not comply with global standards for sterilizing medical devices and to mitigate that risk we are trying to set up our own plant. Of course, once we have in-house facility, we will save some cost. The facility has not started so I cannot give you a number probably once we establish this facility by let us say Q3 of next financial year then probably we will be in a better position to answer this questio n, but it is again to improve the regulatory complian

ces and ensuring that we follow the best standards in the world.
Vishal Manchanda : That is all from my side.
Moderator: Thank you. The next question is from the line of Girish I Jain from KJMC Financial Services. Please go ahead.
Girish I Jain : Sir! Thank you for the opportunity and congratulations on the good set of numbers. Just wanted to get a sense of the US business you mentioned that the first shipment is gone and by the end of this financial year we expect to get approval for 8 to 10 products.
Himanshu Baid: Next calendar year.
Girish I Jain : Okay next calendar year so earlier in the previous calls the management had guided $15 to $20 million as the potential revenue fro m the US business by next three years is there any change in that.
Himanshu Baid: No there is no change in that because we are still in the initial phase Girish ji so we cannot give you anymore clarification right now. Once we have more products which are FDA approved then we will be able to maybe change our guidance after maybe 6 to 9 months maybe that is where we will see more visibility coming in but the current pipeline of product, I think we are still good with $15 to $20 million. Girish I Jain : Okay and Q3 and Q4 were expected to see the two new plants getting operationalized any update on that.
Himanshu Baid: Yes, they are on track so of course in Delhi we have still a very bad situation I am sure you are reading in the newspapers regarding pollution and stopping of all construction activities so we are delayed by one or two months I think that i's the only thing but more or less these plants are almost getting ready and hopefully by Q4 all the four plants should be fully operational.
Girish I Jain : Excellent okay that is all from me thank you and all the best.
Moderator: Thank you. We have the follow-up question from the line of Vishal Manchanda from Systematix. Please go ahead.
Vishal Manchanda : Just a quick follow up on the US about 8 to 10 approvals we are targeting there. Would you be able to kind of share some colour on the market size of those.
Himanshu Baid: Sorry Vishal these are all confidential questions I cannot share right now. I cannot disclose which product we are talking about. This is ve ry sensitive to the company’s business.
Vishal Manchanda : Okay so not even market opportunity.
Himanshu Baid: No, I cannot share that now.
Vishal Manchanda : And is the market fragmented in the US.
Himanshu Baid: No, it is not fragmented. Market is very cons olidated with 5 or 6 large GPOs managing that business.
Vishal Manchanda : Would the US approvals in any way improve your prospects in the domestic market.

Himanshu Baid: I do not think so, that does not matter here.
Vishal Manchanda : Okay thank you Sir.
Moderator: Thank you. The next question is from the line of Hemal as an individual inve stor. Please go ahead.
Hemal : Sir thank you for the opportunity. I am new to this company I just have one quick question in terms of your raw materials what are the key raw materials how do we think about them and how are their pricing is it volatile or very stationary or do we have contracts that make it very stable for 3 months, 6 months if you can shed some light I would really appreciate it and apology if this has been answered in prior calls. P-blY/v1ED
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 Himanshu Baid: Absolutely Sir, no problem at all. I will be happy to answer this so mostly raw metals are medical grade plastics which are coming from outside India most of our 70% of our raw metal is imported but as you know plastics is more or less governed by crude oil pricing globally, so it fluctuates because of crude oil pricing. Of course last year maybe very high cycle, the cycle went down in the in

itial part of this year but because we have a very mixed variety of products and of course we use steel because we use big needles we use different also materials which are used in manufacturing from silicone to lot of other materials and our raw material let us say contribution is only 35% to the final product co st so that makes us quite resilie nt to these changes and if there is a fluctuation also we are able to manage it very well but of course we do not have long-term contracts because none of the companies are on long-term contract to sell plastics, globally this does not happen.
Hemal : Okay thank you for that , so mainly plastic is the main ingredient.
Himanshu Baid: It is Sir.
Hemal : And absolutely final you were talking about the renal machine you said 400 per year is there you want to take this right.
Himanshu Baid: Market is 4,000 a year, the new machine market and current placement of machines is 40,000 so plan to take 10% market share in next couple of years, move to 400 machines so that is what we want to do and then gradually move up the ladder.
Hemal : And each machine would be Sir how much approximately.
Himanshu Baid: Each machine is roughly around 6 lakhs to 7 depending on the model 6 to 7 lakhs.
Hemal : 6 to 7 lakhs. Okay this is it. The rest all have been answered. Thank you, Sir, appreciate it.
Moderator: Thank you. Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference back to the management for the closing remarks. Thank you and over to you.
Himanshu Baid: Yes, thank you very much and thank you everyone for your questions and thank you again for participating in the company in various ways and we look forward to receiving your support and guidance in coming years and if you have any individual questions feel please feel to ask our CFO or company secretary. You can send an e-mail and we will be happy to answer them and if some of you want to visit our factories, please inform our company secretary or CFO and they will be able to arrange a visit for you and take you around our facility. Thank you again and look forward to speaking to you soon.
Moderator: Thank you very much. Ladies and gentlemen, on behalf of ICICI Securities that concludes this conference. Thank you for joining us and you may now disconnect your lines. P-blY/v1ED
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Call: Feb 2024

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Subject: Submission of Transcript for O3-FY24 Earning Conference Call under the SEBI
(Listing Obligation and Disclosure Requirements), Regulation, 2015
Dear Sir/ Madam,
Pursuant to Regulation 30(6) of SEBI (Listing Obligation and Disclosure Requirements)
Regulations, 2015, we hereby submit Transcript of the investor Meet/Call held on 2nd February
2024, on the Unaudited Financial Results of the Company for the quarter ended 31st December,
2023, on Standalone and Consolidated basis, which were considered and approved by the
Board of Directors of the Company, at its meeting held on 315T January 2024.
This is for your information and record.
Thanking You,
Yours Sincerely
For Poly Medicure Limited
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~
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"Poly Medicure Limited
Q3 and 9 months FY-24 Earnings Call"
February 02, 2024

MANAGEMENT : MR. HIMANSHU BAID – MANAGING DIRECTOR – POLY
MEDICURE LIMITED
MR. NARESH VIJAYVARGIYA – CHIEF FINANCIAL
OFFICER – POLY MEDICURE LIMITED
MR. AVINASH CHANDRA – COMPANY SECRETARY –
POLY MEDICURE LIMITED

MODERATOR : MR. KASHISH THAKUR – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to the Poly Medicure Limited Quarterly Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.
I would now like to hand the conference over to Mr. Kashish from ICICI Securities. Thank you, and over to you, sir. Mr. Kashish, you are on the talk mode now. Please move ahead.
Kashish Thakur: Yes. Thank you, Shoaib. Good afternoon, everyone. On behalf of ICICI Securities, I would welcome you all to Q3 and 9 months FY-24 Earnings Call of Poly Medicure Limited. Today, we have senior management of the company with us represented by Mr. Himanshu Baid, Managing Director, Mr. Naresh Vijayvargiya, CFO, and Mr. Avinash Chandra, Company Secretary. I thank the management of Poly Medicure for giving ICICI Securities the opportunity to host this call.
And with this, I hand over the call to the management for opening remarks. Over to you, Himanshu sir.
Himanshu Baid: Thank you, Kashish, and good afternoon to everyone on the call. I will take you through the quarter 3 earnings and also through the 9 months revenue of the company. And so just for information sake, so I will inform you about what we have done in the quarter and also over the 9 months.
So on a stand-alone basis, the company's revenue grew by around 18% from quarter 3 last year to quarter 3 FY 23-24. EBITDA has also increased from INR 66 crores to INR 84 crores, and PAT has increased to INR 47.5 crores to INR 61.46 crores. So EBITDA, there's an increase of 27%. In PAT, there is increase of 29% roughly.
On the consolidated basis, the quarterly revenue has grown from INR 284.83 crores to INR 339.6 crores, increase of around 19%, and EBITDA margin has grown from INR 69 crores to INR 90 crores, around 30% increase. And PAT has grown from INR 50 crores to around INR 65 crores, which is close to 30% increase.
So as per the guidance we have given in the beginning of the year and then we revised the guidance during the second quarter. The company has overall grown in 9 months on stand-alone basis by 22% and on a consolidated basis were around 23.4%. So we have revised the guidance between 22% and 24% for revenue growth, and we are in that range.
And also for EBITDA, we had also given a guidance of around 25%. So our EBITDA in quarter for 9 months stands at around 26%, close to 26%. And on a consolidated basis also the EBITDA for 9 months is around close to 26%. So we are in the range, which we have already given to our shareholders.
On the business front, in 9 months, revenue stand-alone revenue has increased from INR 774 crores to INR 946 crores, an increase of 22.15%. And EBITDA has gone from 9 months EBITDA has gone from INR 187 crores to INR 252 crores, and PAT has increased by from INR

121 crores to INR 181 crores. So a significant increase in EBITDA and PAT in terms of absolute numbers. PAT has almost grown by 50% for 9 months, if we consider from FY 22-23 to FY 23-24.
On a consolidated level, the revenue increase of INR 808 crores to INR 998 crores. And EBITDA has increased from INR 186 crores to INR 261 crores, a 40% increase, and PAT has increased from INR 120 crores to INR 189.9 crores, almost INR 190 crores, a 57% increase in PAT over 9 months.
So the company has performed as per the guidance given in the initial part of the year and also during the mid part of the year. And we are very confident that whatever guidance we have win for the full year, we should be able to hit those numbers. So far, we have seen good 9 months and a

lso January month was a good month. So where we have seen steady increase in revenue. So we will continue with the current guidance.
For FY-25, we feel that we will start with the guidance of 20% plus and see maybe during the end of first quarter, beginning of second quarter, after assessing the real situation, we will be able to give you the right picture. But I think so far, with the current momentum, we see that we should be able to grow 20% over also in the next fiscal year.
In the current 9 months, we have seen that domestic business has grown by around 18%, and export business has grown to close to 24%. For domestic business, I think the growth is slightly

lower than what you had anticipated. We hope that we will be able to cover this up. And we are taking some steps to ensure that the domestic business also grows at the same pace as export business. So we will be taking some adequate steps during the next few months and during the next financial year, so that we have a better growth rate in the domestic business also.
On the renal business front, we have grown if you look at quarter-to-quarter growth from last year's to current financial year, we have grown 28%. And then with regulation coming in, we are very hopeful that with standardization coming into BIS, we are very hopeful that the run rate will increase. So we should end this current financial year around INR90 crores of renal business. But in the next financial year, we are very hopeful to grow to around INR140 crores to INR145 crores. So that's the guidance we have with the renal business.
We should grow by over 50% for the next year because we see now the traction. We are already investing in new capacity build up, and that will help us to reach this new revenue number of INR140 crores to INR145 crores for the next fiscal.
Our machines made in India machine. So we have upgraded that machine. And now we have more than 50% local content. We'll be launching the new revised machine within this month. Earlier, the machines are around 35% made in India content. And now the new machines, the next generation of machines are around 50% made of made in India content. And this is a big milestone because this will allow us to now participate as a top-tier supplier and a lot of government contracts because there's a preference for companies, which have 50% local content. So hopefully, this will help us to grow that business. And we have factored that in, and we'll probably be able to sell more machines next year, and that's the plan.

In terms of our overseas subsidiary, Italian subsidiary has done well. And Italian subsidiary has grown the business by around 50%. And also the company has generated approximately a PAT of around INR7 crores over 9 months. In the same period last year, it had a loss of around INR65 lakhs. So I think there's a big turnaround with increase in revenue and also the profitability. And I think we will continue with the same momentum. And next year also, I think we have plans to grow the company by around 35% to 40%.
Going forward, we have launched our critical care division in India. There is a soft launch already done. Also, we’ll be doing a soft launch of our cardiology business this month. And we are hopeful that we'll keep on adding more products as time progresses. And I think we are very hopeful that this business will also be doing well. They've already hired around 20 people for critical care and cardiology business combined.
And I think as we speak, we are adding more people in the team, and we will start with North India first, and then we will start covering West and South India. So that's the plan. And I think, hopefully, by end of quarter 2 next year, we should be having a pan-India coverage for both the divisions.
In terms of the capex, we have done close to around INR185 crores of capex for the first 9 months. And key

plants are already ready, and they have started functioning, and we'll be in a ramp-up phase now. And the fourth tranche will be ready by early next year, early next year means financial year, maybe in April, May.
Already all the plant and machinery has been ordered, and we are waiting for everything to arrive and then start production. So all new 4 plants will be up and running in the span of almost 24 months since we started and where we are today. And this has given us adequate infrastructure to grow the business for the next 3 to 4 years.
So the plan was to have adequate infrastructure across different verticals. So renal has an adequate infrastructure now. SEZ in Jaipur is again has adequate infrastructure to grow exports business. Also, the new businesses cardiology and critical care also will have adequate infrastructure to grow in coming years. So that's the growth for the new businesses, which we have planned.
Export seems to be growing quite steadily. We have grown again 40% in the quarter 3 in export in Europe business, which is, by far, still the biggest market almost 40% to 42% revenue still comes from Europe for exports. So if you are splitting the revenue again, we still maintain the same split of 1/3 India, 1/3 Europe and 1/3 rest of the world.
Last quarter, we have been granted 19 more additional patent sorry, in the last 9 months, we have been granted 19 additional patents. So, there's a steady increase of patents in the company, staidly our innovation team, R&D team continues to design, develop new products, processes and also improve the functional aspects of our existing products and develop new products. So that's been the DNA for the company, and we continue to do that. And you can see today, the patent portfolio is now over 375 patents, which are active and live over different geographies. So we continue to work in that direction.

In 2024, we plan to launch around 8 to 9 new products. Already the work has been going on for these products, and we are very hopeful that we'll be able to put them in market, some related to infusion therapy, some are related to oncology, some are related to renal business. So, some are related to even our transfusion business.

We are also adding some new capacity in the transfusion business that will help us to meet some additional demand for exports and for the local market, and that capacity should be up and running by May. So that will also help us to increase our share in the domestic market for transfusion as well as in the export markets.

We have also on the U.S. business, we have made some as I told you earlier, we have sent the first shipment, received some feedback, we are working on some new additional improvements. We've also received 2 new products under USFDA and our total number products are 4.

And as the time progress because first shipment was after the FDA approval, we sent the first shipment. And based on the feedback from the clinical side, we are going to make certain small changes in the products. And then we are going to send maybe the new shipment sometime in April and May.

So it's on track as part of the plan, which we had laid down. So it's pretty much on schedule. And hopefully, by end of this year, which I told earlier that we'll have 8 to 10 products, and this will help us to grow the business, too, as we have planned and talked about it earlier, $15 million to $20 million in the next 3 to 4 years.

So we are in line with that. And I think manufacturing continues to be on our forte, though we see some disruptions in supply chain due to this Red Sea crises but it's not impacting us too much because we typically maintain 2 months of raw material stock inventory. And I think even with these delays, what we have seen through Red Sea some imports were delayed, but I think we should be able to manage this with our safety stock, whi

ch we carry.

On the customer front, yes, there are some delays. We are trying to mitigate them by sending additional products to customers, maybe some through airfreight and some additional shipments so that they don't run out of inventory. But I think we'll have to be watching out this issue because there will be also some increase in freight rate. But mostly, the freight is paid by the customers, it's not going to impact us directly or indirectly in terms of our P&L. But again, the point of concern is that shipments are getting delayed and that may also impact some of the customers in terms of getting the products in time.

This is all from my side as an update and now back to ICICI team to moderate the call.

Moderator: The first question is from the line of Jaiveer Shekhawat from AMBIT Capital. Please go ahead.

Jaiveer Shekhawat: Mr. Baid and team, congratulations on another great quarter. Sir it was very nice to see your team at Arab Health recently, driving the fairness of Poly Med brand. Could you highlight some of the initiatives you are taking apart from, say, persuading these exhibitions to promote acceptance of Poly Med brand across more regions in Europe and outside that as well?

Himanshu Baid: You have a great question, and thank you for visiting our stand at Arab Health. So I think as you've seen at the stand, we were trying to push concepts. And we were not talking about products there. We were talking about that, okay, if you are looking at infusion therapy, this is the concept we offer for infusion therapy or for renal or for blood banking. And I think you have seen that across or of oncology or for diagnostics.

So the idea was to sell concept to customer that we are a total solution provider under this category of products. And that's why you should lean on our company. So that was the message we were trying to give. We also launched our cardiology products. You must have seen that. There was a display for cardiology also. So as we are speaking, we have done that. I think the response was good. And I think the idea is to stand out from what other people are doing. And that is helping us to perform better and better, and I think that was all idea at Arab Health.

Jaiveer Shekhawat: Sure. And sir, you highlighted in your opening remarks that your domestic business growth has been lower than anticipated. So one, could you explain why was that the case? And then also, what is it that you're doing to sort of address growth going forward?

Himanshu Baid: So see, the growth was only 18.5% as compared to 21%, 22% we were targeting. So I think that drop in growth is probably due to seasonal issues or maybe because normally, winter season is a healthy season. So we have seen a little drop in demand in domestic market, which is very marginal. But I think also we are going to put more people on the ground.

And as new divisions are lining up basically. So, we should be, and we have started small sales
from the new division already and it is in our buildup sale. So hopefully, once this new division
on track in the next few months, we and again, the plan for next year is and renal is also going
to grow a lot faster because renal this year has grown only by 21%, 22% overall. So, which was
supposed to be around 30%, 35% because of the regulation and the Chinese imports.
But now we see a good traction going forward. We've already seen some changes in the market.
So next year projection for renal is already 50% growth. So from 20%, 22%, if we are going to
50%, so everything will pull up. And these 2 new divisions will also contribute. So overall, I
think next year, the target is to grow by around between 22%, 23% in domestic business.
Jaiveer Shekhawat: Sure. And sir, given the high amount of cash on your balance sheet, I'm assuming must be over
INR150 crores plus also a lot of operating cash flows that are being gene

rated, so any sense in
terms of how you're thinking about deployment of these over the next 3 or 4 years? Because
your capex needs, I'm assuming will not be much. And also, if you can highlight about, say,
operationalizing of the new facilities. You said you are yet to receive some of the molds and
plant and machinery. If you can just highlight that.
Himanshu Baid: Yes. So on the cash front, we basically we're still on a high capex cycle. As I mentioned, in first
9 months, we have spent around INR185 crores in capex. And then the plan was to spend close
to around INR 200 crores, INR 220 crores for the year, but we may exceed that plan. And maybe
spend around INR 230 crores, INR 240 crores. And also next year, because as these new plants
are new, we'll be adding more equipment machines. So maybe next year also, we'll probably
have a capex of INR 100 crores, INR 150 crores, and we are setting our own gamma sterilization

facility. So that will also go live in maybe end of sometime end of next financial year. Just to
mitigate our risk for our dependence on outside vendors.
So currently, we are having some heavy cycle, we'll go to a moderate cycle. And hopefully, by
the end of next year, the capex deployment should kind of taper down. And we hopefully would
look at inorganic opportunities. I think that's the one we should look at. And what's your second
question? Sorry, I forgot.
Jaiveer Shekhawat: No, actually, it was around deployment itself and then the facility is getting operational as you've
highlighted...
Himanshu Baid: I think facilities are getting operational already. So, we are getting more machines because we
have started already. So initially initial 1 or 2 years, we started 30%, 40% utilization, and then
scales up to around 50%, 60%, 70% as time progresses. So that is where we are. And I think this
will continue to rise only, the capacity utilization.
Moderator: The next question is from the line of Harsh Mulchandani from Kriis PMS. Please go ahead.
Harsh Mulchandani: Congratulations on great set of numbers. Just wanted to understand that like you mentioned in
the opening remarks also that we are awaiting contracts over $15 million, $20 million. Can you
help us understand what kind of discussions are going on and what has moved in the last 6
months pertaining to these discussions?
Himanshu Baid: So, this is what regarding the U.S. business. We already have the contracts in place. And this is
all about now starting so we have started selling the products to the U.S. market. And we have
received our first clinical feedback from the customers because you can't sell anything without
getting the U.S. FDA approval.
So we have sent the first products. We have some got the feedback, and we are now working on
some improvements on the product based on the feedback we have received. And hopefully, in
the next 1 or 2 months, we'll start sending shipments out of the U.S. and bigger shipments. And
this is a buildup so the $15 million to $20 million is a buildup over the next 3, 4 years. So end
of, let's say, FY-28, our U.S. revenue would be close to $15 million to $20 million year-on-year
basis.
Harsh Mulchandani: Got it. Got it. And one other question was any reason to give a guidance of 20% next year when
we are seeing a good ramp up possible in terms of the new business and...
Himanshu Baid: I think we start at a moderate number and then we can revise as I said, after end of Q1 or early
Q2, we'll definitely make a revision and then start with a moderate number with the current
situation vision. And I think we should be able to do better only. So let's start with the number,
which we think is really achievable. And then we'll even for this year, we did the same thing.
We were at 20% in the beginning. And then during the end of first quarter, early second quarter,
revise the guidance of 22% to 24%.
Moderator: The next q

uestion is from the line of Zain from Dolat Capital. Please go ahead.

Zain: I'm audible?
Himanshu Baid: Yes, please.
Zain: Congratulations on a great set of number. I just want to know that what will be our tax rate for this 9 months?
Himanshu Baid: Nareshji, can you answer that point?
Naresh Vijayvargiya: Our tax rate is 25%.
Zain: Okay. And sir, what about the renal business, if you can share the quarter 4 number or 9-month number for this year?
Himanshu Baid: Yes. So the renal business will do almost INR90 crores this financial year. And out of that INR90 crores, probably we have done close to around INR62 crores, INR63 crores for the first 9 months.
Zain: And 9 months of last year?
Himanshu Baid: So we have totally 22% growth, roughly on this business.
Zain: Okay. And one question, sir. Sir, U.S. contribution, if you can tell me that how much of the U.S. sales are currently if you had begun U.S. sales?
Himanshu Baid: No, it's a very small number right now. As we have just started the business. Yes. So it's not worth mentioning right now on the call.
Zain: And sir, dialysis machine, you said you'll add 200 dialysis machines by FY-24. So currently, how much has been added and if you can give numbers?
Himanshu Baid: So we don't give numbers like this. So in the middle of the year because that's a very sensitive information from a competitive point of view. So we are in line to deliver 200, 250 machines for the current fiscal. And next year, as our made in India machine with local board local content gets launched, so we'll be able to ramp up these numbers more faster.
Zain: And Europe growth in contribution, if you can share?
Himanshu Baid: Europe, sorry, which contribution?
Zain: Europe sales contribution.
Himanshu Baid: Europe is 40% plus revenue order of exports revenue.
Moderator: The next question is from the line of Vishal Manchanda from Systematix Shares. Please go ahead.
Vishal Manchanda: Sir, with respect to the domestic markets, would you be able to share a number as to how many hospitals are you currently supplying to actively?

Himanshu Baid: Well, this is a very different number, Vishal, to share because it's a very widely held. So number would be 3,000 plus or even more, actually, or even 5,000 because we don't track end-to-end because a lot of distributors are selling products directly into the market and through the trade channels. So end-to-end, we don't drive, but actively, we track close to around 300 to 400 top hospitals in the country.
Vishal Manchanda: So that is where you would be directly reaching through your own sales force.
Himanshu Baid: We will be reaching though our own sales force, but the supply chain is managed by the distribution partners.
Vishal Manchanda: Understood. And again, on this on the domestic business, like if you could share as to what which one would be your top 3 portfolio products and what would be their contribution?
Himanshu Baid: We don't share that, Vishal, individually. Sorry, I can’t do that.
Vishal Manchanda: Okay. And if you could share what percentage of the market are you currently addressing with your portfolio? And what is the scope of kind of building up there in terms of the addressable market on that...
Himanshu Baid: Overall, we probably have a 5% to 6% market share on the products we do. And I think the scope is to increase it to around maybe 10% in the next 3 to 4 years. That's what we are trying to address right now.
Vishal Manchanda: So, in the covered market, you have 5% to 6% share.
Himanshu Baid: Yes, that's correct.
Vishal Manchanda: Sir, can you expand the covered market? So would you be addressing 50% of the addressable market.
Himanshu Baid: I think the idea is to that’s how we will take more market share. So it's basically a total market share, not covered market share

, total market share. So once we increase our coverage, then we'll be probably addressing about close to 10% of the market. So that's the plan for next 3 to 4 years.
Moderator: The next question is from the line of Purva Jhaveri from Girik Capital. Please go ahead.
Purva Jhaveri: Yes. Am I audible?

Himanshu Baid: Yes, please, please go ahead.
Purva Jhaveri: I just wanted to ask for the capex, what was the guidance about the capex which you gave?
Himanshu Baid: Yes, the guidance for the capex was close to INR 200-plus crores. We have done close to INR 185 crores already in 9 months and because there's an expedited capex we are doing. And we'll be spending maybe another INR 40 crores, INR 45 crores for the current quarter also.
Purva Jhaveri: And can you just tell about those 4 plants which you mentioned initially?

Himanshu Baid: Say again, I'm sorry, you are very strained. I can't hear you very well. Maybe you are you are on a speaker phone.
Purva Jhaveri: Yes. Can you just tell about those 4 plants, which you'll be running like, which you've mentioned.
Himanshu Baid: Yes. The 4 glass, we are in Faridabad, 2 are already up and running. And 1 plant is in Jaipur SEZ and the fourth plant is under construction and at the final stages, will be also have in Faridabad.
Moderator: At this moment, there are no further questions. We have a question from Mr. Vishal Manchanda. Please go ahead.
Vishal Manchanda: Am I audible, sir?
Himanshu Baid: Yes, Vishal, I can hear you. Very well.
Vishal Manchanda: So on the renal segment, as you mentioned, you would be scaling up faster next year. Sir, would that qualify you for the PLI incentives next year because there's a critical number that you need.
Himanshu Baid: Vishal, I think we are not basing our business on PLI. I think we have to base it on merit. And I think that is more important. So we want to gain our market share based on the merit of the product. So PLI, we are not sure. I think we'll have to do more because PLI is almost INR 60 crores year-on-year revenue for the business. And that's the reason only a few companies have taken PLI in medical device sector. Out of, I think, 20 or 30, they have allotted only 4 or 5 have taken the incentive, especially companies making large equipment's. I think otherwise, I think PLI is actually with a non-starter.
Vishal Manchanda: Okay. So, you said 60 the companies need to companies would need to cross INR 60 crores.
Himanshu Baid: Yes, INR 60 crores year-on-year revenue growth.
Vishal Manchanda: Okay. Okay. And there are only specific products in the renal segment, not the entire renal segment?
Himanshu Baid: No, no, no. They are not you can't increase the range, you can't cross segment or this is all fixed.
Vishal Manchanda: Okay. Okay. So basically, it would only be so you won't get those incentives, but you would continue to gain build that business larger?
Himanshu Baid: No, no. We are building business was not set on PLI the business was set much before PLI came in.
Vishal Manchanda: Got it.
Himanshu Baid: PLI was just an enabler I would say, but maybe has not worked.
Moderator: The next question is from the line of Gagan Thareja from ASK Investment Managers. Please go ahead.

Gagan Thareja: Sir, the first question is around the acquisition you made in Italy. I think it was a product or the oncology specific product. Can you give us some idea of how that has ramped up? And are you able to cross-pollinate that in multiple geographies?
Himanshu Baid: Yes. I think the whole idea was to see what about the synergies between the 2 companies. And because Poly Med has a deep manufacturing infrastructure, so we were able to leverage that on our Italian factory. And also because Poly Med exports it's products over 100 countries. So we are able to get access to those custome

rs directly for our Italian business. And because this is a Class III device, it takes sometimes 2 to 3 years to register in each country. So these are implantable devices.
So I think over a in the last 2, 3 years, we have leveraged that already, the company has grown reasonably well. And I think in next 4, 5 years also, we will see new registrations, which are going to come through in some very important geographies, and that will also help us to ramp up the business. So I think the companies have good track now deliver started delivering profits. So I think that the whole transformation, which we did over the last 2, 3 years has actually worked well.
Gagan Thareja: I mean, is it material enough.
Himanshu Baid: It will be material because in next 2, 3 years, it will become quite important for Poly Med.

Because strategically, also, that places are much above. So there are also cost benefits to Poly Med because as a company, when we go to customer vis-a-vis also are making products in Europe. So then there is a huge stress in the whole organization.
Gagan Thareja: Okay. All right. And for your EU sales, I'm sorry, I was a little late on the joining the call.
Himanshu Baid: Never mind.
Gagan Thareja: So EU sales year-to-date would have grown by how much? And what portion of your sales should be constitute for year-to-date?
Himanshu Baid: So, Europe sales around 40% plus sales of the total export revenue. Export revenues around 65%, 70% 66% 67% of total revenue of the company. So out of that 40% revenue.
Gagan Thareja: And it's grown by?
Himanshu Baid: It has grown by around 35% to 40%.
Gagan Thareja: Okay. So this year has been very strong. Has it come because of addition of new geographies.
Himanshu Baid: No, no, the geographies are the same. It is all, I think, we were able to launch a lot of new devices in the European market last few years. And I think that's the result of that.
Gagan Thareja: Okay. So you're saying that you started with I.V. Cannula, but now you've added to your product.
Himanshu Baid: I didn't say that.

Gagan Thareja: Okay.
Himanshu Baid: I didn't say that.
Gagan Thareja: Can you give some more color on I mean, in terms of product basket?
Himanshu Baid: No, we can't give you that detail. I'm sorry.
Gagan Thareja: Okay. Okay.
Himanshu Baid: it's confidential to the company values.
Gagan Thareja: Okay. And on overall sales, is it possible to give some idea of how much is I.V. Cannula today?
Himanshu Baid: We don't give these numbers out.
Gagan Thareja: All right. All right. Yes. And the 4 plants that you are commissioning, 2 are already running, you indicated. In terms of utilization next year, where do you see being able to reach at what utilization.
Himanshu Baid: We're around 30% to 40%, that's what I mentioned in the call earlier.
Gagan Thareja: Okay. And full utilization could be to?
Himanshu Baid: Would be probably end of year.
Gagan Thareja: End of year. And this could disbalance to your capacity, if I recall it correctly.
Himanshu Baid: Exactly. Absolutely. It will double our capacity in terms of manufacturing later. So, the ramp-up would take time, nothing starts like it's not like a machine and start producing numbers. And with every country we need registration, every market we need to penetrate by getting products approved by hospital doctors. So it's a process.
Gagan Thareja: Right. Right, sir. In terms of margin, initially, when new plants come in, they tend to have fixed costs, which are not efficiently or fully utilized. So do you see over a period of 3, 4 years, the operating leverage that gets created from utilization ramp-up in these plants, aiding for your margins further?
Himanshu Baid: The current P&L has already absorbed all these costs. Yes, number one. Number two, as we start ramping up capacity products on these plants, definitely, we will see better perform

ance. That's
what we think, and that should happen.
Moderator: The next question is from the line of Sumit Gupta from Motilal Oswal. Please go ahead.
Sumit Gupta: Majority of the questions have been answered. I want to know about your plans about increasing the sales force in the domestic business? And how do you see the sales force productivity going forward?

Himanshu Baid: I think the most important thing is domestic market is very fragmented. And because India is a large geography, so we'll have to keep on adding more feet on the ground to address more hospitals. So we have added 50 to 60 people this year, next year plan is to add across all the 6 divisions, around 100 people. And also, we'll be rejiggling some of our leadership teams to ensure that we go deep down with most of our customers whom we are working with today. So we are working all across, and I think that's a important market for us, very, very important market, and we will continue to go faster here. And especially with make in India focus, I think a lot of new opportunities have opened, especially with our 2 new businesses of critical care and cardiology.

Sumit Gupta: Okay. So what is the current field force in India?
Himanshu Baid: I think it's close to around 400 people, including sales, marketing, clinical, PM product management teams and also application teams all includes.
Sumit Gupta: Okay. So over the next 2 to 3 years, you expect this, the sales force productivity to increase?
Himanshu Baid: See, of course, the current key accounts will go more deeper, so same people would be there. But if we have to go wider, then we have to add more people. So I think in next 2 to 3 years, we'll add probably 100 people each year probably to address that market.
Sumit Gupta: The next question is from the line of Dheeresh from WhiteOak. Please go ahead.
Dheeresh: Sir, 400 people, you said how many are on the ground people, which are dealing with the hospitals directly out of this 400?
Himanshu Baid: Sir, could you repeat that question? I could not hear it properly.
Dheeresh: Sir, I heard in last question, you mentioned 400 people in the total sales division, out of which how many are on the ground dealing with hospitals?
Himanshu Baid: On the ground would be around 330, 340.
Dheeresh: These 330 people would be covering roughly how many hospitals?
Himanshu Baid: Over 5,000 hospitals.
Dheeresh: Over 5,000 hospitals. Okay. And you're saying 100 people every year, you will be adding.
Himanshu Baid: Yes. We have to add because the full new division as was the existing business expansion.
Dheeresh: Okay. Sir, for the 9 months, if you I don't know if you already shared this because I was delayed by a few minutes. So 9 months, if you can share region-wise growth. Like I think I heard you say that Europe was on 40% growth, right, this year.
Himanshu Baid: But we don't give out region-wise growth. We only give out domestic and export business. And out of that, we call out for Europe business because that's a significant part of the company's

business, 1/3 of the company's revenue. So that is what we have called out. So domestic business grown around 18% 18.5%, export has grown around 23.5% in 9 months.
Dheeresh: You're giving for 9 months, right?
Himanshu Baid: Yes. That is correct.
Dheeresh: Okay. And within exports, obviously, Europe has grown much faster, right?
Himanshu Baid: Anyway other countries are very badly affected because of currency crisis globally. Well, we are but for us, Europe is the prime market. So that market is growing. And for us, that is more important.
Dheeresh: Sir, outside of Europe, what would be the second largest export market?
Himanshu Baid: Then we have LatAm.
Dheeresh: Okay. And LatAm, you obviously bill in dollars, but it is the local country has been impacted.
H

imanshu Baid: Not in LatAm. LatAm is not very affected and the whole of Middle East, Africa, that is more impacted today.
Moderator: The next question is from the line of Deepak Lalwani from Unifi Capital. Please go ahead.
Himanshu Baid: I can't hear him. We'll come back to Deepak.
Moderator: The next question is from the line of Girish Jain. Please go ahead.
Himanshu Baid: I can't hear anybody.
Moderator: The next question is from the line of Nihaar Shah. Please go ahead.
Nihaar Shah: Yes. Okay. Great. So you've spoken about 50% plus growth in the renal segment, and we're also adding new products in the critical care and cardiology. So, with that in mind, are we facing some pressure in the base business in the domestic market.
Himanshu Baid: Not really. There is no pressure because, again, is about getting the getting more deeper into the market. So the growth rate, of course, we are not happy with that, around 18%, 18.5%. So we would like to move to that number of 22% 21%, 22%. And of course, the base is also increasing. So I think we don't see any it's about going more deeper and wider with the existing business.
Nihaar Shah: Understood.
Himanshu Baid: New businesses will take time to scale up. Not that they scale up immediately.
Moderator: The next question is from the line of Deepak Lalwani. Please go ahead.
Deepak Lalwani: Can you hear me?

Himanshu Baid: Yes, I can hear you, Deepak.
Deepak Lalwani: Hi Sir, I just wanted to understand, when you draw your assumption of 20% growth for the next year, just wanted to understand the basis of this assumption from 3 angles. One would be the

market itself growing in India and exports. Two, if you could throw some light on the shift from Chinese products that we are seeing today, is it related to these 2 factors? Or is it completely company-led where we have worked on distribution, and we have worked on a lot of products and patents, which is sort of benefiting us.
Himanshu Baid: So I think I would agree with 1 and 3 because the 1 is regarding market book, which is definitely happening, especially in India where we see 12% to 15% growth in the health care sector. So that will directly benefit the MedTech sector. And there is no shift from China today. We don't compete with any Chinese products. We are not doing such products, which where we have competition from China. Otherwise, Chinese are hands down 20% cheaper than any field. So for us, it is more about technology patterns, which we have, and we are able to today build that market for our own products. For us, that is the key.
Deepak Lalwani: Right, right. And when you draw the same assumption for the export market, what is giving you the confidence?
Himanshu Baid: Because exports also because we have continuously custom by engagement, and we know that what the customer is needing and we have projections for next year already.
Deepak Lalwani: Right. Right. Got it. And sir, you spoke about in your initial comments of the Red Sea impact. So, if you could just throw some light on any revenue any short-term revenue or cost impact that you're seeing.
Himanshu Baid: I think we don't see any revenue cost because most of the freight is paid by the customer. So we don't benefit. Our rates are X factory or X wall. So to us, I think there's no impact, but it impacts the customers in general, where they will have to pay extra for the freight cost or be it longer for delivery of the products. And that is where, because if the customer is not suffering and probably you definitely feel that some cycles could go here. I mean it's a temporary phase. And I think when this correction happens, again, I think we will be fine. Because you'll see a lag of 15 days. Once that lag is over then the cycle is again back to normal.
Deepak Lalwani: Sure. Sure. So have you seen any substantial or any significant sort of a delay?
Himanshu Baid:

No. I have already told that January was a great month again.
Deepak Lalwani: The next question is from the line of Girish Jain from KGMC Finserv Group. Please go ahead.
Girish Jain: Am I audible?
Himanshu Baid: Yes, sir. I can hear you.
Nihar Shah: Congratulations on a good set of results. I joined late, so pardon me if there is some duplication in my questions.

Himanshu Baid: Sir, I can't hear you. Hello?
Moderator: Sir, we're not able to hear you.
Himanshu Baid: Yes. I was not able to hear Mr. Girish Jain. Sir, can you repeat the question?
Moderator: Mr. Girish Jain, can you repeat the question, please?
Girish Jain: Yes. Can you hear me?
Himanshu Baid: Yes, I can hear you now. Yes.
Girish Jain: Yes. So if you can share any flavor on the U.S.A. business, there have been any new filings?
Himanshu Baid: Yes. So, we have received 2 new approvals of FDA under FDA. So totally now we have 4 approvals. And as I told maybe in the earlier calls, we are looking for 8 to 10 products. So hopefully, by end of this year, we will receive all 8 to 10 approval, which we have planned for. Initial shipments have gone, received some comments and feedback.
And based on that, we are making some small improvements in the product based on the user feedbacks. And then once that is done, I think hopefully, in next 1 or 2 months, we will see more shipments go into U.S. But that is everything is in line what we have already anticipated. So this is nothing new or unusual.
Girish Jain: So, we are holding on to the expectation of revenue.
Himanshu Baid: Yes, yes, yes. absolutely. The revenue expectation is absolutely in line, and it was based on because, whenever you have to send anything to U.S., you can only send after your FDA approvals. There's a real where they will try the products and really will go for clinical usage.
Girish Jain: And the other question was on the capex. If I heard correctly, 2 plants are already operational.
Himanshu Baid: Yes, 3 are operational, Girish. 3 are operational. Fourth one is going to be operational by end of this quarter or early next quarter.
Girish Jain: And we hope to hit capacity utilization of 80% 80% or 90% by end of the third year?
Himanshu Baid: Fourth year, I would say.
Girish Jain: End of the fourth year?
Himanshu Baid: Because the infrastructure is built over to cater the lease for next 3 to 4 years.
Girish Jain: So this capacity will suffice for the next four years?
Himanshu Baid: Already some capacity has already kicked in. Some has already kicked in already.

Yes. Because one plant started operational in the first quarter and then one has started in quarter 2, quarter 3 so capacity is always our kicking in, some capacity.

Girish Jain: Okay. And in previous call, I think if I remember correctly, you had mentioned that we have excess land available near the existing factory where we can put up more facilities required in the future.

Himanshu Baid: Yes, we will do that. Because now, I think we have sufficient infrastructure covering us for next 2 to 3 years. And once we see an opportunity, definitely, we will do that. So I think on that side, we are fully covered.

Moderator: At this moment, there are no further questions. I would now like to hand over the call to the management for closing remarks.

Himanshu Baid: Thank you, everyone, for your participation and really thankful for great questions you have asked today. And definitely, it gives us more motivation to do better in coming years. And definitely, we will follow the recommendation guidance and what you have mentioned today on the call. And thank you for your time and look forward to speaking to you again very soon.

Moderator: Thank you, sir. On behalf of ICICI Securities, that concludes the conference call. Thank you for joining us, and you may now disconnect your line

s.

Call: May 2024

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Subject: Submission of Transcript for 04-FY24 Earning Conference Call under the SEBI (Listing Obligation and Disclosure Requirements), Regulation, 2015
Dear Sir /Madam,
Pursuant to Regulation 30(6) of SEBI (Listing Obligation and Disclosure Requirements) Regulations, 2015, we hereby submit Transcript of the investor Meet/Call held on 20TH May 2024, on the Audited Financial Results of the Company for the quarter and Financial Year ended 31st March, 2024, on Standalone and Consolidated basis, which were considered and approved by the Board of Directors of the Company, at its meeting held on 17th May, 2024.
This is for your information and record.
Thanking You,
Yours Sincerely
For Poly Medicure Limited
A vinash Chandra
Company Secret
Encl: As above
Plants: Plot No. l 04-105 & 115-116, Sector-59 , HSIIDC Industrial Area, Ballabgarh, Faridabad -121004, Haryana (INDIA)
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“Poly Medicure Limited
Q4 FY ’24 Earnings Conference Call”
May 20, 2024

MANAGEMENT : M R. HIMANSHU BAID – MANAGING DIRECTOR – POLY MEDICURE LIMITED
MR. NARESH VIJAYVARGIYA – CHIEF FINANCIAL OFFICER – POLY MEDICURE LIMITED
MR. AVINASH CHANDRA – COMPANY SECRETARY – POLY MEDICURE LIMITED

M
ODERATOR : M R. ABDULKADER PURANWALA – ICICI SECURITIES

Poly Medicure Limited
May 20, 2024

Moderator: Ladies and gentlemen, good day, and welcome to Poly Medicure Q4 FY '24 Earnings Conference Call, hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Abdulkader Puranwala from ICICI Securities. Thank you, and over to you, sir.
Abdulkader Puranwala: Thank you, Sagar. Good afternoon, everyone. And on behalf of ICICI Securities, I would like to welcome you all on the Q4 FY '24 Earnings Ca ll of Poly Medicure Limited. Today, on this call, we have the senior management of the company represented by Mr. Himanshu Baid, Managing Director; Mr. Naresh Vijayvergiya, CFO; and Mr. Avinash Chandra, Company Secretary.
I would like to thank the management of Poly Medicure for giving us this opportunity to host this call. And with this, I will hand over the call to the ma nagement. Over to you, sir.
Himanshu Baid: Yes. Thank you, Mr. Puranwala and good afternoon to everybody who is on the call. First of all, I'd like to thank you for coming on a holida y to take our call and really grateful to you.
And I would like to take you through the quarter 4 earnings and also through the key highlights of the financial year FY '23-'24 and also talk about what we are planning to do in the current financial year and going forward.
So just a few highlights for quarter 4, so most important was the Renal business was back on-track and grew over around 35%. And this was on back of the policy changes that happened from the Government side where all medical devices got regulated from 1st October 2023.
And also in terms of standard, Government in troduced a lot of more standards of medical devices. And because of that, it has become mandatory for companies importing into India to follow certain standards for medical devices.
So, all that led to an increased demand for localized products because many companies were importing without regulations into India right now and that is kind of completely stopped. And also, we have seen that many companies which are importing from China and Chinese importers will have to follow the BIS standards and specifications to sell product in the country.
And currently, of course, all our products meet those specifications and standards, and we already approved CDSCO long ago. We also have European certifications. So, this is a very positive move for us and that has led to this kind of a growth of around 35%, which was this sector was a laggard for us for first 3 quarters, but we have seen now a lot of improvement. And in the current year also, I'll talk about it a little later, but we also see a big change coming in.
Exports continue to do well in the quarter 4, we have grown by around 25% again. And a good traction coming from Europe. And also it was a very important quarter for us because we

launched our cardio business, there was a soft launch and now it has started picking up. We have launched 3, 4 products already and we are in the process of launching a few more products in next quarter. So overall, the response has been quite good, quite satisfactory.
Most of these products are import substitutes. So it's a true Make in India story where these kind of very important products are now being made in India and also conformed to the international standards. Also, we have receive d a positive response from the U.S. market for already U.S. FDA approved products because the products had gone for a trial as per the FDA approval -- clinical trial. We received good response.
We've also received first order fo

r some of our products and some new more products in pipeline, which will receive or will go live in like the next 3 to 4 months in the U.S. market. So overall, we are happy with the current progress in the U.S. market, and we continue to add more products in the basket, and I will speak later about it.
All 4 new plants have gone live and now operational in FY '23-'24 so that has added quite a substantial capacity, manufactu ring capability and capacity in the ecosystem. And in all product categories, we have expanded capacity whether it's vascular transfusion, renal as well as our diagnostic business. So all products, we have expanded capacity or also new products.
We have invested in new capacity building when you talk of cardiology and critical care business which we launched last year.

So there also, we see a good potential. And as we get more regulatory approval, we'll add up more capacity for these kinds of products. The company has also received more patents in the quarter. Now we have over totally 400 patents, and that's a big thing for Indian company to have so many patents in the medtech space.
These patents are covering ou r product design, processes, and the product utility -- how product is used. So, all these are being covered in these patents across different geographies. And we continue to bring more devices and put more R&D resources to bring more devices.
And currently, we have around 20 to 30 new products, which are in development phase in pipeline, which will be launched over the next 2 to 3 years. So, every year, we have target to launch 10 to 12 new products across different categories and commercialize them and take them to India as well as to global markets as and when we get our regulatory approvals.
Coming to the financial highlights. The revenue, if you compare our financial year '23 to '24, the revenue has increased from INR293 crores to INR360 crores odd, a growth of 23%.
EBITDA has also increased from INR90 crores to INR113 crores. PAT has also increased from INR57.5 crores to INR70.5 crores.
Our operating EBITDA in the quarter 4 has also done well. We have done well there. And we have now reached the higher side of the guidance we have given. So the guidance was for between 25% and 27%. So operating EBITDA was close to around 27% quarter 4 of the last financial year. And if you compare from quarter 3 to quarter 4, also, we have grown by around 11-odd percent.

So overall, the growth has been as per the guidance we had given in our earlier call and to all our investors. And when we look at now the full year financial results and then in comparison from FY '23-FY '24, the stand-alone growth is around 22.5%, and the consolidated growth is around 23.36%. So again, the guidance was between 22% and 24%. So, we have -- in the guidance, what we had projected in the beginning of the year and that's very important that we have firm business plan, we have firm order book.
So that helped us to get this accurate kind of a forecasting and guidance to all our stakeholders.
Also, the total EBITDA also increased from INR300 crores to INR407 crores on a stand-alone basis, including operating EBITDA, which was cl ose to around 26-plus percent for the stand-alone revenue.
Also, the PAT has increased from INR179 crores to INR251 crores. The company on a consolidated basis has done a revenue of INR1,375 crores including subsidiaries in Europe and also in China. And also EBITDA has increased by some INR303 crores to INR419 crores.
Also, the PAT margins increased from INR179 crores to INR258 crores. So overall, the guidance for EBITDA for top line has met our expectations. And of course, last year was a milestone year for the company for a lot of things, which were new.
We have commissioned 4 new plants, which has created a sufficient capacity and capability to meet our next 2, 3 years' demand which is coming from i

nternational as a local domestic market. All the plants are live now. And of cour se, it will take a few years to fully utilize the capacity. But every month, we see increase in more equipment being added or more capacity being added to the current one, and that will help us to grow our revenu e and also improve our operating performance.
Also, the company has been the largest exporter for medical devices for the last 12 years now, consumer medical devices last 12 years. So, it's congratulations to all our stakeholders and our team who has done exceedingly well and putting Poly Med products to over 125 countries in the last 1 year.
We have also launched 2 new divisions, as I mentioned, Cardio and Critical Care, and most of the products in this category are import substitutio n. So, this is a big bo ost for Make in India and also that will -- once we are through with our regulatory approval, these products will be also launched in global markets in the next 1 to 2 years. Because currently, that's the kind of regulatory wait to get approval s for selling these products into developing countries.
Export has grown over by 25%. And of course, the major contribution has been Europe. And as part of all the challenging environment you've seen in last 1 year, it is still -- and with all the supply chain interruptions, we we re still able to maintain a si gnificant growth in exports and our customers continue to have that great trust on us and they continue to order more products from us. And that's helping the company to grow year-over-year in this area.
India business was around 1/3 of the total revenue. It has grown only by 18%, which is not as per expectations. But this year plans are to grow over 25% with a lot of new customer

additions and product basket increasing. And definitely, I'll take you through some more
highlights of India business later.
Capex, we have done last year of around INR250-plus crores. And because of that, those more
4 new plants are operational with increased capacity in each segment. So -- and we'll continue to invest a similar significant amount in the current financial year also to augment more
capacity in newer transformative businesses, which we are going to launch and which new areas we are focusing on right now.
So, I'll talk about more about the current financial year. The gui dance for the current financial
year is to grow at the same pace as last year. So again, we are guiding for revenue increase of
around 22% to 24% in the current financial year. And also as we see more operative leveraging or leverage coming our way, we are also guiding for a better EBITDA margin in the coming
financial year, improving by around 100 to 150 bps.
And this is what we see right now. Of course, the geopolitical situation continues to be very
choppy. But I think with the ki nd of new product additions we have done, as we've ventured
into more Critical Care products which have higher margin compared to our current conventional products, I think that will also help us to improve our margin. So that's how --
what we see on EBITDA.
And on the revenue side, I think the product geographically export and domestic will still
continue to be 1/3 and 2/3. We don't see much change happening there. There will be more
focus on the transforma tive businesses like Cardiology, Oncology, Re nal Care and Critical
Care because these are basically transformative businesses where these are through non-
communicable diseases. These are not -- and these businesses continue -- these therapeutic
areas continue to grow overall for the company.
We see a number of cardiology patients; cancer patients and renal dialysis patients continue to
increase in the country and then also the critic al care infrastructure of the country is also
getting augmented after COVID. A lot of focus has been there on the critical care side, where
we had shortage of cr

itical ICU beds. So in critical care sales also, we see a significant growth.
The company has been focusing on a few of the areas earlier, but now maybe more focus and will be adding more products in this category of products in the next few years.
Again, the focus will be to first start with 4 su bstitution products and then grow the capacity
and capability to global scale to grow in international markets. We will invest a similar amount
in current financial year also as planned and new technology business as we need more capex
and also with new capacity coming up in all these businesses, we'll be able to also expand our
reach to a lot of international markets, which ar e not present today with these kind of products,
newer products.
Globally, we have seen a shift in mindset of consumers and customers and our stakeholders
where India has been now recognized as a base for medical products, where we see now new --
a lot of new investments coming -- key investments and private investment coming in this
sector.

And I think China Plus One strategy is paying some good dividends for -- even for Poly Med,
as we've seen new customer additions. We've been asking -- our customers asking for new products, new development. So, I think we are in a great position as a company, as an
organization where we can scale more in coming years to cater to increased demand in India as
well as international markets.
Of course, there is a high focus on sustainabl e manufacturing. Every year, we are trying to
reduce our carbon footprint and a lot of effort is made in this direction to reduce wastages, to
be more efficient and also to use more green energy in manufacturing. So we are moving in
that direction. And a lot of work ha s been done on the sustainability side.
We are also integrating a lot of AI and IoT to enhance efficiency in manufacturing and also
bringing in more precision manufacturing to improve overall performance of our products. The
company is also looking at opportunities -- inorganic opportunities in transformative new
businesses to bridge the technology and development gap.
Today, it takes almost 3 to 5 years to develop and commercialize a new device or a new
product. From design to prototyping to clini cal evaluation, testing, proto manufacturing setup
to full-scale setup. And finall y, getting regulatory clearances from all important markets, it
takes 3 to 5 years.
To fast track this, the company is looking at new fund raise of around INR800 crores, which
was already approved by our Board of Directors in March 2024. And these funds will be

basically utilized for rapid expansion of Cardio and Critical Care business and also setting up 3
new facilities, which we have won for gamma sterilization and 2 others will we do augment
capacity for domestic market, main ly we're focusing more on domestic. So we want to increase
more capacity there.
So, one plant is planned for Haridwar to be operational at the end of 2025 and one plant is
scheduled for operations and also in Faridabad, one new plant. So we are also expanding
capacity of our renal product because next 2, 3 years, we see now a big demand for renal products and we have now augmented because last year, we did not invest much in the renal
product because we were not seen significance, but now the change scenario, I think we are seeing some bigger demand.
And this year, definitely, we are guiding for almo st 50% increase in renal business. And also, I
think in coming years, we will see a similar growth coming from renal side of our business.
This year -- last year, we sold close to around 200 machines, dialysis machines. This year, we
plan to sell over 500 dialysis machines. Also, we are the first company to receive a BIS
certification for the dialysis machine.
So that means that we follow all the standards which are laid out by the government in India
for dialysis machine and w

e are the first company to get this, and this will also help us to gain
more market share in India. Init ially, our target is to focus mo re in the Indian market as the
market is for around close to 4,000 to 5,000 machines. Last year, I think almost 4,000
machines were sold in India. So we continue to focus on India and take more market share.

And once we mature this market, then definitely will go out in international markets to sell this
machine.
Of course, we need to set up our intra service centres and also spare part inventory in
international markets, and that's the process maybe we'll start in next maybe 1 or 2 years. That's the plan for that business. A lot of opportunity coming our way, and I think it helps
because health care is growing at a very fast pace in the country. And medtech is one of the pillars of the health care ecosystem.
I think with health care expanding and more health care going to Tier 3 and Tier 4 cities, I
think we'll see a similar expansion in the medtech industry and already almost 2,500 more
people have got now manufacturing license from CDSCO to make products in India as everything is getting regulated in the country.
So medtech ecosystem is getting better in the country. We also see improvement in supply
chain. And also, we want to also reduce import dependence of raw materials, so we continue to put more efforts in the indigeniza tion of certain raw materials.
So that will also help us to rationalize our value chain and also have a lower impact on cost
once -- because of the current disruption we see in the global supply chain situation. Our U.S.
business, of course, I've spoken about it a little bit. So we co ntinue to guide for $15 million of
revenue over the next 3 years or so, received 4 new FDA approvals, 5, 6 more products will be
applied shortly or are in pipeline.
So -- and the first order has been received for 2 products, and we are already building the
capability and capacity for expanded growth in the U.S. market in the next coming years. So that's all I need to say about the U.S. business. Our domestic business, we are adding almost
around 70 to 80 more people, all the expanded team by 20% this year.
We're trying to increase more coverage as more products are coming in. And we are very
confident of now achieving a better growth in domestic business from last year's 18% to
around close to 25% this year. And we are making all the suitable corrections and changes to ensure that we have this growth -- similar growth as we have an export in the domestic
business also.
Export business continues to be -- has a good momentum. We're planning at 22% to 25%
overall growth in exports. Europe continues to be a great driver for us right now. We are adding more products. We're adding new custom ers in Europe and that market continues to
outperform for us in the last year also. And also this year, we expect the same. We also see some new product additions and with regulatory more new products getting regulatory
clearance in European market in the next coming few quarters, we'll also see some better
margin improvement in some key markets.
On the financial side, of course, we have -- we continue to improve our ROCE from 17.5% to
almost close to 20.9% and that was one of the key areas for improvement in the last financial year. We still continue to have some cash on the balance sheet close to around INR150 crores
net cash.

Of course, that keeps us healthy -- in a healthy position to take care of our immediate requirements for cape x or for -- to care or augment our working capital capab ilities, so -- and because of the current pressure in supply chain, we are also maintaining reasonable inventories for raw materials, but we still have almost 200 vendors outside India where we import critical raw materials or some critical components from th

ere.
So we are trying to manage that through the cash available in the company. Government of India has taken some great initiatives in the la st 2, 3 years. As you're all aware PLI, RLI, medtech part, regulatory landscape being completely changed, new medical device policy. A lot of -- I think bold changes were made in the last 2 to 3 years looking at from where we started during the COVID time and where we are today.
And now some more changes are expected. Government is going to overdrive right now to further reduce India's dependence on imports, it is currently around 65% to 70% and bring it down to around 50% in the next 4, 5 years. So a lot of work is being done in that direction in terms of value chain analysis, to bring in more manufacturing in the country and to make India more competitive.
So there have been a lot of interactions in the past few months with government agencies and some industry body forums and we will see some positive outcomes in coming months. A new PRIP scheme was launched for R&D, for medtech and pharma. So that's another big change which has come in and more focus has now been on value addition in India. And we'll also see some changes in PPO orders where purchase system is given to locally made products. So you'll see some more value addition being kind of rewarded as we move ahead on the value chain.
In terms of international business, I think Ital ian subsidiary has done well, has grown by over 40% in the past year. So from let's say, we have done almost from a negative margin a few years ago to almost 16%, 17% EBITDA last year. So the company continues to now be self-sufficient and in terms of its own cash requirements and is again poised to go by another 30% to 35% this year.
And we expect that revenue should double again in next 3 years from last year to next year, the revenue would double in this company. And this company specializes on precision drug delivery for Oncology and Critical Care. So -- an d I think for us, it's a very important business area where we are focusing on trying to expand more products in the same field whether in India or also adding more manufacturing in the Italian plant.
China and Egypt continue to stay healthy and profitable. In spite of high currency depreciation needed, Egypt continues to make decent profit. It's part of a current geopolitical situation in the region, we still are doing well. And I think, ag ain, compliments to the local team who has really done well in this adverse conditions. We're constantly watching the current geopolitical situation in global markets.
Of course, I think we can't predict anything, but we are trying to mitigate all the risks in supply chain and in manufacturing to ensure that we continue to grow at a steady pace and continue to

make decent margins as we've been making in advance. That's all from my side as an update and now back to ICICI team to moderate the call and looking forward to talk to all of you. Thank You.
Moderator: The first question is from the line of Rashmi Shetty from Dolat Capital.
Rashmi Shetty: Congratulations on the good set of numbers. So just on capex, again, you mentioned that the investment for the capex would be around the similar levels of FY '24 that is roughly around INR250 crores this year. So generally, this INR800 crores, we will be spending phase wise right every year?
Himanshu Baid: So basically, the INR800 crores we are planning to raise because we have done our first capex cycle of the last 3 years through the first initial QIP, I think the company has kind of grown almost 2x in the last 3 years. And we are in that same trajectory of growth. And with whatever we are seeing with the new businesses which we are developing today, so there's a lot of technology investment, which has to come in.
And we have to fast track that investment so that we are ready to bring the products much fa

ster in the market. Otherwise, if we go through our normal capex cycle, then the manufacturing and the new technology integration will get further delay.
Rashmi Shetty: Sir you said that you will be in vesting in Haridwar plant and in Faridabad, so these will be

completely new facilities, right? And one more you said which I missed it.
Himanshu Baid: Completely new facility, they are build greenfie ld facilities in these days.
Rashmi Shetty: So one you said Haridwar, second is at Faridabad and the third one I missed it.
Himanshu Baid: Say again, please?
Rashmi Shetty: I missed the third one. So Haridwar, you said Faridabad you said and then 1 more plant, right?
Himanshu Baid: Yes. So we have 1 more plant to be planned in Jaipur. Sorry, I missed on the call by mistake.
And there'll be one more plant coming near SEZ in Mahindra, it's a BTS plant, which will be, again, augmented capacity for Indian business in coming years.
Rashmi Shetty: And related to our export business, if you can give understanding about the infusion therapies
because they are a major contributor to your overall business. How is that performing in
exports, as well as in the domestic market? And from here-on, what kind of guidance you build like what we explained related to renal profile?
Himanshu Baid: See, I think renal business will grow faster b ecause of the current tailwinds we have for the
business. And see, again, our vascular business, infusion business are bread and butter
business, and we have a good global leadership in this category. So this will -- and as we are
adding more and more products in the same category.
So we will continue to grow in this business al so in India as well as in internationa l markets.
So this business has its own tailwinds in terms of new development and new capacities we are

building. And again, there are new markets we're addressing today, U.S. is one of them and so
on and so forth. India, we still have penetrated only maybe 10% to 12%. So we need to penetrate India more deeper. So I think all that capacity expansion, which has happened in the
last couple of years, will help us to address that demand wh ich is going to come through
expanded market.
Rashmi Shetty: So like for the annual basis for export market, we are expecting 20% plus growth, right? in FY
'25.
Himanshu Baid: Yes, that is correct. Export, again, we are seeing 22% to 25% growth, that is the guidance we
are giving for this year. And knowing that everything remains what it is today, we think we'll
surely be able to do it, but we don't know the global situation.
Rashmi Shetty: And last question is related to the renal segment. Then you said that it is a 35% growth sir.
That means that we have clocked around INR100 crores in FY '25 is my understanding correct
in terms of this?
Himanshu Baid: So that is last quarter growth. Basically, first 3 quarters were muted, as you know, we were
around 20%, 22% growth. Only in the last quarter, when we saw the impact of the new regulatory regime in India were first October, everything got regulated plus BIS bringing in
standards.
So that is where things -- and of course, there were some stocks, which is available in the
market, but I think quarter 4 was something which we saw a big change and also, there's a good demand which is coming after the changes which have happened in the regulatory track
business. So we are pretty certain that this year and the traction we are seeing right now the last quarter and in last few months, I think we are very sure to see it growing around 55%.
Rashmi Shetty: And sir, on this renal profile, can you update or do you have any info that your competitor
Nipro has also started selling the indige nous machines in the India market?
Himanshu Baid: No, I'm not aware of this. They currently import the machine from Japan.
Rashmi Shetty: Yes, yes. but they were also one of th e approval in th

e PLI scheme, so that..
Himanshu Baid: PLI, they are making more dialyzers than the machine. So they are making the consumables,
not the machines in India. But anyway, there could be more co mpetition doesn't matter. India
needs 4,000, 5,000 machines a year , and Poly Med is only making 500 this year. So there's still
room for more players to co me in, to make locally.
Moderator: The next question is from the line of Harsh Mulchandani from Kriis PMS.
Harsh Mulchandani: First of all, congratulations for a great year. And I wanted to just understand that the U.S.
business, like you said, good to hear the traction which is happening. This is as per your initial assessment that the initial couple of years would be slower and then we would get the larger
chunk of orders which you are expecting?

Himanshu Baid: Yes, exactly. Because from day 1, we'll not get that market share. So first, the products are
going to few hospitals, and we receive feedback, and based on that feedback, if there any improvements should be done,

we'll make some improvement changes. So before the FDA
approval, we can't even send any single piece to the U.S. market. So that is now the product is
in commercial usage.
And as we see more and more us age happening, we will see that traction building up. So, yes
initial start will be slow, but th en it will build up very quickly. And also, we are expecting
more US FDA approval and the next 5 products also in pipeline right now. So it's a buildup of
the whole business. And I mean we are confident that in the next 2 to 3 years, we will see that
guidance what we've given earlier.
Harsh Mulchandani: Perfect. And what could be the impact of the rece nt fee transaction on us? Could it mean more
competition for us b ecause whenever we...
Himanshu Baid: Poly Med has a lot of integral strength because of its patents. And we seriously protect our
turf, and we have been protecting for the last 25 years being in the listed space. So transactions
were happening earlier also, will happen now also. But I think most important thing is we continue to build that momentum.
And there are very few companies who have momentum in
the medtech industry in India.
So even the transactions are happening, the growth rate is only 10%, 12%. So here Poly Med
has been growing the last 3 years if you see track record average CAGR is around 20% to
22%. And we are again guiding for 22% to 24%, again. So we have that momentum. We have
the product basket. We have the technology and also, we have the, I would say, markets
available where we are putting these products. So that competition is most welcome, but we
don't see much co mpetition what we are doing today.
Moderator: The next question is from the line of Vishal Manchanda from Systematix.
Vishal Manchanda: Sir, on the cardiac and critical care markets where you are focusing in India. Would you have a
number as to how large these markets are?
Himanshu Baid: See the markets I just give you a number of angiographies done in India, almost 20 lakh
angiographies are done in India today and most of the products used there are imported. So for
us, the market that is the big size of the pie. And that is what we are targeting today that what
are the catheters which are needed for angiography, balloon caterers or diagnostic catheters or guidewire or anything related
to interventional cardiology. That is where we are focusing on
right now.
So our major focus will be on these kind of products. And then we will probably get into more,
let's say, complex products going forward with radio sheets or something with a femoral sheet or something else. So that is
what we are trying to build in as a business.
Vishal Manchanda: And you have these products ready, the catheters, that guidewire.

Himanshu Baid: We are already in the market. We launched, soft la

unch, as I explained to you earlier. We have
done our soft launch already. And now we are augmenting the capacity. Because you can't build capacity on day 1. So
gradually, we are building, assessing the market size, demand and
seeing what -- how we have to move on. And I think initial response has been fantastic. And I
think we are accelerating our prod uction capabilities a nd capacities to grow faster in this
segment.
Vishal Manchanda: Got it. So secondly, in the U.S. recently, we heard they have raised import duties on certain
medical devices that they import from China. Any positive impact Poly Medicure could have
because of the import duty?
Himanshu Baid: See, the first important thing is no business should be based on momentarily trade practices.
By the time we, let's say, scale up capacity and tomorrow, somebody else comes in and say,
okay, there's no more duty anymore. Will it be competitive now. So I think Poly Med is an
organization built on is inherent strength. The sense is of our own products. We don't compete with Chinese.
So here, we are trying to build products and today we have more than 400 patents. So that
helps us to be ahead of the curve in the segment. So we are focused on our segment. There are
a few products like gloves or syringes where they put some duties. These are very basic products. And I think where there's
very limited technology available to, let's say, put some
differentiators.
So we will not get into such kind of products, which are very low EBITDA margins or very
low margins to manufacture. So we are very clear that we continue to get into more high
technology business, which is more technical and where we'll see more innovation coming in
coming years.
Vishal Manchanda: Got it. And then finally, on the fund raise INR8 00 crores. So would -- does that include -- so
you also intend to do a INR250 crores capex this year. So is this INR250 crore capex part of
that INR800 crore fund raise objective.
Himanshu Baid: We oppose companies generating sufficient cash also to the fund. But I think mainly for
accelerated, see when we -- when we raised INR400 crores in 2021, we were able to deploy that into accelerated capex and

start for new plant. Now to start every plant, take 2 to 3 years,
new plant. So it's a cycle.
So we have done that first cycle of setting up 4 plants. And of course, now we'll be augmenting
capacities on all these new 4 plants with more complex technologies coming in, standing in cardiology and critical care will be spending because cardiology needs lot of R&D, a lot of
new development, a lot of heavy-duty equipment. So -- that is why we are investing.
Plus, where we are augmenting capacity in renal space where we'll be probably tripling our
capacity to look into because once you build capaci ty it takes a few years, it's not that there's a
ready machine available and you can do it. These are all specially designed equipment, which are made based on your custom specifications.

So it takes time to build that -- ramp up that capacity. So we are adding capex there. We are
also building 3 new plants. We are also looking at inorganic opportunities, as I mentioned earlier. Today, to make a new product will take 3 to 5 years from zero to finished product and
get our regulatory approval. So can we look at companies which have similar line of products,
and it can complement our existing product range. So that's also where we are looking very
aggressively.
Vishal Manchanda: Got it, sir. And sir, just one final one. Within India, if you could share some sense on the zonal
mix that we would have, so North -- contribut ion of North, Southeast and West broadly.
Himanshu Baid: We don't do that. So I'll refrain from doing it because that is not -- we don't give it our public
information. And because that will be sensitive to our business, so I would not like to give that information.
Modera

tor: The next question is from the line of Harsh Shah from Dalal & Broacha.
Harsh Shah : Couple of questions from my side. Sir, firstly, on Europe, I mean, the growth that you are
seeing. So what is the major driver for growth in Europe? Is it a case where we are gaining
market share or the market itself is growing at such a pace that we are seeing such number.
Himanshu Baid: So definitely, the answer is second, that the market is not growing, but we are gaining market
share, but the market is very huge. And we started with a few products and once there's a good
acceptance with few products in hospitals, then you have a chance to add more, and Poly Med
has a very large basket of products.
If you've seen we operates around 12 different segments, you've seen in the corporate
presentation. So now once you are in this 1 segment and the customer would like to buy other
products from other segments also. So that is the expansion we are seeing in the business. So --
and all our products qualified with the European regulatory requirement.
So we are seeing the traction happening in Eur ope and primarily in Western European markets.
So our core business is in Western Europe, le t's say, U.K., France, Italy, Germany, Spain,
Sweden. These are our core markets. So that is where 80% to 85% of revenue comes from.
Harsh Shah : And secondly, on China. So you did mention earlier in your comments that even some sort of
China Plus One theme is kind of playing out in our advantage. So how big is China's kind of
role in the overall medtech space? I mean, if you could give some sense.
Himanshu Baid: To my knowledge, Chinese compan ies would be exporting close to $75 billion to $100 billion
of medical products. These are different from a needle to an MRI machine and the number could be even bigger. A lot of U.S. companies are based in China, they have their own
subsidiaries, and they cater to their own parent companies.
So the market potential is huge out of China, which could go out of India. And what I've heard
in different corridors and people talking about is that they want to move like 30% business out
of China in next 2 to 3 years. And that is where I see a big opportunity for Indian companies.

It's India's infrastructure, Indi a's supply chain can cater that whole manufacturing ecosystem, I
think India is in a great place to take that market share.
Harsh Shah : Got it. And thirdly, on -- I think I missed the number. What's the contribution of the renal
segment in the overall top line for FY '24?
Himanshu Baid: It was close to INR90 crores.
Harsh Shah : And last question from my side. So out of the QIP of INR800 crores, right? You did mention
that...
Himanshu Baid: I didn't mention QIP, we said fund raise. We have not finalized how we'll be doing it.
Harsh Shah : Yes, fund raise out of INR800 crores. Sir, any ballpark kind of figure or the size of acquisition
you have in mind, or you would take as it comes?
Himanshu Baid: We are keeping that open. We are building up. This is the right time to build a watches. And

why I'm telling you that is -- there are a few things which are happening globally today with
interest base staying the way they are today in the Western world; we are seeing a lot of
smaller companies which have technology are not able to scale up. And we have done one acquisition in 2019.
We have scaled it up. We have seen that with India's leverage as Poly Med's leverage in India,
we are able to turn around this company. And now we are looking at bigger bets, we think that
around the areas of transformative businesses which I've talked about that is renal, cardio or onco or critical care, there are a lot of opportunities which are going to come our way in next
maybe a few months.
And we would like to look at those products and categories and see what we can expand
quickly instead of build versus buy, like, okay, can we buy th

e business rather than building and building is going to ta ke 3 to 5 years. So if there is something available, can we scale up? And that is the opportunity we are looking at.
Moderator: The next question is from the line of Tanmay Gandhi from Investec.
Tanmay Gandhi: Sir, on the domestic market, right? You had mentioned that this year, sales were slightly lower
than your expectation. In the October month, we have been seeing you have addition BIS
certification, right? So have you not started seeing its impact on other categories?
Himanshu Baid: Yes. So definitely, we have seen that imports will -- see, there's a very clear guideline within
the Government that they have to reduce imports and that is kind of hampering with Make in
India today in the country. And even the PPI orders are not working because the local content,
it was not clearly defined. People are using even servicing as a local content in the equipment,
for example.
So a lot of things are changing from the Government side. And I think -- and also, internally,
we have to restructure, we are trying to bring in more talent and you add more people on the

ground. We didn't add enough people last year actually. Our people addition was maybe less
than around 30 to 40 in a team size of 360. So that was not enough to grow the local business.
So this year, we are adding 70 to 80 people, more focus there. We are also making changes in
the leadership team. I think that will also help us to go deeper in relati onship building with key
customers across the country. So some changes and plus renal will grow at a very fast pace
now at around 50%. So overall, that will pull up the other businesses also. So that way, we are confident that this 25% growth rate that we want to do in domestic business should happen
now.
Tanmay Gandhi: And just secondly, our cost for this during the quarter has gone up, right? And the margins
have also declined sequentially as well on a year-on-year basis.
Himanshu Baid: Margins -- they don't decline, I think. Margins have improved.
Tanmay Gandhi: I think for this quarter, you have done 25.5%. Was it...
Himanshu Baid: So quarter 4, we have done close to around 26-plus percent EBITDA, operating EBITDA
margin.
Tanmay Gandhi: And sir, lastly, on the working capital, we have seen some improvement during the year. What
could be a sustainable number going forward?
Himanshu Baid: No. I think working capital, of course, there are challenges in the global supply chain. So we
continue to invest more in the inventory side so that we are sufficiently covered because we
have almost 200-plus vendors outside India.
So I think that part is more or less covered, bu t I think it's the payment cycle, which is a little
bit worrisome right now, which we are tracking very -- because globally, again, there is some
constraints in payment getting from certain coun tries. But hopefully, we 'll continue to work
maybe in let's say another 5% to 7% improvement in the coming year. That's the plan.
Moderator: The next question is from the line of Ankur Shah from Quasar Capital.
Ankur Shah: Sir, just one qualitative question. Like Poly Med, the way it is the trajectory it is going on. I
just wanted to ask, considering the competitiven ess of the industry and the size of the -- size
and nature of the competition. What according to you like where according to you we would
be in the quality curve in providing these medtech instruments?
Like just a general question. Because, let's say, in medical, price is not only driver -- the
government wants, like you mentioned, government wants as low imported goods as much as
possible. But if suppose you are not able to match the quality standards then it won't be Yes.
So where are we over there vis-a-vis the top competitors, which are there in the industry?
Himanshu Baid: So today, we compete with top competitors. As I ment ioned earlier,

almost 1/3 of our revenue
comes from Europe and from highly regulated markets. So that is a testimony of Poly Med's
products being used in top European hospitals across the whole continent. Also, we have got
US FDA approvals.

So, our products, again, qualified for some of our products already see that approval, all our
plants are designed like that, all the new technology which we have today is based on high-quality performance. So, we today -- and 2/3 revenues export and nobody is going to buy a
product even if I give free of charge and the quality is very poor, nobody is going to buy it, as
you already mentioned.
So quality is a key parameter, a key benchmark for the success of a company in our industry
because every product is engineered product. It's not a capsule that you're filling -- today,
you're not weighing the capsule whether it is 0.3 milligram or 0.32 milligrams inside -- the
material inside a capsule, but medtech, every device has to perform, and it is used by a nurse or
a doctor. So here, the quality is more and more critical than even in the pharma industry. So we
are a benchmark as a company and our exports are a testament to highly regulated market is a testimony for that.
Ankur Shah: Sir, interesting, can you share in the European business, what is our business model? Is it
directly approaching the customers via our own sales staff? Or is it via distributors?
Himanshu Baid: No, we do through distributors, mainly through distributors because we don't have enough
people on the ground. We have only people in Italy on the ground, and we have people, some
sales managers who are managing the business. The residences sales managers across the continent. So for us, it is more to distribution, so our model is to trai n the sales force of the
distributors and then the sales force will go in hospitals and promote the product.
Ankur Shah: Sir, and the last question is on the cash flow allocation. Like I just saw we are clocking
upwards of INR250 crore operating cash flow and considering the capex needs, I was just
wondering, is the Q -- sorry, not QIP, but is the fund raise opportunistically timed or because I
don't see any as such cash needs considering the capex programs?
Himanshu Baid: So we would like to go for an accelerated capex program, which we did earlier, and we are
setting up 3 new plants and even in the current plant where we have set up capacity, each plant
will still consume more capex in the next 1 or 2 years, where we augment capacity of the new
businesses which we have developed in the last couple of years.
So the capex cycle will be far higher than even if you see last year's cash flow of FY '23-'24,
the capex was much higher than the cash flow generated by the company. And then there was
a requirement of working capital or whatever long-term debt we have paid them out. So, I
think the important part is to -- and part of that funding -- a majority part of our funding will
also be deployed for acquisitions -- technology acquisitions.
Ankur Shah: Sir, just coming to the capex.
Himanshu Baid: Fund raise is not for capex, only for entirely for capex. Majority of the fund raise will be used
for inorganic expansion.
Ankur Shah: So like do we have an inorganic acquisition pipeline in your mind? Like do we have these
companies in our mind considering...

Himanshu Baid: I will, but of course, I'll not disclose.
Ankur Shah: And sir, on the capex part, the thing that you mentioned, is the capex more augmented towards
the existing products and expanding these products and the distribution so that we are
manufacturing those same products more? Or is it towards new areas like cardiac which you mentioned?
Himanshu Baid: I think if you have heard on the call, we are going to focus more on transformative businesses,
which is cardio, onco and critical

care and renal.
Ankur Shah: So these are completely new businesses?
Himanshu Baid: Yes, renal is existing business. The other 3 are completely new transformative businesses.
Moderator: As there are no further questions, I would like to hand the conference over to the management
for closing comments.
Himanshu Baid: I would like to thank everyone present toda y despite holiday; everybody has been very
participative. Thank you all. And I think great questions from all of you. And again, I would
assure all our stakeholders that the company is on a great trajectory in terms of growth. And with a lot of new transformative businesses, which we are doing today.
We are one of the most unique companies in India in the medtech space. And we continue to
outperform all our competitors and peer group in the segment where we are operating today.
And with whatever innovation we have done, I th ink there's a great global recognition for the
company amongst all the stakeholders and peer group.
And next, I think a few years are very, very exciting for the company where we are on a high

growth capex cycle and in terms of growth numbers, we are very confident of achieving the guidance we have given to all our stakehol ders. And we will take all the suggestion, recommendations what we have received from y ou and definitely look forward to speaking to you again very soon. And thank you once again for your kind participation.

Moderator: Thank you. On behalf of ICICI Securities, th at concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jul 2024

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The Manager,
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Dalal Street, Mumbai- 400001.
Sub· ect: Submission of Transcri
Dear Sir/ Madam, ·,:»I POLYMED
Scrip Code: -POL YMED
The Manager
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1-Block-G
Bandra Kurla Complex, Bandra(E),
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1-FY25 Eamin Conference Call under the SEBI
ation 2015
Pursuant to Reg\.tlation 30(6) of SEBI (Listing Obligation and Disclosure Requirements)
Regulations , 2015, we hereby submit Transcript of the investor Meet/Call held on 24TH July
2024, on the Unaudited Financial Results of the Company for the quarter ended 30th June, 2024,
on Standalon e and Consolidated basis, which were considered and approved by the Board of
Directors of the Company, at its meeting held on 22nd July, 2024.
This is for your information and record.
Thanking You,
Yours Sincerely
For Poly Medicure Limited
A vinash Chandra
Company Secretary
Encl: As above
Plants; Plot No 104-105 & 115-116, Sector-59, HSIIDC Industrial Area, Ballabgarh . Faradabad -121004, Haryana (INDIA)
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"Poly Medicure Limited
Q1 FY '2 5 Results Conference Call "
July 24 , 202 4

MANAGEMENT : MR. HIMANSHU BAID – MANAGING DIRECTOR – POLY
MEDICURE LIMITED

MR. AVINASH CHANDRA–COMPANY SECRETARY –
POLY MEDICURE LIMITED

MODERATOR : MS. NISHA SHETTY – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to Poly Medicure Q1 FY '25 Results Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Shoul d you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Nisha Shetty from ICICI Securities. Thank you and over to you, ma'am.
Nisha Shetty: Thank you, Anjali. Good afternoon everyone. On behalf of ICICI Securities, I would like to welcome you all on Q1 FY '25 Earnings Call of Poly Medicure Limited. Today on this call we have the senior management of the company represented by Mr. Himanshu Baid, Managing Director and Mr. Avinash Chandra, Company Secretary.
I would like to thank the management of Poly Medicure for giving us this opportunity to host this call. And with this, I will hand over the call to the management. Over to you, sir.
Himanshu Baid: Thank you, Nisha. Really thank you for hosting this call. And good afternoon, everybody. It's my pleasure to talk to you again about the progress of the company for the previous quarter. I will take you through the earnings of Q1 FY '25. The revenue of the company when we compare from Q1 of FY '24 to FY '25 we increased from INR320 crores to INR 385 crores, roughly, almost increase of 20%. EBITDA margin also increased from INR 87 crores to INR104 crores again, an increase of around 20%. An d PAT margin increased from INR62.7 crores to INR 74 crores, an increase of 18%.
So we have actually progressed as per the guidance we had given earlier. And the company is on track to perform this year as per the guidance given earlier of 22% to 24% growth and also improvement in the EBITDA margin of 100 to 150 bps. We have done our capacity expansion. Our first phase is over. And we have added new plant and machinery over the four plants where we have expanded in last 12 months ,18 months to 12 months.
The capacity now has increased from 1.2 billion units to 1.5 billion units per year. And by end of the year, we will further increase the capacity to around 1.7 billion to 1.8 billion units for medical devices. So there's a rapid increase in capacity by ov er 50% over the year because the infra is ready now and mostly the capacity addition is happening through the plant and machinery which we're adding in each plant step by step.
Of course, these are all special purpose machines. So it takes time to get these machines from the vendors because delivery time is between 12 months to 18 months. And as we are seeing the traction for each product line we are building capacity and capability across those product segments. And basically t he more expansion which will happen in the transformational segment which we had talked about earlier renal, cardiology and critical care . These are three important segments we continue to expand faster th an we were doing in the previous years. And most capex has been done for these three categories.
Renal business in Q1 has increased by over 40%. So this is something very heartening to note. And w e are on track to grow from INR90 crores to INR140 crores, INR 145 crores in the current

financial year. So this business which was lagging last year, we were able to bring back it on track. And of course the regulation which was enacted on 1st October 2023 that has really helped us to ensure that only good quality devices are sold in the coun try. And whatever were parallel imports coming for non regulated products, it has stopped now. And I think this is a good progress for us.
And similarly on the dialysis machine si

de also we are seeing a good traction. We have now a
good order book as we have told earlier in the year. This year we plan to sell close to 400 machines and maybe even go up to 500 depending on how this order book m atures, but we have a good traction and we are on track for this kind of growth.
We have added 40 plus sales associates in quarter 1 which is in line with our plan to add 100 -plus people in the current financial year and these 40 people have come across mainly in the new verticals of critical care and cardiology. And we continue to exp and the team and the reach, so that we can reach out to more and more hospitals for these products.
Our gamma sterilization plant is under construction right now and should be live by early next year. This we have done especially to ensure that we have full control on the sterilization process. And this is more safer process compared to the ETO gas which we use today. And knowing that the gas is a little hazardous, a gamma plant is more safer, as all safety safeguards are in place. Currently, we use third -party services. But once our own plant is ready, we'll be able to move

most of our sterilization to this plant, which we outsource today to other vendors.
On the export business side, we have grown in Q1 by over 25%. Domestic business has grown only 6% to 7%. And there's a reason for this. In FY '24, early Q1 we had some government orders for auto -disable syringes which was for a vaccination program. That pr ogram is now almost over. So we have seen that drop in requirement from the government. But on the other side, the trade sales has grown by 25%.
Government business is maybe overall around 20% of the total domestic business. So there was a drop of 50% there. But overall, trade business has grown by around 25%, which is the balance 80% of the business. So hopefully by the end of this year, quarter 2 , quarter 3 we have a good visibility on the domestic business and we should grow by around 20% plus in the next few quarters.
Cardiology and critical care business has ta ken off well. We have launched four to five products in each category. And for the next few quarte rs, we'll be launching another four or five products to expand the range. Current focus in critical care is toward oncology field which is mainly for cancer drug delivery. And we see a good traction here. We are using the technology from our Italian plant to grow this business. And also a lot of pr oducts have been locally developed to augment the whole range of products for drug delivery.
Q1 capex was close to around INR 70 crores. This is in l ine with our annual plan of INR 250 crores which we announced earlie r in the year. And most of the c apex as I mentioned earlier is happening in these 4 new plants where we are adding new production line to expand the capacity.

The company is also investing in AI -based tools for upgrading technical skills of sales people. And these are some new tools which we have seen in the market. We have tested them, and actually, this will help to enhance the capability of the salesperson when he is going to a hospital or to meet clinicians. And we will also do a lot of trainin g programs to our international clients, and also a training program for nurses and doctors through this AI -based tool. So we are already working on this.
On the U S business update the first sale of infusion products has started. We are ramping up production capacity by adding new equipment. We are very hopeful that this new equipment will be ready by end of the year. But meanwhile, we'll continue to manufacture wit h the pilot equipment which we have established earlier.
We already have four FDA approvals which have been obtained right now. And we are in the process to get 8 to 10 new approvals in the next 12 months or so. So with this, almost 12 to 14 products will be FDA appro

ved and that will give us a good visib ility for the US market and U S
business, which we are very hopeful that it will grow as we have projected earlier between USD15 million to USD 20 million in the next 3 years' time.
PLI there's not much update, as the current scheme was not favourable . Even in the current budget the outlay for PLI is only INR 85 crores for existing companies which have taken PLI. So more or less, the scheme has not worked well for M edTech industry, medical device industry. And we have been pushing the government that if they can come out with a new scheme which is more favourable to the industry and which really supports Make in India. So there's a constant work in that direction, but we haven't heard anything on the current budget.
On the new product development side, we are already on track to launch 10 to 12 new products every year. But the most important thing is that we continue to expand our R&D base, expand our product lines across all verticals not only focusing on those three transformative verticals, but we are also focusing on transfusion and vascular where we will keep on adding more and more products just to address the whole basket, the whole therapy in that segment.
In the budget nothing important has come for the MedTech industry. Only positive news that government will rationalize duty structures across GST and custom duty platform over the next 6 months. Currently, we have varied GST rates of 5%, 12% and 18%, and probably, in some cases, we have inverted duty structu re. So I think what we heard as an announcement that government may look at those issues and maybe rationalize this rate.
On the yearly outlook we continue to guide as I said earlier 22% to 24% revenue growth for FY '25 and 100 bps to 200 bps margin improvement over this current financial year. This is based on the current traction we see in both domestic and export business. And even when we look at the new transformative business, renal, cardiology, and critical care which are ramping up right now.
These are also businesses which will add more margin to what we have now. So they are probably , when you look at critical care and cardiology, they are higher -margin businesses for

us. And as we ramp up, I think we will see some improvement in the margin profile of the company. On the export front, I think I will look at the total growth of the company.
Last year, exports were around two -third exports, one-third domestic market almost 67% and 33% ratio, b ut in first quarter the ratio has changed. We have 70% exports and almost 30% domestic sales. So because of the high growth in exports, we were able to improve that ratio to a certain extent. And probably in the current year, this ratio would probably rema in in the range of plus/minus 1% or 2% or 70% and 30%.
Europe continues to outperform for us. We have grown over 30% in quarter 1 as compared to the previous year. And this is pretty heartening because in spite of all the global challenges and headwinds in the global supply chain and the sea freights kind of i ncreasing again, there's a huge shortage of containers, which is impacting actually the business in the short term. So still, we have grown the export business.
And as we hear from industry sources that this container shortage or export freight rates will only come down by October, November. So next two months, three months it's challenging. But we are very hopeful that we will be able to mitigate this risk and continue with the good growth here so far in the export business.
Company also received the Export Excellence Award for FY '22 and '23 as the largest exporter of consumable medical devices from India from PLEXCONCIL. I'm also proud to say that from last 10 years, the company is a leader in this category. We were also rec ognized by Economic Times as one of the best health ca

re brands for 2024. So these are some of the accolades the company has received in the past few months.
We are also eagerly waiting for the new Drugs and Medical Device Act 2024 which will reshape the regulatory pathway for medical devices sector and segregate largely the medical devices from drugs. This is very important, because currently all the drugs reg ulations apply on medical devices. And sometimes we get caught up with the issues which are there in the pharma industry, which are not related to us.
So I think it's important that we have this new regulation or act enacted soon, so that the whole sector can be carved out of pharma and drugs. There are also a lot of other government initiatives like supply chain establishment for manufacturing, expanding scope of PPO orders, so that more Make in India products are procured by the government. So a lot of initiatives are happening parallelly espe cially to support Make In India.
I'll just take you through the other aspect of the fund raise which we have recently announced. The Board recently g ave approval to raise up to INR 1,000 crores through QIP process which was done through a board meeting end of June. And most part of the funds will be used for capex. We plan to build three , four new facilities in the next 24 months to expand manufacturing capability as we see a good traction and some new projects we are working on. Probably, this will help us to scale up faster.
We also plan to deploy part of the funds into an organic opportunity for technology enhancement and also to shorten the product development cycle. Currently, it takes 3 to 5 years to launch a

new product after a proper clinical trial and regulatory approval across global markets. So I think to shorten this cycle to add products much faster in the whole basket, we will have to look at certain inorganic opportunities.
We are not sure what it is right now, but as soon as we know we will definitely reach out to you and explain you the rationale for doing those inorganic, let's say, technology transfers or where we are going to invest money in the long run. We are seeing a keen interest from foreign domestic funds in the MedT ech space in last 2, 3 years which is a great sign for the industry.
Pre-COVID this industry was capital -starved and probably very few people knew about the MedTech industry. But now with proper recogni tion, capital flow has eased out a lot in the industry.
So this is what we see in the long run. Industry is getting recognition. More and more companies are expanding faster and more capital is available for the industry to grow, which is a good sign.
Our overseas subsidiaries and JV company remain profitable. They continue to expand operations in Egypt and Italy. China plant we have not added anything new. And as I've explained earlier due to cost structure reasons in maybe next few years, we may curtail the operation or even maybe completely shut it down. But again, that decision will depend on global external factors.
This is all from my side. I'll be happy to answer any questions from people on the call who have

joined. And thank you for your time once again and thank you again for your participation and support.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Jaiveer Shekhawat from Ambit Capital. Please go ahead.
Jaiveer Shekhawat : Sure. Thanks for taking my question. M r. Baid first question on the domestic business. You alluded to the fact that there were certain onetime orders from the government that you lost during the quarter since the last year. What was contribution of that for the rest of the year, 9 months FY '24, the remaining 9 months?
Himanshu Baid: So it was for a very special product, which was for vaccination programs, some auto disable syringes. So we have alread

y discontinued the product after the end of last quarter , first quarter of last year.
Jaiveer Shekhawat : Understood. So there is no other reliance for the remaining part of the year?
Himanshu Baid: Yes. Because this was mainly for the auto disable syringes a nd we had started this business only because of government's insistence because there was a huge shortage of supply at that time.
Jaiveer Shekhawat : Understood, s ir. Yes. On the U S business given that you've already announced tie -up with a couple of GPOs there. So what kind of access does that provide to the medical insti tutions that are there in the U S market for you?
Himanshu Baid: See, basically, they will be placing the product directly into the market, and they have their own sales teams to do that. So our job is limited to manufacturing in India and maintaining those

quality standards and regulatory requirements and training those people initially on this product line. But beyond that, I think mostly the business will be managed by them locally.
Jaiveer Shekhawat : And sir do you believe that the given that those GPOs sort of provide to tens of thousands o f medical institutions in the U S, do you get access to all of those with respect to your products, or are there specific institutions where your product is supplied?
Himanshu Baid: They will be probably starting with a few institutions to begin with and then they scale up basically. The scale -up will happen maybe in few years. And already, there will be existing contracts with existing suppliers and manufacturers. So it's not going t o change overnight. But that's the reason we are saying that there's a ramp -up period and maybe in the next 3 years, we'll see that ramp -up. That's what we have been calling out.
Jaiveer Shekhawat : And sir similar to Europe wherein you have more of your direct presence in the hospitals, are you looking to sort of build a similar thing in the U S as well over a period of time, so that you get direct feedback from your customers and possibly.
Himanshu Baid: We already have a team out there. We have a couple of people in U S right now. But as time progresses, we will also maybe build some clinical resources so that we have a direct access to the market and information what's happening out there.
Jaiveer Shekhawat : Understood. And you recently had your Vision 2030 Strategy Meet . So could you talk about some of the targets that you have set for yourselves and the vision that you have?
Himanshu Baid: See, I can't talk about future numbers so much. But yes, I think the opportunity size and I think Vision 2030 is mainly focusing on Indian market, that what is happening in India and how we can actually outsmart the growth, which is 12% to 15%. And can we do around, let's say, 22% to 25% growth in India. And I think with all the ideas we ha ve got from our team, I think we're pretty sure because these new two verticals will do well in India, because there's a lot of gap between imports and loc al manufacturing. So that is where we are trying to focus.
Renal seems to be very promising. And overall, the opportunity size is too big, because market is growing at 12% to 15%. We are still not present in every hospital. We still have only 40% coverage. And we also have to go deeper in each account where we are operating today. So when we look at this leverage, I think the opportunity is quite big actually. I can't give you the numbers, but it's quite big.
Jaiveer Shekhawat : Totally understand. Sir, lastly, on yo ur capacity expansion, the new three facilities, as and when they come up, what kind of overall capacity increase does that lead to? And then what do you think would be the peak revenue potential from all th e 15 capacities that you have?
Himanshu Baid: Jaiveer, you're asking the same question in another way. But again the idea is with these 3

or 4 new plants which we established between '23 and '24, we were able to increase almost capacity by 50% from 1.2 million almost to 1.8 million by the end of this year. Similarly, with these two new plants which we'll establish sorry, next four plants we're looking at expansion. And this expansion is more focused towards, I think, cardio or critical care. So there the numbers may

not increase, but the value would increase. So again increasing it by another 40%, 50%, that's the plan.
Jaiveer Shekhawat : Right. Because my question is in terms of continuing to reinvest in your capacities. I mean, does that leave you with a lot of capacities which can possibly give you a 20% plus growth for the next 5 years without much capacity investment?
Himanshu Baid: No, we have to keep on investing. I think this industry needs a tactical investment every year and I th ink that is what we need to do and b ecause there's a lot of technology. This is something which is not static, that you start something . it's not like a steel plant that you invest once and then you are done. Here every year you are adding new technology in the existing product also. So you have to keep on investing to upgrade and look at new areas. So investment will continue.
Jaiveer Shekhawat : Sure. And sir with respect to the inorganic opportunity, it's my last question, are you also looking to get into any related medical equipment as well?
Himanshu Baid: I can't answer that, sorry.
Jaiveer Shekhawat: Sure. Thanks a lot and all the best.
Himanshu Baid: Thank you.
Moderator: Thank you. The next question is from the line of Harshi from Bee Capital . Please go ahead.
Harshi : Hi, s ir congrats on the great numbers. I just wanted to understand this point you made on how PLI has not worked very well for medical devices in India. So just wanted to know the road blocks that are coming in?
Himanshu Baid: See what has happened is, government called out four categories of products in PLI. But they equated everything on the same parameters, equipment, implants, consumables on the same parameters where you need t o do incremental revenue of INR 60 crores every year, starting from 0 and from first year onwards do incremental revenue of INR 60 crores every year.
And I think in certain industries, it's not possible. Even the equipment industry is struggling today. So every year you can't almost double your business or increase by 60%, 70% in that category because it takes time to establish the product a nd especially when you are supplying to government you need 3 years of market standing. So that was not well thought of. And even government department is asking for certifications which are like CE, U.S. FDA certifications on machines.
So that takes 2 to 3 years to actually get one regulatory certificate like that. So from day 1 you can't get. So most of the companies are not able to comply with that incremental revenue. And because of that, there's no incentives even being distributed. So this year, if you read the budget fine print, only INR 85 crores have been allocated to medical device sector for PL I. The whole scheme was for INR 3,420 crores. Year 3 would have been the peak year, which is the year 3 this year, FY '24 -'25.

And in the peak year which is thi rd year we were looking at INR 1,000 crores of incentives to be given to companies, but the only incentive paid will be INR 85 lakhs which is budgeted in government's document. So even that budget will be there or not nobody knows.
Harshi: Understood. Thank you.
Moderator: Thank you. Th e next question is from the line of Prem from Dolat. Please go ahead.
Prem : What is the infusion sales contribution in domestic business if you can.
Himanshu Baid: Sorry could you repeat that question. There is some disturbance in the li

ne.
Prem: Just a moment. Can you hear me now?
Himanshu Baid: Yes it’s better.
Prem: So want to know that in fusion sales contribution in domestic business is how much?
Himanshu Baid: Infusion products though we don't call out separately, but it should be close to around 60% to 65%.
Prem: Okay, sir. A nd what about the gross margin a s the contribution from export is high, so do you maintain the guidance of what you've given for the full year?
Himanshu Baid: Yes. Again in the beginning of the call I already said that we are maintaining that guidance which we have given of a revenue growth of 20% to 24%. And even the margin we have spoken that there will be an improvement by 100 bps to 150 bps in the current financial year when you look at the year as a whole.
Prem: Okay. And sir you have guided for 20% to 24% of export growth.
Himanshu Baid: Total gr owth n ot export. Total revenue growth of the company.
Prem: And any guidance for domestic growth? Do you maintain that growth or no changes?
Himanshu Baid: Domestic growth as I said earlier we are looking at between 20% and 22% overall growth for

domestic business in the current financial year, b ut export will be slightly higher. So then the blended growth will be 22% to 24%.
Prem: Okay sir.
Himanshu Baid: Thank you.
Moderator: Thank you. Th e next question is from the line of Bino Pathiparampil from Elara Capital. Please go ahead.
Bino Pathiparampil : Just a question on capex. What's the capex plan? How much are you going to spend on c apex this year?

Himanshu Baid: This year we have already given a guidance of INR 250 crores which we have al ready spent around close to INR 70 crores in the first quarter. And for the rest of the year we'll be spending around close to INR 180 crores or something in that range.
Bino Pathiparampil : Okay. And that is going to substantially go up in the next couple of years?
Himanshu Baid: Yes, it will go up because, first of all, we are going to set up 4 new plants. So that is something which we are already working on right now. And this current c apex is happening in the existing plants, which we set up in last couple of years.
Bino Pathiparampil : Understood. So if I roughly put your capital raise plans and this together roughly INR250 crores, INR300 crores of maintenance capex plus another INR300 crores, INR 330 crore s of new plants, so roughly INR 600 crores roughly per year capex for the next 3 years is something of a rough back of the envelope calculation?
Himanshu Baid: No. The maintenance capex will end by, let's say, middle of next year. Because these plants will be saturated and then we will not be putting any new investment other than minor, but there is no major because these plants will get saturated. But the new capex that we're planning would be a ru n rate of INR300 crores to INR 350 crores. That is what we are see ing. And then maybe another INR100 crores to INR 150 crores of m aintenance c apex.
So you will see something between INR400 crores and INR 500 crores of capex happening in the next couple of years of further accelerated growth.
Bino Pathiparampil : Understood. Yes. Okay. Thank you.
Moderator: Thank you. Th e next question is from the line of Harshi from Bee Capital . Please go ahead.
Harshi: Sir, I just wanted to know how is the dialysis business coming along like we are on a target of INR500 crores for the year. So if y ou could share how is the Q1 bee n?
Himanshu Baid: Yes. So Q1, we have seen a 40% plus growth in revenue. The target for the whole year is between INR140 crores to INR 150 crores. We have already ended over INR 30 crores in the first quarter.
And the traction is quite strong, because as we have localized production for the machine, we have also expanded , expanding capacity for our dialyzer production and other products. So we're pretty

hopeful that for the ye ar, we should be in between INR140 crores and INR 150 crores which probably will give us around a 50% growth over the previous year.
Harshi: Okay. Thanks.
Moderator: Thank you. The next question is from the li ne of Girish Jain from KJMC Fins erv Group. Please go ahead.
Girish Jain: Good evening H imanshuji and congratulations on a good set of numbers. Just a couple of bookkeeping questions. Could you give us some idea about the current debt of the company and the inventory the company is carrying given that last year we w ere facing some logistic issues?

Himanshu Baid: So Girishji typically we carry two months of raw material inventory in the company because of the current supply chain crisis, because a lot of raw material is imported. Almost 60% to 65% raw material is imported, coming from different suppliers across the world. We have almost 250 supplie rs for different kind of raw materials, parts, components which are used in critical manufacturing.
On the finished goods side, we don't maintain any inventory on the export front which is 70% of our business because all is made to order. And for the domestic business we carry probably 1 month of finished goods inventory. So that is the current cycle. On the debt side the long -term debt in the company is at t his moment close to around INR 7.5 crores which is going to be over by end of October. That's the final tranche of payment. It's an ECB which we had taken a few years ago. And working ca pital, that would be around INR 150 crores to INR160 crores.
Girish Jain: Okay. And if I have time, I'd like to add one more question. On the capex plan we had four new plants which have now become opera tional. And in the further fund raise which the company is

planning, the entire money of INR 350 crores which will be put in these four plants or some new locations are being envisaged?
Himanshu Baid: No. So what we are doing is in the current plants whatever capex we are doing right now, in the current financial year and partially in the next financial year is being funded from internal accruals already. And whatever new fund raise we are doing these are four completely brand new locations. And I'll also call out these locations. So there's a new location, which is outside of Faridabad and one in Haridwar and one in Jaipur.
Of course, it is in close proximity to existing plants, but not really attached to the existing plants. And then maybe a fourth location we are scouting right now. Maybe we'll get into one of the medical device parks which are being set up either in UP or in MP. We are already looking at some properties in that area and the existing medical device parts .
Girish Jain: And the balance remaining out of the fund raise could probably be used for working capital and or inorganic opportunity?
Himanshu Baid: Yes. A bsolutely sir.
Girish Jain: ' Okay. Thank you and all the best.
Moderator: Thank you. The next question is from the line of Harsh Shah from Dalal & Broacha Stock Broking . Please go ahead.
Harsh Shah: Just a follow -up on the previous participant's question. So if you could kind of say a ballpark figure how much of the amount from the fund raise would be used for an inorganic acquisition or a technology transfer, if you could call out?
Himanshu Baid: So though we have not finalized anything, but we may keep 25% or 30% of that amount for that opportunity. Majo rity of that will be going for c apex.

Harsh Shah: Okay. So the new 4 plants or the location that you were saying, so would that be only in cardio and critical care or something else is also.
Himanshu Baid: See mostly because these are new businesses we have just started last year. S o we need to have scale -up in these businesses. So we are going to mostly spend

money in that area, because these are very deep technology businesses where we have to invest deeply into manufacturing and equipment. The infra is very different from the curr ent infra.
Harsh Shah: Got it. And lastly if I take a 5 -year or a 6 -year view, is it possible that ou r EBITDA margin can exceed 30% o r do you think it's more far -fetched?
Himanshu Baid: It is very difficult to answer this question right now. Let's not speculate, b ut I think yes we are trying hard. And in fact this year also you've seen margins are close to 27%. So stretching another 5%, 7%, 8% is not a big difficulty from that 27% number. So hopefully we should be there in a few years, but I can't give you a correc t time line on that. But that's what we would probably aspire to do.
Harsh Shah: Got it. That’s it from my side. Thank you.
Moderator: Thank you. The next question is from Shivam Saxena from ICICI Bank. Please go ahead.
Shivam Saxena: So just two questions. What is the current capacity utilization of the plants currently? And secondly, how much time it takes for a plant to become operational? So suppose if you do a capex for a new plant, so when it will give revenues?
Himanshu Baid: Yes, sure. So the current capacity utilization is close to 75% and maximum we can go is 80% because of the variability in the products which we manufacture. And on the, let's say, the second question was o n, sorry , can you repeat that.
Shivam Saxena: Yes, sure. Basically how much time it takes for a plant to become fully operational?
Himanshu Baid: So I think on the plant side, it takes typically 2 years to build a plant and then get all the regulatory approvals. Once the plant is ready, then only you can apply for a product regulatory approval, which could take another because you have to undergo cl inical trials and regulatory approvals, it may take around 6 to 12 months depending on the product complexity and the criticality of the product.
And that is India -only specific. And then once you go to global market, then you need another 12 to 24 months depending on the country where you are applying for the registrations. So that is the typical life cycle of starting to build a plant, to be fully operational and functional, maybe between 4 to 5 years.
Shivam Saxena: Okay. And the current hiring that you have done, so what is the purpose of that hiring of people?
Himanshu Baid: Hiring is for sales. These are salespeople.
Shivam Saxena: Only for sales no.

Himanshu Baid: This is addition in the sales team. Of course, we have also added maybe around 75 people in the plants across different you know, in regulatory, quality, manufacturing R&D, and other services. But mainly we are calling out more on the sales side because this is something we want to build more strongly.
Shivam Saxena: Okay. Thank you. All the best.
Himanshu Baid: Thank you.
Moderator: Thank you. Th e next question is from the li ne of Girish Jain from KJMC Fins erv Group. Please go ahead.
Girish Jain: Himanshuji in your opening remarks you mentioned that the China plant is not doing great and you may in the future consider closing those operations. Did I understand correctly? And if yes, what could be the impact on the revenue and the profitability?
Himanshu Baid: Look so China plant is a very small plant with less than 40, 50 people and the revenue is under USD 2 million from China plant. And the reason we will probably close it down is because of current cost structures in China are much, much higher as compared to India. And also, the plant lease is expiring in the next 18 to 24 months.
Initial lease was around 20 years, so we are almost at the end of the lease period. And I think the management team and the Board probably have taken a call, there's no point in extending that and taking another 5 or 10 years. And I think now

there is no s uch advantage coming out of being in China. Because I think in India we have already grown in a good way, which will actually make China factory almost redundant.
Girish Jain: So will it be correct to assume that the impac t on revenue will be less than USD 2 million whereas on the PAT, there might be a positive impact?
Himanshu Baid: Yes, because ultimately all that cost goes away and 2 million is nothing if you take USD 200 million revenue company.
Girish Jain: Thank you so much.
Moderator: Thank you. Th e next question is from the line of Nitant Dareka r from Bonanza Portfolio. Please go ahead.
Nitant Darekar: Congr atulations to the management on a good set of numbers. I just had a bunch of qu estions. First on the over U S FDA approval for the current year. So in what therape utic segments are these FDA filed ?
And the second would be the guidance on the new plants that we are planning to set up. Any geographical guidance of where these plant would be and thirdly a re there any new therapeutic segments or devices that we are willing to explore in the coming next few years?

Himanshu Baid: So on the first question it was not very clear. Maybe you were too close to the mic . So maybe if you can repeat that. The next two, I've understo od, b ut the first question if you can repeat on the U.S. FDA. It was not very clear.
Nitant Darekar: So like current ly you have signed four U S FDA and like the total sector is going to be 8% to 10% for the whole current year. So in what therapeutic segments are these FDA side in infusion therapy?
Himanshu Baid: The main products where we are applying for FDA would be more on the vascular access and critical care. These are two important areas we are focusing on. Vascular access is th e core business of the company. S o we will focus there, because we have a good global competence in that area. And the next segment we'll be focusing will be more on critical care.
And on the new plant locations, I've already mentioned a few minutes ago. The plants will come in Jaipur, Haridwar and Faridabad, o utskirts of Faridabad. And the four th plant we have not decided. We are still contemplating if to go to a medical device park. And on the segment side, I think for the next 4 to 5 years, we'll continue to focus on the current 6 segments we are into. But whatever adjacency we see maybe when we do renal, we could probably look a t urology side of the business o r when we do critical care, we can also look at maybe gastro side. So these are some of the adjacencies we will look at, but I can't tell you anything what we'll do in 5 years from now in terms of business, new product areas, b ut currently we have enough to do in the current segments itself what we are doing.
Nitant Darekar: All right. Thank you.
Moderator: Thank you. T he next question is from the line of Shivam Saxena from ICICI Bank. Please go ahead.
Shivam Saxena: Yes. Thank you for taking my question again. Just wanted to understand what is the frequency of price hikes in this sector, do you think i t is easy to take price hike in this sector?
Himanshu Baid: No. If there is a big change in raw material cost then definitely we'll take a price hike. And overall we have experience of now 27 years of running the company. So what we have seen is

that prices are more or less steady because we don't see too much chan ges. As our gross margins
are pretty high so we are able to manage any raw material shocks which come in the market.
So more or less the prices remain stable. And if there is an untoward change in global pricing,
global raw material, let's say, supply chain, then definitely we go back to customers and ask for
a price hike. But it depends on the contract, it depends on bu siness to business. So there is no set
formula for it.
Shivam Saxena: So how is the competition i

high in the se ctor, competition point of view?
Himanshu Baid: Sir, there is high competition. There would be many players in the market. Many medical device
companies will be talking to them.

Shivam Saxena: Okay. And another thing, you said that it will take 3 to 5 years to pick up revenues for the new
plants. So what would be the revenue growth drivers till that period, if you can.
Himanshu Baid: So for that period we already have established four new plants in the last 2 years and most of
these plants will get populated. So by 2027, these plants will probably get exhausted in terms of
capacity and capability. And as a result we are now planning to build 4 new plants which will
get operational by ' 26 and '27 and that will help us to again scale up revenues for the following
3, 4 years.
Shivam Saxena: Thanks.
Moderator: Thank you. The next question is from the line of Harsh Shah from the Dalal & Broacha Stock
Broking . Please go ahead.
Harsh Shah: Thanks for the followup. Y ou mentioned in the opening comments that we have grown about
30% in Europe. So I mean it's a commendable growth, b ut just wanted to understand is it just
cost difference that is helping us to win more market share in Europe?
Himanshu Baid: See basically it's about market penetrati on with more and more products t hat is important,
because as the funnel is now open. So let's say with the same hospital, with the same distribution
partner we have been able to add more products. So that's number one. Because we have a very
wide range of products which we offer.
Of course, when you're making in India, you have to be cheaper, because there we are competing
with local players or with global international players. So definitely if you are matching on
quality and performance and there is a price delta definitely then we have a better chance of
supplying those products.
Harsh Shah: And what would be the price delta ballpark?
Himanshu Baid: See, It depends on product -to-product v ery hard to say what is the delta. But I would say, maybe
20%, 25% price differential for sure between Indian companies and large multinational
companies.
Harsh Shah: Okay. Got it. And lastly in terms of risk share in the export market what could be that risk share?
Obviously right now we are facing that container availability issues and stuff like that , but other
than that what is the.
Himanshu Baid: This issue was also there in 2022 . So it is not new and maybe also prior to that whenever there
is a crisis global. G eopolitical situation always the trade imbalance kind of kicks in. So I think
that is always kind of mitigated. Yes, sometimes you have to pay higher freight or customer has
to pay for a little higher freight. But again, over a period of cyclic, so it come s back to normal.
I think to me the biggest risk I would see in the export business would be if we are really making
bad quality products, but which we are not, because we have 27 years of experience in selling
into overseas markets today now. And we are in more than 100 co untries today selling our
products. So we are very well diversified on the geographical side. We are very well diversified

on the product portfolio. So all these things a nd we have run multiple plants. So all this helps us
to mitigate that risk which can arise because of one product or one country.
Harsh Shah: Got it. And just lastly on I.V Cannula. So what percentage of revenue would that be contributing?
Himanshu Baid: Between 25% to 30%.
Harsh Shah: And that would be mainly in Europe, right?
Himanshu Baid: Not really. It's a global product. We are the third largest manufacturer in the world. We have
almost 10% global market share on that business in terms of volume.
Harsh Shah: Sorry what market share did you mention?
Himan

shu Baid: Almost 10% market share global volume.
Harsh Shah: Got it. That's it from my side. Thank you.
Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.
Himanshu Baid: Again thank you everyone for your time and I think a lot of good questions asked. This really helps us to do better and your thoughts which are coming from outside really give us a very different view on the business. So continue your support and have participation so that we can do better every time whe n we talk. And thank you again a nd looking forward to speak to you in the future.
Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2024

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(Listing Obligation and Disclosure Requirements), Regulation, 2015
Dear Sir/ Madam,
Pursuant to Regulation 30(6) of SEBI (Listing Obligation and Disclosure Requirements)
Regulations, 2015, we hereby submit Transcript of the investor Meet/Call held on 29th October
2024, at 04:00 pm on the Un Audited Financial Results of the Company for the quarter and half
Year ended 30th September, 2024, on Standalone and Consolidated basis, which were considered
and approved by the Board of Directors of the Company, at its meeting held on 28th October,
2024.
This is for your information and record.
Thanking You,
Yours Sincere! y
For Poly Medicure Limited
A vinash Chandra
Company Secretary
M. No. A32270
Encl: As above
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Plants : Plot No. 104-10 , •
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"Poly Medicure Limited
Q2 FY25 Earnings Conference Call"
October 29, 2024

MANAGEMENT : MR. HIMANSHU BAID – MANAGING DIRECTOR – POLY
MEDICURE LIMITED
MR. NARESH VIJAYVERGIYA – CHIEF FINANCIAL
OFFICER – POLY MEDICURE LIMITED
MR. AVINASH CHANDRA – COMPANY SECRETARY –
POLY MEDICURE LIMITED

MODERATOR : MS. NISHA SHETTY – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to Poly Medicure Q2 FY '25 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Nisha Shetty from ICICI Securities Limited. Thank you, and over to you, ma'am.
Nisha Shetty: Thank you, Palak. Good afternoon, everyone. On behalf of ICICI Securities, I would like to welcome you all on Q2 FY '25 Earnings Conference Call of Poly Medicure Limited. Today on this call, we have with us the senior management team of the company represented by Mr. Himanshu Baid, Managing Director; Mr. Naresh Vijayvergiya, CFO and Mr. Avinash Chandra, Company Secretary. I would like to thank the management team of Poly Medicure for giving us this opportunity to host this call. And with this, I will hand over the call to the management. Over to you, sir.
Himanshu Baid: Thank you, Nisha. Thank you for hosting this call. A very good afternoon to everybody who is connected on the call. My pleasure to talk about the company's progress in the previous quarter and also discuss about the H1 results for the current financial year. As you have seen, the company's revenue has grown in line with the in the guidance we had given in the beginning of the year. Guidance was between 22% and 24% for the whole year. So the H1 revenue, if you look at the standalone comparison has grown by around 23%. So it's pretty much in line with what we had mentioned earlier.
Also, all the new plants which were commissioned last year, they have started functioning well. And the additional capacity, which was generated by the new plants, we're able to sell most of these products to customers in India and outside India. And the margin also, we have seen a slight improvement in the margin. This was also as per the guidance given in the beginning of the year of 100 to 150 bps margin improvement during the year. And during the quarter under review, the Q2 we have seen EBITDA operating EBITDA margins almost touching 28% versus last year's Q2 margin of 25.82%.
So we have seen an improvement, a significant improvement in the margin also. Even compared to previous quarter of Q1 of this current financial year, we have also seen some margin improvement from 27.5% to 28.06%. On the PAT side also, there is a significant improvement for the second quarter '23-'24 and this quarter '24-'25, we have seen PAT increase from INR59.21 crores to around INR87.22 crores. So there's a significant increase in the PAT also comparatively as compared to the previous quarter.
And overall, if you look at H1 to H1 comparison, the revenue has increased from INR625 crores to and these are all standalone revenues to INR770 crores. EBITDA has increased operational EBITDA has increased from INR167 crores to INR214 crores. EBITDA including other income has increased from INR193 crores to INR258 crores. And PAT has increased from INR119 crores to INR159 crores.

So in every parameter we have improved from the previous quarter and previous year. And this is mainly because of the new expansion we have done launching of new products over last 12 months to 24 months. All that has actually helped us to improve our revenue as well as the sales in the current financial year. Though there were a lot of headwinds during the current financial year because of the current geopolitical situation in Europe and in Middle East, we had incidents of high freight costs during this quarter.
Also, we have seen shortage of containers in key geogr

aphical areas. That also was one of the
factors which we're constantly monitoring. And also, there was some fluctuation in the raw material prices because a lot of our raw material based on crude oil. So a little bit of fluctuation of that. But in spite of all these challenges, we were still able to do better compared to the previous year and even do a little bit better margin comparatively.
If you look at the current product sales mix in the current quarter again, I think exports are close to 70% and domestic business is close to around 30%. So we are maintaining the same range. And I think for the whole year we'll also maintain a similar range for exports and domestic business. The good news about the domestic business is if you look at the quarter under review, the second quarter, the export the domestic business has grown by around 22%. If you recall, in the previous quarter, we had only increase of 6%.
But as I had mentioned in the last call that we are focusing now more deeply on the domestic business. And because of the efforts we have done, domestic business is has grown actually in Q2 to Q2 comparison around 22%. And this is a big jump for us in terms of the efforts we have

put in, in the domestic business. And this trend should continue in the coming quarters also.
So for the full year, we maintain our guidance of 20% plus growth for the domestic business.
Export business definitely has grown by around 26% if you compare H1 to H1 numbers, and that continues to do well for the company. In exports also, we have seen that Europe has done very well. We are logging a growth of around 35% in the export business in growth in export business in Europe. And a lot of the key markets are doing well for us, including U.K., France, Italy, Germany, Spain and Nordic countries, they are doing well for us right now. And we are adding new products. We are adding new clients also in this market. So all that is helping us to grow our business there.
When we look at the U.S. business, I think this year we expect to clock anything between USD2 million to USD3 million revenue. This is the first year full year where we have FDA approvals and the business has started rolling out in the U.S. We started getting repeat orders from our customers. So it's very heartening that the business is picking well. And then we may still maintain our guidance of USD15 million to USD20 million over 3 years, 4 years as we have been saying earlier.
So we are building up the business. We are absolutely as per the plan, which we have actually made for the company. And everything is going as per schedule. We don't see any changes in that schedule or plan of implementing revenue in U.S. market. When you look at the renal business. The renal business has done well. We have seen a growth of around 40%, 45% in the first 6 months, and we maintain our guidance of 50% growth for the next 6 months also. So

overall, from INR90 crores number, we should be able to do between INR140 crores to INR150 crores of renal business in the current financial year.
And we are very bullish about the business prospects because with the new Prime Minister Scheme or PMJAY where the reimbursement rates have increased for renal treatments from around INR1,200 to INR1,800, I think more and more patients are now able to take renal treatment. And it has actually become profitable for also for providers, which were actually earlier bleeding.
So with this change which and that's the big change, which has come in, in the payment by the government and a lot of state governments, as you've seen recent Haryana elections, government has announced also free dialysis for patients. So a lot of state governments are now moving to actively promote dialysis in the health care budgets.
And also, we are seeing the use of single-use dialysis is also changing because earlier when we started the

business few years ago, there was a high reuse of the products. Almost close to 90% market was reused, and 10% was single use. But now we have seen in last after COVID, the trend is changing.
Almost 30% to 35% market has moved to single-use, and 60% to 65% or maybe 65% to 70% is close to around multiple use. But in next 2, 3 years, as the trends are showing, I think the market will be become 50% single use and 50% multi-use. And that will also further increase the demand for dialysis products because once they are more single-use products, then the consumption will further increase.
And we are making adequate investments in the dialysis business in terms of our footprint in manufacturing, machine servicing, engineering space. So everything we are building up right now is infrastructure, which will help us to grow at a much faster pace in the next 4, 5 years. So after this initial struggles we had with the business, now the business is pretty much on track and on a high growth path.
And I think we don't see any reason that we will not gain more than 30% to 40% market share in the next 4 to 5 years in this business. And there is no competitor in India making these products. So we are the only company, which is manufacturing such products, and we have full technology backup. And we're also developing some new products in this area, which will also further benefit the patients and also help in reducing pain, which dialysis patients have to undergo for a longer treatment. So there's some new technology we are developing and that also products will be launched sometime early next year.
On the QIP front, the company in the previous quarter has raised additional funds around INR1,000 crores, totalling 53,19,148 equity shares were issued at a price of INR1,880. And after the QIP, the institutional shareholding has increased from pre-QIP level of 19.26% to around 23.58% post-QIP. And the split is pretty much even, almost half institutional holders are from India DIIs and half from FIIs.
As of September 2024, the institutional shareholding post-QIP now has increased to around 24.21%. And major new investors which were part of the QIP were Lighthouse Fund, SBI

Mutual Fund, Aberdeen, Nomura, White Oak, ICICI Life, Quant, Morgan Stanley. So a lot of new investors have actually joined and a lot of insurance companies, Kotak Life, Max Life, Tata AI have also been allotted shares under the new QIP.

The QIP proceeds will be used over the next 2 years. And it's mainly the new capex for new plants. So the company is setting up 3 new facilities, additional facilities, one in Haryana, Rajasthan, and Uttarakhand. And all these facilities will come live in sometimes middle to end of 2026. And we are focusing on three core business areas. One would be, of course, renal dialysis business. Second would be cardiology, and third one will be critical care.

So under all these 3 therapeutic areas, we will be expanding capacity and capability to cater to domestic as well as international demand. Out of the QIP proceeds, INR500 crores is for new capex. INR200 crores INR250 crores will be for general corporate purposes to fund the working capital requirements in the next few years, and acquisitions, we have earmarked INR250 crores for that. And also, the company has around INR250 crores of cash surplus, which would be also deployed in these three areas.

Also, current in the current 6 months, company has done a capex of already INR150 crores. For the whole year, we have planned around INR250 crores capex. But as it looks like, we were able to speed this up. And all this capex has been done from internal accruals. So no QIP money has been used so far for this. All this capex has come from internal accruals. And with in for the balance 6 months, we also will spend another INR100 crores to INR125 crores more for the current in the current plants whe

re you will be adding more machines and more capacity in the current plants.

So with this new capex, and I think with this new all three big plants, which we are going to set up in the next 2 years, we will have sufficient capability and capacity to look at new opportunities in the medical device industry. Already, we see some tailwinds coming to India because of now some changes in the U.S. tariffs against Chinese products. And I think in the next 1 or 2 years, we also see good opportunities in the CDMO sector, where contract design manufacturing will be a good opportunity to work with large companies.

So I think the infrastructure we are creating will be also help us to create for such kind of opportunities, which should be coming to us in the next 1 to 2 years. So all these new tariffs are going to come in next I think starting from October, they will be implemented in a phased manner in 1 year. So I think we are also seeing some traction from U.S. where companies are interested to develop some additional products with us. So hopefully, in next 1 to 2 years, we will see also some new products being developed to cater to U.S. markets.

And also with global geopolitical situation changing, we also will see some more traction coming from Europe where more companies in Europe would be interested to look at India as a manufacturing option. So this is some update on the international business. On the other hand, we have seen that next 6 months, again, we will stick to our guidance what we have given. So we should be able to hit that growth rate of 22% to 24%, which we have already given as a guidance. I think we are pretty much on track for that.

We have, in terms of salespeople, we have in the first 6 months, we have added 60-plus new sales associates in the company, which is absolutely in line with our plan to have 100-plus people in the current financial year.

And out of these 60 people, 40 people have been hired in new verticals, critical care and cardiology. So these verticals have just started. So we are on the verge of launching a lot of new products in these new 2 verticals. Some products have been launched already. Some are in the pipeline. So a lot of work has been done right now.

We are also going to work very closely with certain clinical research organizations to help us do clinical evaluation of our high-end Class III devices. So that is another area we'll focus on in the next 6 months to 1 year. So that we will have enough data to fast track our regulatory approvals in developed markets. So we are already working on that.

On the PLI scheme, of course, the first PLI for new products as we were 1 year late. So we were not able to get the traction because 1 year, we missed the cycle, and because of that, we are not able to get any incentives of that. But on the PLI 2, the company will receive around INR1.4 crores of incentive in quarter 3, which has not been which has recently come in October to us. So that is for the previous year, which has been coming to us in this current quarter.

And so we are hopeful that under PLI 2, we'll continue to get some incentives from the

government. PLI 1, we may not get any incentive though we have requested the government to extend the scheme by another 1 to 2 years because of COVID. During COVID time it was very hard to set up plants and scale up capacities. So we're not sure about it. But anyway for us, it's more important that to build a traction in the business. And renal business continues to do well. So probably with or without PLI, it doesn't matter for us right now.
And we are very hopeful that, that 50% growth in next few years will continue to come for renal business. And this is mainly for domestic market. So and maybe by FY '26, we will also start exploring the global export markets for renal products. So that will further help us to strengthen our position

in this category. So these are some of the updates from my side and I'm happy to answer more questions whoever is on the call, please feel free to ask questions about the company. And Nisha, over to you again.
Moderator: Thank you very much. The first question is from the line of Karan Khanna from AMBIT Capital. Please go ahead.
Karan Khanna: Thanks for the opportunity and congratulations, Mr. Baid on another strong quarter. Himanshu, my first question is on the exports business in particular, Europe, which continues to grow at about 25% plus for the company. What's driving that? And how do you see exports' growth over the next few years? And then what's the kind of visibility that you have from your distributors and customers in that market? And similarly, on the U.S. business, are there any updates on further FDA approvals? And how is the feedback for the shipment that you completed via GPOs? And how do you see the distribution evolving here?
Himanshu Baid: So I'll first answer, Karan, with Europe. So Europe, I think we have a great traction in Europe market. And I think we have a long-term visibility because most of the businesses we contract

in Europe, they are long term basically over spread over 3 to 5 years. So and a lot of these businesses are new businesses, which we have got into in the last few years. So we have a great visibility in Europe. So Europe will continue to outperform the growth general growth of the company. So we expect Europe to grow in the range of 30% to 35% in the next coming couple of years also.
On the U.S. business side, I think we have already as I mentioned on the call, we have already got our second, third orders from the U.S. So I think the feedback is great, and I think we are moving ahead with that. All the products we have launched in the U.S. market, we have given a guidance for USD2 million to USD3 million for the first year where we'll be selling at least four to five products in the U.S.
And we are still waiting for FDA approvals to come. And hopefully, early next year, we should have we should get a few more approvals. That's what we're expecting in first quarter of the next calendar year. And once we have the approval, we will start building businesses for those products also. On the...
Karan Khanna: Sure. My second question is on your expansion plans to set up 4 new plants. What are the timelines for commissioning these and likely capex for the same? And what kind of peak revenue potential do you anticipate once these plants are online?
Himanshu Baid: So we have put an outlay of INR500 crores for these three new facilities, which is part of the QIP fundraise. And this facility should be live by live from mid to end of 2026. And land has been acquired for all the 3 facilities, Haridwar, Jaipur and Faridabad. So these are in the existing areas we currently operate. So these are adjacent facilities, some are nearby, some are adjacent. So this helps us to leverage our current infrastructure and expand quickly with new products.
Karan Khanna: Sure. And lastly, on your new divisions such as cardiology and critical care, what kind of further investments do you anticipate? And similarly on scale, what kind of scale do you anticipate for both these divisions over the next 3 years to 5 years?
Himanshu Baid: So I think the cardiology is a big business going forward in intervention cardiology. So there are too many players in the market but what we have seen is mostly import-driven, especially on the consumable side. We're not talking about stents here and mainly on the consumable side. And I think that is the area we are targeting right now and Poly Med because of its manufacturing expertise. So we are able to bring some new products in the market, which are locally manufactured, Make In India products, and that will actually drive that market.
So I think in the next 3 to 5 years, I t

hink maybe in, let's say, by 2030, we should be able to look at INR300 crores to INR400 crores revenue also from cardiology business.
Karan Khanna: Great. Thank you, Himanshu and Happy Diwali to the entire team.
Himanshu Baid: Thank you so much Karan. I appreciate.
Moderator: Thank you sir. The next question is from the line of Girish Jain from KJMC Finserv Group.

Please go ahead.

Girish Jain: Congratulations on a very good set of numbers, Himanshuji.
Himanshu Baid: Thank you, Girishji. Thank you.
Girish Jain: My question was relating to the capex, which we had done earlier. I think 4 plants were to be operational. Am I is it correct to assume that all the 4 plants are now operational? And can you give a guidance of what kind of capacity utilization we are running at, the new ones?
Himanshu Baid: So all the new 4 plants are operational, and most of the plants probably should be working around 50% capacity. We are still doing a lot of capex in this plant. As you see the first INR150 crores, which we have spent in the first 6 months, all that capex has catered to existing plants only, the new plants and the existing plants. So a lot of automation is being added. And some of you have already visited plants, have seen that how much amount we have spent on automation.
And automation becomes very critical to our business because quality is the most important part in our products and we can only achieve through automation. And that is already happening.
And I think when we look at the revenue side, I think as you are already aware that if you spend rupee in capex, we see a revenue of around INR1.2 to INR1.3. And that's been actually the guidance for by us. And also that's more or less the industry standard also.
Girish Jain: Okay. So with this new capex now, which is being planned with the QIP money which we have raised, and you mentioned that it might be operational by end of financial year '26. So what will be the increase in the capacity like in terms of percentages?
Himanshu Baid: See, basically, what we are doing is we are going to expand capacity in three core business areas.
One is renal dialysis, where we will double our capacity from our current level where we operate.
And what we have in pipeline right now, a lot of capacity also comes during this year. So from where we end this year, we'll almost double our capacity in the next 2 years because as we are growing at 50% in this business.
And similarly, we will be also expanding some new products in cardiology. So there also we will because the market we have just started selling some products. The division has just been launched. And if you see renal is a 5-year-old division and almost we'll be ending around INR150 crores.
So now we see a big ramp-up happening. So initial part is the regulatory part is slightly slower.
But as we move on, we will see the ramp-up happening faster. So a lot of new products will be added in the cardiology and critical care. And critical care is more driven towards oncology segment, cancer care. So we have a lot of products which we are making in Italy today. A lot of these products will be shifted to India and also scaled up in future. So we are already looking at expanding that area of business where still India is around 80%, 90% import dependent.
Girish Jain: Okay. And last question. Going forward, let's say, in the next 3 to 4 years, do you see any change in the product mix between infusion, cardio, renal and critical care?
Himanshu Baid: See, I think we have not extrapolated that data, Girishji. But I think the infusion still will remain our core business. So that is where we have a global excellence on that product category. So that

will continue to be our core business. But as new businesses pick up, for example, renal by, let's say, next 5 years, will constitute

around roughly, let's say, around 10% to 15% of our business.
Today, it may be only 5% to 6%.
Girish Jain: Okay.
Himanshu Baid: So similarly, cardiology, which is probably only maybe I mean there are no numbers for cardiology right now. But maybe in the next 5 years, we will see it growing to around 5% to 7%.
So all this will keep on evolving basically.
Girish Jain: Okay. Thank you so much and all the best.
Himanshu Baid: Thank you, Girish and Happy Diwali to you, sir.
Moderator: Thank you. The next question is from the line of Zain Hussain from Dolat Capital. Please go ahead.
Zain Hussain: Congratulations for a great set of numbers. I have few questions. It's regarding domestic business guidance, you have given for only 20%, 22%, and but we're in H1, we are already running at 11% as an average. So do you tend to change the India guidance, domestic guidance or you wish to maintain that?
Himanshu Baid: No, we will I've already said in initial part of the call that we will do around 20%. And then that because currently we have done an H1 to H1 growth of 13%. In the first quarter, it was only 6%.

So in fact, we are not growing faster now already. And as you know, the private market is growing faster for us, and government business is kind of where we are exiting part of the government business. So that's the reason first quarter numbers were a little skewed. But overall, if you see a private market trajectory we are growing 75%, 25% in that category. It's only a government business where we saw, but for the whole year definitely we are maintaining our guidance of 20% plus.
Zain Hussain: Okay, sir. And sir renal care sales in Q2 as well as in H1 was?
Himanshu Baid: Say again?
Zain Hussain: If you can share that number, renal sales?
Himanshu Baid: So we have not shared any numbers. What we have shared is that we have seen a growth of around 40%, 45% in renal care business in the first 6 months.
Zain Hussain: Okay, sir. And we are told that 500 dialysis machines to be installed by the end of this year. So it is maintained around 500?
Himanshu Baid: Yes. So total installation base will go over 500 machines by end of this year. And particularly this year, we should be able to sell between 350 to 400 machines in this particular, 350 machines. So the earlier base of 150, plus 350 this year, we will be able to cross our installation base of 500 machines.

Zain Hussain: Okay, sir. And sir, infusion category contribution in domestic as well as in export?
Himanshu Baid: Absolutely. So it is close to around 65%.
Zain Hussain: Okay. And domestic?
Himanshu Baid: Same, same, same contribution.
Zain Hussain: Okay. And sir, export has also grown very well. So what are factors driving this export business?
Himanshu Baid: Could you repeat that question, sir, again?
Zain Hussain: The export business, growth factors, it is driven by?
Himanshu Baid: It's driven by infusion business because that is where we have global excellence on that product category. And then we have a lot of products, which are innovative. We have patented products and that is driving that growth in that segment.
Zain Hussain: Okay, sir. And sir, guidance for EBITDA margin, do we maintain our margin guidance?
Himanshu Baid: Yes. So if you see in the beginning of the year, we gave a guidance of around 100 to 150 bps improvement in the margin. And I think you already have seen the results, and I think that's being reflected in the results also.
Zain Hussain: Okay, sir. And sir, last question, working capital days is?
Himanshu Baid: That is around close to 100 days right now.
Zain Hussain: Okay sir. Thank you.
Moderator: Thank you. The next question is from the line of Yash from Stallion Asset. Please go ahead.
Yash: Hi, thank you for the opportunity. So I just wanted to understand that since you've kept INR250 crores out of the QIP money for acquisitions, what are

the new products or new sort of areas that you can pivot to with this amount of money?
Himanshu Baid: See, basically INR250 crores is just on amount on the QIP part. But the company also has internal cash and internal cash generation. And we are not limiting ourselves to INR250 crores. So we are looking at opportunity adjacent to current product area. For example, anything in cardiology or anything in oncology space or anything in critical care. So any new product areas. There are thousands of products in this space. We do only a few, maybe 20, 30 products. So what other areas. So we are looking at adjacent areas in these therapeutic areas. And then whatever and we are looking at technology basically. Because currently, what we need is a technology and regulatory clearance so that we can fast track those projects. And otherwise, once we do it on an organic basis, that is going to take a long time because typically, time frame is 3 to 5 years. So that is one of the reasons that we are looking at some acquisition opportunity. And as and when we have something, we'll definitely announce that.

Yash: Right. And sir, I just wanted to understand that apart from Europe, what could be potentially more fast-growing sort of regions for you? Would it be like Middle East or Southeast Asia? Or have you sort of explored some of the countries there where you can potentially have the same kind of growth that you're seeing in Europe?
Himanshu Baid: No, I think if you look at the global landscape, around 35% global market in U.S. in terms of value and then followed by around 25% in Europe. So and then I think India is only 2%, 3%

today. But again, being our presence in India and we have been present for a long time now, we have a bigger market share in India compared to other global markets. So I think for us these three geographies will continue to be the key market for us as we go along in the next 3 years to 5 years.

Yash: Got it. Thank you.

Moderator: Thank you. The next question is from the line of Zain Hussain from Dolat Capital. Please go ahead.

Zain Hussain: Thank you for the follow up question. Sir, guidance for gross margin, if you can give?

Himanshu Baid: See, gross margin, we normally give guidance to EBITDA margin. I don't have those numbers. But typically, we operate between 60% to 65% gross margin.

Zain Hussain: Okay, sir. And the capex guidance of INR100 crores to INR120 crores in the next 6 months will be from internal accrual or QIP?

Himanshu Baid: Internal accrual these are mainly capex happening in the existing plants. Some, of course, will also capex will be directed towards the new facility as we start building them up. But the majority will come from internal accruals and some of the QIP money will be also partially on the INR500 crores. But the major QIP utilization will start sometime early next year.

Zain Hussain: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Vihang Subramanian from Zaaba Capital. Please go ahead.

Vihang Subramanian: Congratulations on a good quarter. Just one question from my side. In some of your remarks initially, you mentioned that you're seeing a lot of traction from U.S. customers due to potential tariffs, right? So could you talk about what are the tariffs currently on our products as well as similar Chinese products in U.S. and Europe? And if we see an increase in tariffs after the U.S. election, do you expect to get more competitive versus China?

Himanshu Baid: So it's a great question, Vihang. So let's first talk about the tariff, what are the current tariffs. So current tariffs are 0 from India right now. So when you export to Europe, there's 0 tariffs, and Europe is not going to change any tariffs. And Europe is our major market. Today, it is more one-third revenue comes from Europe or one-third. One-third is India and one-third is rest of the wor

ld. So U.S. is also not very significant. You know the numbers already. And currently, the U.S. tariff is 0.

But even if U.S. puts a reciprocal tariff, which we are hearing from Mr. Trump's speeches, I don't know who's going to come, but let's assume that he's going to come. So India has a tariff of around 10% on medical devices. So the reciprocal tariff can be only 10% in my view, number one. Number two, current tariffs on Chinese products range from 25% to 50%. So there will still be a big gap.

And I think the most important thing is the global supply chain with this current uncertainty and what is environment, I think it's going to shift a little bit to India and I think in Medtech space also. And I think that change should come in next, let's say, 2 years to 5 years. So and we are building. Most of the tariffs become effective now till January 2026. So in this period, I think if we can catch hold of some good companies and products, I think that is the target we are trying to set up for ourselves.

Vihang Subramanian: Understood. And just in regards to the acquisition that the potential acquisition that you may look at, are there any particular products or any particular kind of therapies that you are trying or at this point, it's more open.

Himanshu Baid: No, this is not very clear so we are very clear that we want to stay adjacent to what we are doing. So we'll only do something, which we are currently operating, whether it's cardiology or critical care or oncology or in renal space. Anything around adjacent to these therapies we're going to do. So we're not going to go out of our therapeutic competence.

Vihang Subramanian: Understood. And just last one on the margin side. I think it seems like we have been trending a bit ahead of our guidance. So would you look to revise this at some point? Because it seems like our export revenue salience is driving margins higher. So any thoughts on that?

Himanshu Baid: No, I think we are more important is it is good that we are trending higher but I think we will like to stay in the range. And I think whether on the top of the range or on the bottom of the range, but at least we want to be in the range. And I think see, we don't know what's going to happen in the next 6 months in the global geopolitical situation. So it's good to be prudent and stay prudent. So if we have done well, I think we should compliment ourselves but we don't know about the future.

But I think if we can have the company has the capacity to absorb any future shocks even though this the first 6 months, very difficult in terms of global supply chain because freight rates started increasing, the shipment transit times kept on increasing. So in spite of all these challenges, we

are able to still make some small improvement in our margins. So I think let's continue with that.
I think maybe another quarter, we'll see what is going to happen.
Vihang Subramanian: Understood sir. That makes a lot of sense. That's it from my side. Good luck and wish you and the team a very Happy Diwali.
Moderator: Thank you. The next question is from the line of Naman Bagrecha from IIFL Securities. Please go ahead.
Naman Bagrecha: Sir, just some clarification on the India business part. You highlighted that the first half of this year, we've grown at around 13%, right? So that means that to achieve, let's say, a 20% kind of

growth on a full year basis, we will be growing at around 30% at least for the next 2 quarters Y-o-Y or, let's say, first half growing at around 30% second half growing at around 30%. Is my understanding correct? I mean and...
Himanshu Baid: You're absolutely correct. And I think these are the numbers we have with us. So we are pretty certain because we have the buildup. The capacities have gone up. And then, let's say, in quarter 2, we were

able to see a 22% growth compared to quarter 1, which was only 6% basically. So we are seeing these changes already in the customer profile in the demand side. And renal business is already growing at 50%, which would be almost INR150 crores, and this will become almost close to around 25% to 28% of our total business, so in India, at least. So we are pretty confident on getting those numbers.
Naman Bagrecha: Okay. And as you said on the renal business, so renal business, I mean, if I back calculate, we actually have grown at around 50%, 51% in second quarter. And the asking rate would be closer to around 60-plus percent if you look at INR145 crores of business.
Himanshu Baid: Yes. So the reason we are able to do it because we have added a lot of new capacity in renal business. And most of that capacity is coming live between October and November.
Naman Bagrecha: Okay. So basically, this one time...
Himanshu Baid: So currently, we are short of products right now. We can't supply enough.
Naman Bagrecha: Okay. And lastly on the export business, if we exclude your these subsidiaries, I mean, you have seen a fantastic growth of, let's say, around what, 28%, 30%? Is my understanding correct?
Himanshu Baid: That's correct. Around 27%, 28%. You're right. Absolutely.
Naman Bagrecha: 27, 28%. So for the full year, would you want to revise the guidance or this would not be achievable? I mean let's say you guided for around, let's say, 25%, right, for the full year?
Himanshu Baid: We have guided for the full year total overall growth of around 22% to 24% and with India doing around close to 20% with a weighted average of 30% on India business. And then export business, around 70%, weighted average of around 25% to 27%. So I think typically, we have to also look into fact that what is going to happen in the next 6 months. So it is good to give a muted guidance. And if you do better, it's always good. So we would not like to revise margin, let's say, guidance at the end of second quarter. I think after the end of third quarter, we'll be more prudent to revise guidance.
Naman Bagrecha: Okay. And one more on if I may. The earlier participant also highlighted that the because of higher export business, we've seen that 50 bps quarter-on-quarter improvement in margins. So given that our export business will be, let's say, growing faster than the domestic business. We expect the margins to be slightly better, I mean probably achieving, let's say, 28% on 4Q exit?
Himanshu Baid: Well, the target was to improve by 100, 150 bps, and it also depends on the product mix every quarter. But I think we are pretty much online but again, it's a lot of very uncertain situations. In the geopolitical world, we don't know where oil is going to hit. Is it going to impact raw material

prices or what is going to happen to supply chain in the current situation. So it's good that we have done better in one quarter. So even if we do bad in other quarter, we'll be able to normalize it. But that is not the case right now.
But the important thing is that continuous improvement is required, and we are doing it actually in terms of margins. And as the product mix keeps on changing, as we go more in deeper in, let's say, critical care, more deeper in cardiology, definitely we'll be able to have better margins in these products also in India also going forward as time progresses. Because currently, we are also in a lot of initial investment phase in these businesses. So like for example, we hired 40 new people. So 10% of the workforce is completely new for new businesses, which are not contributing at the same run rate as the original businesses where other 370, 380 people are working.

So gradually, we'll see a ramp time. So definitely, once the businesses get more and more, let's say, deeper, we will definitely see margin improvement. Renal business, it's still not

a great margin contributor but as we increase the volumes substantially and definitely, margins will keep on changing because the contribution margin will keep on increasing.
Naman Bagrecha: Got it.
Himanshu Baid: And I think the idea in this business, I think it's all about technology and volume and what you can do in terms of how you position yourself in the market. If you position in the lower spectrum, then you get lower pricing. But if you start competing with large multinationals, then definitely, you can improve your price points. And that is what we are trying to achieve right now. We are trying to replace the multinationals on the market in India, not replacing Indian companies in the market.
Naman Bagrecha: Got it. And just on the sales and marketing addition, the associates, just wanted to understand how does, let's say, their productivity play out? I mean today, let's say, we are in FY '24, we were at around, I mean if I look at...
Himanshu Baid: INR200 crores.
Naman Bagrecha: Sales per month for a rep close to around INR8.5 lakh.
Himanshu Baid: INR1 crores a year basically, typically INR1 crores.
Naman Bagrecha: INR1 crores a year. Yes, right. So the addition that you have done, so generally, how much time do they take to achieve, let's say, this kind of productivity?
Himanshu Baid: It's a very hard question to answer because it depends on business to business, depends on approval process on each hospital. And some businesses may take longer, some may take faster. So again, it's something we have we continuously juggle with in terms of balancing the people versus the revenue. And but when you have new businesses to set up, let's say, 2 new businesses, then sometimes you have to compromise on that area and say, okay, I need people first so that they can go to hospitals and push their products.

So I think in that case, we are very careful in heading the headcount versus but again, when we see end of this year, we'll have 500 people but we'll also see revenue almost touching INR500 crores in domestic business. So this is where somewhere we are in that zone. So we always keep that INR1 crores number in mind.
Naman Bagrecha: Okay.
Himanshu Baid: So new versus old, we're keeps on getting blended basically.
Naman Bagrecha: Okay. So on a blended basis, you will say that INR1 crores would be the...
Himanshu Baid: Yes, from that business what we are targeting on this. It's on a blended basis because always we have new people coming in, going out, that is always the case.
Naman Bagrecha: So sorry, sorry, I didn't understand. So on a blended basis, you will target INR1 crores or to achieve...
Himanshu Baid: On a blended basis, but between this and all together, yes.
Naman Bagrecha: Okay. And what were I mean you highlighted that total 100 associates will be added in FY '25. Any other trends, let's say, for FY '26 or on a steady state, you would like to add 50, 100...
Himanshu Baid: So we'll continue to add that many people because the business is growing, we need to reach out to more hospitals. Today, we reach out to 8,000, 9,000 hospitals. We need to reach out to almost 20,000 hospitals in the country, so in the next 3 to 5 years. So we'll have to almost double the headcount in, let's say, in the next 3 to 4 years.
Naman Bagrecha: Okay.
Himanshu Baid: Even if we continue with the 20% growth rate, the business will anyways double in the next 4 years.
Naman Bagrecha: Yes..
Himanshu Baid: We'll have to continue to increase the headcount to reach more and more customers, and customer means hospitals.
Naman Bagrecha: And just one last one. What would be, let's say, the blended capacity utilization? You said 50% or...
Himanshu Baid: For the new plants and for the existing plants is already around 75% to 80%.
Naman Bagrecha: What would be the blended number, sir?
Himanshu Baid: Blended would be close to around 60

%, 65%.
Naman Bagrecha: Okay. Thanks a lot. I will join back in the queue.

Moderator: Thank you sir. As there are no further questions from the participants, I would now like to hand the conference over to management for closing comments.
Himanshu Baid: Thank you, everyone for great questions. And I really appreciate the kind of deep study you have done for the business and for the company. Please continue to ask these probing questions. This will help us to do better every year, every quarter. And we hope we also assure you that whatever guidances we gave you in the beginning of the year, we will try to hit those revenue numbers and profit numbers to ensure that the company is on track with the right performance parameters. Thank you again very much, all the participants, ICICI team for hosting this call. Thank you again.
Moderator: Thank you, sir. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us and now you may disconnect your lines.

Call: Feb 2025

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Subject: Submission of Transcript for Q3-FY25 Earning Conference Call under the SEBI
(Listing Obligation and Disclosure Requirements), Regulation, 2015
Dear Sir/Madam,
Pursuant to Regulation 30(6) of SEBI (Listing Obligation and Disclosur e Requirements)
Regulations , 2015, we hereby submit Transcript of the irtvestor Meet/Call held on 03rd February,
2025, at 16:30 P.M. (1ST) on the Un Audited Financial Results of the Company for the quarter
and nine months ended 31st December, 2024, on Standalone and Consolid ated basis, which were
considered and approved by the Board of Directors of the Company, at its meeting held on 03rd
February, 2025.
This is for your information and record.
Thanking You,
Yours Sincerely
For Poly Medicure Limited
A vinash Chandra
Company Secretary
M. No. A32270
Encl: As above
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"Poly Medicure Q3 FY25 Earnings Conference Call "

February 03 , 202 5

MANAGEMENT : MR. HIMANSHU BAID - MANAGING DIRECTOR , POLY
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MR. NARESH VIJAYVERGIYA – CFO , POLY MEDICURE
LIMITED
MR. RAHUL GAUTAM - PRESIDENT STRATEGY AND
CORPORATE DEVELOPMENT , POLY MEDICURE
LIMITED

Moderator: Ladies and gentlemen, good da y and welcome to the Poly Medicu re Q3 FY25 Earnings Conference Call hosted by ICICI Securities.
As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Abdulkader Puranwala from ICICI Securities . Thank you and over to you, sir.
Abdulkader Puranwala: Yes, thank you, Zico. Good afternoon, everyone. On behalf of ICICI Securities, I welcome you all to Q3 FY25 Earnings Conference Call of Poly Medicure Limited.
Today on this call, we have with us the senior Management Team of the Company . We are represented by Mr. Himanshu Baid – Managing Director ; Mr. Naresh Vijayvergiya – CFO and Mr. Rahul Gautam – President (Strategy and Corporate Development).
I would like to thank the management team of Poly Medicure for giving us this opportunity to host their call and with this, we will hand over the call to the Manageme nt. Over to you sir.
Thank you.
Himanshu Baid: Yes, thank you very much Ab dul for hosting this call. Again, good afternoon to everyone who is on the call. And I will take you through the quarterly highlights of the quarter three of Poly Medicure . Just to begin with, I am sure you also read the presentation which has been uploaded on the Company 's website, but people have not seen it.
I will just highlight the numbers once again.
So, the consolidated revenue in Q3 FY25 compared to FY24, has seen a growth of around 24. 9%. Revenue is growing from Rs. 339 crores to Rs. 424 crores. The EBITDA has also

increased from
Rs. 91 crores to Rs. 116 crores, we are talking about the operating EBITDA. Consolidated EBITDA, we have seen a net improvement of around 65 bps, roughly, in that consolidated EBITDA, compared to quarter three to quarter three. PAT has increased from Rs. 65 crores to Rs. 85 crores. Return on capital employed is around close to 23.9%. This excludes the amount raised to QIP in August because that has not been deployed so far. So, that's the reason we excluded this amount. But whatever deployed so far has been, you know, has given return of 23.9% R OC term.
The net cash available in the Company is close to around Rs. 1,074 crores is a net of all working capital and everything, and which includes Rs. 900 crores raised through QIP. Out of the QIP procedure of Rs. 1,000 crores, Rs. 100 crores are deployed in the working capital and expenses, and rest is gradually being used as new plants are being built, a s announced earlier in the QIP.
The number of devices we have sold has also increased from 26 crores to 32 crores in quarter and number of patent additions has been around close to nine additions, so total patents are now 334. In the quarter, we have also added 23 new people in the sales team. So, this was the quarter highlight, and I will also take you to the nine month s summary for the preceding 2 years. So, FY25, consolidated revenue, has touched now Rs. 1229 crores versus Rs. 998 crores , again, an increase of 23.2%. So, as you remembe r, recall in the earlier part of the year, we had given a guidance of close to 22 % to 24%. See, we are very close on that guidance, and we are very much within the range. Also, EBITDA, if you look at percentage EBITDA has increased from 26.5% to 27.4%. There's almost a 95 bps improvement. And we have guided in the initial part of the year for EBITDA improvement of 100 to 150 bps.
The consolidated EBITDA has also increased from Rs. 264 crores to Rs. 336 crores, and PAT has increased from Rs. 190 crores to roughly Rs. 2 47 crores. Again, number of devices sold has increased from 81 crores to 96 crores. And if you see the number of phase associates added within this nine months is 64 people. So, total strength is now close to 475 people. In initial part of the year, we had also commented that we will be adding 100 more salespeople. So, in these first nine months, we have a net addition of 64 people. So, we added more people, maybe some of them, so the net addition is 64. And this is especially across two new divisions, cardiology and critical care, where we added most of the people during the year.
I will also talk about some few updates during the quarter :

First, we received our regulatory approval, the CDSCO license for DES drug-eluting stent . And very soon we are going to commercialize the product. The first stent will be implanted in this coming week, first few stents . And as we go further, then we will see this commercialization along with the balloons to be launched together. Also we had set up a JV with AMPIN in Haryana to give us 9.9 megawatt of solar power. Poly med has made a commitment of Rs. 3.6 crore in this JV. And this is in line with our goal of running our plant completely on green power. And hopefully this will be operational by end of September, October. And after that, most of the polyme d manufacturing facility will be running on green power. And this is in line with our goal to reduce our carbon footprint by 30% by 2030. And also, we are seeing a big change in the requirements in Europe, where more and more focus is given to green energy products bei ng produced using green energy.
Also, we have recently done a groundbreaking ceremony of our new plant, which was also part of our, you know, to establish part of our QIP proceeds. This plant is coming in Palwal, Haryana. And this will be one of the largest plants of Poly

med. And hopefully we should be able to
commission it between July, August to maybe in that period of 2026. That is the current plan.
You have seen that on the revenue side, there is steady growth and also the Company has sufficient net cash balance also go for new CAPEX. So, current year, CAPEX is close to around Rs. 222 crores in nine months. And the plan was to invest close to Rs. 300 crores. Now all this money has been invested through internal accruals. We haven't used any money raised through QIP because this CAPEX was done for existing plants. And more or less by end of May or June,

the CAPEX and the current plans will be complete. And then all the QIP proceeds will be used for the three new plan ts, which are under construction right now , and will go live in 18 to 21 months . Also , the Company received the CI I Industrial Innovation Awards 2024, and also received CI I International Intellectual Property Awards 2024.
On the margin side, I think there's a constant endeavor to improve the margin. And as we have launched two new category of businesses, oncology and critical care, so we have almost added 60 people in this category. Currently these businesses are just brand new. It will take at least two to three years to ramp up and scale up. But meantime, the current team is helping us to enter some new hospitals and also build up the business for these new categories.
Coming to the current scenario on the FOREX side:
I think currently the Company does not have any hedging, almost close to only 0.7% of hedging on the FOREX . So, we have open exposure to all the FOREX . And I think with the current scenario, hopefully this should be a helpful scenario because markets being very volatile, it was important to stay open, keep our exposure open and not stay hedged . And as we are a net exporter, and we are a net earner of foreign exchange, so any fluctuation in foreign exchange does not impact P&L in anyway. So, that is mor e or less neutral for us today.
On the segment wise analysis, of course, if you look at nine months, infusion therapy is the largest segment of the Company , contributing close to around 70% of the revenue, followed by renal, which is now close to around 8% to 9% of the revenue. But if you see the growth rates in infusion core business is around 25% in the first nine months. And renal, where we had initially projected a growth rate of over 50%, if you see the first nine months performance, the growth is close to 56%. So, that is now really taken off well. And we have also expanded capacity. Some new capacity is coming up in April also, which is currently under installation. And hopefully we will be able to scale this as further up in coming years. Currently , the Company holds around 10% to 12% market share , by the end of FY25 we will have around 10 % to 12% market share in the renal category. And we continue to push more machines and push more products in this segment.
On the domestic business side, if you see, we are back to growth in the domestic business. And domestic business is now growing more steadily. If you see the previous quarter, domestic business has grown by 23.8%. And as I promised you in the last quarter that we are working hard to improve this growth rate. So, we are now back to over 20% growth rate. As we had a first quarter low growth rate, so overall growth rate is only 16.7%. But now within the quarter, we have started growing better. And hopefully, the current financial year, we should e nd up more than 20% overall growth rate in the domestic business.
Exports in the first nine months have shown a great growth. They have been growing at around 28% closely. And if you look at the quarter itself, it's grown by around 30%. So, overall, we are on track t o deliver the committed growth.

In terms of geographical mix:
Europe has overall grown by around 30% in nine months. Last quarter growth was around 20%. And I think overall we should end up between 27 %-28% growth for Europe by the end of the year, which is a very healthy growth. And that's how the world is also grow n by around 27%. So, if you look at the mix of the business, today we have almost 31 %-32% business in India followed by around 31 %-32% business in Europe, and around 37% business in the rest of the world. So, 38%, this is the mixed which is very similar to mix which we had told initially in the beginning of the year. And probably we will continue with the same trajectory till the end of the year as we see it right now. And so exports will be around close to 70% for the whole year and domestic business remain 30% and 31% in that range. So, these are a few of the updates on the business.
And of course, we continue to be on the heavy CAPEX cycle with plants coming up, additional capacity being built. And on the US business side, we are building on the current product portfolio, revenue has started kicking in, of course it will take some time. We see the first stronger wave coming in FY27 because we have some more products to be included in the list, and they're undergoing some clinical trials and regulatory approval, and they will also start contributing to revenue maybe end of this year or early next year. So, that is what we are targeting. But fr om the current product also , we are expecting some good growth in coming quarters. Of course, there are some changes happening in the US right now with the new tariffs coming in. So, they don't impact India as such, but I think as these tariffs are also in China and maybe even if it comes on India , it will be neutral for us because it will be equally applicable to all the countries. So, we don't expect any impact of this tariffs. And plus, US business is currently very small portion of our business, so we d on't see any impact of this tariffs on the current business. So, I will stop here and then of course, I will let you ask if you have any questions, please feel free to ask me questions. And we are very confident that we will be launching more products in the next few years. So, in the current pipeline, we have close to 50 products which we launched between one to two years. In the last three months, we have launched around 15 plus products across our four different categories and there's a lot of plans to b ring more products and also we are trying to look at new opportunities in equipment space if you can expand that area also because our dialysis machine has been very successful. And now we have achieved a run rate of close to 40 to 50 machines a month. And as time progresses, we see further increase in that capacity in the next year. So, overall, we have a strong current tailwind on the dialysis business and equipment business. So, we will continue to build some new capabilities around them.
With this background, I'd like to hand over call back to the operator to answer any questions that might be from participants on this call. Thank you again for listening. Thank you.
Moderator : Thank you very much. We will now begin the question and answer session. Anyone who wishes to ask a question may press “*” and “1” on the touchtone telephone. If you wish to remove yourself from the question queue, you may press “*” and “2” . Participants are requested to use -;,IPOLYMED

handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question comes from the line of Vikram who' s an investor. Please go ahead.
Vikram: Hello sir, can you hear me?
Himanshu Baid: Yes, I can he ar you Vikram, please go ahead.
Vikram: I just wanted to know with regards to the drug-eluting stent, if you c

ould share some more details
like what are the addressable market, how does our product compare with the competito rs, any differentiating factor?
Himanshu Baid: See basically we have just entered the market, so we are a newest entrant in the market . But again, what we are trying to do is also get drug-eluting balloon with the product. And most of the companies today import that product from outside. So, here, Polym ed is going to manufacture everything inhouse, and that will make us more competitive. And also, we are looking at the construction of the stent . So, our stent probably has the best maneuverability, and that is what we will do. But of cours e, we will have to go through a clinical trial cycle and everything, which is going to take a while. But with the help of stent , we will be also able to sell all our cardiac consumers we have launched recently. Whether our di agnostic catheters or our guide wires or let's say balloons, other balloons , so that is what it will help us to sell the se products in the market.
Vikram: Thank you, sir. Any meaningful timeline for this product to be meaningfully impact ing our revenues in the future?

Himanshu Baid: No, it's a new product and then only time will tell , but I think we are very confident with the approach we have. I think the cardiology business itself, we have already guided that it will take some time, but I think we are building it up for the moment. But I can't guide you on a revenue number for this particular business because it's too early. We just recei ved the license last week only.
Vikram: Fair enough, sir thank you.
Himanshu Baid: Once it will be subsidiarized, I will able to give you more information.
Vikram: Fair enough, thank you. Just one question on the dialysis machines. I just wanted to know how will this improve our margin profile in the future as this keeps growing if there is a ny guidance on that. Thank you.
Himanshu Baid: So, dialysis as a business, it's a new business, 4 or 5 years old business in the Company . Well, let's say if you look at Infusion Vascular, it's around 25 years old business. So, this is a new business. And now we have seen a ramp up in the capacity capability. And as we sell more and more products, then the cost of doing business will come down, the operational cost. So, -;,IPOLYMED

definitely it will help us to improve our margins. And for first 3 years, we are not able to get PLI. So, our target is that next year also take PLI because we already are under PLI, but as we were not able to fulfill the aggressive targets set on PLI, so we were not able to get it. So, hopefully this next year, financial FY26, we will also get some contribution from PLI for this business. I can't quantify the number because …
Vikram: Hello, can you hear me, sir?
Moderator: Yes, we can hear you. Sorry to interrupt..
Vikram: Yes, just one question if I may, and then I am done, sir. So, the last question I had was, just to get a clarity on the dialysis business, we are only selling the machines, no, sir. There is no lease model or rental model, nothing ?
Himanshu Baid: Sorry, I got disconnected, something wrong.
Vikram: My last question was, sir, just to get the clarity on the business of dialysis machines. We are only into providing the machines, no sir, selling the machines. We are not into rental or leasing models ?
Himanshu Baid: No, we also sell co nsumables, all the consumables.
Vikram: Okay, perfect. That's it, si r. All the best for the future.
Moderator: Thank you. A reminder to all the participants, you may press “*” and “1” to ask a question. Ladies and gentlemen, you may press “*” and “1” to ask a question. The next question comes from the line of Rashmi from Dolat Capital. Please go ahead.
Rashmi: Yes, thanks for the opportunity. Just need some clarification. The 50 product launches whic

h
you said that over a period of 1 to 2 years and across four different categories, these are what categories? And these products will be launched in which all markets , will it be exported also?
Himanshu Baid: Yes, first, so Rashmi, of course, we are not disclosing the product because this is confidential , Company ’s business. But this is what we are developing will come across mainly across the core two categories which we have just started , cardiology and critical care and then followed by some existing in vascular and in renal, we will add also few new products. So, there are around 50 SKUs we are working on, which will be added across. And we start with India first, and then go to global market, because we will have to wait for regulatory approvals to come from each country to sell in those markets.
Rashmi: Understood, got it. And your dialysis machine, you said that the run rate, now it is 50 machines a month.
Himanshu Baid: 40 to 50 machines. -;,IPOLYMED

Rashmi: Yes, so for nine months, how much we have done, and are we on track to achieve 500 installations this year?
Himanshu Baid: No, we will not be able to do 500 installations this year. This year we will be able to do between 300 and 350 installations. I don't have a real figure, but it should be around 350 plus. And then next year maybe we will double the installations.
Rashmi: Okay , and till now how much we have done? I mean, right from the stage where we started ?
Himanshu Baid: I don't have a number right now. Rashmi, I can't give any number right now.
Rashmi : The next question is on stents. Stents is already under price control. And we are going for that particular product. So, what is the strategy behind that and is it that since it is a price control product , it will be a little low margin business or?
Himanshu Baid: No. So, price control is at the upper end of the segment not at the lower end of the segment. So,

there is a big delta between the X factory price and the finished product price. So, average tent
price in India, Indian stents around Rs. 10,000 to Rs. 12,000 w hereas the price control is at Rs.
40,000 set.
Rashmi: Rs. 40,000 a set?
Himanshu Baid: Yes, roughly around Rs. 40,000 . So, there is a big delta available.
Rashmi: So, our price will anyways be lowe r than the ceiling price.
Himanshu Baid: No, nobody operates at ceiling price. Ceiling is the maximum which we can sell at. So, nobody
sells at the ceiling price.
Rashmi: Okay, and to that extent, but we will be able to take the price hike only equivalent to the WPI
rate, right?
Himanshu Baid: Yes, so that's fine. That's absolutely fine, because there's enough already margin on the table.
Rashmi: And generally, on the blended basis, your blended portfolio in the domestic market, generally,
what is the price hike which we take every year?
Himanshu Baid: It depends. So, sometimes the contracts are longer, you don't get a price hike. But typically, we
can take between 3% to 4% price hike per year.
Rashmi: 3% to 4%. Okay sir, thank you. That's it from my side.
Moderator: Thank you. Ladies and gentlemen, you may press “*” and “1” to ask a question. The next
question comes from the line of Tanmay Gandhi from Investec. Please go ahead.
Tanmay Gandhi: Hi sir, congrats on a good set of numbers. Sir, my first question is on gross margin. So, the gross
margins have declined by good 300 bps sequentially, right? So, this is largely due to the revenue
mix or is there anything on raw ma terial pricing to call out for?
Himanshu Baid: No, I think gross margin, I don't see it declining so much. I think overall, I think gross margin is
still around 65%, I think, if you look at the number.
Tanmay Gandhi: Sequentially, I think sir the gross margins will decline.
Himans

hu Baid: Maybe it's because of the revenue mix there. Otherwise, if you look at overall EBITDA margins,
they remain the same. They're better, actually.
Tanmay Gandhi: And sir, so as there is no raw material inflati on that we are witnessing that?
Himanshu Baid: Not at the moment, but it may change depending on how things shape up in the next few months.
We don't know right now, Tanmay. But so far, I think we typically track EBITDA margins. And
of course, gross margin is around 65%. If that is within that range of 1% to 2%, I think we are
pretty much fine with that.
Tanmay Gandhi: Understood. And secondly, if I look at your average realization per devices sold, right? That
comes around at Rs. 12 to Rs. 13. So, I just wanted to understand that what would be our low
realization product which would be dragging the average realization because 12 looks really
low?
Himanshu Baid: Actually, been the same. If you see, there is no change. Tanmay, if you look at earlier
commentary also or maybe earlier quarters also is in the same. But the most important part here
is today if you see our growth is not let's say the number of pieces sold is not directly , so we also
have seen that if that is increased by 19 % odd let's say devices sold in nine months , but the
revenues increased by 23 %. So, that is what clearly showing that we are able to also take a better
price from the cus tomers. If you look at the nine month s performance, Tanmay and if you have
the presentation, if you look at the devices sold, growth is 19% in nine months, whereas the
revenue has increased by 23%. So, that is what we are now tracking right now, and that's the
reason we have shared these numbers, that we want to track the se two numbers also internally.
Tanmay Gandhi: So, I get the price growth point, right? But what I am trying to ask is that what are the low value
products which are sitting in our base ?
Himanshu Baid: At Polymed, w e don't sell too many of those machines. So, we are mostly a consumable
Company . Consum ables are always priced at low point.
Tanmay Gandhi: Yes, understood.
Himanshu Baid: Because we are making disposable. So, disposable are not that very high. Now we are entering
the new space of cardiology and let's say critical care and oncology. So, that there we will see
more higher priced products being sold .
Tanmay Gandhi: And sir with this stent approval, we have entered the implants category as well, right? So, now
probably we are across all three major categories, right?
Himanshu Baid: Right.
Tanmay Gandhi: So, is there any plan to enter more such implants? And now we see implant as a category because
this is...

Himanshu Baid: So, we are already in oncology, and we have also launched oncology implants, the ports, chemoports, we have recently launched in India. So, that is also another product, which is class 3 device and is implantable device. So, we are getting more and more into critical care. So, longer term use devices, earlier devices were short term use. So, now we are more focusing on the longer term use device s and we are getting more into class 3 category devices which have a longer dwelling time inside the body.

Tanmay Gandhi: But sir, how do you see implant as a category that what is the competitive scenario like and how difficult it is t o penetrate into new customers?

Himanshu Baid: The moment it is more higher category is more riskier and the competition is more for multinational companies. There are a couple of good Indian companies also like Meril and all which are doing such kind of good implants. So, I think there is a good opportunity to replace multinationals from this segment.

Moderator: Thank you. The next question comes from the line of Harsh from Marcellus . Please go ahead.

Harsh: Hello sir. Congratulations on yet again, a good set of numbers. My qu

estion was on similar lines with Tanmay raised with respect to gross margins and with respect to EBITDA margins. Now with gross margins, I understand that it's because of the revenue mix . Correct me if I am wrong, sir.

Himanshu Baid: I do not think it is because of revenue mix. See, quarter to quarter revenue mix can keep on changing across the 6 product segments we operate in , large product segments and that we don't control , but what we control is that we stay around the 65% number and we control that EBITDA margin that what is a final EBITDA on selling the product. So, that is what we are seeing and there we are seeing a constant increase in EBITDA, basically the margin improvement.

Harsh: And sir, just to understand the business a bit better, could you help us understand what are the businesses which have a lower gross margin than what busi nesses are higher gross margin?

Himanshu Baid: We don't disclose the business wise margin, sorry, that's confidential, I cannot disclose that. -;,IPOLYMED

Harsh: Okay, got it. And sir, with respect to operating expenses, there's almost a 9% drop on a Q on Q basis in that cost line item. So, here again, maybe if you can help us understand what is led to this drop ?

Himanshu Baid: So, Nareshji is on the call . Nareshji, can you explain that why operating expenses are down 9 %? Nareshji, the question from Harsh was that why operating expenses are down by 9% in the quarter?

Naresh Vijayvargiya: So, the major drop is because we have some efficiency on expenses. There is a slight drop in R&D expense and then there is some drop on legal expenses and tr avel also. So, overall, it is 9%.

Himanshu Baid: Compared to quarter to quarter?

Naresh Vijayvargiya: This is all compared to quarter to quarter. But there is no major item to be disclosed or somet hing like that. No normal item.

Harsh: Okay, got it. Thank you.

Moderator: Thank you. The n ext question comes from the line of Kayuri Bafna with N ag Analytix. Please go ahead.

Kayuri Bafna: I wanted to know what are the exports and which is the highest exporting products that you have in the Company right now?

Himanshu Baid: So, basically exports , revenues are almost close to 6 8%-70% and majorly exports come in the infusion therapy category where we have a global leadership on this product category and that's where it comes from. And in infusion, so we have IV catheters and accessories around that business, and that is where th e major revenue is coming from.

Kayuri Bafna: Okay, thank you so much.

Moderator: Thank you. A reminder to all participants, you may press "*" and "1" to ask a question. The next question comes from the line of Bharat Shah from ASK Investment Manager s Limite d. Please go ahead.

Bharat Shah: Hi, Himanshu.

Himanshu Baid: Hello, Bharat Bhai. How are you, sir?

Bharat Shah: All good. All good at your end, I hope. Thank you. Himanshu, if we take a three to five year view ahead, a) what kind of growth rate do we think is possible? B) How much of that is reasonably predictable for us? And c) whether it is a durable growth, something which can prevail for a longer period of time? And what are the various strategies at play in terms of product -;,IPOLYMED

innovation, newer categories, geographies, manufacturing assets and resources, talent hiring, approval cycles, which can vary across geography, and all of that. So, how do we strategize for growth, rate, predictability, and its durability? And thereafter on margins, how do you see over the coming period of say, 3 to 5 years?

Himanshu Baid: Bharat Bhai, it's a very, very long question, maybe a very long answer, but I will try to answer in a short while so that we will give the chance for the people. So, on the growth side, Bharat Bhai, if you see from

20 10 to 2020, we had a growth of almost 14 % to 15% on a ten year cycle.
And the Company was capital starved. But now as the Company has done some capital raise in the last 4 years, so you have seen that the trajectory has now started changing. So, last 3 years, continuously, we are growing around 20% and over. And even this year, we have projected for around 20% overgrowth. So, now we see that the new normal for this Company should be 20% plus growth. And today for us, maybe if you look at let us say predictability, let's say predictable growth for this Company , as we have seen already four year growth cycle now, from FY22 to 25 numbers which will be almost we are 9 months over. So, we are almost at that 20% cycle, basic growth cycle, plus cycle. So, the orbit has changed from 14 to 20. So, that is number one. Number two, I think to maintain this growth, I think India is a growth driver for us, great growth driver. And as we increase more and more deeper presence in India , so our India presence is today still we are not covered two thirds of hospitals in India. I only covered one -third of the hospital. And even in the current hospitals, our let's say wallet share is less than 20%. So, we can increase our wallet share in the current hospitals and also cover more and more hospitals as time progresses. And for that , we need to hire more and more people. And if you've seen the presentation, sir, we have already added this year 64 people , so we have added close to from 410 odd people now we are 475 people in the Company in sales and marketing in domestic , so we are continuously adding and all these ar e Company employees , so we are adding continuously let's say every year we will add 100 odd people for next 3 -4 years to maintain that domestic growth . And international markets also , we are actively working on US strategy , we are working on Europe, and we think that within these two important geographies and some other developed countries, we will be able to achieve export growth rate also in north of 20%. And if you see our last 4, 5 years history, we are already growing over 20% in the export market. So, I think growth rate is more or less now with additional capacities built in, additional plants built in, and with more CAPEX happening. So, even if you see CAPEX cycle, which was maybe Rs. 100, Rs. 120 crores pre -COVID has gone to around Rs. 200, Rs. 250 crores post COVID per year. So, that helps us to put in more plants, put in more products, invest more in R&D, launch new products across different categories. So, this is what we are seeing in terms of growth, rate, durability, market is robust, Indian market is very robust, government focuses on Make In India, so a lot of imposed substitution we are bringing in the business. So, all that is simultaneously happening, sir. And on the margin side, I think, we have already pro jected close to 27% EBITDA margin for this year. Last year , we were close to 26% this year, 100 bps improvement, 100 -150 bps. So, we are already in that range. So, as we see, operational efficiency is coming in, so every year we could increase the margin by 50 -100 bps easily in the next 4 -5 years. That is what the plan is.

Bharat Shah: I see. So, what I understand from this, and I am summarizing, correct me if I am wrong, we are seeing this growth orbit has changed and instead of early double digit, it is now healthy double digit in 20s .

Himanshu Baid: Correct sir.

Bharat Shah : The growth engine is no longer only exports, it is both exports and domestic where perhaps the domestic market can burgeon and become even a large r growth rate engine, possibly.

Himanshu Baid: That is co rrect, sir. Absolutely correct.

Bharat Shah: Our product innovation strategy, manufacturing, asset putting strategy, people hiring strategy, people on the ground, all a

re aligned to ensure that these results we can obtain in a predictable, sustainable way rather than with ruptures.

Himanshu Baid: Because the business is more predictable now because today, we have contracts with customers, India, global, we can project what we need to do, the production lines are getting aligned with that. So, everything is more predictable sir than it was maybe let's say 10 years ago or 5 years ago.

Bharat Shah: Okay and finally margins will improve for a) scale reason, b) it a kind of more complex and higher margin, new vertical s like oncology and cardio as we are entering ?

Himanshu Baid: Correct sir.

Bharat Shah: All of that put together along with the scenario of the opportunity both in India and abroad , next 3 to 5 years this kind of healthy growth with improving margin is something which is fairly predictable.

Himanshu Baid: Yes, fairly predictable. Of course, we don't know what is going to happen. Everyday something is changing. But when we go on a predictable analytics , I thin k this is pretty much possible.
Bharat Shah: One last thing, Himanshu . If anything were to go wrong in this scenario, in your opinion, what could th at be?
Himanshu Baid: See, I don't think sir. I have been running the business for 28 years now and not seen, h ealthcare is one area which is not going to go wrong. You know, the demand is not going to shrink and with government more focus, you have seen in the budget day for yesterday, Ayushman Bharat has more allocation, so they are trying to bring in gig workers. So, more and more focus is going to be healthcare, wellness, and also medical tourism, there is some focus. So, Indian hospitals will continue to do better only as more and more patients will flow in. So, only things can go wrong when we make bad quality product.
Bharat Shah: And how do we mitigating that risk accidents, failure of products, liability?
Himanshu Baid: We have zero. Touchwood in 20 years, we don't have a single product liability claim. 28 years history I am talking.
Bharat Shah: We t ake liability insurance, right?
Himanshu Baid: Yes, we h ave liability insurance, yes.
Bharat Shah: To summarize, superior growth with improving margin across both India and other territories with volume, verticals and more products. So, deepening and widening of the product portfolio with the talent pool is something which gives us predictable, sustainable bel ief about where our destiny is.
Himanshu Baid: Absolutely, sir.
Bharat Shah: Thank you, Himanshu. All the very best.
Himanshu Baid: Thank you, sir. Thank you very much.
Moderator: Thank you. Ladies and gentlemen, in order to ensure that the management is able to address questions from all participants in the conference, please limit your questions to one or two per participant. Should you have a follow up question, we will request you to rejoin the queue. Thank you. The next question comes from the line of Nitin Gosar from Bank of India Mutual Funds. Please go ahead.
Nitin Gosar: Hi, Himanshu Bhai. Just one question. Wanted to understand, I think you called out that from hedging policy point of view right now, 1% of our exports is hedged. And A, how should we see this hedging policy? Currently, currency is in our favor, but at times it can cut both the sides. So, should we believe that as a management, we would like to keep it open, or we would like to hedge it?
Himanshu Baid: I will tell you why. See, we have already burned our fingers many years ago in hedging. And some more informed person there who was than us, because you are a banker I am not going to call out. But we burned our fingers already. I think what we have seen over the past 8 -10 years without any hedging, it gives us more better visibility. As we have a positive net flow of foreign exchange and that's for example you have

almost 70-80 million of the positive foreign exchange after covering our impo rts and CAPEX, so there's no need right now . And I think with rupee 10 - year history , you can always predict that every year is going to depreciate 2% -3%, so I think we cannot go wrong because we have a 10-year history now. The last cycle where we hedged was 2012 and where we really took a bad hit, 11 -12.
Nitin Gosar: Yes. Sorry, if I were to just impose one more question on the same scenario. If let's say currency right now, which is closer towards 86 moves back to 84, which can slightly compress our gross margin ?
Himanshu Baid: No, it will not because then our other costs will go down. Our raw material costs will go down. Other light costs will go down, let's say. If rupees let us say appreciating, it will also impact the other side. Interest rates will come down.
Nitin Gosar: Fair point. And one last question is on the employee cost. So, right now, since you're on the addition sphere, current quarter number of around Rs. 78 crore on employees side, does it capture the recent hiring into numbers or?
Himanshu Baid: These are all recent hiring. So, that because that 64 people have added during the year only in sales and marketing we are talking about here. So, a lot of people have been added in manufacturing and other activities, regulatory, quality, engineering, R&D . So, that is not included here. The reason we are calling out sales people is because that is the organization we want to bring more strongly right now.
Nitin Gosar: I will take that point because you have been calling it out you want to improve the reach in India.

Himanshu Baid: Exactly. That's c orrect. Absolutely correct sir.

Nitin Gosar: Fair point. Thank you. Thank you.

Moderator: Thank you. A reminder to all participants, you may press "*" and "1" to ask a question. Ladies and gentlemen, you may press "*" and "1" to ask a question. The next question comes from the line of Tanmay Gandhi from Investec. Please go ahead.

Tanmay Gandhi : Thanks for the follow up . Sir, my question is on the US tariff, right? So, basically if the government were to put tariffs on Chinese and Mexico exports, right? So, will that create any risk of dumping by these exporters in ma rkets like Europe, ROW markets?

Himanshu Baid: So, I think, Tanmay, I think it's very clear these are essential products, right? And it will be very difficult overnight to , the US hospitals cannot run out of products. You still need them. So, eventually what we will do is add cost to the patients or cost to the hospitals in the network. But it's not good that they'll stop buying. But if they stop buying, they can't take care of US patients in hospitals. It's a necessity. It is not, it's an optional thing.

Tanmay Gandhi; Understood. So, basically you don't really see any risk of dumping of t hese products in other markets.

Himanshu Baid: Why dumping? You know, because in India there has to be a consumption. Even if you dump extra product in India in the market, who's going to use it?

Tanmay Gandhi: Correct. But sir, if the same case is with the pharmaceutical as well, right, where the supply is in a fright and that is for something which drives a price erosion, right. So, though the demand may not really go up, but again if the supply is more than probably pricing.

Himanshu Baid: India is ver y fairly regulated on this area.

Tanmay Gandhi: No, I am not talking about India, I am talking about Europe and ROW market .

Himanshu Baid: No, nothing is going to change much . See everywhere we have contracts, no? The business runs on, it's not a daily business . Today they will buy from me, tomorrow they will buy from somebody else , right. And also, we have a very strong Polymed branded busine

ss . It is contractual.

Tanmay Gandhi: Understood . Thank you.

Himanshu Baid: In other words , it will impact every industry, not why Polymed. It will impact every manufacturer who is selling products into US or Mexico or Europe. Everybody gets impacted, the whole Indian economy will get impacted because nothing on Polymed specific then.

Tanmay Gandhi: Right , Right . Thank you , Sir.

Moderator: Thank you. Ladies and gentlemen, you may press "*" and "1" to ask a question. The next question comes from the line of Sandeep Abhange with L KP securities. Please go ahead.

Sandeep Abhange: Yes, thanks for taking my question. Can you give a break up on your product categories like infusion therapy, renal , blood transfusion, anesthesia and respirator y etc. If yo u can give product breakup of FY 24?

Himanshu Baid: So, Sandeep we only call out two important businesses which are material right now. Infusion therapy and renal and that we have already given the disclosure in the presentation. If you see the presentation, our infusion is 800 crores out of 1181 and renal is 104 crores out of 1181 for 9 months. And then rest of the products is 277 crores, which is 5 to 6 different categories of products there right now. We don't call out them because they are not significant under 5%.

Sandeep Abhange: Okay. And as far as renal is concerned, we have seen good growth in terms of last three years, like around 30 %-40% and this year we have seen till almost 56% kind of growth rate. So, what could be the trajectory ahead for the renal business and like currently I believe it is somewhere around 7 % to 8% of your overall revenue. So, what could be the trajectory we can expe ct going ahead in 3 to 5 years?

Himanshu Baid: Yes, so we are expecting this business to grow faster, let's say in next couple of years at least because as we are replacing imported products in the market, as we are the only producer of this kind of products in India. So, that is what is changing the landscape. But what has happened is good news is that government has increased reimbursement rate for dialysis treatments. So, from Rs. 1200 odd gone to Rs. 1800 under National Dialysis Program and Ayushman Bharat . And also, government has given permission to open standalone dialysis clinics. So, we have been talking to the dialysis chains, like Nephrocare and Apex and all other big ones which are operating in more organized way. And they are predicting a growth of around 25 % to 30% in

their businesses in dialysis chains. And plus, with more standalone dialysis clinic , earlier dialysis clinics only allowed within the hospitals. Now as government has recently announced daycare oncology centers so now they are also opening daycare dialysis centers. So, that will also maybe

grow, it will help in growing the demand for this product. But our target is to maybe reach let's say, by 2030 around 20 % to 25 % of the market share.
Sandeep Abhange: Okay, that's great, that's helpful. And one last thing I wanted to understand on the margin front, there have been quite a few questions and so just wanted to understand like 27% kind of a margin. So, like you earlier mentioned that you are expecting at least 50 to 60 basis point increase in margin every year. So, do you think it is achie vable for the next three years?
Himanshu Baid: See, as we improve our operational efficiencies, let's say next year also we grow, let's say 20% for example, revenue. Then the expenses will not go in the same proportion.
Sandeep Abhange: Absolutely.
Himanshu Baid: So, then definitely we will see some margin improvement there because this year we have started two new business. So, I've got 60 new people who are not giving me full productivity in sales and marketing because they have just joined and they are just part of the new division , right. So, as time progre

sses, these people get more productive and the n probably we will see, so overall this number should be achievable. In any manufacturing space if you keep on imp roving revenues , then definitely y ou will get some advantage of operational efficiencies.
Sandeep Abhange: And sir on the CAPEX front like how much CAPEX has been done till now and what is the expectation of CAPEX?
Himanshu Baid: So, this year we have done around close in 9 months Rs. 222 crores of CAPEX and budget of Rs. 300 crores. And probably another few more months of CAPEX and FY 26 will then probably our CAPEX cycle for the old plants which were established between 23 and 24 will be over and then we will focus on the new plants which we are establishing , three new plants which were establishing . We have just started building those plants hopefully ready in 18 to 20 months and that is where we will be spending cl ose to Rs. 400 to Rs. 500 crores .
Sandeep Abhange: And all of QIP proceeds will be used for that ?
Himanshu Baid: Correct. There's a segmentation of QIP proceeds , so Rs. 500 crores is for new CAPEX , and t hat is where we will be using it.
Sandeep Abhange: And that would be for over two years, like, by how, when you're expecting?
Himanshu Baid: 18 to 20 months, basically, to build a plant and ge t all the regulatory approvals.
Sandeep Abhange: Okay. And sir, on the acquisition part also, like you had earlier mentioned in previous concall that you are also eyeing an acquisition on majorly in the critical care or maybe oncology or cardiology space. So, have we boiled down any acq uisition targets in this space?
Himanshu Baid: If we have something , we will definitely announce. So, far nothing. But if we have anything , we will de finitely announce.
Sandeep Abhange: Okay. But some of the QIP proceeds would be as a result of that.
Himanshu Baid: Yes, part of the QIP proceeds is designated for acquisition.
Sandeep Abhange: Right. Okay. Thanks so much.
Himanshu Baid: Thank you, Sandeep.
Moderator: Thank you. A reminder to all participants, you may press “*” and “1” to ask a question. The next question comes from the line of Harsh from Dalal & Broacha Stock Broking. Please go ahead.
Harsh : Hi, thanks for the opportunity. Just one question from my side. Any sort of role we could be playing, say, in the drug delivery devices? So, when I say that it is more to do with the injectors space , the auto injectors, pen injectors, I mean, do we have that expertise or anything you would like to enter?
Himanshu Baid: We already make combination devices. We make like blood bags which is a combination device plus drug. You know in blood bag , there is a CPD A solution which goes with the bag. We also make pre -fill syringes which is a combination device. So, we are in combination devices, and it again depends on the opportunity because most of these devices are sold by large multinational companies because they have the expertise to bring the drug out and they rely on devices for other companies. So, it depend s on our partnerships and maybe future trajectory, but we will continue to explore more opportunities in this area for sure because already we do some kin d of products in that category.
Harsh : Yes, got it. That is it from my side.
Moderator: Thank you. Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to the management for closing comments.
Himanshu Baid: Thank you again everyone for asking great questions and thank you for your support as always. As we continue to move in a good direction and a steady pace, I think in our annual earnings we will be able to give you more finer projections on our next year's numbe rs and how we will fare depending on how our new plants and our new products shape up in the next few months. So, th

ank you again, once again, and please stay in touch, thank you. -;,IPOLYMED

Moderator: Thank you. On behalf of ICICI Securities that concludes this conference . Thank you for joining us and you may now disconnect your lines. -;,IPOLYMED

Call: May 2025

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Subject: Submission of Transcript for Q4-FY25 Earning Conference Call under the SEBI (Listing Obligation and Disclosure Requirements), Regulation, 2015
Dear Sir/ Madam,
Pursuant to Regulation 30(6) of SEBI (Listing Obligation and Disclosure Requirements) Regulations, 2015, we hereby submit Transcript of the investor Meet/Call held on 7th May 2025, on the Audited Financial Results of the Company for the quarter and Financial Year ended 31st March, 2025, on Standalone and Consolidated basis, which were considered and approved by the Board of Directors of the Company, at its meeting held on 6th May, 2025.
This is for your information and record.
Thanking You,
Yours Sincerely
For Poly Medicure Limited
Avinash Chandra
Company Secretary
M. No. A32270
Encl: As above
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“Poly Medicure Limited Q4 FY '25 Earnings Conference Call”

May 07, 2025

MANAGEMENT : MR. HIMANSHU BAID – MANAGING DIRECTOR, POLY MEDICURE LIMITED

MR. NARESH VIJAYVERGIYA – CFO, POLY MEDICURE LIMITED

MR. RAHUL GAUTAM – PRESIDENT STRATEGY & CORPORATE DEVELOPMENT , POLY MEDICURE LIMITED

MODERATOR : MS. NISHA SHETTY - ICICI SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Poly Medicure Q4 and FY '25 Earnings Conference Call.
As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Himanshu Baid. Thank you and over to you, sir.
Himanshu Baid: Thank you very much for hosting the call. Again, good evening to everyone who is on the call, and I will take you in Quarter 4 highlights and also the annual numbers for next 15-20 minutes. And again, I am sure you have seen the presentation which we have posted already for all our investors on our website.
So just to highlight the numbers once again, for the quarter ended March '25, we have consolidated revenue performance of Rs. 440 crores that is around 16.5% growth over last year and also operating EBITDA for the whole quarter is Rs. 119.5 crores against Rs. 96.5 crores over last year's performance. And overall EBITDA has also improved from 25.5 to 27.1% for the quarter. And also we see PAT improvement from Rs. 68.4 crores to Rs. 91.8 crores. So that is the quarter performance.
On the annual side, again, if you look at the numbers, from Rs. 1,375 crores, we have gone to around close to Rs. 1,670 crores, a growth of around 21.5% roughly. Again, margins had improved from 26% EBITDA to 27.1%. So overall EBITDA grew from Rs. 357.7 crores to Rs. 451 crores and again PAT has increased from Rs. 258 crores to Rs. 338.6 crores. So if you remember the guidance we had given in the beginning of the year, on a standalone basis, the revenue has increased from Rs. 1,307 crores to Rs. 1,601 crores, which is close to 22.5%.
So we had given guidance in the beginning of the year between 22%-24% growth rate. So we have actually within the range of the target which guidance number which we had provided in the beginning of the year. So we were very accurately able to forecast our revenue and our projections. Even on the margin side, if you see the EBITDA margins also improved by close to over 100 bps and that was the also guidance for the year in the beginning of the year where we called out for a margin improvement of 100-250 bps. So we are in the range of what we had projected in the beginning of the year.
So again, coming back to the revenue mix, domestic business overall increased by 18.6% on a standalone basis and export revenue increased by 24% from Rs. 89 crores to Rs. 110 crores. The biggest highlight in the domestic business was the growth in the Renal business and the Renal business had grown significantly by 60% for the whole year and that is what we had called out. We had called out a number of around close to Rs. 140 - Rs.150 crores for Renal business for FY '25 and we have actually did over Rs. 150 crores for the whole year. And it has been our main growth sector in the current year and also as we grow forward in FY '26, we also anticipate

close to 50% growth in the Renal business as we go forward in FY '26. So we are pretty much increasing our market share here. We are also selling more and more machines. So this year, our plans are to sell between 500 and 600 machines between that number, so close to 40-50 machines a month. Totally, we have now installed base over 500 machines, last year over 350 machines were sold. So now, we are gaining more and more market share with the domestically produced machine which has around 50% local components and also the dialysis market is growing because the reimbursement rates have changed. The rates have increased from Rs. 1,200 to Rs. 1,800 and that is probably bringing more and more service

providers, opening more standalone
centers in the country. So that is a big plus for the Company.
The second big plus is our Critical Care division, which just started last year, and this division will greatly benefit from the 200 Oncology Centers which Government of India has announced this year and there will be total 700 centers for over next 3 years. So Oncology business, it is in our Critical Care business. So that will greatly benefit from this government policy of making standalone centers for drug delivery and Oncology, so this is something plus sign for us. And we are very hopeful that Critical Care segment also grows by almost 2 and 1/2 times in the current year over the previous year numbers.
Cardiology, we have just started last year, it was the first 6-7 months of launch, and this year

will be a full launch because our DES, which was approved as I mentioned in the last call, in February, so we have commercially launched the drug-eluting stent in the market end of March and now we are seeing the sales hitting. At this moment, we have already implanted around 200 plus stents, 100 plus was done within March. Now, we have almost done 200 plus stents as we speak right now and we have a good report around and we are also going to establish a clinical registry in next few months, it will cover over 2000 patients. So again that is a big move we are going to do and we will announce it as soon as we finalize all our contracts and parameters around that and some portion of that of those clinical trials will also be happening in Europe. So that is on the Cardiology business, we will be launching also drug-eluting balloons and certain PDA catheter, PTCA catheters this year which are scheduled to be launched this year. We are waiting for some licenses from CDSCO and as soon as we get those licenses, we will be in a position to launch those products.

The balance sheet is of course very healthy. We have a liquidity position of Rs. 220 crores as of March '25. Of course, we are looking at some new opportunities in M&A side and as soon as we finalize something, we will definitely get back to you with proper details. So we are now constant lookout for good technology, good Company in India or outside India and our endeavor is that Polymed should be focusing more on technology in future, so that we can build solid platforms across our new verticals like Cardiology, Critical Care and Renal portfolio. So that is where our focus. And we are also looking something outside these areas and if you find a technology which is suitable to India and for global markets, we will definitely work on that side. So these are some of the newer things we are doing.

Last year, we have launched over 30 products. In FY '24, we launched around 18-19 products. Now, we have moved around 30 new products which were launched in FY '25. So that is a big because in Cardiology, Critical Care, we have launched a lot of new devices and that is a big change from our past strategy of only launching 10-12 products a year. So a lot of acceleration in R&D and new product launches and across these new divisions.

Today, we have also signed recently our contract with ZEMBA is a global coalition of companies working to accelerate on decarbonization of ocean freight and Polymed is one of the only few companies which have signed this contract from India. So most of our goods which we carried across two different continents through ocean freight will carry green fuel and that is what we are targeting right now and that is a big push towards our environmental compliances and building a sustainable manufacturing ecosystem. Also, we have signed a contract with AMPIN which we announced few months ago that most of the energy will be used in our companies, especially in Faridabad area where we are most of our manufacturing will be green energy will be generated through solar powe

r, and we are going to establish a JV to attain almost
9.5 MW solar power plant which will help us to energize all our factories with green power.

And I am also very happy to announce that recently Polymed as a Company I received an award on behalf of the Company as "EY Entrepreneur Year Award 2024" for "Life Science and Healthcare". So this was a great recognition from the industry and the peer group about the progress Polymed has made over the years in medical device industry and that was a great honor to receive on behalf of all our employees, all our stakeholders last month.

On the financial side, of course, we continue to accelerate. Again, we have guided this year again for a 20% revenue growth. Overall, we may face some little bit headwinds in export business, but we are very bullish on the domestic market where we are expecting a growth of around 30% to 32% for the whole year and that is what we are targeting this year where Renal will make a significant progress and so as our Transfusion and Vascular Access business. So we are very bullish on growing market. In India, we have done a lot of work. So from that first quarter of last year, we grew only 6%. All the other 3 quarters, we have grown over 23%-24% in domestic business and now as we have achieved certain momentum, so I think now we will see a much bigger growth rate in coming quarters and in this current year.

Exports, I think we will see a growth rate between 12%-15%. That is what we will see this year. And of course, after a few months, we will have more clarity how things are shaping up because the current geopolitical situation is pretty fluid right now and of course, we will watch it out, but with the current contracts, we have current visibility. We think we don't see any reason that will not go 12%-15%. So overall, we see average both the growths where one-third revenue comes from India, two-third come from export, so we should be able to hit our 20% goal, we should be able to hit that very easily and also on the margin side, I think we still expect margins to remain between 25%-27% of EBITDA. This is where we are guiding today. Hopefully, we should be able to do better, but this is what we will guide for the moment and as time progresses, we will have much more clarity on these issues.

So these are some of the updates from my side and now, I will ask all the people on the call and if there are any questions, I will be happy to answer them and we have people received some feedback from you guys. Thank you so much and again back to you, ICICI team.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Nitin Gosar from BOIFM. Please go ahead, sir.
Nitin Gosar: Hi.
Himanshu Baid: Hi, Nitin.
Nitin Gosar: Hi, Himanshu ji. Thank you. Congrats on the good set of number again. Sir, I just wanted to understand couple of day's back India signed a free trade agreement with UK, I believe UK Europe has been one of our dominant geography when it comes to export. With FTA keeping in mind, does it help our business to any extent?
Himanshu Baid: See, I think it is a very big move. See, currently, we already have a presence in the UK market. Almost 5%-6% of our revenue is coming from UK from the export side. So what we are seeing right now is that the NHS which is the one of the largest consumer of medical devices, I think there we will benefit a lot because now this long-term FTA being signed, at least the tariff structure remains constant and this will help companies which are working with NHS and with us directly, I think they will see a longer runway to procure products from India. Also, we have a strategy to go direct because we have a subsidiary in the UK now. So we also have a strategic intent to go direct in the UK market through our subsidiary. So that is also a big move for us because it will

help us to recruit some people on a temporary basis and also access the market directly. And the next thing I see is the opportunity on the CDMO side. Many companies can say India, long-term partner, to develop design and manufacturing capability in India and to address the UK market. So overall, it has a very positive move at least for the Medtech sector.
Nitin Gosar: But when I hear your commentary in terms of the outlook for FY '26, we are slightly more lower on the growth, not exactly muted, but slightly lower. Is it more to do with US as a tariff which is creating ambiguity around?
Himanshu Baid: Yes, I think you are right, Nitin. So everybody is in a flux right now. So nobody knows what is happening. So some people who are 10%, we are the winners here, but suddenly they are not the winners. So we don't know who is going to win, who is going to lose. So I think it is global, the last few months there is a global turmoil in the whole global trade. So trade markets have kind of stalled a little bit, but yes, we are in the healthcare business where we will not see a downturn because people need products. So I think it is a matter of time, and I think because we are in a situation, what we are seeing today and yesterday and day before, we are commenting like that maybe 3 from now will have a different outlook altogether.
Nitin Gosar: Yes. Just to understand on the US tariff part, supposedly, hypothetically, if there is 10% tariff, how does it affect our cost positioning vis-a-vis the competing nations?

Himanshu Baid: I think 10% tariff, see what has India negotiated now with UK also. I think on most of the products close to 0% to 4% tariff. And so almost we are giving a free access to those margins, I think similar for medical devices which have an inward duty of 5%-10% in India and Indian exports are almost like 2%-3% duty, I think 2.5% or 2.75% duty. So I think on the reciprocal side if India matches that, I think the duty will drop to around 4%-5% for Indian products also, whereas China, even in the Biden-era, there was duty on medical devices from China. But what I feel personally is India will get a leeway because we have a strong pharmaceutical industry, pharma, medical devices, all are clubbed together. So I think we will see a better tariff structure for Indian products, and I think now, we are also getting a lot of inquiries from US customers who are looking at India as an alternate base. Though it is going to take a long time, it is not an easy win or near win, but I think in the long run, I think India would be a winner.
Nitin Gosar: Got it. And one last bit on margins where you said, the range is between on guidance around 25-27, but with a certain degree of optimism as well, so it can be 27 plus as well now?
Himanshu Baid: See, the point here is again the situation we are into today and yesterday and the day before yesterday. So this is very hard to comment, and I don't want to be over committing and under delivering, so I think, let us see.
Nitin Gosar: Now I completely agree with you, sir.
Himanshu Baid: Anyways, Company is doing fine, we are doing. So I think the business is in good shape, is in good auto mode, but the only thing is that let us be cautious, conserve our capital, conserve our energies for a bigger opportunity is going to come to us.
Nitin Gosar: But just to understand your thought process, what scenario can trigger 25 and what scenario can trigger 27 plus if you can help us understand these two scenarios?

Himanshu Baid: See, I think, see if the export growth gets lower than, let us say, 12%-15%, then we may hit the 25% number. But if the export goes continues in north of 15%, then we could still hit that 27% EBITDA margin.
Nitin Gosar: So you want export to be 15 plus, that will help us?
Himanshu Baid: Yes, that is what we are targeting and that is what should happen. That is the minimu

m number,
internally we have simulated, and I think we should be able to achieve it, though we have done in the earlier years around 23%-24% growth, also last year was 24% growth in exports. But I think 2-3 months, I think end of quarter 1, quarter 2, we will have more clarity. I think this is a very difficult year for everybody.
Nitin Gosar: No, I agree with you, sir. Yes, and thank you and wish you the best for the upcoming year as well.
Himanshu Baid: Thank you, Nitin. Thank you so much.

Moderator: Thank you. The next question is from the line of Rashmi from Dolat Capital. Please go ahead.
Rashmi: Yes, thanks for the opportunity. So follow up from the earlier participant only, in Quarter 4, we have seen a slowdown in the Europe business, and you also mentioned because of the tariff disturbances and all. So in Europe, specifically, which countries you have actually seen such slowdown and going ahead in FY '25?
Himanshu Baid: Rashmi Hi, so good question. But we don't call out separate the country because it is very confidential information. But in general there was a slowdown coming mainly from countries in South Europe. So I think that is where we had slowdown. And I think as time progresses I think it should come back because in most of the countries there was supply chain disruption, maybe overstocking. So all those things were combination of factors, and nobody knows where the tariffs are coming, what is going to happen to China and how they are going to take it up. So there are certain things. So it is for everybody. I think we have still done very well in growing our exports by 14%. Most of the companies which are in medical devices have not grown at all in exports.
Rashmi: And coming to the category wise in Infusion therapy in India, how is that progressing? What is the expectation like in the Renal segment, you already said that we would be able to grow 50% sort of growth even in FY '26, but what is happening in the Infusion category. What kind of growth are you seeing in that business?
Himanshu Baid: So I think in Infusion category, we are looking at a growth of over 18% to 20% in the current year and I think that is the number we have internally set as a benchmark, and I think markets are growing. There is a lot of consolidation happening in the hospital sector. You have already seen a lot of mergers happening. So that is wherever we have presence in one hospital chain and they are merging, so it gives us an automatic into the next hospital chain. And that is what we have seen over last one year. So our presence in chain hospitals has increased considerably and I think that is what we are seeing more corporatization. And Polymed which is operating today in a higher mid-Tier to higher segment in this category, so we are able to also, and you have seen that we have worked very hard in the domestic market in last one year. So I think that is what we will call out as 18% to 20% growth rate in Infusion Vascular business.
Rashmi: And this 18% to 20% considering both India as well as the export market, right?
Himanshu Baid: No, we have not called out export Rashmi, this is more on India.
Rashmi: Just more on India business?
Himanshu Baid: Yes, because you called out India. So I have called out India.
Rashmi: Got it. That is clear clarification. Another thing, just in the Renal segment, with some of the distributor checks and all what we understood that even though we sell dialysis machine at a discount to the market leaders like Fresenius Kabi and Nipro and they are already the market

leaders very well, still penetrated in the Indian market and we are second to them, in between and we do have other sort of players like Chinese players who are basically even discount to our own pricing, what we are selling it to the customer. So at the very low pricing, so we are

somewhere in between. So just to understand what strategies are you taking in order to get more acceptable by the customers because somewhere we feel that we are in between?
Himanshu Baid: So I think so, Rashmi, let us understand, most of these companies you called out the names, initial names like Fresenius and Nipro have been in the market for 40 years. They have installations of over 40,000-50,000 machines across both the companies whereas we have installation of only 500 machines. We are a new entrant entered just a year and a half ago with

that product line. So we are building our team of engineers and application team, I think the service is going to make a difference. Chinese don't offer any service. So that is because the disadvantage, they don't have any service backup or engineering backup in the country, they don't do any trainings in the country. So today every customer is looking for a service backup for training, application training, and technical training and that is what we have been doing for last 1-1/2 years. That is the reason we are able to sell 350 machines last year. So now, this year plan is 500-600 machines as I mentioned earlier. So the servicing, the continuity of the machines because you will be able to very quickly if there is a machine that needs repair, we are able to sell our technicians, very quickly they had to repair the machines and to manage those machines and as we are putting more machines in the market, our reach is increasing. And we are able to then take a bigger market share from the market and with at least 50% Make in India content, I think that becomes the advantage especially where dialysis is still a very highly government dominated business, we get our advantage as a local manufacturer.

Rashmi: And this 500 to 600 installation which you did, is it to specific regions or is it distributed Pan India?

Himanshu Baid: This is Pan India.

Rashmi: And how many technicians we have specifically as a serviceman?

Himanshu Baid: We are today totally 30 plus, today engineers who are around, who are helping us to manage these machines across the country. And each engineer actually in its full capacity can manage around 20-30 machines. So we have already put people in strategic locations which will help us to grow the business in those areas very fast.

Rashmi: And one last question on the PLI benefits. Have we realized anything for the Renal segment?

Himanshu Baid: No, Zero.

Rashmi: But are we expecting anything in FY '26?

Himanshu Baid: Can't say if we hit some targets, we would, but I am building the business not on based on PLI, building the business on merit of the products we manufacture because we aren't even going to

finish in 2 years. FY '27 PLI is over anyways, so it doesn't matter. I think the business is built on the merit of product quality, good product, so I think that is more important to us.

Rashmi: Thank you. That is it from my side.

Himanshu Baid: Thank you, Rashmi. Thanks a lot.

Moderator: Thank you. The next question is from the line of Ravi Kumar Naredi from Naredi Investment P Limited. Please go ahead.

Ravi Kumar Naredi: Yes, Himanshuji, you are doing a fantastic thing. Sir, our Rental contribution is 60%. So it will maintain or may rise more?

Himanshu Baid: Sir, The Renal growth is 60% last year. This is next year we are planning because the base has increased now so we are looking at growing by around Rs. 75 crores over the current base of Rs. 150 crores, so around 50% growth is what we are guiding for Renal business. And currently, still all Renal products are being sold from outside India. And I think as we get more and more market share and as more and more product goes out in the market and people develop trust on our brand and product, this will help us to grow the market share considerably and that is what we are doing right now.

Ravi Kumar Naredi: Yes. A

nd sir, what is our CAPEX plan for next 2 years?

Himanshu Baid: I think next 2 years, we have called out the CAPEX of around Rs. 500 crores across 3 new manufacturing facilities we are building right now and mostly, it will help us in expanding the Renal capacity and look at some new opportunities in the CDMO space that we are trying to figure out with this new tariff structure which is hit. So there are some new opportunities opening up. So we are working on those areas also and creating infrastructure for that.

Ravi Kumar Naredi: And our margins in export are more or domestic are more?

Himanshu Baid: The margin and export is slightly higher than the domestic business.

Ravi Kumar Naredi: Thank you.

Himanshu Baid: Thank you.

Moderator: Thank you. The next question is from the line of Abhas Dua from Layman Ventures. Please go ahead, sir.

Abhas Dua: Hi, sir. Congratulations on the great performance. I just want to ask you, given your clear commitment to innovation as evidenced by 334 patents granted globally and R&D expenses increased this year, can you share more about new research and development initiatives or product innovations that volumetrically is focusing on this quarter?

Himanshu Baid: That is a great question. And I think for us it is very important as an Indian Company to focus on new product development and new innovations. So yes, we are hiring 40 more people in the R&D team this year. So from a present state of 60-70 people, we will move to around 100 plus people this year. We are adding more and we are going to spend more money on clinical trials which is part of the R&D cost to help us to establish the efficacy of the products we are manufacturing today. So there is a clear drive that over the next 2-3 years, we will spend more and more money on R&D and you will see this expense increasing over next 2-3 years because as we enter the Critical Care and Cardiology space, our R&D spend will also increase, but will also help us to bring new devices which will be more where we will see gross margin improvement in some of the devices we are developing today.
Abhas Dua: Also I just want to have your take on the increasing advanced technologies in Critical Care, Oncology and Renal Solutions. What are you expecting? How this play out?
Himanshu Baid: So I think today, in any business, you have to continuously innovate because otherwise the product life cycle kind of becomes stagnant. So even in Renal, we are bringing some new technologies. We have at least 7 or 8 new products where we are trying to bring in some new ideas and bring some new technology and also improve our existing product lines, adding more SKUs there. So that is on the Renal space. Cardiology, as I told earlier, we are working on the new drug-eluting balloons, which nobody manufactured in India. Everything what we see in India is imported here, building the new PTCA catheters and some other very specialized guide wires. So that is what we are trying to build now in India and across different technologies. So every area we are creating a specialization of products.
Abhas Dua: And how do you manage the emerging competitors in the medical device market?
Himanshu Baid: See we have been managing for 28 years, so that is not new. So currently, we still are one of the most profitable companies in the sector. We continue to invest in new technology, new manufacturing, strategically launching products which are new generation devices, so that is the DNA of the Company, and I think we continue to work on the same DNA. Nothing is changing.
Abhas Dua: Thank you.
Himanshu Baid: Thank you so much.
Moderator: Thank you very much. The next question is from the line of Virti Shah from Systematix. Please go ahead.
Virti Shah: Hi, sir. Sir, just wanted to know like some insights on our current portfolio coverage in India and specifically

what percentage of hospitals can be addressed through our existing portfolio like in terms of SKU's?
Himanshu Baid: Today, the products we manufacture can cut across into every hospital which is existing in India, almost 20,000 hospitals which are over 50 bed. So I think we have a very wide basket of

products, over 250 products across the 6 verticals we run in India, and we continue to expand that basket. So over the next 3 years, we will add another 50 more products or 60 more products in the 6 verticals. So there is a huge basket expansion happening which ensures that every hospital would be a relevant customer to us.
Virti Shah: And which product category your export is driving?
Himanshu Baid: So export is basically focused on our Vascular Access infusion portfolio where we have a global competence and as time progresses, in next 2-3 years, we will also build exports for our Critical Care, Cardiology and Renal business, which we have just started last year in India. Renal is slightly older, but we are still trying to focus more on bridging that import gap in India. But as we have more capacity, surplus capacity, we will also build Renal as an export business for us. So that is what we are targeting right now.
Virti Shah: And last question, what is your current market share in India for Dialyzers and what percentage you think it will grow?
Himanshu Baid: So current market share, I think the estimate is close to around 10%-12% and hopefully, as we are calling out already 50% growth this year, industry probably is going around 25%. So we will grow double the rate of the industry. So next 2-3 years, we can expect the market share to grow to around 15%-17%.
Virti Shah: Thank you, sir.
Himanshu Baid: Thank you.
Virti Shah: Thank you. The next question is from the line of Rahul Deshmukh from LKP Securities. Please go ahead.
Rahul Deshmukh: Thank you for giving me the opportunity. Sir, I just wanted to understand the contribution mix, previously we used to report the contribution from Surgery plus transfusion?
Himanshu Baid: So we don't call out segments which are very small for the Company. And so that is clubbed under the General category. So we don't call out the numbers and these are some of the numbers that are confidential. I can't share on the call.

Rahul Deshmikh: And I just wanted to know which products the margins are better and for which product margin expansion you are calling for?
Himanshu Baid: Rahul, you are asking the secret recipe for my business?
Rahul Deshmukh: If you can share?

Himanshu Baid: So you are typically asking me a secret recipe over open forum. So of course, we don't call out the margins for each product. We don't give that information, but yes, Vascular infusion which is our core business is where we because we have a global competence on this business and some of the products we have good market share globally. So those are the products we will make more margin.
Rahul Deshmukh: Sir, next question is on inorganic expansion you mentioned that we are looking for…
Himanshu Baid: Now, can you speak more loudly? I can't hear you very well. So if you can be more closer to the mic, yes? Rahul, can you be closer to the mic, please.
Moderator: Sir, the line from Mr. Rahul has been disconnected. So shall we move to the next question?
Himanshu Baid: Please.
Moderator: The next question is from the line of Jasdeep from Clockvine. Please go ahead.
Jasdeep: Hi sir, thanks for taking my question. Sir, what percentage of your domestic sales excluding Renal business comes from the government?
Himanshu Baid: So total government revenue is around 10% to 12%, Jasdeep of the total domestic business.
Jasdeep: Got it. And how is this number grown over the last couple of years?
Himanshu Baid: It is decreasing. So we are seeing decreasing then,

again I think first of all there is a big payment issue with the state governments where payments are coming not even in 1 year from many state governments. And again, quality is not considered as a clear selection criteria. So that is actually really for us is better to move more in the value accretive segment which is the private segment and then that is where we are gaining more market share. So I think government is not a focus area for us.
Jasdeep: Got it, sir. Sir, considering that you are a challenger in the Renal business and growing really fast, would it be right to assume that the margins in this business are poor as of now and as you build scale over the next couple of years, the margins will?
Himanshu Baid: Absolutely correct. And I think because this is a start and as you heard on the call earlier, we are in the middle of the segment getting squeezed. There are big companies, Chinese companies which are pushing the market. So we are in the middle. But I think as the volume expansion happens, we will get operational leverage because we are building the team, we build the infrastructure across the country. So I think once we start leveraging it more, I think we will see more marginal improvement in that. You are absolutely correct.
Jasdeep: It is loss making business as of now, sir?

Himanshu Baid: It is not a loss making. The operating margin is positive. So I think it is all about, I think probably by the end of this financial year, we should be able to be making PAT on this business.
Jasdeep: Sir, have your margin in the domestic business moved over the last 3 years, if you could just talk about the trends in the business last years on the margin front and domestic?
Himanshu Baid: So I think trend would be improving as the revenue. Again, see, last year, if you see we have added 70 new people across two divisions which were absolutely not, just the starters. There was no real margin coming from those two new businesses. The contribution is very less and these are expensive people in Cardiology and Critical Care. Again, the margins would be slightly flatter over the last couple of years, but I think as we have guided again as you have heard on the call, I have guided for growth of 30%-32% for this year for domestic business growth, I think that would help us to increase our margin substantially in times to come in domestic market.
Jasdeep: Got it, sir. Thank you, sir. That is all from my side.
Himanshu Baid: Thank you.
Moderator: Thank you. The next question is from the line of Harshi Shah from Beas Capital. Please go ahead.
Harshi Shah: Hi, Himanshu, congratulations. It has been a great year. Two questions, first, how do you see the demand in exports especially are coming through during the year and you have MDR certificate for 15 new products, so I think 15% is slightly conservative and secondly networking capital days have increased slightly, so just some color on that?
Himanshu Baid: So I think on the export market, the second question I will ask Rahul to answer for you. The first question is exports in Europe will increase. The point here is right now, currently, the global situation is very fluid and that is the reason if you heard me earlier on the call, we have given

conservative guidance but let us see what happens in the next 2-3 months and we will have better
clarity. But of course, Europe will be a prime market where one-third of the revenue still comes
from Europe in the Company. So I think we are pretty optimistic about the market, but I think a
few months will have more clarity. So I think we are not in a position to give a better number
than 15% right now.
Rahul Gautam: And just to answer the question on networking capital, right, I think we have been obviously
trying to add market share in the domestic market to grow faster, right and extending some credit
lines to our distributors to help g

ain that market share. Plus we obviously built out inventory as
we have lots of raw materials coming from overseas markets, right. So I think those are the
reasons, but it has not expanded a lot. So we are quite okay from overall networking capital
perspective.
Harshi Shah: Thanks a lot.

Moderator: Thank you. The next question is from the line of Girish Jain from KJMC Financial Services
Limited. Please go ahead.
Girish Jain: Hello, Himanshuji.
Himanshu Baid: Hello, Girishji, how are you, sir?
Girish Jain: Congratulations on a good set of number.
Himanshu Baid: Girishji, your voice is cracking, sir. Your voice is cracking. I can't hear, your voice is cracking
now. I can't hear him.
Moderator: Mr. Girish, if you are using a headset, please switch to a handset.
Girish Jain: I am on the handset only.
Himanshu Baid: Now, I can hear you better.
Moderator: Sir, your voice is clear now. Please go ahead.
Girish Jain: I said congratulations on a good set of numbers and some of the questions have already been
covered. Just wanted to get a sense of the CAPEX, the Company continues to be on a heavy
CAPEX cycle mode and I think you mentioned about in the next couple of years around Rs. 500
crores of more CAPEX is being planned. In the earlier calls you had mentioned about 3 new
facilities, I think in Haryana, Uttarakhand and Rajasthan, some flavor on the schedule of the
commercialization of these plants and any new plants identified, new sites identified?
Himanshu Baid: So already these sites were already identified Girishji. When we raised the QIP money for
expansion so that these sites were already identified and already the construction work has
started on 2 sites already. Third site we will start maybe in a few months. So we are waiting for
some approvals. So this is part of what we have already announced earlier and will take us around
18 months to 24 months to build the plant. So in the previous call, I mentioned that by the end
of Calendar Year 26 we should be able to commercialize this operation.
Girish Jain: And the Company is sitting on a cash of, I think Rs. 1,100 crores, right, I understand. And
obviously it is throwing Rs. 250-Rs. 300 crores cash annually as well, has there been some plan
on acquisition which is now going ahead and what are the plans for use of this capital?
Himanshu Baid: So basically, if you see out of that Rs. 1,000 crores were raised recently through QIP in august,
September, last year, almost 6-7 months ago and this money is still quite unutilized, almost Rs.
900 crores of this money is still utilized and Rs. 300 crores were the previous cash in the
Company which was built to internal accruals, so we will be using some of the money in CAPEX
this year and some money what we use maybe for general corporate purposes in working capital
because we still have very low debt from the banks in terms of working capital, Company is debt

free anyways, long term there is no debt in the Company. So that money will be utilized there
and we are working on certain M&A targets. Hopefully, if something works well, then we will
be utilizing some of the cash even for M&A operations.
Girish Jain: On the M&A, have you been able to decide which particular vertical you would be interested in,
whether it be Critical Care or Renal?
Himanshu Baid: Girishji, I can't call out this. This is sensitive information. I am sorry, I can't answer this question.
We will work within what we are. We have a specialty in those areas. So that is what we will be
within the same specialty area. And if we have to some new M&A opportunity, we will definitely
do complete DD (due diligence) before getting into a new vertical.
Girish Jain: And the last question is, we just noticed that the dividend payout ratio has come down from
15%-16%, it used to be 4-5 years back

to now, I think around 10%. Is this the Company's plan
to preserve cash? I was mentioning about the dividend payout ratio.
Himanshu Baid: Here, I think the Board has taken a view that as we are going for a heavy CAPEX and also there are certain M&A opportunities to conserve cash and of course make prudence in there, but I have heard your point and then we will convey this to again Board members to be more considered in giving dividends.
Girish Jain: Thank you and all the best.
Himanshu Baid: Thank you, sir. Thank you very much.
Moderator: Thank you. The next question is from the line of Rahul Deshmukh from LKP Securities. Please go ahead.
Rahul Deshmukh: Yes, hello, sir. Am I audible?
Himanshu Baid: Yes, Rahul, please go ahead.
Rahul Deshmukh: Yes, sir. So my second question was on the inorganic expansion that we were earlier talking, so actually is there any specific criteria that we have set for the inorganic expansion like in a particular category or any geography we are targeting?
Himanshu Baid: I think, Rahul, I just answered the question just before this. And yes, we will focus on our core competence in consumer space and I think that is what we want to do and if we are moving outside consumers or let us say, any other space, then definitely, we will look at something which is fitting with the current operations of the Company, so I can't call out specifically what we are going to do or what we are looking at because that is the sensitive information. But as and when we finalize, we will give due explanation to all our stakeholders that why we have done it, what are the synergies and what we see as a long term objective of doing that M&A.

Rahul Deshmukh: Thank you.
Himanshu Baid: Thank you so much, Rahul.
Moderator: Thank you, ladies and gentlemen. This was the last question for the day. I would now like to hand the conference over to Mr. Himanshu for closing comments. Thank you and over to you, sir.
Himanshu Baid: Thank you very much all the participants and there were really intriguing questions and thank you again for your support and opportunity to speak to you over this call. We learn a lot with your questions and really helping us to improve our performance and also go deeper, dig deeper in certain questions you have asked will help us to bring better products, serve humanity better. So that is one of the objectives of the Company and look forward to talking to you soon and again, invite some of you who want to visit our plants, please come and visit us. You will be happy to see how we are innovating, how we are manufacturing products. And these all are world-class facilities which will actually excite you more. Thank you so much.
Moderator: On behalf of Poly Medicure, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Sep 2025

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Subject: Submission of Transcript of AnaysVInvestor Conference Call on the Proposed
Acquisition of PendraCare Group under the SEBI (Listing Obligation and Disclosure
Requirements), Regulation, 2015
Dear Sir/ Madam,
Pursuant to Regulation 30(6) of SEBI (Listing Obligation and Disclosur e Requirements)
Regulations, 2015, we hereby submit Transcript of the investor/ Analyst Conference Call held
on 04th September , 2025 at 16:00 PM 1ST, on the Proposed Acquisition of PendraCare Group in
Amsterdam, Netherlands by Poly Medicure Limited, which were considered and approved by
the Board of Directors of the Company , at its meeting held on 03rd September, 2025.
This is for your information and record.
Thanking You,
Yours Sincerely
For Poly Medicure Limited
A vinash Chandra
Company Secretary
M. No. A32270
Encl: As above
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“Poly Medicure Limited
Update on the Proposed Acquisition of PendraCare
Group Conference Call ”
September 0 4, 202 5

MANAGEMENT : MR. HIMANSHU BAID – MANAGING DIRECTOR –
POLY MEDICURE LIMITED

MR. RAHUL GAUTAM – PRESIDENT , CORPORATE STRATEGY
& DEVELOPMENT – POLY MEDICURE LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the conference call of Poly Medicure Limited
to provide an update on the proposed acquisition by th e company of PendraCare Group. As a
reminder, all participant lines will be in the listen -only mode and there will be an opportunity
for you to ask questions after the presentation concludes. Should you need assistance during

this conference, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Rahul Gautam, President, Corporate Strategy & Development at Poly Medicure Limited. Thank you, and over to you, Mr. Gautam.
Rahul Gautam : Thank you, operator, and good evening, everyone. Thank you for joining this call to discuss about the proposed acquisition of PendraCare Group. Some of you would have seen the announcement yesterday that we made along with the press release and the presentation, which is uploaded on the exchanges as well as the company's website. This is about the acquisition of PendraCare Group, a well -establishe d cardiology consumer business based in Europe.
Over the next 10 minutes, I will just walk through about the company, our strategic rationale why we did it, some financial overview and the transaction structure. And post that, we will open it up for any Q&A.
So just about the Group . PendraCare Group is a very unique and strategic asset in the interventional cardiology space. It's one of the few independent players, which in this operating in this space, which is otherwise dominated by large medical devices companies. It's located in Leek, Netherlands and serves the global markets with product registration in the regulated markets of Europe, United States and over 60 other countries.
The portfolio of the product includes interventional cardiology products, specifically guiding and diagnostic catheters, which it sells under its own brand as well as supplies to large global medical devices companies. Some of these relationships have span ned for over 10 years, which very clearly indicates the quality of the business.
In addition to the existing products that they have, they're also in the process of developing multiple other products, which potentially open up large sort of opportunity for market expansion as those products become commercialized.
In terms of production capacity, the company has almost 3,800 meters square of total capacity in their sort of area under operation currently across 3 locations with a capacity of close to 1.5 million units per year. The current production is between 700 thousand to 800 thousand a unit, which provides enough headroom for growth without requiring any significant capital investment.
The company also sort of signed a new lease agreement, which will combine all the 3 different locations under one roof, which will bring operational efficiency. And the facility has almost 1,100 square meters of cleanroom available. These facilities is also approved by FDA and is also ISO -certified. So it's a very high -quality facility based in Europe, which we have been able to acquire as part of the transaction.

Moving on to a little bit on the financial performance. In calendar year '24, the company raised close to EUR9.9 million of revenue, EBITDA of EUR1.4 million and PBT was about EUR800 thousand . The gross margin of the business is 74%. As you would note that the gross margin of this business is higher than our current overall group business, which is something we have called out in the past that as we move up the technology curve into higher -end products or higher sort of regulated products, the gross margin should expand, which is clearly reflecting in this business.
In terms of the revenue m

ix, guiding catheters contribute close to 75% to 80% of revenue and
rest coming from diagnostic catheters or angiographic catheters. Again, a fairly well diversified revenue mix in terms of geographic presence. They supply to over 35-plus countries with 50 -plus distributor relationships, and these are markets include Europe, Middle East and Latin America.
We expect a good amount of synergies between both the businesses, combining the might of Polymed's R&D, engineering, manufacturing and distribution capabilities on top of the regulatory approvals and R&D capabilities of PendraCare Group. We expect that ove r the course of next 3 to 4 years, we should be able to generate 3 million to 4 million of incremental EBITDA from a synergy standpoint as a Group .
Moving on to the rationale for acquisition. This is very much part of our core strategy to grow into cardiology, something which we have been doing over the last 12 to 18 months. Within India, we've obviously launched multiple products, including our own DES and that's doing well. So it's sort of a very in teresting bolt -on acquisition for us to expand our cardiology business on a global basis.
As I said, it's a strategic asset, very unique, very few independent players of this size and scale in the space that we have acquired. If you recall in the past, we have called out the fact that the cardiology ancillary consumer business is very strategic and has lesser competition as compared to DES, which has obviously multiple players operating. So in a way, it becomes

part of our core strategy to grow the cardiology business.
The second strategic rationale is the fact that it's operating in markets, which are highly regulated. The products are approved under MDD and MDR in Europe as well as the FDA approval for the guiding catheter. Just to sort of let you guys know, it's now become extremely challenging to get approvals in Europe because of the new EU MDR regulations. So having a product in that market with the necessary approvals becomes highly valuable.
It gives us, as I said, a manufacturing footprint in Europe with a distribution across multiple geographies, which become extremely useful as we think about sort of expanding our cardiology business products out of India into those markets. It clearly becomes a platform for global expansion for us , for the cardiology business.
Looking at the regulatory approvals that the company has, the R&D capabilities as well as the manufacturing footprint, we have the ability to now launch our products in those markets at a much shorter time frame than what we would have done otherwise.

As I also said, there are significant synergy potentials between both the companies, this entails across manufacturing, R&D, engineering, distribution as well as procurement, right. As with the might of Polymed Group from a manufacturing and procurement perspective, we expect a good amount of synergies to be realized over a period of time.
I think we had also mentioned earlier that cardiology in the cardio space we have already taken baby steps towards globalizing our offerings. We had started the process of clinical trial for our DES, which is happening for 2,000 patients in India as well as Europe. And the plan there was to clearly launch our products in the regulated markets of Europe and other areas.
And with this acquisition, we'll be able to commercialize that as soon as the regulatory approvals are in place. So it gives us direct access to European markets with regulatory approvals available for core cardiology products, which becomes highly valuable over a period of time.
Moving to transaction overview. We are acquiring the group consisting of PendraCare Holdings and Wellinq Medical, from Wellinq Holdings Limited. The ultimate beneficial ownership of this company is with the founder, Floris Alkemade,

who is 80% owner; and
Sander Hartman, who is the current CEO, and he has a 20% stake in the company. We'll be acquiring 90% of the group for an upfront equity consideration of EUR11 million, and we'll be taking over inter-group loan liabilities of 3.2 million, which we will be p aying off at closing. So acquiring the upfront payment consideration is about 14.2 million. In addition to this, we're taking over a net debt of close to 2.9 million. On these values, we have acquired this company on an EV/revenue of about 1.8x and on an EV/EBITDA basis at 13x. In addition to this, we are also going to making certain earn -out payments, which are very well -defined milestones that the company has to achie ve over the course of next four to five years, which will be paid as and when those milestones are achieved.
The balance 10%, which is held by Sander, who continues as the CEO of the company going forward will be acquired in 2030, basis the actual EBITDA that the company generates in the year 2029. And this is calendar year 2029 because the company follows the ca lendar year from a reporting standpoint.
Just sort of summarizing the last thought, right, it's a very strategic acquisition, becomes core part of our global expansion in the cardiology space. And we are very excited to have the company as part of the Polymed Group and really looking forward to building the business together.
With this, I will hand it over to operator to open up for Q&A.
Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question comes from the line of Rashmi from Dolat Capital.
Rashmi: While be the gross margins are higher compared to Poly Medicure , but the EBITDA margins are pretty low at around 14% to 15%. So what are the costs or the operating cost s which you feel is involved that is leading to this lower EBITDA margin? And what kind of efficiencies

which you can bring in? I mean, this number of 14% to 15%, how it can move in next 2 to 3 years for this particular brand?
Rahul Gautam : It's a good question. And you're right, I think there are 2 parts to the answer to this question. I think from an overall scale perspective, it's fairly a small asset of about EUR10 million. And

as the expansion of revenue happens, the operating leverage of the business will flow through and increase the EBITDA margin.
The other part is obviously the European cost of operations are significantly higher when you compare to Indian cost of operations. And we expect that with our manufacturing capabilities, we should over a period of time reduce both the procurement cost, wh ich will expand the gross margin, importantly also reduce the cost of operations in terms of processes which have significant manual intervention to be able to increase the EBITDA margin of the business going forward.
Rashmi: Okay. So basically, you're saying that the manufacturing cost as well as the employee cost is pretty high in this business, which can be worked on?
Rahul Gautam : Yes, European business, in general, if you look at it, have higher cost of operations, including people cost. And this is a product which does have a fairly good amount of manual intervention and certain parts of the processes can be outsourced to our Indi a operations, which will help us in reducing the cost of manufacturing.
Rashmi: Okay. And the current plans are the 3 units, right, in Europe for this particular business?
Rahul Gautam : Sorry, can you please repeat that question?
Rashmi: The plants location currently are at 3 places, right? Three units are there, right?
Rahul Gautam : They have 3 different facilities, but manufacturing happens at one place and a couple of other places they have R&D units and warehousing space, which is getting consolidated under one roof. There is a lease agreement that's already signed.
Rashmi: Un

derstood. So in future, I mean, if you plan to outsource these brands, also manufacturing it from our own Indian facilities, you will be looking to still keep this plant or you're planning to close it in the future and all the manufacturing will be done in India itself?
Rahul Gautam : No, no, we will keep the plant. Obviously, there are there is future growth that's going to happen in the company, right? So I think we'll keep the plant. It's an important part of the acquisition that we have done to have a fully FDA -certified plant in Eu rope. So we'll keep the plant and only process which have significant manual intervention can will move to Indian operations.
Rashmi: Okay. How large would be the gross block for this company as on CY '24, if you can give that figure?
Rahul Gautam : I have a net block number, which is about EUR650 thousand . On gross block number, we can come back to you on that.

Rashmi: EUR6 50 thousand you said?
Rahul Gautam : That's correct.
Rashmi: Okay. My second question is on basically your own portfolio of cardiology, which you are planning. So we are also targeting other countries. So how does this particular business can actually bring synergy gains to our current cardiology portfolio? Also, wh ether this can really help some of these products will be launched in India, too ?
Rahul Gautam : Yes. So that's part of the plan. Currently, the company does not have significant presence in India from a distribution standpoint . And we have obviously a very large sales team direct in India. So we will be it's one of the things that we'll be doing to launch those products in India and have our team sort of create demand for it. So that's clearly one advantage.
To your other question on how this will be a platform for our global expansion, as I mentioned, we have started the clinical trial for our or the Drug Eluting Stent, which means that once we have the regulatory approvals, we would want to sell them in markets of Europe and other geographies.
Given this company already has existing distribution network in those markets, our ability to sell that product becomes that much better. And obviously, we have multiple other products within the interventional cardiology segment, which we will take necess ary regulatory approvals and then use the distribution pipe to go and sell in those markets.
Moderator: Our next question comes from the line of Rahul Deshmukh from LKP Securities.
Rahul Deshmukh : I have one question on synergies. Could you please just quantify, I mean, how much revenue potential is there through cross -selling opportunities? Or maybe any improvement in financial metrics via operational efficiency? Could you just quantify those thing s?
Rahul Gautam : So I think we've not called out specific parts of the synergies. We , as I said, I think in our communication s, we said we're going to create additional EBITDA synergy of between 3 million to 4 million between the group. This will be of multiple components. It's too early to quantify that number. But we believe the 3 million to 4 million EBITDA upliftment of the business is possible on a consolidated basis.
Moderator: Our next question comes from the line of Rashmi from Dolat Capital.

Rashmi: Just one question. Will you be able to give the geographical split in terms of sales for Europe, U.S. and LatAm, Middle East and other markets?
Rahul Gautam : No, we don't give that information. As a group, that's a policy so we won't be able to share that.
Rashmi Shetty : Understood. But is it fair to assume that the majority of the sales is basically from Europe only and then it would be followed by LatAm, Middle East and U.S.?
Rahul Gautam : It's a fairly large component and Europe is a core market of the business.

Moderator: Our next question come

s from the line of Rahul Jeewani from IIFL Securities.
Rahul Jeewani : Sir, can you comment in terms of how this business has grown over the past, let's say, 3 to 4 year period? And what kind of growth trajectory would you be targeting for this business once you have it under your fold given that there are some of these cross -leveraging opportunities available for the combined entity?
Rahul Gautam : Yes. So Rahul, I think it's a very interesting asset and a very interesting scale at this point of time. There are 2 parts to this. One, the existing product is getting deeper into markets, including existing client relationships. Plus we're opening up new distribution centres in markets where they were not present in the past. So obviously, there is going to be an overlay of the fact that Polymed distribution strength will be brought to the table to get into the spaces where they haven't gott en into in the past.
The second part is that there is a very interesting pipeline of products, which is under development. And those are products in high -end technologies of Neuro as well as structural heart. And once those products are commercialized, it will open up a comple tely new market and will expand the market potential of the company is serving to.
So if you just look at the core business, we expect which is existing product portfolio, we expect it to grow in low to high double digits. In terms of the product market expansion and the new product development that's happening, we expect that if those p lay out and the necessary regulatory approvals come in place, this business can get to close to EUR25 million in revenue by the year 2030. So that's the kind of growth that we're expecting in the company over the course of the next few years.
Rahul Jeewani : Okay. Sure, sir. So this EUR 25 million, which you are, let's say, targeting for 2030, this is largely the organic growth which PendraCare can achieve on an organic basis. And on top of that, whatever synergies you can drive in terms of the common portfolio?
Rahul Gautam : This will also obviously include the impact of what Polymed brings to the table. So I'm talking about as an overall business. Post the acquisition including the synergies that we bring on the table, we will get them to that kind of number.
Rahul Jeewani : Okay. Sure, sir. And sir, my second question is with respect to t he EBITDA synergies of this EUR3 million to EUR 4 million, which you talked about. So the cost synergies would essentially be driven by operating leverage? Or do you see scope to further improve gross margins of Pendra?
Rahul Gautam : No. So it's a good question, and we do expect that the gross margins could get better. We believe that the procurement strength that Polymed brand brings on the table for the group could really help them reduce the cost of material and cost of procurement for PendraCare Group, and that will certainly help them increase the margin.
So I think the level of synergies will happen across revenues, direct costs, indirect costs over a period of time. And that's why we are very excited about this opportunity because we see significant value add that the group can bring on the table and vice versa. We know that some

of the things that the group is doing could be very useful for some of the product development that we are undertaking.
Moderator: Our next question comes from the line of Jaiveer Shekhawat from Ambit Capital.
Jaiveer Shekhawat : Rahul and team, congratulations on the acquisition. My question, I see that the own branded mix for Pendra is much higher versus what we do in Europe. So do you see possibly over the next few years that more of the business will happen directly with the ho spitals instead of via the distributor channel that India entity used to do? That will be my first question.
Rahul Gautam : No. So I think Jaiveer, I th

ink the own branded sales are also happening through the distributors, right? The company does not have direct sales teams on the ground like Polymed

has, right, in India, where we have direct sales team talking to the hospitals .
The current business of PendraCare is happening through the distributors even under their own brand. And I think there is a strategic rationale behind it. If you think about it, the current company has limited portfolio within interventional cardiology. At this scale and with this product portfolio, it does not make sense to build a direct sales force.
This is an opportunity, which Polymed Group can, over a period of time, bring on the table as we complete the product portfolio and have a comprehensive product portfolio for this space. At that point in time, it probably makes sense to have direct sales f orce focusing on the cardiology space.
Jaiveer Shekhawat : Sure. That's helpful. And second, are there any limitations to, first, scaling this entity? Because I mean, you anyway have a clear manufacturing advantage here in India. So any limitation in terms of pushing more products or introducing more products in t hose markets because I see you have also got approvals as well. So just trying to think in terms of scalability over a period of time, are there any limitations to that?
Rahul Gautam : You mean from Polymed's product portfolio perspective?
Jaiveer Shekhawat : No, I say whether it be from Pendra's perspective or say the sales that are happening to your or via Pendra as well, which may be manufactured here in Poly Medicure's perspective. I'm just trying to think through if there are any l imitations to scalability there?
Rahul Gautam : I think, see, on their own, PendraCare on its own was obviously a small company with limited resources and manpower, right? Now as you bring in the Polymed strength, which has strong, deep engineering and R&D capabilities, I think we can very well integrat e and expand and expedite the process of new product launches, right? We see interventional cardiology, a fairly large space with a lot of product that can be brought in the tables.
Obviously, one key sort of timeline, which is always relevant in Europe is the product approvals under the new EU MDR regulations, and that remains a constraint for medical devices company in general. And obviously, because this is another big advantage th at we have got because we have a company now which understands the regulatory landscape locally for

cardiology products, our ability to launch some of the products that we are developing and we will co -develop along with PendraCare will become faster from a timeline perspective.
Moderator: Our next question comes from the line of Suruchi Parmar from NX Wealth Management.
Suruchi Parmar : Just one thing you have given in the slide that you may be shifting the leased facility from 3,800 to 2,300. So is like a I sitting where there will be any cut short in the capacity or the capacity will remain the same?
Rahul Gautam : No, no. I think I sitting where , there will be no reduction in capacity. What has happened that the company had three different locations in which they were operating. And whenever you have that situation where operations are split across multiple geographies, it does tend to lead to inefficiency of usage of space. And again, company has grown over time where they have added new areas and stuff like that.
So with new areas that we are bringing in, we are able to keep the same capacity that we currently have, just make it more efficient, which will help us reduce the area that we need and subsequently, the cost of lease as well under that facility.
Suruchi Parmar : So these will be in Netherlands only, correct?
Rahul Gautam : Sorry?
Suruchi Parmar : The leased land will be in Netherlands only?
Rahul Gautam : Yes, in Netherla

nds. That's correct. Yes. It's very close to it's in the same region. It's in Leek.
Suruchi Parmar : Okay, okay. So like the approvals, whatever you have that for feasibility will be shifted to the new leased land facility also? That is for the plant, correct? Not for the...
Rahul Gautam : That's correct. So we need to undertake the necessary approvals that we need to take for this new facility. And that's a process that will be done once that lease is sort of made active.
Suruchi Parmar : Okay. So again, the approvals you need to take, you are saying that?
Rahul Gautam : Absolutely.
Suruchi Parmar : So it will take like how much time?
Rahul Gautam : It's tough to say at this point of time. But given the company has been operating in Europe for a long time, we expect that team should be able to get it done quickly, but it's tough to give a specific timeline on it. But it will be done in parallel just t o ensure, just to sort of give you comfort. It's not that we're going to stop the production at one place while the approval is still pending. Only once the necessary approvals are done will the actual transition will happen. So there will be no production or business loss during that period.

Suruchi Parmar : Okay. Okay. The second question is regarding in last call. From Europe, there's some like the orders is not that much that is coming. So for this facility, the new PendraCare cardiac facility, it's not a problem there in Europe o r still there is a problem in the orders coming?
Rahul Gautam : No, I think these are two completely different businesses. And it's not that one has to replicate what's happening in the other business. So no, we don't expect that to have an impact.
Moderator: Thank you. Our next question comes from the line of Naman Bagrecha from IIFL Capital Services Limited.
Naman Bagrecha: Thank you for the opportunity. S ir, two questio ns. One, why the promoters of PendraCare?
Rahul Gautam : Sorry, can you be closer to the hand phone, please?
Naman Bagrecha: Yes, sir. Why did PendraCare promoters sold the stake a nd was it like a one -on-one deal or say, were there other, let's say, competitors trying to acquire this?
Rahul Gautam : So it's tough for me to answer. But I think very clearly basis our conversation that we've had with the founders, they saw a significant value in having a strong partner like Poly Med helping them grow the business. As I said earlier, medical devices, specifically this segment is dominated by large global Medtech companies. And you need strength of R&D, engineering, manufacturing to be able to compete effectively with them.
So to that extent, I'm sure they found a lot of value to have Poly Med as a partner, which I think will go a long way in ensuring that the business remains competitive and they're able to expand the reach in areas where they don't currently have access to.
Naman Bagrecha : Okay. But we are taking the entire stake, right, of the promoters?
Rahul Gautam : Sorry?
Naman Bagrecha : We are basically taking the entire stake from the promoters, right?
Rahul Gautam : Yes, except for 10%, which will be held by Sander.
Naman Bagrecha : Okay, Sander. S o have we basically what I so is the valuation already pre -decided for the balance 10% stake?
Rahul Gautam : See, there are milestone payments to be done and there is an objective way to calculate those milestone payments over a period of time. I think for the balance 10%, as we have highlighted in our presentation, it is linked to the actual EBITDA of the year 2 029, calendar year 2029 and will be paid post audit for the year 2029 is complete.
Naman Bagrecha : Okay. And just last one. I mean, if you look, you will be signing a new lease and that will be a 2,300 square meter, let's say...
Moderator: Sorry to interrupt, Naman, but your line is not very clear.

Naman Bagrecha: Hello?
Moderator: Yes, please, go ahead.
Naman Bagrecha : Yes. What I was trying to ask is the new facility that is going to be half the size or, let's say, half the size of almost half the size of the current leased facility. Does it mean, I mean, half of the production will be outsourced to India or something? Just if you could help on this?
Rahul Gautam : Yes. So I think the same question was asked by the previous investor as well. And as I clarified, currently the operations of the company are across three different locations, which brings its own set of inefficiencies. And now all of these operations are going to be plugged under consolidated under one facility, which will bring that efficiency so that the overall capacity of the business does not go down and we are able to sort of reduce the area under operations as well as the cost of running that place . If there are no further questions, I think we can close the call.
Moderator: Certainly, sir. We have no questions at this moment. Would you like to go ahead with your closing comments, sir?
Rahul Gautam: Yes, I think…
Moderator: Sir, sorry to interrupt. We do have a last -minute entry in the question queue. Would you like to take that, sir?
Rahul Gautam: Sure.
Moderator: We have a question from the line of Suruchi Parmar from NX Wealth Management . Suruchi , your line is unmuted, you may proceed.
Suruchi Parmar: Yes, thank you again for the opportunity. Just wanted to ask one question. Like in CDMO, it will be an opportunity from this PendraCare also?
Rahul Gautam: Yes. So I think there is an opportunity. Clearly, there is an opportunity to use the R&D and manufacturing capabilities of the company to enter into the space. So yes, a very high -level answer to that question is , yes.

Suruchi Parmar: Okay. Thank you so much.
Moderator: Thank you. I would now like to hand the conference over to Mr. Rahul Gautam for closing comments. Over to you, sir.
Rahul Gautam: Thank you, everyone, for taking all the time to discuss this strategic move from Polymed. If you have any further questions, you can reach out to us on our e -mail ID of investorcare@polymedicure.com or directly to me at rahul.gautam@polymedicure.com, and we'll be happy to clarify any further questions you may have. Thanks a lot for your time.
Moderator: Thank you. On behalf of Poly Medicure Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Sep 2025

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Subject: Submission of Transcript for Ql-FY26 Earning Conference Call under the SEBI
(Listing Obligation and Disclosure Requirements), Regulation, 2015
Dear Sir/Madam,
Pursuant to Regulation 30(6) of SEBI (Listing Obligation and Disclosure Requirements)
Regulations, 2015, we hereby submit Transcript of the investor Meet/Call held on 08th August
2025, on the Unaudited Financial Results of the Company for the quarter ended 30th June, 2025,
on Standalone and Consolidated basis, which were considered and approved by the Board of
Directors of the Company , at its meeting held on 08th August, 2025.
This is for your information and record.
Thanking You,
Yours Sincerely
For Poly Medicure Limited
Avinash Chandra
Company Secretary
M. No. A32270
Encl: As above
Plants: Plot No. 104-105 & 115-116, Sector-59, HSIIDC Industrial Area, Ballabgarh, Faridabad -121004, Haryana (INDIA)
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"Poly Medicure Limited Q1 FY'26 Earnings
Conference Call"

August 08, 2025

MANAGEMENT : MR. HIMANSHU BAID - MANAGING DIRECTOR, POLY
MEDICURE LIMITED
MR. NARESH VIJAYVERGIYA - CFO, POLY MEDICURE
LIMITED
MR. RAHUL GAUTAM - PRESIDENT , STRATEGY AND

Moderator: Ladies and gentlemen, good day and welcome to Poly Medicure Limited Q1 FY'26 earnings conference call hosted by ICICI Securities.

As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Darshil Jain from ICICI Securities. Thank you and over to you, sir.

Darshil Jain: Thank you. Good afternoon, everyone. On behalf of ICICI Securities, I welcome you all to Q1 FY'26 Earnings Conference Call of Poly Medicure Limited.

Today on this call, we have with us the Senior Management Team of the Company. We are represented by Mr. Himanshu Baid – Managing Director, Mr. Naresh Vijayvergiya – CFO, and Mr. Rahul Gautam – President (Strategy & Corporate Development).

I would like to thank the management team of Poly Medicure for giving us this opportunity to host their call and with this, we will hand over the call to the management. Over to you, sir.

Himanshu Baid: Thank you, Darshil. Thank you very much. A very good afternoon, everyone. Again, I welcome you all to our Q1 FY'26 Earnings Call.

I sincerely thank all of you for being here today. Before I provide you with a performance review, I am very proud to announce that Poly Medicure was awarded as Medical Device Provider of the Year 2025 by Financial Express. It was a humbling moment to be recognized for the journey in the healthcare sector. These recognitions reflect our collective efforts of our entire team and I accept them on behalf of our employees, partners, and stakeholders who have been an integral part of our growth and success over the years. I will now take you through the business and financial update for Q1 and after that, we are open for Q&As.

So, on the business update side, we received approval from our esteemed shareholders for appointment of Mr. Vishal Baid as the Executive Director. Mr. Vishal Baid has been part of the core team and has played a very pivotal role in strategic growth and international expansion of the Company. He has been associated with the Company for the last 14 years and before his appointment as the Executive Director, he was designated as Senior President, Sales and Marketing. Also, I would like to update that board in its meeting today, subject to shareholders approval has approved appointment of Mr. P. K. Gupta, who was President Operations and Executive Director of the Company. He joined Poly Medicure as a Senior Manager in 2008 and rose to become President Operations, leading key operational advancements. His strategic leadership significantly contributed to the Company's growth. We welcome him to the board and looking forward to his strategic insights as we scale up our manufacturing presence in India and globally.

I am also pleased to announce that we have signed two contract manufacturing contracts and this was, if you remember, I had shared earlier that we are exploring some opportunities in contract manufacturing space, specifically where we see reasonable margins and we have signed two contracts in the first quarter. Companies are based out of, one Company is based out of US, one is Hong Kong headquartered Company which has major operations in the US and both these companies have products in vascular access and in pain management segment. So, these are new products we are developing for these companies. These are brand new. So, this is basically more like a CDMO operation where we do the contract design and manufacturing operations and these are some of the kind of businesses currently, we are building internally also to build a resilient m

anufacturing setup.

In terms of our international expansion, we have also established a wholly owned subsidiary in Brazil to expand our presence. Over the next few quarters, we will expand our presence in this key South American market. We are already doing some new product registrations there and we are very excited about this dynamic Brazilian market and we would like to have more deeper in-roads. So, we will set up a fully owned subsidiary with people out there where we will be interacting directly with the customers. So, it will be moving from B2B to B2C operation and this is one of the major markets for us and we have decided to go directly in that market. Also,

we are awaiting for a land allotment letter from ADA for around 7-acre plot at Medical Device Park which is near the Jewar Airport in Greater Noida. We have already received the letter of comfort from the UP government, and this Medical Device Park is very strategically located and we will also have a lot of common facilities like labs and other infrastructure which will help manufacturing of medical devices in the country.
On the financial performance side:
Quarter ended June 25, we have a consolidated revenue of Rs. 403 crores marking an overall growth of around 5%. Gross profit was close to Rs. 276 crores reflecting a margin of 68.4% at a gross level, an increase of almost 170 bps as compared to quarter 1 last year. Operating EBITDA for Q1 was Rs. 106 crores, delivering EBITDA margin of 26.3%, slightly down from 27% last year. On the bottom-line, PAT totaled around Rs. 93 crores as compared to Rs. 74 crores last year, translating to a net margin of 21% up to 50 bps. I would like to call it that our R&D spend has increased by 20% in this quarter. I would also expect that our R&D spend as a percentage of revenue will rise going forward as we get into high-end technology segments such as cardiology and critical care.
In Q1 FY'26, our domestic revenue grew by 20% to reach Rs. 126 crores. Domestic revenue growth in the private sector was 25% while the government business witnessed a degrowth of 10%. So, net was around 20% and that is in line with our projections, in line with our strategy. This clearly reflects our focus on building a strong and sustainable domestic business and to exit the business which we don't meet our margin thresholds, specifically in the government segment. Contribution from domestic revenue to overall consolidated revenue was increased to 31% in Q1 as compared to 27% in the competitive period last year. We continue to outpace the market

and competition growth in the domestic market quite significantly. Hence, our conviction to invest higher amounts in the domestic market is getting only stronger. This is reflected in the fact that we added 22 new sales associates in Q1. We have set up a target to add around 100 people this year. Out of that, 22 people have already joined in Q1. Hence, we are on track to hire 100 sales associates for FY'26. And this will give us a lot of firepower to go to Tier-2 and Tier-3 cities, especially the hospitals we have not addressed earlier. So, we are expanding our reach into more deeper markets and territories.
In Q1 FY'26, our international revenue stood at Rs. 275 crores, which reflects a dip of 1% from Rs. 278 crores in Q1 FY2025. We continue to witness some growth challenges in the European market. We witnessed a degrowth of around 6.7% in Q1. The current geopolitical situation as well as uncertainty in global trade due to the ongoing tariff war is leading to some deterioration of customer sentiment. Recent tariff announcements by the President of US does not argue well for export markets, but we are hopeful that a reasonable solution will be found in the ongoing trade negotiations between India and US. Of course, 50% tariff is kind of unsustainable for exports from India, I think any segment we ta

lk about. All these factors are leading to customers
being circumspect in predicting business growth, supply chain stability and hence on focusing on inventory liquidation to meet end-user demand instead of building additional inventory.
So, in our last call, we highlighted overstocking in certain customers, specifically in the Southern European region. We are now starting to see the situation easing out in those markets. Hence, we are hopeful that things will be better in Europe in the second half of the financial year.
International revenue from the rest of the world region has done relatively better, growing at 5% to reach Rs. 142 crores in Q1 FY'26.
Now, let me give you an update on each of the business segments. Renal business, where we have been putting a lot of energy and efforts, has grown by around 46% in Q1 FY'26 to almost Rs. 44 crores. Till July 31st, we have sold additional 130 machines across the country and we are on track to sell close to 500 to 600 machines in the current financial year, dialysis machines.
We continue to remain excited about these prospects in the industry. I think the Government of India under its Pradhan Mantri National Dialysis Program, they have implemented dialysis centers in 751 districts with almost 1700 dialysis centers which are operational today. Also, it has been now covered under Ayushman Bharat. So, further expansion of networks and community health centers will be also taken by the National Health Mission. So, overall, we are very bullish that the demand will continue to increase. We are also ramping up our capacity and by the end of FY'26, we will almost double our manufacturing capacity in the dialysis business.
So, I think that's also a very important task we have undertaken last year to expand the capacities all across in this segment. We continue to remain bullish, and we aim to reach at least 15% to 17% of market share in the next 2 to 3 years from the current around 8% to 9%.
Let me now move to our Cardiology vertical, which we have started at the end of last year. It was just a kind of a trial period, and this year was the real start. I am pleased to announce that we have already implanted around 1350 drug-eluting stents, that is a very positive feedback

received from patients and clinicians. These stents were specifically designed at Poly Medicure Limited and all the design elements were done by our R&D team. This is indicating growing acceptance of our products in cath labs among intervention cardiologists. We remain excited about our pipeline of products. We have already launched our angiography catheters, angiography balloons. We are also launching drug-eluting balloons and PTCA catheters and host a number of guidewires, hydrophilic guidewires and a PTFE-coated guidewire. A lot of devices are coming into interventional cardiology space, which are getting manufactured at Polymed right from scratch. We are one of the first companies to make these products in India. Most of the companies who are importing and selling them, they are one of the first companies to make such products in India.

I am also very pleased to announce that we have initiated an open-label multi-center single-arm clinical investigation to evaluate performance and safety of our RisoR Everolimus drug-eluting stent. The study aims to access safety and performance of this stent in treating coronary artery stenosis patients. This will be a clinical registry of 2,000 participants. This is the first time a clinical registry of this scale is happening in India for stents across 50 sites in India and one in Europe. We have also partnered with Dr. Praveen Chandra, Chairman of Interventional Cardiology at Medanta Medicity Hospital. He will be the principal investigator in India for these clinical trials. The study will be completed in almost 24 months. From a strategic standpoint, this trial underscores Poly

Med's commitment for post-market evaluation in India and pre-market readiness for the European market and positioning the Company in the global growth of the coronary stent markets.

We are gradually moving up the technology chain in medical device market and such initiatives position us strongly to capture market share initially in the domestic market and over time in the international markets. Our second growth segment was critical care segment. This vertical remains a very important part of our growth journey, especially in treatment of oncology. Government of India is already playing an active role in ensuring, setting up 200 standalone specialty oncology centers, eventually expanding to 700. So, we are strongly positioning ourselves in this segment and especially with Make India products and continue to invest significantly in new product development. Over the last 12 months, we have launched over 20 products in this segment and we continue to expand our manufacturing footprint.

Our transfusion segment has been growing steadily. It has grown at around 18% in Quarter 1. There is a slight slowdown in our infusion therapy business, which is our core business. And this is mainly because of slowdown in Europe. That's what we have witnessed. And I think historically, I think we have done well in this segment, but I think we are seeing some headwinds, which we saw in Quarter 1. But I think from Quarter 2 and Quarter 3 onwards, I think things will change and are on track to deliver a better performance. In this segment, we are strongly globally competitive. We have a lot of innovations which are within the Company. And we are very confident continuing to gain market share in the coming quarters.

Liquidity position currently, we ended the quarter with liquidity of Rs. 1249 crores. Strong cash flow allows us to continue back our ambitious growth strategy, both organic and inorganic. On the M&A front, our thesis focuses on technology acquisitions that are complementing our core verticals, critical care, cardiology, and other adjacencies. We are actively evaluating opportunities, which we believe are quite exciting in terms of technologies, markets and customers. We will keep the market informed once these transactions are finalized.

Let me now connect to our forward-looking outlook:

We continue to remain bullish on the domestic market and reiterate our guidance for revenue growth of 30% for the domestic business for FY'26. For international business, we expect a revenue growth between 5% to 10% this year, which is lower than what we have given guidance early in Quarter 1, 12% to 15%. This is reflective of the current ground realities. We will keep you updated and have better clarity, I think, once we see this quarter ending. Further, Poly Med also set some ambitions to grow in the US market. I think we already have FDA approvals, which I informed earlier. There are some products in pipeline, we are in the process of getting them also approved. We have already signed contracts with two large GPOs and distributors in the US. And I think we are on track to achieve the revenue, which we have projected 15 to 20 million. And then that is overspread over the next 2 to 3 years. But I think currently, the current situation, we are not sure how it's going to pan out. But I think we are keeping our fingers crossed. But in the current financial year, we don't have too much impact from the US because our US revenues are less than $3-$3.5 million. So, we don't see a major impact on our business because of the US tariffs. So, I think we are very, very insulated because of our strong presence in Europe. Because one-third revenue still comes out of Europe. So, I think we are strongly protected for our business with India, Europe, and rest of the world presence. So, let's see, I think we keep our fingers crossed for next few weeks and see what is

going to happen.

We are keeping our EBITDA guidance margin in the range of 25 to 27. We have done first quarter EBITDA of 26.3%. So, we are very within the range as we called out earlier in the beginning of the year.

CAPEX side:

We maintain our guidance for a spend of around Rs. 250 crores plus for FY'26. As we have two new plants, facilities under construction in Palwal and Haridwar. Also, our Gama plant in Palwal has started operations, Phase-1 operations have started. We have received the license for our class A and B devices. We are waiting for further licenses for C and D devices and also expansion of that capacity, which will move from 300 kci to 2,000 kci. So, that's a major achievement, I would say, because we are one of the first companies to have their own Gama sterilization plant, which gives us a lot of strength in terms of sterilizing the products using a special technique, Gama sterilization, which is very unique to medical devices. Also, of course, the guidance is building some conservation right now around international business, given the current geopolitical and macro uncertainties, but we are very confident. We have almost 30 new

products in pipeline, which we launched over next 2 years or so. And so we have a huge pipeline of products, which is getting ready.

We have also new regulatory approvals, which are expected during the year from major markets like Europe and also some approvals are coming from Latin America. So, once we have these new approvals, we will be able to launch some new devices in those markets. There's a strong domestic momentum. So, we are very confident about the domestic market and I think it continues to give us a lot of wings to fly today. And I think we can pretty well offset this headwinds, which we see, which has been like a one-off phenomena. But I think just to recap FY2026, I think the business is fundamentally very strong. The model is we have developed and moving from, let's say, from vascular to critical care and to cardiology products. So, we have done that transition over the last 2.5 years, invested a lot of in new technology, new products. And I think that is going to start bearing fruits. And most of these products are from higher margin categories. So, we will continue to make healthy margins in next years because of the new products we are launching. And I think the domestic market is very strong for us right now. So, we will continue with the growth trajectory, which we have already told earlier. And I think we will continue to invest in R&D. So, that is scale up is happening. A lot of green initiatives have been taken by September, October, 40% of our power generation will be from green power. So, we invested in solar capacity building. So, we have done a lot of heavy lifting in last few years. And then definitely in coming years, we will see a lot of new things happening with contract manufacturing opportunities with the US business. Of course, there's a caveat there because of tariffs. But I think as we see, I think tariffs are temporary. And I think we have a long journey ahead on that US market. We have some very important contracts which are already in place. And of course, we are deepening our presence in Europe with more product launches. So, all in all, I think we are in great shape. I just wanted to update you on this performance of the Company.

And now I will be happy to answer questions from our listeners and people who are on the call. Thank you again, everyone. Thank you for your time.

Moderator: Thank you very much. We will now begin with the question-and-answer session. The first question comes from the line of Rashmi from Dolat Capital. Please go ahead.

Rashmi: Yes, thanks for the opportunity. So, one question on the gross margin side. Despite a lower international business, our gross margin was pretty high during the quarter. So, which segment

or what has actually driven this kind of margin? And what kind of gross margin would be sustainable for the full year?

Himanshu Baid: See, I think gross margin, which Rashmi memory track, you know, between 65% and 67%, that has been the historical gross margin for business. But as we go dig deeper into this critical care cardiology areas, I think there the product price is also much higher compared to what we have been selling in the past. So, the gross margin in this product is very high, like much higher than

the products we have been selling in the past. So, I think that correction will keep on happening.
So, I think a run rate between 65 to 68 is a great run rate to be in the gross margin level.
Rashmi: Okay, so you mean that the major gross margin has actually come from this particular category, which is and which has been launched basically in India. So, from the domestic segment to this time, the margins are better?
Himanshu Baid: Yes, definitely. Because if you see export sales has gone down, the margin contribution used to come higher from the export business.
Rashmi: Yes.
Himanshu Baid: In spite of international business going low, still, we have sustained our margins in terms of EBITDA, which is not a big difference from what we have been doing in the past. Only 50 bps variation is there in the first quarter, which is, I would say is hardly any variation.
Rashmi: Understood. And on the export market, if you can explain a bit in the Europe, you had seen issues and growth challenges in the first quarter. And you're saying that things will get eased out in the subsequent quarters. This is because the US had imposed a tariff on these different countries, and that is the reason it was an indirect impact on India?
Himanshu Baid: I think Europe is, I think was going through some financial, let's say, I would say restructuring, I think most of these countries had kind of liquidity issues. And I think there was also overstocking. And this whole uncertainty around tariffs was actually where people would have actually reduced the inventory levels. Normally, in our industry, people maintain 4 to 5 months of inventory because they are constantly supplying the national systems. But what we realized that people went on to 2 to 3 months of inventory. And in fact, in the last few months, last month or so, we have also made a few rates trades, because they ran out of inventory with higher consumption. So, I think we are seeing the demand coming back from Europe. So, I think that's where we are positive. So, and that's the reason we are saying that we should end up closer to 5% to 10% of growth overall in the international business going forward for the next three quarters, Quarter 2 to quarter four.
Rashmi: And excluding Europe, even rest of the world has seen just 4% to 5%. Have we seen the similar situation over there or the reason is?
Himanshu Baid: I think, yes, I think we are seeing, so this quarter, the growth is coming back. And I think in subsequent quarters also, I think we are quite sure that we will be in a better space.
Rashmi: And one last question, you are saying that you will be adding 100 associates, sales associates in FY'26 in domestic market. This will be targeting which regions you mentioned Tier-2, Tier-3 cities, but exactly which would it be pan India or it would be some dedicated state?

Himanshu Baid: Because today Poly Med is a national Company. So, we are present pan India. So, in fact, the focus is to expand more in let's say Tier-2 and Tier-3. And in that segment, also South India and West India are the core markets we are targeting.
Rashmi: Okay, got it, sir. Thank you so much. Thank you.
Moderator: Thank you. The next question comes from the line of from Suruchi Parmar from NX Wealth Management. Please go ahead.
Suruchi Parmar: Good eveni

ng, sir. I just wanted to ask, like, you have told that Europe and you have a considerable good share coming from Europe revenue share. But you are saying that exports in this year might see a revenue growth of meager 5% or so?
Himanshu Baid: Yes, 5 to 10%.
Suruchi Parmar: Lowering your guidance. So, it is just because of US or Europe is also facing some problems. That's why you are lowering the guidance?
Himanshu Baid: See, Europe is also facing challenges. I think we have seen it since beginning of the year. I think there has been an inventory correction in Europe. And I think there was a disturbance in supply chain also. I think Chinese companies also started dumping products because of their lack of reach to US market. So, I think everything kind of got disturbed. But I think now the demand is back. The supply chain is kind of recalibrated. So, and that's the reason we are confident that now we are getting back on track. So, even with a, let's say, minus 1% growth in international business in Quarter 1, I think we are already saying that we should be between 5% to 10% of growth for the whole year international business. So, I think, and I think still things are very fluid, I would say, globally. But I think at least we can see from now onwards, as we have seen first 4 months of this financial year, first 4 months, I think we are more confident about the growth, what we can do. And of course, we are still conservative, things can change a lot. Of course, we have adequate capacity to meet additional demands. So, but at least we want to be a little bit more conservative and see how things are panning out in next few months.
Suruchi Parmar: And, sir, will we be benefited from this UK FTA?
Himanshu Baid: Definitely, that's a big one. Sorry, I forgot to mention it. Thank you for reminding me. So, again,

UK FTA also now because earlier duty was around 4% to 5% for UK imports. Now it's getting zero. So, I think, and we see a renewed interest for UK companies to buy products out of India. So, I think, after the FTA, we have already received a couple of companies which are willing to expand their business with us. So, I think it's very positive for us on the UK FTA side.
Suruchi Parmar: So, you are bullish on acquiring more market share there?
Himanshu Baid: Yes, definitely. So, we are bidding for more products in the UK market. And I think, hopefully in 2026, because the NHS operates on a cycle every, because 90% purchasing is done by NHS

in the UK. So, this operates on a cycle. So, the new bidding is happening for 2026, basically. So, we have now bided for almost 6 to 7 new product categories.
Suruchi Parmar: So, these products will be like endo critical care or vascular?
Himanshu Baid: Core is vascular.
Suruchi Parmar: So, both will be there?
Himanshu Baid: More vascular is 95%.
Suruchi Parmar: Okay. Thank you so much, sir.
Himanshu Baid: Thank you.
Moderator: Thank you. The next question comes from the line of Keshav Kanchan from SVP and Associates. Please go ahead.
Keshav Kanchan: So, my question is, particularly on your renal portfolio. So, my question is, what are Poly Med's expansion plans in terms of the HDF as well as the CRRT portfolios? As I understand, these spaces are less penetrated currently in India. So, how is the market overall looking like? And what is your take on this? And what is Poly Med going to do anything about it in terms of taking active steps in terms of either catering to the market or government advocacy? What exactly is Poly Med's view around this? That is what I wanted to understand.
Himanshu Baid: I think that's a great question. Very great technical question, I will say. So, basically, in India, HDF market is close to around 10%. And it is mostly dominated by large multinationals like Fresenius and Nipro. And 90% is basically the normal market. So, we have plans to launch our f

irst HDF machine in 2026. Analysis machine. So, that is what we are targeting. And so, we are already under development for that product. And it is currently under development. And then we will go for clinical testing and the licensing of this product. So, we are hopeful that sometime mid to end of 2026, we will launch this new dialysis machine with HDF capabilities. And already we have not put so much focus right now, but maybe that could be the next product development, maybe for 27 or 28. But I think HDF is very promising. See, the only problem with HDF is that the cost of dialysis that goes up. And the government reimbursement is limited to Rs. 1800 today under Ayushman Bharat. So, whether we include this under reimbursement or not is something is a question mark. But at least in the private sector, which is probably like 30%-40%, that is where probably we can see usage of HDF. Even HDF machines, if you see currently, they are only deployed in private centers, not in places where doing, let's say, scheme patients.
Keshav Kanchan: Correct. But is Poly Med also seeing like growth in HDF machines and other account archetypes, you know, such as charitable institutions, government hospitals, etc.?

Himanshu Baid: No. Again, see, they are very conscious on the cost side of the product. So, you don't want to...And charitable is again so much subsidized. So, they can't afford to have a HDF machine. And the cost of the treatment also increases.
Keshav Kanchan: Correct. No, no, I was particularly talking about HD also. HD is there, right? HD machines are penetrated.
Himanshu Baid: Yes.
Keshav Kanchan: And just one follow-up question on this. So, are you also looking at the development of the HDF machine like in India only? You are going to be manufacturing...
Himanshu Baid: In India.
Keshav Kanchan: Understood. That's very helpful. Thank you.
Moderator: Thank you. The next question comes from the line of Harssh K Shah from Dalal & Broacha. Please go ahead.
Harssh K Shah: Thanks for the opportunity. Just one question from my side. So, if you could a bit of dwell upon the contract manufacturing, contract that you have won in the products of vascular and pain management. So, as you mentioned, right, that these are new products.
Himanshu Baid: So, these are CDMO opportunities.
Harssh K Shah: Correct. But so, how should one look at in terms of the scale up of revenues? When should one expect this to kind of flow to our numbers this year, next financial year, some bit of highlights

and in terms of how big the scalable how, I mean, how scalable is this, I mean, in terms of...
Himanshu Baid: Basically, the first thing is to identify the relevant partners and getting into an arrangement. I think this is the first time we have explored this opportunity of CDMO. And in fact, if you remember, a couple of calls ago, we were discussing about this about these opportunities. So, now we have zeroed down, we have signed two contracts and of course, both are very innovative products, patented devices, basically, these are patented devices. So, we are part of the core development of this project and device in terms of its performance and manufacturing. So, these are new devices. So, I do not have a really relevant data to tell you that what kind of scale up is would be there, because these are new products will take two, three years, four years to scale up to a certain level. But I think the revenue should start kicking in from next financial year because we have already started development, manufacturing, development of the devices. So, already the initial proof of concept is done, regulatory approvals are getting in place, the 510(k) approvals for US market. So, these are getting in place. And also, these products will be launched in other global markets. So, the Company which owns these devices, they've already started that process

based on the initial pilot run. So, now we are not much, but to call out any numbers will

be not the right time, maybe next year, this time I will be in a better position to answer this question.
Harssh K Shah: Okay, got it. That's it from myself. Thank you.
Moderator: Thank you. The next question comes from the line of Parth Singhal from Swing Masters Pvt Ltd. Please go ahead.
Parth Singhal: Thanks for the opportunity. Sir, my question is, is the Company planning to enter in radiology space by any chance, like CT scans and MRI?
Himanshu Baid: No, not at this moment.
Parth Singhal: How much revenue do we make in cardiology segment by selling stents?
Himanshu Baid: No, we have just launched these devices. This is the very first year of operation of this business. So, for example, this year, our plan is to deploy around close to 20,000 stunts. That is what the number we have in our mind that we will be able to deploy. So, that scale up is already happening. So, this is the very first year of operation, commercial operation. And then launching a lot of new devices, we are waiting for regulatory approvals for a lot of other devices to come from CDSCO. So, as and when we see, we will start scaling up. And these are not easy products to sell. So, I think maybe only next year, we will have full visibility where we can call out special numbers and say, this is like renal. We today we are able to give numbers because we have been working on the project for 5 years. So, I think for cardiology, we will need some time to really start giving numbers on how things will pan out in the next few years.
Parth Singhal: And if I ask about dialysis machine, how much margin do we make in dialysis machine?
Himanshu Baid: Sir, we don't give specific product margins.
Parth Singhal: Okay, thank you, sir.
Moderator: Thank you. The next question comes from the line of Bharat Shah from ASK Investment Managers Limited. Please go ahead.
Bharat Shah: Yes, hi Himanshu.
Himanshu Baid: Good evening, Bharat bhai.
Bharat Shah: Yes, good evening. Himanshu, on the international business, which is the most significant, dominant two-thirds of our total business.
Himanshu Baid: Correct, sir.

Bharat Shah: I mean, if you think about a year back, it appeared to us that nothing can go wrong with that business. Strong margins, continuous traction, strong 20% to 25% kind of a growth and new product categories and it looked like as if there is no stopping there. But in less than one year, it seems to be a picture which is radically different. Therefore, what do you think this should drive our thought process and planning process? What kind of impact it should legitimately have on that? Because our product plans and I know that you have calendar year by year for product launches each quarter for a specific geography, specific category, specific and for a period of years ahead. So, what kind of lessons need to be drawn from this in your opinion? And in terms of our planning process, how we conceive the business opportunity or imponderable, how do we take into account so that this sudden fait accompli in a way is presented to us that we witness actually degrowth in the European territory, which I am sure would have come as a surprise to you.
Himanshu Baid: Yes, absolutely. So, we saw that…

Bharat Shah: What do you think of all this?
Himanshu Baid: So, Bharat bhai, it's a great question. And I think I will answer in two, three parts. One is about the market. So, the European market has been very flat. The only market we were growing, the reason we were growing was we were taking market share from certain customers, companies there. Market has been very flat. Secondly, what we saw was some kind of an inventory kind of a de-risking by European players. And why it has happened in the beginning of the

year?
Because of this whole tariff situation with China, US-China thing, a lot of Chinese companies started dumping products in the European market. And people were confused about the situation that how the situation is panning out. So, we also got a shock that how Chinese companies can dump products, so pricing so much in the market and where it's even sometimes hitting below the belt also in terms of pricing. So, that kind of…And then, of course this whole mismatch started happening. But what is happened in last six after this whole mismatch happened in first quarter of the European financial year and even in the second quarter, what we have seen is now the demand has come back. I think the inventory mismatch, which was there, has kind of flattened out. And now we are seeing the demand coming back. So, I think the most important key development is our UK market, where we have seen demand coming back strongly and also in Germany. So, these were Germany was something which was a laggard for us. And Germany has actually started coming back on track. And I think that was very significant for us. And also we have seen a huge growth coming in Italy, because Italy, where it was kind of a market where we had a lot of control and a lot of tenders was getting slowed down because government, the health systems were not granting new tenders and they were delayed. And now most of these tenders have been awarded. And I think now we are seeing the demand coming back. So, overall and some new product offerings have come out because if you see recall, we got our EU approvals only in April, May. If you recall, we had also called out in the last call, most of the EU approval, which were renewed, the EU MDR. And some of the approvals have only come in June. So, you can see the record of a certificate on our website, basically. So, all these approvals have just recently come. So, once these approvals are back in place, so now we are

getting back on track and the accelerator is back on the revenue side. So, I think now we are very confident about the European market coming back to growth. But what we have lost, we have lost. So, we can't cover it today. What we have lost in the quarter is gone. So, now the Quarter 2, Quarter 3 and quarter four, I think Europe should come back on track.
Bharat Shah: Which means if you look at in the first quarter, we have de-grown.
Himanshu Baid: Yes, we have de-grown by -6%, 7%.
Bharat Shah: Right. And here in entirety, we are saying we will grow 5% to 10%, which means the remaining nine months should be a period of decent double digit growth rate for…
Himanshu Baid: Absolutely. Absolutely, Bharat bhai. That is the point I am calling out, that we should come back to that double digit growth, high double digit growth. And that is what we are also calling out again.
Bharat Shah: Also domestic grew in the first quarter by 20%, but yet in entirety, we are saying we should grow 30%. That means the nine months we should grow well over 35% to make that happen.
Himanshu Baid: That is that is already on the card. This is already under the process. Because we have started two new divisions last year and these two divisions have become active. So, the cardiology and critical care. So, they are ramping up as we have talked about a stent deployment from 1,300, 1,400 stents to go to 20,000 stents by the end of the year. And then critical oncology segment is growing. And then our renal segment is growing, is growing at a healthy rate. So, all in all, domestic and we are hiring 100 people in domestic market, 22 already been hired in the first quarter. So, as all in all, I think and but in the private sector, we already grown 25% in Quarter 1 in private sector, which is 90% of our business. So, overall, the ramp up is already happening.
Bharat Shah: And which means the remaining nine months should represent a materially d

ifferent outcome
compared to the first quarter. And given that scale, hopefully margins also should be higher.
Himanshu Baid: Bharat bhai hopefully, yes, you're right. Math clearly says that, when you do the math, it clearly says because even in the first quarter, our gross margins have improved. It's not that our gross margin has decreased because we decreased our export sales. So, we have done a lot of hard work in terms of launching new devices with higher margins. So, we continue to work in the direction where we maintain a steady margin and healthy margin. So, yes, as the revenue kicks up more, most of the expenses get already absorbed in the initial period. And I think we should see some margin improvement. But still we are saying we are going to have a muted guidance of 25% to 27%. But definitely the target is to beat that number.
Bharat Shah: And to that extent, Himanshu, would it be fair if one were to say that actually domestic market,

we need to regard it a bit more than what we have done probably so far.
Himanshu Baid: I totally agree with you, Bharat bhai.

Bharat Shah: Disregard it.
Himanshu Baid: I think we have disregarded before COVID. We were disregarding this market. Only after COVID, we realized the true potential of domestic market because then there was a huge push even from the private sector to buy local products because the imported products were not available after COVID. There were export restrictions. There were import restrictions from different countries. So, the industry kind of carved out of this whole COVID wave. And you have seen the med tech sector has grown phenomenally after the COVID wave. When you look at a few companies where Apax invested in Healthium or Meril has got new investments especially in their because of the cardiology and orthopedic business. So, there is a renewed, I would say interest from private sector in the local products, which are now equally good in quality.
Bharat Shah: So, in a way, it was probably for Apax sometime 'Ghar ki Murgi, Dal Barabar' types?
Himanshu Baid: It was like that only. See what happens when you got put stent they would ask should we put Indian or imported. But we all know as of today 70% stent market is with Indian companies. Ten years from now we had 10% and 90% was with imported companies. Same thing happened with orthopedic implants. 50%-60% of orthopedic implants are made by Indian companies and used locally and 40% is imported. So, the market is changing. And Bharat bhai if you see the market, the trends are changing and I think that's our now the real trajectory, which we can see in the domestic market. Market is not growing at 30%. The market is growing at around 12%-13% healthcare industry. But we are growing much faster than that. That means we are taking market share from international players.
Bharat Shah: Right. And what will we say about the next year? Should we expect that Europe and international territory will come back to?
Himanshu Baid: 100% Bharat bhai. We have 15 new launches planned next year in European market, because we have one more cycle of approvals, which is happening pending right now, especially for our critical care products, which are also better margin products. And also we are increasing our presence in Italy through manufacturing. So, our current our operations in Italy are also seeing some uptake. So, I think Europe will come back strongly, I think. And our focus has been Europe. So, I think one or two quarters are not going to make any difference in our long term strategic plan.
Bharat Shah: So, will it be fair to say that Europe will back to that 20% plus kind of a journey?
Himanshu Baid: Oh, it's very hard to say. You know, Bharat bhai, it's very hard to say. I don't want you to hold my neck for that. But I think we are on track. And I think even in the coming quarters, you will see the improve

ment. I am very sure. And definitely, see, Bharat bhai, we have one thing very clear. We will commit only what we can do. We will not commit something higher and say, oh, we didn't do it. There were X, Y, Z reasons. We know and even in the beginning of the year, we have called out international market business is looking slightly different than what it was

previous years. And we have called out earlier. And even now we see first quarter, we have seen that though there is no impact, significant impact on margin. If you see, EBITDA margin only dropped by 70 bps. In spite of India business growing significantly, exports showing almost a flat trajectory, still our margin. That means we have done in terms of product improvement, better profitability. So, we have done a lot of hard work in the hindsight, in the back end. So, that is going to give long term rewards where exports growth come back, India business grows with a higher trajectory. So, all that will show into numbers in coming quarters.
Bharat Shah: One last question. How do we take into our planning system these new insights so that we are not a kind of caught up with a sudden surprise of a kind that we got thrust into in this quarter? The signs of that were there in the last quarter when you --
Himanshu Baid: Yes, there were signs in the last quarter already. See, always you have to recalibrate. So, our recalibration was focused more on India. That was our first recalibration.
Bharat Shah: Okay.
Himanshu Baid: So, we then we said, okay, we were recalibrating for the US market. We said we will not be over dependent on one market like Europe. And now we have seen that we have opened a subsidiary in Brazil for our direct presence in Brazil in B2C category. We will go out. Earlier we were B2B. We are going B2C. So, for every market, we are strategizing and seeing what the right thing to do. And we are taking long-term views on every market. See, Polymer is not for a short term.

We have products manufacturing ecosystem. So, we are taking long. And today we are still the
second largest MedTech Company after Meril in India. And Meril operates in a very different
segment.
Bharat Shah: Yes. Just allow me one last short one. Therefore, 26-27, if I have to put a little broad outlook,
domestic growth, which you said at a strong 30%, which in nine months will mean even higher.
Something similar should continue in the year thereafter, with many product initiatives.
Himanshu Baid: Domestic market, we are very hopeful that we will continue on as a high 25% number. So, I
have not called out a number for next year. So, I can't give you exact, precisedetailsl or any
guidance. But I think during the year, we will firm up the guidance for next year. Because we
have a very concrete business plan, Bharat bhai. Every year when we give guidance, we have a
very concrete business plan. That is what we will do in each segment. And you rightly said
initially, for every market, we have a very strong plan and what product we launch, when we
will launch, how we will launch. So, it's a very clear path defined.
Bharat Shah: And Europe, of course, will continue from where we are now beginning to pick up the trade. So,
if not, is that a higher earlier growth or a healthy double digit should be there?
Himanshu Baid: We are already seeing the green shoots.
Bharat Shah: Thank you, Himanshu and all the very best.

Himanshu Baid: Thank you, Bharat bhai. Thank you so much.
Moderator: Thank you. The next question comes from the line of Shubham Harne from Purnartha Investment
Advisers. Please go ahead.
Shubham Harne: Hi, sir. Just want to know the status of plants which were building and how much growth is
dependent on these plants?
Himanshu Baid: So, basically, the plant, which is coming in Palwal in Haryana, this is for expansion of our renal

capacity in years to come. So, with the current capacity, we will be able to manage up to FY26-
27. Now going beyond FY26-27, we need additional capacity for renal. So, that is what we are
building there. And also in the cardio space, as we build more capacity, we will be building. So,
all these are planned for FY27-28 capacity building in our core category, which is cardiology,
renal care, which are new businesses That is where we are expanding more.
Shubham Harne: So, in Palwal, we are manufacturing for renal, planning to manufacture
Himanshu Baid: Yes, that is what one. And also we are expanding our transfusion capacity. We are also doubling
that capacity there.
Shubham Harne: Okay. And other than Palwal?
Himanshu Baid: Other one is in Haridwar. Haridwar will be for domestic expansion, mainly whatever products
we are making for domestic market, that is where we will be continuing to expand our capacity
in Haridwar.
Shubham Harne: And by when it can go live.
Himanshu Baid: These are all planned for next year, mid of next year.
Shubham Harne: So, Palwal as well as Haridwar, next year, mid of next year.
Himanshu Baid: Yes, we have already mentioned having in our earlier calls also.
Shubham Harne: Okay. Got it. Thank you.
Moderator: Thank you. The next question comes from the line of Zain from Dolat Capital. Please go ahead.
Zain: Thank you for the opportunity, sir. So, I just want to ask about dialysis machines. Post
installation of dialysis machine, do you receive any services, or do you provide any services for
the repair or maintenance?
Himanshu Baid: Yes. So, we give warranty for three years and after the warranty, then there are service contracts.

Zain: And can you quantify, how much is the servicing?
Himanshu Baid: No, we don't have any significant service revenue. So we don't call that number out. Okay. That's
not part of our core strategy. I think the important thing is to sell the machine. Servicing is just
part of a maintenance thing. So, it is not part of the core business.
Zain: And on second question, on other income, it was high. So, does it include Forex or anything?
Himanshu Baid: Treasury, mainly treasury.
Zain: Thank you.
Moderator: Thank you. The last question for the day comes from the line of Harsh from Marcellus. Please
go ahead.
Harsh: Just one question. Question is with respect to the Chinese competitive intensity, you alluded that
it increased during the first quarter, where they were selling at a very low pricing. Have you seen
this competitive intensity sustain during the current quarter as well?

Himanshu Baid: No. As I said we are already seeing green shoots and we are already seeing the market bouncing back. So, I think we are pretty confident now that this quarter, Europe will do better than what is done in the past.
Harsh: Okay, got it. Thank you.
Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to management for closing comments. Thank you and over to you, sir.
Himanshu Baid: So, thank you again, everyone. And I think, yes, it was a tough quarter. But I think we have been very resilient in terms of the business, the strength, the fundamental strength of the Company are very strong. The R&D pipeline is very, very strong. And the hiring, we have done significant hiring, and we continue to add more people, more headcounts in the organization. Of course, it's a cost, but then it helps us to build for future. So, I think that's what we are building. And I think, overall, I think we would, maintain similar guidance, what we have told earlier with India growing 30%, international growing 5% to 10%. But yes, as time progresses, next few months are very critical for global businesses. And I think, we are pretty hopeful that certain tariff issues will be resolved soon. And that will help us to go stronger in the US mark

et and maybe also in Europe in the near term. Thank you again, very much, everyone and thank you for being on the call.
Moderator: Thank you. On behalf of ICICI Securities Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.
Himanshu Baid: Thank you, everyone.

Call: Oct 2025

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Subject: Submission of Transcript of Anayst/lnvestor Conference Call on the Proposed Acquisition of Citieffe Group under the SEBI (Listing Obligation and Disclosure Requirements), Regulation, 2015
Dear Sir/ Madam,
Pursuant to Regulation 30(6) of SEBI (Listing Obligation and Disclosure Requirements) Regulations, 2015, we hereby submit Transcript of the investor/ Analyst Conference Call held on 25th September, 2025 at 16:00 P.M. 1ST, on the Proposed Acquisition of Citieffe Group by Poly Medicure Limited, which were considered and approved by the Board of Directors of the Company, at its meeting held on 24th September, 2025.
This is for your information and record.
Thanking You,
Yours Sincerely
For Poly Medicure Limited
A vinash Chandr
Company Secretary
M. No. A32270
Encl: As above
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“Poly Medicure Limited
Update on the Proposed Acquisition of Citieffe Group,
Conference Call”
September 25, 2025

MANAGEMENT : MR. HIMANSHU BAID - MANAGING DIRECTOR,
POLY MEDICURE LIMITED

MR. RAHUL GAUTAM - PRESIDENT , STRATEGY AND
CORPORATE DEVELOPMENT ,

POLY MEDICURE LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the conference call of Poly Medicure Limited to provide an update on the proposed acquisition by the company of Citieffe's Group. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone.

I now hand the conference over to Mr. Rahul Gautam, President, Strategy and Corporate Development at Poly Medicure Limited. Thank you. And over to you, Mr. Rahul Gautam.

Rahul Gautam: Thank you, Sagar, and good evening to everyone on the call. We appreciate you being here to discuss about our second acquisition in the month of September of Citieffe. Before I jump into discussing this acquisition, I would also like to inform the participants that we closed the PendraCare acquisition on 23rd of September. From that day onwards, PendraCare has now formally become part of Polymed Group, and we are excited to have them as part of the Polymed Group.

Moving on to the acquisition of Citieffe. You might have seen in the presentation, in the press release that was released yesterday for signing on the occasion of signing of the share purchase agreement between Poly Medicure B.V., which is a subsidiary of Polymed, with the selling shareholders of MediStream, which is Swiss Corporation. Over the next 5 to 10 minutes, I will briefly talk about our rationale for this acquisition and give you an overview of Citieffe Group and then open it up for Q&A that you might have.

Starting with the macro picture. I mean orthopedics is obviously a large segment in the overall medical devices sector, it's about $61 billion, growing at about 3% to 4%. Within that, trauma and extremity is the largest segment at about $12 billion, and it's growing the fastest at about 6% to 7%. US is the biggest market, I mean, like all medical devices segment, orthopedic also is dominated by US with almost 67% of sales in orthopedics being done in US followed up by Europe.

APAC is the fastest-growing segment. Within that, India is the third largest market behind China and Japan. India contributes close to 3% of global orthopedic market. The space is fairly consolidated with the top five players having almost 60% of market share. Despite that, there are a number of local players in each geographies who through innovative products and servicing of the customers being able to build strong businesses locally, and that's where Citieffe also sort of fits in and positions quite well.

As I mentioned, trauma and extremity is the largest and the fastest-growing segment, but it's also very resilient. If you look at the trajectory of orthopedic space during COVID, they fall in the extremity in the trauma space for the least because this is a segment where you cannot delay the treatment. And unlike in case of elective situations like knee and hip replacements. So it's a fairly resilient sector and the growth has been fairly consistent, pre-COVID and post-COVID as well.

Just on the trauma and extremity, the geographical spread is also similar to overall orthopedic with US having close to 65% of the overall market. Europe having close to 17% and balance being contributed by the rest of the world.

I'll just move on to now giving you an overview of Citieffe. It's a company which was set up in 1962 in Italy. So it's been around for a very long time. And then they are vertically integrated manufacturer, specializing in trauma and extremity products. Their products are fully MDR certified in Europe and have acquisition in the key market of US as well as other key Latin American markets.

In terms of manufacturi

ng capability and location, it's based in Bologna, Italy. They operate close to 2,100 meters square of manufacturing facility in the city of Bologna and it's currently at 60% capacity utilization. And with the third with the ability to add third shift to the business, there is significant headroom available for to serve the customer through this facility.

Just talking about the key strengths of the company. It's an integrated business model. So right from product R&D to product development, manufacturing, distribution, the entire piece is completely controlled by the company, which makes them very, very interesting. Again, for a company of this size to have direct sales presence in the markets of Italy, US and Mexico is quite credible. And then they've been able to grow in each of these markets on a fairly long time.

As I said, they have very strong KOL relationship, that's another important differentiator when they compete with the global players, their agility in terms of product development, in terms of being able to meet the market needs at a much faster speed is what differentiates them and makes them sort of competitive in the market. They have 45 patents with six R&D team members and they intend to launch three to five new products every year, which is something they've been doing in the past.

Exceptional quality, very low complaint rates that the company had in the history with a complaint rate of 0.001%, which again becomes a huge differentiator in the minds of the surgeons to be able to use their products.

As I mentioned, the product is fully MDR-compliant. One of the few companies of this size, we've been able to get all the products certified in the even the new MDR regulations, and I have accreditation in US and other 25 plus markets.

Moving to on the financial performance of the company. In the year 2024, the company delivered a revenue of close to 17.3 million which delivered a 15% growth on a year-end basis and EBITDA of about 3.1 million, which is year-end growth of 14%. I'm also very pleased to inform that the existing management team, which has been around for a long time, is continuing to has joined the Polymed Group and is going to be driving the future growth. Mr. Pascal Govi, who has been the CEO of the company since 2019 will continue to remain the CEO and build the business with the help of Polymed Group.

We truly believe that we have a fantastic team led by Mr. Pascal Govi. And we do think that with the help of Polymed Group, much greater growth can be achieved by this company over the course of the next few years.

Moving on to transaction overview. We are acquiring 100% of the company from the selling shareholders of MediStream. MediStream one of the key shareholders of MediStream was ARCHIMED, which is European private equity fund focused on health care, they own close to 66% company and balance was held by multiple shareholders.

So we are taking 100% in MediStream, which is the Swiss Corporation, which holds all other companies under it, including Citieffe SRL which is the company main company where you have the manufacturing facilities and the R&D facility is located. We have valued the company, an equity valuation of about EUR18.8 million and we'll be repaying shareholder loan of about EUR4.2 million as part of the closing.

So that's a EUR23 million payout that will happen on closing, and we're taking over a debt of about EUR8 million. So that values the company at about EUR31 million enterprise value, which on the basis of reported EBITDA of 2024 values the company at about 10x EBITDA.

Moving on to why this asset, and why this space? As I said orthopedic is a large segment, growing segment, the underlying growth drivers well in place for the orthopedic sector. And so it gives us access to a very large part of our medical devices in plant segment.

Second one,

as I said, it's a very differentiated product portfolio to have an implant approved in EU MDR, it's a big achievement for a company like Citieffe and to have presence in the strategic market of US with direct sales presence in those markets and having access to surgeons there is a huge advantage.

They have a very strong position in the markets they're operating. In Italy, they're the second largest player with about 12% market share. In Mexico, again, they have close to 12% market share amongst the top players in those markets, and US they're slowly gradually increasing their presence and getting greater coverage of the hospitals. The fact that it's an integrated business with end-to- end capabilities from R&D to marketing and sales with direct sales presence in markets is a huge advantage.

We believe that the asset has good amount of growth potential going forward. It's been growing. If you look at slightly longer-term trajectory at 10% to 12% CAGR with the help of Polymed and our distribution network, we should be able to double the business in the next 5 years. This obviously includes the synergies that Polymed Group will bring on the table. One of the most nearest sort of synergy that we see is to introduce plates as part of the product portfolio, something which has been missing in the company's portfolio currently.

Just talking about the synergies, like one I've already touched based on the fact that the product portfolio expansion in the near term in place and in the medium to long term to enter other segments of the orthopedic space is clearly an opportunity. US expansion is an important part of our growth journey.

As I said, it's a big market, 67% market is in US It's a fairly high paying market. The realizations in US are significantly higher than other parts of the world. So your ability to go and cater to

that market by expanding your sales reps and increasing your sales presence in those markets could be hugely value accretive.
Another opportunity is obviously outsource part of manufacturing process in India, which can make products more competitive and supply to markets which are more cost competitive or cost sensitive. And that's where Polymed come in and create significant value for Citieffe as well as for the group.
Obviously, an opportunity to build a BU or business unit in India for direct sales in the Indian market for Citieffe products. We are evaluating those opportunities. India is a very attractive market for orthopedic space. It's been going quite well, with domestic companies taking market share away from MNCs. We believe with a differentiated portfolio of Citieffe, we could further increase the presence of the local companies in that market.
Other opportunities obviously to expand distribution network in other parts of the world where Citieffe currently doesn't have presence. So these are some of the synergies that I see and we are quite excited about having Citieffe joint Polymed Group.
Just to complete my opening remarks. This transaction starts the journey for Polymed in the orthopedic space is the new adjacency within the medical devices space, which Polymed has entered into on top of cardiology, critical care and renal care that we've entered in the last 5 to 7 years. We believe that orthopedic is a very attractive space with significant growth potential over the course of next many, many years. And we believe that Citieffe is the right kind of platform for us to use and expand in that space.
With that, I finish my opening remarks and open up for Q&A.
Moderator: Our first question comes from the line of Vishal Manchanda from Systematix.
Vishal Manchanda: Would you be able to disclose the gross margins of the acquired company?
Rahul Gautam: Yes. So the gross margins of the company are in excess of 90% plus in this space.
Vishal Manchanda: Okay. And would we kind of wil

l need to invest in production capacities to kind of take the business forward from here?
Rahul Gautam: You mean in Italy?
Vishal Manchanda: So what kind of capex we'll require to kind of expand the business from here, so the production capacities basically?
Rahul Gautam: Yes. So I think there is a reasonable amount of capacity that's available to sort of fund the growth needs at least in the near term. We don't expect any significant capex to be done. The regular capex for this company is between 1.5 million to 2 million a year.
Vishal Manchanda: Okay. And what's the gross block, clinical gross block in value terms?
Rahul Gautam: The gross I have the net block number. That's about EUR5 million.

Vishal Manchanda: And the immediate priority would be to build presence in India. Is that the right assumption?
Rahul Gautam: No, I think the most nearest opportunity of synergies to add plates as a product. Just that you understand, in trauma, nails, crews, plate, go hand in hand and in a lot of public tenders, you can participate only if you have a comprehensive portfolio, which basically means that Citieffe currently is not able to participate in some of the tenders because they don't have plates. So that seems to be the nearest opportunity.
We will evaluate India angle as we go deeper with the management, both from a distribution perspective because you understand we don't have direct sales in India for orthopedic system now. So that's something which will take time.
Vishal Manchanda: And would you be able to kind of share some color on how this company is different from so you would know recently Zydus acquired a French company in the same space. So is this a similar company to the French company or there are differences?
Rahul Gautam: Yes. So I mean, obviously, they are in the larger orthopedic space like Citieffe, but their main product is knee implant. But Citieffe is into, as I said, trauma and extremities segment, which is into nails and plate nail, screws and instrumentation.
Vishal Manchanda: And this trauma and extremities itself is a $16 billion global market?
Rahul Gautam: Yes. I think it's currently $12 billion and I expect it to go to $16 billion in the next few years.
Vishal Manchanda: And in terms of the product portfolio, you said we'll be kind of introducing two to three products every year. So what so currently, in terms of addressing the market, what portfolio we have, like do we have 20% of the portfolio in trauma and extremities or we have 30%, if you can give some sense like...
Rahul Gautam: Vishal. It's basically when you say three to five new products, it could also be in the same product, just adding a new feature which makes it differentiated from what's available in the

market. So R&D is a continuous process like the way it's happening in Polymed, we're increasing new products on a yearly basis. So they have a fairly good coverage from a trauma perspective when it comes to nails.
And they cover most of these bones that get impacted by the trauma events. But plates, which is, again, almost 40% of the overall trauma market, I'm just talking very macro numbers. That's a piece of product which is currently missing from the portfolio.
Vishal Manchanda: And are there any Indian players into this space who are kind of manufacturers?
Rahul Gautam: Yes. I mean there are obviously, I think all geographies have multiple local manufacturers and so does India. India has a fairly large base of manufacturers who are operating in this space.
Vishal Manchanda: So would you kind of consider kind of shifting your manufacturing to India. Would that make sense in this kind of envisage?

Rahul Gautam: We have currently no such plans. I think the facility there is doing a very good job. And the customers, they know the product being manufactur

ed in Europe. So we currently have no plans
to move the manufacturing to India.
Moderator: Our next question comes from the line of Karan Gupta from ACMIIL.
Karan Gupta: So my first question, on the gross margin, you said 90% to Citieffe. And the EBITDA margin is around 17% to...
Rahul Gautam: Karan, we can't hear you well. There seems to be some disturbance behind you.
Karan Gupta: So the gross margin, you said 90%, 9-0, am I correct?
Rahul Gautam: That's correct.
Karan Gupta: Yes. So gross margin is 90% and EBITDA margin is 17% to 18%. So what's the operating cost here taking major share?
Rahul Gautam: Obviously, the gross margin is basically the cost of material that is there. Obviously, labor cost on top, the sales cost, the marketing cost is all of that plus the corporate overheads is all back between the gross margin and EBITDA margin.
Karan Gupta: So basically, overhead cost is basically the higher portion?
Rahul Gautam: Not just overhead cost, but also the other parts of manufacturing, which is labor and other manufacturing costs because that's how the gross margin is reported, right? Gross margin is your cost of goods sold.
Karan Gupta: After gross margin, the difference between gross margin and EBITDA, I'm just saying your labor cost and all, manufacturing cost is basically the part.
Rahul Gautam: Plus sales cost, right? Because the company has direct sales presence. So even the cost of sales, marketing, all of that is covered through gross margin.
Karan Gupta: And going forward, asset turn, what asset turn you're expecting? Right now it is around more than three. Fixed asset turn? Yes, yes, fixed asset turn?
Rahul Gautam: Currently, I said, there is a significant amount of headroom available to grow the business within the current facility without significant capex being required. So it is possible that we could do significantly higher revenue from here where we are today without adding much capex, I said between 1.5 million to 2 million of capex is done as it is in the business.
That also includes instrumentation just that you know because for trauma, you also need instruments, which are provided to the surgeons for undertaking the surgery. So I think without any significant capex, we could we can double the revenue in the next 5 years.
Karan Gupta: Okay. Without significant capex, you are saying?

Rahul Gautam: Yes.
Karan Gupta: And is it possible to take the margin EBITDA margin from 17%, 18% to our blended margins around 25% - 26%?
Rahul Gautam: Early to provide guidance on how the margin will expand. I think it's very clear that there is an operating leverage play that will happen in this company as the sales increase. So far the company has been operating in a constrained environment and obviously, did not have plates as a product portfolio.
Now for us to expand revenue from current 17 million, 18 million revenue to 25 million to 30 million revenue doesn't require significant increase in fixed costs. So that flow-through of margin from gross margin to EBITDA should be better as the revenue increases from where it is today.
Karan Gupta: So what was your value proposition to the promoter of the company, that how did you want to

turnaround or maybe take the leverage of your distribution channels and networks. So what was
the basically the value proposition here?
Rahul Gautam: And I think...
Karan Gupta: To close the European market.
Rahul Gautam: This is not a space where Polymed has been operating in the past. So it's in a way, it's a platform
for us to enter into a space which Polymed did not have sort of presence in. So that's very
important to understand. Obviously, we have very strong capabilities on R&D side, which we
can build here in India by sort of having people from the orthopedic space come and join us and
help the team in Italy to develop products much faster and then also dev

elop products for the
Indian market.
Secondly, I think clearly the fact that we have a global distribution network already. Citieffe
could leverage that to get into markets where they don't have presence today. And thirdly, with
time, there are obviously areas in manufacturing side by moving some parts of the processes to
India, which will make them competitive.
Karan Gupta: And can you tell us the pricing of products and/or anything?
Rahul Gautam: Sorry?
Karan Gupta: Pricing of the products of this Citieffe?
Rahul Gautam: We don't give product pricing, Karan.
Karan Gupta: So combine this Citieffe and one more acquisition you've done? So overall blended growth, you
are seeing 20%, 22%.
Rahul Gautam: Do you mean for Polymed?

Karan Gupta: Yes. What was the guidance?
Rahul Gautam: I mean I think guidance so I think we've guided for the three businesses separately. Polymed,
we have obviously guided given the guidance for the Polymed organic business in the Q1 call
as well. We think that on the PendraCare, we had mentioned that the asset could grow in high
single digit to low double digit on its own currently.
And we expect similar kind of growth profile for even this asset. Currently, we haven't accounted
for the synergies that will happen. I think it's early to give guidance on how the synergies will
help overall revenue growth. But over the course of next few quarters, we'll come back to you.
Karan Gupta: Just one last question on this. If I may ask on PendraCare in this call.
Rahul Gautam: Okay. One, you can ask one.
Karan Gupta: So here, just wanted to know the size of the opportunity of this cardiology, your products
catheters, as you mentioned in your orthopedics.
Rahul Gautam: You want to know what's the total global market size of cardiology catheters?
Karan Gupta: Yes, yes.
Rahul Gautam: I think each both diagnostic and guiding catheters put together each segment is at 1.5 billion,
each, global market.
Karan Gupta: Okay. What sorry, I think I missed it.
Rahul Gautam: It's 1.5 billion for diagnostic and 1.5 billion for guiding.
Moderator: Our next question comes from the Jaiveer Shekhawat from Ambit Capital.
Jaiveer Shekhawat: Congratulations to you, Mr. Gautam and also to Mr. Baid and family as well for the acquisition.
First, on the acquisition, could you first specify these devices, are these Class III devices as per
FDA classification? And also, since you mentioned there is a direct presence in the US. So are
there products and panel with all the top GPOs there like Vizient, Premier, and HealthTrust? If
you could clarify on that? That will be my first question.
Rahul Gautam: Yes. So these are Class IIB products in Europe and USA. These are not Class III products. And
no, so this is currently our products are being sold through the direct sales reps that we have. So
we don't have contracts on the GPO is there, but our own team or what is called a 1099 agents
in the US. Those are the people who are distributing those products to trauma centers and
hospitals in the US.
Jaiveer Shekhawat: So just for my better understanding, because earlier I was under the impression that most of the
procurement in the US would have happened through these large GPOs and it's possibly top
four, five, which control majority of the procurement. So are you directly going on the hospitals
with the sales rep or in a way, does that get supplied to GPOs and which in turn applies to those
hospitals?

Rahul Gautam: No, no. So your understanding that the entire business happens through GPO is not correct. Obviously, you have medical devices companies who have direct sales reps like the way we have in India, where people are going directly through their own sales team to go talk to the stakeholders. Similar model also exists in the US.
Obviously, you have large GPOs

operating in the US of the names that you've taken. But like to way Citieffe has direct sales team, which is going and talking to hospitals and surgeons and are present in the OTs as well when the surgery is going on, that's important to understand.
Businesses have their own reps going talking to hospitals and surgeons.
Jaiveer Shekhawat: Sure, sure. That's great to know. And what does that mean for Polymedicure in a way because I mean, given that you have also been trying to go via the 510(k) approval route, if you already have a direct sales force, could there be synergies in terms of you selling more of consumables that you have been manufacturing via the same channel?
Rahul Gautam: It is very, very different segments. It's like asking equity guys to sell commodities. It's very similar. You can't have orthopedic guys going selling infusion therapy.
Jaiveer Shekhawat: No, no. What I meant was since you already have tied up with hospitals there and you have a direct sales team force. And at the end of the day, if the brand the house of brand remains Polymedicure.
Rahul Gautam: And so your you will go to hospitals where surgeons are fixing broken bones. And the agent and the sales rep is going talking to the surgeon and talking about the products, right? It's impossible for an orthopedic sales rep to go and say, okay, I'm going to come and sell you IV set. It's very different.
Jaiveer Shekhawat: That's well understood. Lastly, I just want to understand because this acquisition in the entire history sort of forays into a very different segment. I think most of the other ones, of course, there have not been too many, but I think that even the Italy acquisition, even the one that happened on PendraCare as well.
These are related consumables. So how is the management promoters thinking in terms of, I mean, building or, say, thinking of acquisitions going forward in terms of which areas, therapeutic areas? And then what is not what is open to us or what is not open to us? I think that's where I wanted to more get clarity on.
Rahul Gautam: I think on the M&A strategy, which we have said in the past that we want to obviously stick to the medical devices and we'll stick to the adjacencies of the medical devices. We have also very clearly called out that there are certain segments which are very exciting for us. And we've been obviously investing in those segments over the course of last 5 years. And these are all effectively driven by the disease burden pattern, right, that's been evolving over the course of the last few years.
So we've entered into renal, we went into cardiology, we've entered into critical care and now orthopedics. If you look at the overall patient pool and the growth of patient pool in these segments is obviously faster than the overall medical devices. So to that extent, we are picking

up segments where the underlying demand is quite high, and the growth is higher than the overall industry.
I won't say that we have said, okay, we don't want to get into any space. We'll obviously evaluate each opportunity on its own merit. But given the fact that we have done 2 acquisitions just now, we would want to pause and absorb these at the moment and then sort of get back to potential opportunities in the future.
Moderator: Our next question comes from the line of Harsh Shah from Marcellus.
Harsh Shah: So in the previous acquisition that we had, there was some incentivization for the top management where the stake was supposed to be bought after the few years down the line, and there are some based payment as well depending on how the numbers are in, I believe CY '29. So similar to that, how in this one, how are we incentivizing or retaining the top management team? Or is there a top management based payment here as well?
Rahul Gautam: So that's an excellent question, I must say, Harsh. And obviously,

as you rightly said in PendraCare, we had a different situation because one of the founder was the CEO as well. So he had an equity stake in the company already, and we incentivized through milestone payments as well as earn-out payments over the course of next 4 to 5 years to keep them motivated to build the business with Polymed Group. It's a slightly different situation in case of Citieffe, where a professional management has been running the business for over 6 years now.
And we've created a sort of an incentive structure or a payout structure, which incentivizes short-term performance, but also sort of creating a long-term incentive plan, which is basically linked

to the delivery of the business and financial performance over the course of next 5 years.
So we have very clearly defined targets, and on the treatment of those targets, there is an incentive linked payout that which is variable in nature, completely variable in nature which will be paid out to the key managerial team of Citieffe.
Harsh Shah: And from Polymed side, can you give some insights on who will be looking after these two acquisitions, there is a concern in my mind that have we written off more than 2 years?
Rahul Gautam: So I mean, I think we're creating a group of people, I mean, who will be responsible for integration. We are in the mix of finalizing what that executive committee will look like, but we will obviously have representation from different functions being part of that group to drive individual synergies, which have been decided, either it's on the sales side or on the manufacturing side, on the R&D side.
Obviously, under the overall leadership of Himanshu and Rishi, and that's how we're thinking about it. We are in the mix of preparing that structure. And at the right time, we'll update you guys.
Harsh Shah: And my third question was with respect to having the plates as the product portfolio. It seems like a pretty low-hanging fruit here. And as you said that in various public tenders, both the

products go hand in hand. So just want curious that why didn't the previous management themselves have this product?
Rahul Gautam: Sorry, I missed I couldn't understand you well. Can you repeat your question, Harshji?
Harsh Shah: So I was asking that you alluded that the major priority is to add a plates as a product segment because in various public tenders, plates as well as nails go hand in hand. So my question was that why didn't the previous owners themselves add plates as the product portfolio?
Rahul Gautam: I mean I'll take a guess at it because, honestly, it was their choice. But I think this ARCHIMED who is the majority owner of this company had invested in this company in the year 2014. I think we all know that typically, private equities have a holding period of 5 years. Now in this situation, in the holding period, obviously went quite long, it became almost 10 years.
And maybe they had fund constraints because of which they were not able to provide a large amount of capital, obviously supported the business by providing incremental capital. And maybe that was the reason because if you think about it, to add a plates as a product, it's a significant investment.
You will have to have multiple SKUs, need to create inventory. Obviously, then identify the products. So it's a significant investment. I'm assuming that was the primary reason that they decide to not invest in this space.
Moderator: Our next follow-up question comes from the line of Vishal Manchanda from Systematix.
Vishal Manchanda: Yes. I just have one follow-up. Can you share what is the total investment that has gone into the company so far, in total equity and borrowings?
Rahul Gautam: Yes. So their network is about 16.5 million. And on top of that, you add another 8 million, so 12 million. This is about 28 million, 29 million say about 30 million of

total investment. Sagar, we
wait for 30 seconds if there are no further we can close now.
Moderator: Sure. As there are no further questions from the participants, I now hand the conference over to Mr. Rahul Gautam, for closing remarks.
Rahul Gautam: Thank you, everyone, for joining on the call. I appreciate your time. This transaction is the continuation of our inorganic strategy, where we have very clearly stated that in segments which are high technology or gives us access to sort of key markets of Europe and US has been part of our core inorganic strategy, and we are sort of last two transactions clearly demonstrated that.
We are excited to have Citieffe as part of the Polymed Group and very excited to build a solid orthopedic business across the world using that as a platform. Thanks a lot for your time.
Moderator: Thank you. On behalf of Polymedicure Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

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Subject: Submission of Transcript for Q2-FY25 Earning Conference Call under the SEBI (Listing Obligation and Disclosure Requirements), Regulation, 2015
Dear Sir/Madam,
Pursuant to Regulation 30(6) of SEBI (Listing Obligation and Disclosure Requirements) Regulations, 2015, we hereby submit Transcript of the investor Meet/Call held on 10th November, 2025, at 05:30 pm on the Unaudited Financial Results of the Company for the quarter and half Year ended 30th September, 2025, on Standalone and Consolidated basis, which were considered and approved by the Board of Directors of the Company, at its meeting held on 08th November, 2025.
This is for your information and record.
Thanking You,
Yours Sincerely
A vinash Chandra
Company Secretary
M. No. A32270
Encl: As above
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"Poly Medicure Limited Q2 & H1 FY '26 Earnings Conference Call"

November 10 , 2025

MANAGEMENT : MR. HIMANSHU BAID – MANAGING DIRECTOR , POLY MEDICURE LIMITED

MR. NARESH VIJAYVERGIYA – CHIEF FINANCIAL OFFICER , POLY MEDICURE LIMITED

MR. RAHUL GAUTAM – PRESIDENT , STRATEGY AND
CORPORATE DEVELOPMENT , POLY MEDICURE LIMITED

MODERATOR : MS. NISHA SHETTY – ICICI SECURITIES

Moderator : Ladies and gentlemen, good day and welcome to the Poly Medicure Limited Q2 and H1 FY '26 E arnings Conference Call hosted by ICICI Securities Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*', then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Nisha Shetty from ICICI Securities. Thank you and over to you, ma'am.

Nisha Shetty : Thank you. Good evening, everyone. On behalf of ICICI Securities, I welcome you all to Q2 and H1 FY '26 E arnings Conference Call of Poly Medicure Limited.

Today, on this call, we have with us the senior management team of the company represented by Mr. Himanshu Bai d - Managing Director ; Mr. Naresh Vijayvergiya - CFO and Mr. Rahul Gautam - President, Strategy and Corporate Development.

I would like to thank the management team of Poly Medicure for giving us this opportunity to host their call. And with this, we will hand over the call to the management team. Over to you, sir.

Himanshu Baid : Thank you, Nisha. Good evening to everyone. I welcome you all to Q2 FY '26 E arnings Call. I sincerely thank all of you for being here today.

Before we get to financial, I woul d like to highlight that on 06th November 2025 we have closed the acquisition of Italy -based Citieffe Group, a leading player in orthopedic trauma space and in the extremities business. With this move, we are venturing into Ortho segment, expanding our total addressable market by around $70 billion globally. The other acquisition we contemplated was of the Netherlands -based PendraCare Group on 23rd September 2025. PendraCare Group is a specialist intervention cardiology solution catheters, which significantly strengthens the Cardiology segment and gives u s manufacturing and distribution footprint in Europe. We have already initiated the integration process of PendraCare Group and Citieffe and are excited about the potential synergies.

With these two acquisitions, we will add around close to Rs. 280 crores of revenue to our existing business on an annual basis. In this year, we have also launched Polymed Academy of Clinical Excellence, PACE, a platform which is created to deepen our engagement with KOLs through hands -on training using advanced med ical devices. Through this, we aim to establish Polymed as a preferred partner for scientific training and lea rning and devel opment with KOLs. We plan to open such academics in other parts of the country and overseas over the next few years. Another m ajor update is the expansion of our SAR ATHI program, which is AI -powered initiative providing immersive training experience to improve performance efficiency across all divisions. I am very happy with the initial outcome and remain positive to continue to refine the platform to make the training methods of our frontline team more efficient and engaging with real -time feedback.

I will now take you through the Q2 and half -yearly highlights for the next few minutes. After that, we can open up for Q&A.

For quarter ended September '25 , we have consolidated revenue of Rs. 444 crores, marking an overall year-on-year growth of approximately 5.7% and a quarter -on-quarter growth of around 10.1%. Gross profit in Q2 was Rs. 308 crores, reflecting a margin of 69.4%, an increase of almost 99 bps as compared to quarter 2 last year. Operating EBITDA for Q2 was Rs. 119 crores, delivering an operating EBITDA margin of 26.8%, slightly down from 26.76% last financial year. Here, the operating EBITDA for Q2 has been taken excluding one -time acquisition costs of Rs.

3.2 crores of Pend raCare Group. On the bottom -line, PA T totaled around Rs. 92 crores compared to Rs. 88 crores last year, translating a net margin of 19.2%.

Moving to H1 ended September '25:

We have a consolidated revenue of Rs. 847 crores, marking an overall year -on-year growth of 5.3%. Gross profit in H1 was Rs. 584 crores, reflecting a gross margin of 69%. An increase of almost 137 bps as compared to H1 last year. Operating EBITDA for H1 was Rs. 226 crores, delivering an operating EBITDA margin of 26.7%, slightly down from 27.4% last year. On the bottom -line, the profit after tax totaled Rs. 185 crores compared to Rs. 162 crores in H1 last year, translating to a Y-o-Y growth of 14.5% and a net margin of 20%. Despite lower revenue growth, we have been able to improve our gross margin, which has helped us in maintaining operating margins at a higher end of the guidance of 25 %-27% which we gav e in the beginning of the year.

Further, I would like to share the business highlights of 2 key geographical segments, domestic and international. In quarter 2 FY '26 and H1 FY '26, our domestic revenue on Y-o-Y basis has grown by 17%-18% respectively. This soli d uptake reflects the effective execution of our strategy and the rising demand of our offerings locally. In addition to this, our private business has continued to grow overall 22.3% Y-o-Y basis in Q2 FY '26 while government business degrew by 14%. Contribution of domestic revenue to overall consolidated revenue has increased to 32%. We continue to outpace the competition in the domestic market quite significantly and our conviction to invest higher amounts in the domestic market is only getting stronger. This is reflected in the fact that we added quite a number of sales associates, o ver 35 in H1 and hence we are on the track to hire 100 plus sales associates in FY '26.

Our international business segment is showing recovery. With a revenue of around Rs. 300 crores in Q2 FY '26, it has shown a 9.1% Q-on-Q growth which is reflective of the fact that we are recovering from bottom that we witnessed in Q1. We are witnessing green shoots in recovering international markets and remain cautiously optimistic for H2 of the current financial year. While our internat ional operations did face a tougher backdrop this year, especially across Europe, which continues to show slight degrowt h, 9.6% Y-o-Y basis in Q2 FY '26, but sequentially business growt h of around 5% if you look at quarter 1 to quarter 2 performance.

We are seeing improvement in customer sentiment and base effect high inventory building up our customers last year is slowly getting resolved. To compensate for degrowth in Europe , we are enhancing

our presence in ROW markets and have made significant efforts in markets such as South Asia, Africa and Middle East. In each sub -market in these regions , we are expanding our customer engagement through marketing efforts, clinical engagements and direct customer reach. All these efforts along with underlying growth have seen a revenue growth from rest of the world region growing to around 13% Y-o-Y basis sequentially.

Let me give an update on each of the business segments :

Renal business revenue stands at Rs. 44 crores up from Rs. 37 crores in Q2 FY '25, marking a year-on-year increase by 18.1% . This is lower than expected due to some inventory realignment due to GST changes which came up in early September. We expect that from Q3 onwards , this segment should resume growth journey, and we should be able to get above Rs. 200 crores of revenue on a full year basis. Our H1 revenue stands around close to Rs. 88 crores as compared to Rs. 67 crores as compared to last year, showing a respectable growth of around 30%. We have sold up to around 200 plus dialysis machines across the country in the first H1 of the year and I think we expect to sell

another 300 machines

in the H2 period. We continue to remain extremely excited about the growth prospects in the industry backed by large unmet demand and continued government support in the investment and of course the coverage which is coming by large domestic players in the services line .

Before throwing light on our Cardiology business, I am pleased to share a proud milestone. Poly Medicure Limited recently honored the Emerging Medical Device Company of the Year in Cardiology segment at VO H Voice of Healthcare Awards 2025. This recognition reinforces our ambition, and we fully expect to live up to this distinction in the coming years. On the business side, we employ around 4,000 plus stents in H1, a strong signal that our product is gaining traction and earning favorable feedback from patie nts and interventional cardiologists. Looking ahead, we are excited about a pipeline of advanced technology devices. We have drug -eluting bal loons, PTCA catheters and so on and we anticipate launching and scaling these within this year. Along with this, our clinical study for rise of stents has also been initiated in India and Europe. Strategically, these trials underline our commitment in India and Europe which along w ith recent acquisition of PendraCare Group positions us for global growth in Cardiology space. We are steadily moving up the technology chain in medical devices market, and these initiatives place us well in a range of capture of winnow field market share initially in the domestic market as well as overall time in the international arena.

The C ritical Care segment which we launched last year, this vertical also remains a key pillar of growth strategy. During the rising treatment need in segments such as Oncology and Pediatric Care. And over last 12 months, we have launched 20 plus new products, established presence in 500 hospitals. Our brand is now recogni zed and respected by top doctors across the country for key products. Further, Government of India is also playing an active role in ensuring greater treatment access for cancer care by se tting up 200 standalone Specialty Oncology Centers this financial year, eventually expanding to 700 cent ers nationwide over 3 years.

US market expansion continues to face headwinds due to current tariff situation. We continue to invest in that market from a long -term perspective hoping that sometime in next few months , the tariff situation will get resolved. We have slowly started business with one of our leading customers and a new product is getting launched in Q3. We have also received FDA clearance for a new design IV catheter and expect to start commercial supplies in early Q4.

Turning to our balance sheet :

We have ended the quarter with liquidity of Rs. 1 ,109 crores. This strong cash position allows us to continue backing off our ambition growth strategy both organic and inorganic. Of c ourse, after completing the Citieffe acquisition which we have done by 6th November, 2025 the net cash position as on date is close to around Rs. 800 crores. As mentioned earlier, we have completed 2 acquisitions in this quarter and further thesis focuses on technology acquisitions that complement our verticals, Cr itical Care, Cardiology and adjacencies , we will keep the market inform as we move forward with new opportunities.

Now, let me share the guidance for current quarters in H2 :

If you look at the current domestic market, we are still very bullish that we will end almost with a growth of 28% -30% for FY '26. So, we currently reiterate our guidance. For international business, we are now guiding for revenue growth in the range of close to 10% including revenue from 2 acquisitions. This revised outlook reflects the current global market conditions underlying uncertainties. We will keep you all updated as we gain greater clarity on the evolving environme

nt. We maintain operating EBITDA

guidance in the range of 25% -27% for the year. As you have seen, we are close to around 26.5% on the upward segment of the bank. We continue to invest in future growth. CAPEX of Rs. 150 crores was done in H1 and we further informed that CAPEX planned for the current financial year will be over Rs. 2 50 crores. This fund will be deployed to set up the facilities at Mitral and Haridwar as well as to expand capacity at existing plants. We expect these plants to be fully operational within the next 12 -18 months. It is worth emphasizing that the guidance is built with a measure of conservatism, particularly around exports, given the current geopolitical macroeconomic headwind s. However, we remain confident with our strong product line, upcoming launches, and domestic momentum, all of which we believe will comfortably offset this segment .

In summary, Q2 FY '26 has reaffirmed the fundamental strengths of our business model. We delivered double -digit growth, domestically maintained healthy margins, improved operating EBITDA performance, and drove significant product innovation while continue to invest in sustainability, scale future capacity through R&D and green initiatives. For H2, we are providing new guidance for H2. H2, we are looking at a revenue increase of close to 25% over H1. H1 revenue was close to Rs. 850 crores. H2 guidance is between Rs. 1,080 and Rs. 1 ,090 crores. That is the guidance we are providing for H2, which is around more than 25% increase over H1. Overall, we aim to do a growth of close to 15 -16% when we end the current Financial Year ' 26, which is lower than the guidance we provided in the initial part of the year around 20%. But I think we a re on the recovery phase and hopefully we will be on the upper side of the 15 %-16% guidance range, and w e will continue to build the company through resilience and a strong product line.

Thank you once again very much and now we are open to questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. T he first question is from the line of Ravi Naredi from Naredi Investment. Please go ahead.

Ravi Naredi : Thank you very much for giving me the opportunity. Sir, your CAPEX plan for the next few years, can you tell the amount?

Rahul Gautam : Hi, this is Rahul. Just to give you guidance, I think so far we have given guidance for only FY '26 of about Rs. 250 crores. Having said that, we have raised money through QIP in August of 2024, out of which Rs. 500 crores was allocated for organic CAPEX. And w e expect that at least given those plants are already under construction or will be soon under construction . We expect a similar number to also be spent in FY '27 as well. We will have greater clarity on the final numbers including for o ur subsidiaries by the end of this financial year.

Ravi Naredi : And h ow much CAPEX you have already done by 30th September?

Rahul Gautam : We have spent about Rs. 150 crores in H1.

Ravi Naredi : And H2, Rs. 100 crores, right?

Rahul Gautam : That is correct.

Ravi Naredi : And your target for topline and bottom -line for Financial Year ‘26 and 27?

Rahul Gautam : No, we haven't given any guidance for 26, 27 as yet. We have only given guidance for the year FY '26, which was repeated by Himanshu in his opening commentary.

Ravi Naredi : 15%, right?

Rahul Gautam : Yes, for the full year FY '26, we expect an overall revenue growth of 15%.

Ravi Naredi : And anything you want to tell about margin for Financial Year ‘26?

Rahul Gautam : Yes, so I think on our operating EBITDA margin, we had given at the beginning of the year a guidance of between 25 %-27%. Our margins in H1 are in excess of 26%. So we are at the upper end of the guidance

that we had given. And we are maintaining our margin guidance of between 25 %-27% and hoping that
we w

ill still remain at the higher end of the guidance.
Ravi Naredi : Thank you very much.
Moderator : Thank you. The next question comes from the line of Shamit Ashar from Ambit Capital. Please go ahead.

Shamit Ashar : Yes, hi. Thanks for the opportunity. So if we look at the last 2 quarters, your growth was mainly led by the domestic segment and where now , the growth has currently slowed down. Even if we look at the Renal segment, the growth has been hampered a bit. So for the Re nal segment, are you on track to achieve your annual 50% growth guidance of around Rs. 220 - Rs. 250 crores in this particular division? And what factors can you attribute to the slowdown in the domestic growth?
Rahul Gautam : No, I think this quarter, obviously, we had the GST transition across the country, right? And we were also impacted to some extent on that, right? So , there is some impact because of that inventory alignment, which has happened in the domestic business. We remain very bullish on the domestic market. And we still maintain our guidance that we will end up there on the domestic side going at between 28 %-30%. On the Renal side, as Himanshu also mentioned in the early part of his commentary that Renal business was impacted due to this GST transition specifically. And we hope that in quarter 3 and quarter 4, the business will come back. Our overall Renal guidance now is at about Rs. 200 crores from a full year perspective.
Shamit Ashar : And like coming into quarter 3, are you expecting the international business to pick up the pace? How is the inventory situation right now in Europe?
Rahul Gautam : Yes, we believe that the situation is getting better. The customer sentiment is getting better with every month passing. And if you see from quarter 2 to quarter 1, there is a sequential growth, even in the markets of Europe, which have been obviously struggling for the last couple of quarters. And we are making new investments in geographies where we were not as strong. The idea is that we compensate for slower growth in the European market through investment in the new er markets. And yes, th e expectation is that our H2 should be better than H1 a nd we should see improvement on a quarterly basis in Q3 and Q4 onwards.
Shamit Ashar : Understood . Thank you.
Moderator : Thank you. The next question comes from the line of Amit Nigam from Invesco. Please go ahead.
Amit Nigam : Hi. Thanks for this call. Just two quick questions. One, if I am not wrong, Himanshu, you mentioned that the second half , we will see the aspiration is to hit Rs. 1,080 - Rs. 1,090 crores of topline. What percentage of that would come from the acquisitions which we have recently closed? What is it that you are budgeting there?
Himanshu Baid : Yes, so if you look at that Rs. 1,090 crores of guidance which you ar e giving Rs. 80 or Rs. 90 crores, only Rs. 120 crores will come from there. The rest will come from domestic and international business.
Amit Nigam : Understood. And therefore, it would not be wrong on our behalf to ?
Himanshu Baid : 10% of that will be, ye s, roughly 10%.
Amit Nigam : Roughly 10% would be. And this would be margin dilutive, if I am not wrong, correct?

Himanshu Baid : Yes, but still we are on the path of increasing, more or less, if you look at margin improvement in the current financial year, you see gross margin has been improving , almost 125% gross margin improvement. So even if we take a small margin dip there, we should be able to still stay in that range. And that is the reason we have been guiding in the beginning of the year, 25% -27% EBITDA margin. So we are still at around 26.5%. So even if we see a little bit of dip in margin, that 10% of busines s, still that 90% of business will be still high margin.
Amit Nigam : Understood. And in

how many years , do you think that these international acquisitions would be able to
migrate?
Himanshu Baid : We just got this company, so it is very, I think premature to c omment. I would say, I think we wil l need a couple of quarters, how things are and how integration happens. So I think this is a long haul. These things don't work overnight.
Amit Nigam : And therefore you said that September was when you closed Pen draCare?
Himanshu Baid : September, yes . Three years ago, we have got the full control of the company, one of the larger companies, Citieffe . So it is going to take a while. I think we will have more clarity in the coming quarters. And then we will be able to give better guidance. But of course, the whole idea is for synergy to kick in, do India leverage of manufacturing, and then also use global base of Polyme d to enhance minor sales of these companies. So I think we have a very clearly laid out plan. But I think th e numbers and all , we will have to wait for a few quarters before we can really call out any numbers. These

companies have been close to 15% EBITDA, both the companies. So it is not that we have a sinking ship, the ship is steady for a very long time. Only thing is, we have to just make improvements over the next quarter of the coming years, where we can increase margins to plus 20. Even if you look at our company in Italy, Plan 1 Health, which was our previous acquisition in 2018 -19, today is now around close to 16% -17% EBITDA. It was a negative EBITDA company. So over the years, we have turned around the company, but there is a positive contribution for the company. So I think, and there is also some margin creation at the India level also, because we are also supplying a lot of components and everything. So we will see that happening over the year, but we are very hopeful about that.

Amit Nigam : No, sure. I am pretty confident you will be able to do that. And my last bit of color, if you can give on the competitive intensity, especially in Europe, it will be helpful?

Himanshu Baid : See, I think Europe is where, if you remember, I called out in quarter 1 that there was excessive competition from China, because they started dumping products, because of the US tariff and all that. And that impacted and of course and what has also happened is we have talked to a lot of customers, where they have said the transit times have dropped dramatically . The Suez Canal channel is open now, for transportation. So earlier, the goods were taking 2-1/2 months to reach there, they are reaching in now around 1 month. So that has and because of that, the whole inventory realignment is happening. And I think early next year, we should get back to the similar numbers we were doing, let us say , last year with most of the customers. And then, we have a lot of new projects coming in Europe right now, we are bidding a lot of these new projects. Plus, we have around 20 new products in pipeline, which will

get CE marked within, in calendar year 2026, 20 new products. So all these new products start contributing. So because Europe is going through a change in regulation. So, our first target was to protect our existing business, existing regulation certification that has been done, which have already been announced earlier. And now with 20 new products, which are in pipeline, I think this will actually change the record aroun d close to 75 products which are CE certified already for European market. 20 more are coming, that will also add into the revenue cycle next year. So a lot of things are happening . We are a small group in the radar, but I think now we are in a much better position.

Amit Nigam : So the message that I should take home is that the competition from Chinese companies is abating. Is that the message that I should take home with me?

Himanshu Baid : Yes, whi

ch is there in every market . Today , for every company or every m arket is the same situation. It is not unique to us, to this industry. So I think that is going to happen a nd we all have to live with that. Important thing is what things you can do better that is where we are. And I think with that 20 new products coming in, some new projects, which we are bidding, which are going to go live next year, all that will change th e trajectory. That is what we are doing

Amit Nigam : Super. Thanks, Himanshu and all the best.

Himanshu Baid : Thank you.

Moderator : Thank you. The next question comes from the line of Vihang Subramania n from Z aaba Capital. Please go ahead.

Vihang Subramanian : Yes. Hi. Just to continue on the Europe piece. I think last time when you had mentioned that Europe had also seen a bit of regulatory transition and you mentioned that it would take some time to launch products and so on. So just wanted to check on that. How are we there a nd has there been any progress on that front?

Himanshu Baid : So on the regulatory front, I just mentioned, Vihang , a few minutes ago that we have now got our existing , the product range was existing before 2024 or 2023. All that has been now been re -regulated. And we have got our certification on the MDR, the new regulatory regime in Europe. And the new product, there are almost 20 new products in pipeline, which we have already applied for in early 2025 for getting regulatory clearances from EU authorities. And from ear ly next year, we will start receiving approval for these products. So there will be additional 20 new products almost getting regulatory cleared from Europe in 2026. And that is a significant development for us.

Vihang Subramanian : Understood. Could you quantify what would be the delta to growth from those products?

Himanshu Baid : Yes, I don't have any idea. But once we launch these products, then we will be going to the market. But again it is an initial you can imagine that adding 20 new products on a portfolio of 75 new produ cts and most of these products will have a higher growth margin because these are all new developed products. See, earlier focus was to protect th e current product line. But from last 2-3 years, what we have been spending, and developing these new products across different Critical Care and Cardiology and other

segments. So all these products are in Vascular Access. So all these products are getting certified. So definitely , we will have a better margin. But maybe more clarity, I can only give you once we receive

the certification and once we have found customer contracts.
Vihang Subramanian : Understood. And just on the domestic business, if I heard you correctly, I think you mentioned that the government business declined 14%. So just wanted to check, is that out of the base and incrementally, can we see like a return to the 25 %-30% growth guidance that you had mentioned?
Himanshu Baid : Yes, so government business is only 10% of the current total domestic business. And probably we have made a deliberate attempt to reduce it because of a lower margin business because most ly tenders L1 driven, no significant quality advantage in domestic tender business. So we have deliberately been slowing that business down and increasing the private sector presence. And yes, we have again guided for the end of the year for 28 %-30% growth for domestic business.
Vihang Subramanian : Understood. And just my last question is on the US piece. I know it is very small and a bit noisy as well currently, but how are the conversations going there? Like, have there been like progress there or things have stalled in the face of tariffs and so on?
Himanshu Baid : See, things continue to happen. It is not that nothing has stalled. But of course, customers are waiting with the current situation that what will happe

n because 50% tariff is completely untenable. But we have bought a few products, we have started business with a new customer, which is one of the largest companies in US that has started. And with just one product, other products are put on hold by them for the moment, because we were chosen a new su pplier maybe a year ago. And one of the other products which we were waiting, we have got an F DA clearance recently. And probably in quarter 4, we are going to start supply for that product. And again, it is an important product for us as I called out in the opening comments , IV catheters, again, a special design, which is developed for the US market. So all that on the background is happening, a lot of testing is happening in the US because as you remember, I told you, in the last call or a couple of calls ago, that US FDA has started disapproving Indian lab results . They are not taking the results , which are generated by Indian labs, and they are rejecting those results. So now, we have been forced to test all the products in the US right now. So all work we have done in the past was negated and we had to start again by retesting the product. And it is not only for us, it is for every medtech company which is operating out of India, wants to sell in the US market, they are facing this. And I think because of the change in administration in the US, this new policy decision was taken. And whatever lab s were executed in India, they have been accredited. And because of that, things have slowed down in the US for us and for everybody else, actually, also. So now we initiated that maybe 3 or 4 months ago, this whole new testing. So by I think, April -May, all the test results will happen, we will apply again for the US FDA. So mid of next year, we will start getting some new approvals which are in pipeline.
Vihang Subramanian : Understood. Thank you so much, Himanshu . Good luck.
Himanshu Baid : Thank you, Vihang .

Moderator : Thank you very much. The next question comes from the line of Karan Gupta from A CMIIL. Please go ahead.
Karan Gupta : Yes, hi, good evening. So my first question is regarding the new product. So that you are saying 20 new products, can you tell us about the specialties you are covering? Or you are launching new products in existing specialties?
Himanshu Baid : If you remember, we have launched 2 new specialties last year, and which was Cardiology and C ritical Care. And most of the launch es are happening in those two new specialties, when you look at from a domestic market perspective . When you look on the international market perspective, Vascular A ccess , Infusion, which is our core business, most of the launches are happening there, because there we have a global excellence on their product category. Again, 68% of revenue comes from export, international business. And that is highly dominated by Vascular Access and Infusion. A lot of the development we are doing for international market is for those categories. And eventually in the next few years , maybe 2-3 years, once we have all the r egulatory approvals , clinical trials done for Cardiology and Critical Care, most of these products will go global and will go to global customers.
Karan Gupta : So can we assume that you have covered maybe 80 %-85% of the specialty?
Himanshu Baid : I am not able to hear you well. Could you repeat the question?
Karan Gupta : Yes, hello. Now , I think it is clear. So I just wanted to ask, can we assume that you have covered, let us say, 80%-85% of the specialties that is in the Medical Science, and you have the products for them?
Himanshu Baid : No. Today , we have 50,000 products in medical technology industry, only Poly med does only 250 products. So the field is super vast and when you look at India market is only 15 billion, global market is 650 billion. So we are 2 %-3%

of global market industry size, market size. So there are still hundreds of products more which can be made and which are adjacent to our current business. And also, we have almost 60 -80 products in pipeline, which we launch ed over next 3-4 years starting from, let us say, 26 - 29, we have close to 50 -80 products in pipeline, new products under development. So there is a lot to do and then we added Orthopedic, which is a huge area, which is going to Trauma, then we go more into plates , and then adjoining products in joints, and so on and so forth, knee and hip and so on and so forth, spine. So there is a lot of products today still pending to be made. So we have a huge runway for next 5-10 years, we have a huge runway. So I don't even see that at least in my tenure as an MD, I don't know whether we will stop innovating or not.

Karan Gupta : No, so I was asking for the breadth wise, the number of specialties we have in the medical science. So we have, I think, covered almost, and then we will go deeper down for a lot of ?

Himanshu Baid : We have not covered Urology, Gastroenterology, Respiratory Care, and Cardiac Surgery and Peripheral Vascular , Neurology, there are so many of them, actually.

Karan Gupta : So can you tell us about the wallet share as of now? If you are supplying all products in a multi -specialty hospital, or maybe some clinics, so what will be the wallet share of your products as of now, whatever you have, may be 2-50 products?

Himanshu Baid : The wallet share because Indian market is very fragmented. And we don't have real data because like pharma, we have no real data flowing out for medical devices consumption in the country. But just by our estimated guestimate, maybe we could be between, let us say, 5%-7% of the wallet share in a hospital. And plus, of course, potential is to double that wallet share, maybe within the same hospital. So that is the runway available.

Karan Gupta : And the cost of these medical devices for a hospital is around the same? It was 2-3 years ago, 20 %-22% something?

Himanshu Baid : No, cost of medical devices is around close to 10%. In the whole treatment cost, the cost of medical devices is close to around 10% in any hospital infrastructure. That is what I know, bu t the number could be different, b ut that what my estimate is.

Karan Gupta : Thank you.

Moderator : Thank you very much. The next question comes from the line of Vishal Manchanda from Systemati x Group. Please go ahead.

Vishal Manchanda : Hi, good evening, sir. And thanks for the opportunity. Sir, I wanted to check, like you are expecting 20 new approvals, new CE marks in European market. If you could share how many we already have there? For how many products, you already have a CE mark approval?

Himanshu Baid : Vishal, we have close to around, it was done in two branches. So we have close to around 75 products, which are CE certified as on date. And more or less, we will get sometime in calendar year 26.

Vishal Manchanda : And so any sense on how large the markets would be for the 20 products that you would get?

Himanshu Baid : These are all adjacent products to our current product range . These are some products from C ritical Care range, some are from Oncology, some are from Neonatal, some are from Vascular Access and some are from Pain Management. So this is an extension of existing range of products which we already offer to our customer. So we are completing basically basket. Whatever basket we have on the product side, we are enlarging that basket basically. And most of these products have a decent market in Europe. And that is the reason we have been developing these products and working on this for last couple of years. And now once we have done a c linical studies and biofarm studies, and after that we applied for CE mark. So these are important products. Of course, I

can't quantify the number right now because only once we have the CE mark, I will be able to quantify how much revenue, volume, what is the customer. And of course, then there is an approval process in local hospitals. CE mark doesn't mean anything unless and until you have approvals in local market, local countries, and then you bid in the contract, then only you know. B ut it is a long journey, but again, having new products, 20 new products in pipe is again also very important number.

Vishal Manchanda : Right, sir. And would you like to give a target or guidance for the US market for maybe 3 years down the line? Where can we be?

Himanshu Baid : It is very hard to say in the current scenario. But I think let the headwinds clear. Of course, we still maintain that we have $15-$20 million product pipeline, $15-$20 million product pipeline for US which is earmarked which we said in the beginning of the year. So we still stand by that number. And we still have a lot of projects going on. But I think we will have more clarity. Because if you see currently, India is still 50% tariff compared to all nearby countries. And when I was talking to a company, recent large company, they said India still is out of flavor for most of the US companies. Still most of you have gone to Vietnam, Thailand, Malaysia, or Indonesia. So we are still out of that flavor. So because of tariff and current law of regulatory, which was brought in very late in India. So still, we are working on it very hard on this. But we still maintain that on a 3-year ba sis, answer to your question in $15-$20 million.

Vishal Manchanda : And sir, among the new divisions you launched in India, Cardiac, Critical Care, so would you be more optimistic about the cardiac division for the next 2-3 years in terms of the scale of potential?

Himanshu Baid : Yes, definitely. A lot of products which are getting imported into the country, we are locally manufacturing them here. And I think that is where we are trying to bring an import substitution. And that will help us to and once the quality is established, of course, it is tough, this business is tough. But once we have enrolled, and as we have been getting enrolled in the business, and we have done this acquisition of PendraCare a nd that is the reason we want to go front end in the European ma rket. So I think Cardiac, of course, offers a good promise for Polymed . But yes, Critical Care is also a high growth segment, because there are only 2-3 players in the world, which operate in the segment completely. So Cardiology, we may have 20 companies, we have to compete with Critical Care is only 4-5 companies. So Critical would be more potential in terms of profitability . Even growth wise also , once we have access to devel oped markets like Europe and US, this could also grow faster.

Vishal Manchanda : So the Critical Care would have more dependence on imports versus Cardiac in India. And again, if you could give a number as to like what percentage of the market would be import depe ndent for both these categories?

Himanshu Baid : In Cardiology, if you look at cardiac catheters, almost 80 %-90% C ardiology angiograph ic catheters, balloons have been imported into the country, almost negligibly anybody is manufacturing here. Most of the companies import bulk or manufacture or don't even manufacture the complete product. Here , we have manufacturers with almost 80 %-90% import, Critical Care also 90% import.

Vishal Manchanda : And you have been kind of been able to introduce the important products here, which constitute a large part of this value ?

Himanshu Baid : See, Critical Care b ecause it is a very segment of Vascular A ccess. You can also check with hospital groups where you cover there is Quality, Naraina, Max, Fortis , all are using our products . All large hospital chains are using the produ

cts.

Vishal Manchanda : You mean in Cardiac and Critical Care, you have been able to tap these larger hospitals?

Himanshu Baid : In Cardiology, still we are in Tier-2, Tier-3. W e have not gone into Tier-1, because that will take some time. Because as we are doing also clinical, because most of the hospitals all ask for clinical studies. So we have already initiated that clinical study for our RisoR stent, 2,000 patients study. So but at least in Tier-2, Tier-3, we are doing fine. But in Critical Care, we have already entered Tier-1.

Vishal Manchanda : And sir, when do you kind of get data from the study? The stent study, 2,000 patient study?

Himanshu Baid : Vishal , we will take 1 year plus.

Vishal Manchanda : Whole you will take ano ther 1 year?

Himanshu Baid : Yes, because the last patient who gets a stent, then we have to wait to 6 months to 1 year. After the last patient has been implanted with a stent.

Vishal Manchanda : But do your competitors, Indian domestic competitors in the segment would have a European trial ongoing or European approval for their products? Or they just have a domestic approval for their products?

Rahul Gautam : I think lots of domestic Cardiology companies who have been operating in this segment for much longer than us already have clinical trial data on their products, even in international markets.

Himanshu Baid : But the largest clinical trial is what we are doing . Right now , nobody has done a clinical trial over 2,000 patients. Most of the companies have done 500 patients, 1,000 patient trials. We are doing 2,000 patient trials. So that we have a much robust and most stable product. And of course, it is designed by us. So again, it is very important that clinicians understand that data points and that is how the product will move. But again, Cardiology segment is one of the segments for us. Again, our core business, Vascular, Critical Care, Renal, we all continue to grow and the se are all growth segments. We haven't even gone out of India. So Renal will have a huge potential once we receive all certifications. I think that is a huge potential to even go outside India also.

Vishal Manchanda : Sir, this stent trial would be a double -blind placebo -controlled trial or it is a single arm trial?

Rahul Gautam : We wi ll get back to you Vishal on that.

Himanshu Baid : Vishal, it is a technical question. I will get back to you on that. I will ask Rahul to respond to you on that question separately.

Vishal Manchanda : Sure. And just one final one, if we can hit double digit growth in export markets next year, like on a Y-o-Y basis, will we be there?

Himanshu Baid : 100%.

Vishal Manchanda : Thank you very much.

Moderator : Thank you. The next question comes from the line of Shivam, an Investor. Please go ahead.

Shivam : Hello, my question has been addressed. Thank you.

Moderator : Thank you. The next question comes from the line of Girish Jain from KJMC Financial Services. Please go ahead.

Himanshu Baid : Hello, Girishji.

Girish Jain : Hello, Himanshu ji. Thank you for the opportunity. Just a couple of questions. In one of the earlier calls, we had mentioned about the status of the 3 new plants. Could you just update the investors? I think Uttarakhand, Jaipur and Faridabad ?
Himanshu Baid : Yes, sure , Girish . The plants are already under construction. On the Faridabad - Mitral, plant, we are establishing a Gama sterilization facility. So initial licenses have been received from the government, also from the CDSCO. So that facility partially is operational, but there we are also building some additional facility which will be ready by end of 2026. So Phase-I is ready. Phase -II will be ready by end of 2026. Haridwar also, Phase-I is ready. Phase -II will be ready by end of 2026. So th

at is also on. The
Jaipur facility we have already informed in the last call, we are dropping the Jaipur facility and we have taken a piece of land in Y EIDA , which is the Yamuna Expressway Authority, the new medical device part, which is coming near the Jewar airport, 3 kilometers from Jewar airport. So we were lucky to get a land parcel already to us, around close to 7 acres. So that land has been acquired and the Jaipur facility, we are now moving to Y EIDA , basically.
Girish Jain : So the revenue from the Faridabad and Haridwar will be starting primarily from FY '27?
Himanshu Baid : Yes, FY '27, partial revenue and FY '28 , full revenue.
Girish Jain : And recently the company also made some acquisitions through the NCLT process of company, I think Himalayan Mineral Waters?
Himanshu Baid : Yes, I will tell you. So basically in Haridwar , we have 2 premises and on the second premises of this land, the company acquired has a land bank for around close to 20,000 meters. So through NCLT, we have acquired the company, of course, and this is not that we are going to get into mineral water business. This is basically acquisition of adjacent land, basically, which is currently faced in a second property, which is in Haridwar. So this is adjacent to that. So now we have a full block of around 8 acres with the acquisition of this, and we are still waiting for some clearance from Income Tax Department. We have paid the tender basically, we have paid advance, but we are just waiting for the final clearance through NCLAT and once it comes through, then we will have the full acquisition done for the company, which only has the land as an asset.
Girish Jain : So this will give us further space to make more expansion in Faridabad ?
Himanshu Baid : Exactly, in Faridabad. That is correct. So that is the Phase-II we are talking in Haridwar, the Phase-II.

Girish Jain : And just one more bookkeeping question. Could you give some status of the debt currently on the books and the net working capital cycle?
Himanshu Baid : Currently, as on date, as on today's date, we have Rs. 800 crores cash and then we have almost a borrowing of close to Rs. 200 crores for working capital from the banks for various limits, which are assigned for imports and for stocks and everything. So net cash would still be close to Rs. 600 crores and current working capital debtor cycle is close to around 80 days, and cash conversion cycle is around 50 to 120 days.
Girish Jain : Thank you. All the best.
Himanshu Baid : Thank you.
Moderator : Thank you. Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to Mr. H imanshu Baid for closing comments. Please go ahead.
Himanshu Baid : I woul d like to thank all the participants for joining this call and thank you very much for your questions. And I think I hope we were able to answer most of them and some couple of open topics. Of course, we will respond back directly to the participants with answers. And what I can assure you is right now that a company was on a growth track. And of course, we have seen some realignment. But now I think that is the path. And I think H2 again, as we have guided for a revenue of around close to Rs. 1,080 crores, which is almost 25 % than H1 revenue. So we are now seeing the growth coming back. And of course, out of that, 10 % will come from the new acquisitions, but still 90 % is from the organic growth, which is going to come in. So overall, we are seein g that kind of growth. And in the full year, we will see overall growth of close to 15 %-16%. Of course, we had guided for around 20 % odd, but we are slightly lower than the number. But I think in the coming years, and I think we will come back to that original growth of 20 % we have been projecting earlier. So I think and with a lot of new products coming in and

new
plant going online, we will have more and more capacity to offer to national, domestic and international markets. So I think now , there is a lot of realignment happened, and we are in a much better situation. So thank you again for the trust in us and I look forward to talk to you soon. Thank you.
Moderator : On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Mar 2026

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Subject: Submission of Transcript for Q3-FY26 Earning Conference Call under the SEBI (Listing Obligation and Disclosure Requirements), Regulation, 2015
Dear Sir/Madam ,
Pursuant to Regulation 30(6) of SEBI (Listing Obligation and Disclosure Requirements) Regulations, 2015, we hereby submit Transcript of the investor Meet/Call held on 06ili February, 2026, at 16:00 P.M. (1ST) on the Un Audited Financial Results of the Compan y for the quarter and nine months ended 31st December, 2025, on Standalone and Consolidated basis, which were considered and approved by the Board of Directors of the Company , at its meeting held on 05ili February , 2026.
This is for your information and record.
Thanking You,
Yours Sincerely
For Poly Medicure Limited
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A vinash Chandra
Company Secretary
M. No. A32270
Encl: As above
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"Poly Medicure Limited
Q3 and 9M FY '26 Earnings Conference Call"
February 06, 2026

MANAGEMENT : MR. HIMANSHU BAID – MANAGING DIRECTOR – POLY MEDICURE LIMITED
MR. NARESH VIJAYVERGIYA – CHIEF FINANCIAL OFFICER – POLY MEDICURE LIMITED
MR. RAHUL GAUTAM – PRESIDENT , STRATEGY AND CORPORATE DEVELOPMENT – POLY MEDICURE LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Poly Medicure Limited Q3 and 9 Months

FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.
Today on this call, we have with us the senior management team of the company represented by Mr. Himanshu Baid, the Managing Director; Mr. Naresh Vijayvergiya, CFO; Mr. Rahul Gautam, President, Strategy and Corporate Development.
I would now like to hand the conference over to Mr. Himanshu Baid. Thank you, and over to you, sir.
Himanshu Baid: Thank you very much. Good evening, everyone. I welcome you all to our Q3 FY '26 earnings call. I sincerely thank all of you for being there today. Before we delve into the core of today's presentation, I'd like to share a few significant developments that underscore Polymed's dynamic growth and execution capability.
We are currently transitioning from low technology products to high complexity, high-growth segment. This isn't just a change in our product list, it's a fundamental upgrade of our business model. Our expansion into cardiology, critical care and more recently into orthopedics is a reflection of that transition.
Having said that, this doesn't mean that we are not focusing on our core infusion business, which is generating significant profits, enabling us to invest into these new high-growth areas. This transition is reflective of our intent to make Polymed as one of its kind medtech platform, which is servicing patients across all key therapeutic areas and creating a larger entry barriers.
Some additional color to this is provided below. First, on strategic expansion. We have successfully completed the acquisitions of PendraCare and Citieffe Group. These are not just transactions. These are strategic additions to significantly enhance our portfolio and market reach. This European footprint provides us Made in Europe advantage, access to high-end technologies, strong quality standards, faster regulatory approvals and deeper engagement with European customers. I'm happy to report that the integration process is underway and progressing very well, positioning us to realize synergies over the next few years.
Second, on the innovation and regulatory momentum, we have another exciting announcement. We have recently received full regulatory approval from DCGI for 2 groundbreaking next-generation products, Intravenous Lithotripsy System, IVL and Drug Eluting Balloon, DEB. This approval equips us to address complex cardiovascular conditions with advanced minimally invasive solutions here in India. Both these products have been developed from the R&D platform of Polymed.
I now take you through the quarter 3 and 9-month highlights for the next 15, 20 minutes. And then after that, we will open up for Q&A. For quarter ended December '25, we have consolidated revenue of INR494 crores, marking an overall year-on-year growth of approximately 16.4% and on a quarter-on-quarter growth of 11.2%.

The gross profit in quarter 2 was INR338 crores and quarter 3 was INR338 crores, reflecting a margin of gross margin of 68.4%, an increase of almost 300 bps as compared to quarter 3 last year. The operating EBITDA for Q3 was INR119 crores. It excludes acquisition-related cost of around INR6 crores to INR7 crores, delivering an operating EBITDA margin of 24.2%.
On a stand-alone basis, operating EBITDA is INR112 crores, reflecting an EBITDA margin of 26.8%. On the bottom line, the profit after tax totaled INR71 crores, impacted by INR6.8 crores of e

xtraordinary expenses due to implementation of Labor Code as well as acquisition-related expenses. Both were onetime costs.
Moving on to 9 months ended December '25. We have a consolidated revenue of INR1,341 crores, marking an overall year on growth of approximately 9.1%. Gross profit in 9 months was INR922 crores, reflecting a gross margin of 68.8%, an increase of almost 190 bps as compared to 9 months last year.
Operating EBITDA for 9 months was INR345 crores, excluding acquisition costs of INR9.7 crores, delivering an operating EBITDA margin of 25.8%, slightly lower down from 27.4% last year. Here also the operating EBITDA for 9 months has been taken for PendraCare and Citieffe Group also.
On the bottom line, profit after tax totaled INR256 crores, impacted by INR6.8 crores for extraordinary expenses due to implementation of Labor Code as well as acquisition-related costs compared to INR247 crores in 9 months last year, translating a Y-o-Y growth of 3.6% and a net margin of 17.7%.
Further, I would like to share the business highlights of 2 key geographical areas: domestic; and international. In Q3 FY '26, our domestic revenue grew year-on-year basis of 16.2% and 18%

on a 9-month basis. Further in the domestic business, our private market, which is almost 90% of our current domestic business grew by 22.5%, while the government business, which is around 10% to 12% of our current business has witnessed a degrowth of 18%.
And deliberately, we are reducing our government business exposure as the prices are lower in government business. And also, of course, when we supply to state government, we also encounter a lot of payment delays. So gradually, we have been decreasing this business over the years. And I think the target is that private business should be close to 92% to 93% and government business will stay around 6% to 7%.
Contribution of domestic revenue to our overall consolidated revenue has increased to 32% as we have also increased this year more than around 80 to 90 people in the domestic team to grow our new businesses. We continue to outpace the competition in domestic market with quite significantly and hence, our conviction to invest higher amounts in domestic market is highly -- is only getting stronger. This is reflected in the fact that we've added almost 80 to 90 new sales reps in the last 9 months.
Our International business segment delivered a revenue of INR342 crores. It has shown a 16.6% year-on-year growth. Our current international organic business is stabilizing, while we start consolidating results of our 2 new acquisitions. The performance in quarter 3 is reflective of

stabilization of operating environment in international markets, and we are hopeful that things will improve going forward. Having said that, there are still considerable uncertainties, specifically around aggressive China dumping as well as trade-related disruption.
The recent trades announcement with EU, U.K., U.S. creates good long-term opportunity for Indian companies in medical devices, and we are hopeful that we should be able to capitalize on them and when they get formalized on both sides.
The revenue from Europe stood at INR162 crores in quarter 3 FY '26, showing a year-on-year growth of 25.7%. Revenue from rest of the world region has grown at 9.5% from quarter 3 '25 to reach INR181 crores in quarter 3 of FY '26.
Now let me give you an update on each business segment. Regional business has not grown in line with our expectations due to pressure from Chinese suppliers as I've told earlier that there's a lot of dumping done by Chinese companies. And globally, you have seen that data that Chinese exports have considerably increased, though they were minus 20% in U.S., but still they've grown 25% to 30% in all other global markets, because they have been dumping and reducing pricing. That's been the strategy fo

r last 1.5 years.
Our Q3 FY '26 revenue stands at INR45 crores, up from INR39 crores in Renal business, marking a year-on-year increase of 15.1%, though our quarter-on-quarter growth has been very miniscule around 2%. Further, our 9 months FY '26 revenue stands at INR133 crores, up from INR106 crores in 9 months, marking a year-on-year increase of 24.7%.
We have sold more than 300-plus machines till now. And hopefully, we end the year close to around 450 machines, though it is slightly lower than what is projected around 500 to 600 machines earlier. The growth slowed down a bit this quarter. We expect to end this year a revenue of around INR180 crores.
Poly Medicure holds 10% share of the dialysis market today with a target of 15% to 17% over the next 2, 3 years. So we are already pushing hard. And I think also we are going back to the government about Chinese companies using FTA countries to bring products in India at 0 duty. And I think probably that's a bigger concern today.
And even today, I had a meeting with the Secretary in the medical device department and pharmacy department, and we have clearly told them that what is happening today and what is actually hampering India's exports and India's manufacturing growth, what are these factors.
Cardiology and orthopedic business, before we throw light on our cardiology business, I'd like to highlight that our recent acquisition of PendraCare in cardiology and Citieffe in orthopedics are getting consolidated in this quarter. There is the full year impact will be the full year impact will be visible in FY '27.
Further, both entities are bringing valuable EU MDR, FDA-approved products and manufacturing facilities. Currently, both the businesses are operating at 50% to 60% of the current capacity, offering a clear and immediate pathway for growth as we integrate and scale.

We will use India leverage to drive cost competitiveness in both these business and expand their

market presence.
Coming back to domestic cardiology business. As of date, we have already implanted more than 7,000 drug-eluting stents, a strong signal that our product is getting traction and earning favorable feedback from our patients and interventional cardiologists. Further clinical study for our RisoR stent is in progress. More than 200-plus patients have been already enrolled across multiple sites in India.
Along with this, I pointed out above, we have received approvals for Intravenous Lithotripsy System, IVL and Drug-Eluting Balloons, DEB. Both are expected to be commercialized soon. Both of these products are high-end technology product with ASP in excess of INR1,15,000, respectively. This will further enhance our capabilities in this segment and deepen engagement with cardiologists. Strategically, these developments, along with our recent acquisition of PendraCare Group positions us for global growth in cardiology space.
We are steadily moving up the technology chain in medical device market. And these initiatives plus us well to capture meaningful market share initially to develop domestic market and over time in international arena. And I just want to bring to your notice that both these products are currently imported in the country. More than 90% of the demand is met through imports. And I think we'll be one of the first companies to indigenously develop these technologies and sell into the Indian market.
On the infusion therapy front, yes, the business has been a little bit a laggard. We have just delivered a 5% year on growth in Q2 despite the weakness in international markets earlier in this year. We expect the segment to maintain historical growth momentum as international market conditions normalize. Leveraging our global leadership in infusion system and delivery devices, we are poised to emerge stronger and capture additional market share. Additionally, I would like to poin

t out that we are also developing more products in this category to move up the value chain.
Liquidity position our investment thesis. Turning to our balance sheet, we ended the quarter with a liquidity of INR840 crores. This strong cash position allows us to continue backing ambitious growth strategy, both organic and inorganic. As mentioned earlier, we have completed 2 acquisitions in this financial year. Our further thesis focuses on technology acquisitions that complement our verticals, critical care, cardiology and other adjacencies, including orthopedics. We will keep the market informed as and when we move forward with new opportunities.
Now let me connect to this, our forward-looking outlook. We expect H2 to end at around 20% higher revenue, as I mentioned in the previous call, than H1 on a consol basis as guided in the last quarter. At the same time, I'm pleased to share that our U.S. business admissions remain robust with the next 3 to 4 years, we expect meaningfully scale our U.S. revenues, driven by new contracts and regulatory approvals. With the acquisition of Citieffe and PendraCare, we currently have 15 products approved under U.S. FDA administration with a further 5, 7 products at various stages of approval process. We are reinitiating conversations with our customers whom we had already signed contracts after a reduction in reciprocal tariffs to 18% to understand

where they are on their project development. We will be in a better position to provide more clarity on this potential U.S. revenue post this conversation.
It is worth emphasizing that U.S. India trade is a strong positive for Polymed as it significantly enhances our competitiveness of Indian medical devices in the U.S. by cutting tariffs from 15% to 18%, making products like disposables where we have a leadership position globally, far more cost effective. It also unlocks major export growth potential in other key advanced markets while boosting investor confidence into medtech manufacturing R&D in India.
On a 9-month basis, our stand-alone EBITDA margin is 26.6%, which is at the higher end of the guidance as per what we have provided at the beginning of the year, and we expect to remain maintain it for the rest of the year. On a consolidated basis, EBITDA margin will be lower due to impact of full consolidation of the 2 acquisitions, which operate at lower EBITDA margins currently.
We continue to invest in future growth with a capex of INR234 crores we have done in the first 9 months of the current financial year. These funds will be deployed to set up new factories in Mitrol and Haridwar. Faridabad, Haryana, with Haridwar also in Utarakhand as well as expand capacity at our existing plants.
Also during the year bought additional land at YEIDA Medical Devices Park near Noida in Jewar. And this facility, once we get approvals from the local authorities, we will start constructing a new facility there. And hopefully, in the next 18 months to 24 months, this facility also will be operational. We expect the 3 new plants to be fully operational within the next 18 to 24 months.

In summary, quarter 3 financial '26 has reaffirmed that fundamental strength of our business model. We delivered double-digit growth domestically, maintain healthy margins, improved operating EBITDA performance and drove significant product innovation with continuing to invest in sustainability, scale, future, capacity through R&D and green initiatives.
Of course, for Q4, we definitely will maintain guidance that we should be able to do a higher revenue in Q4 as compared to Q3 and our guidance is between 9% to 10%. So overall, when we compare H1 to H2 from H1 to H2, we should see a revenue increase of 20% overall. And that's what we have guided also in the last call.
Thank you very much for your attention, and thank you very much for your time. I now hand

over the call back to the operator. Thank you very much.
Moderator: Thank you. We will now begin the question-and-answer session. Our first question comes from the line of Suruchi Parmar from NX Wealth Management.
Suruchi Parmar: Am I audible?
Himanshu Baid: Yes, please. Please go ahead.

Suruchi Parmar: Just want an explanation on your stand-alone revenue growth is only 2% and the consolidated revenue growth is 16%. So is the consolidated revenue growth basically because of the new acquisitions?
Himanshu Baid: Yes, that is correct.
Suruchi Parmar: Okay. So what about the stand-alone revenue growth, like what you are seeing going forward?
Himanshu Baid: See, basically, as I have told earlier, I think we face certain headwinds on the export front, especially in the European markets. And I think that was the main reason for lower growth of stand-alone revenue. But as I've been mentioning in my previous calls also, as markets are getting better, we see conditions changing.
Of course, last year has been a difficult year, especially with the freight crisis and then, of course, China dumping excessively in various markets. So we saw a muted or maybe almost a small negative growth on the export front. But now things are looking better. And I think as we see this year, especially in Europe, we are adding 5 to 6 new customers starting April.
So, this will and especially in developed markets. I think this time, we are also getting some new contracts in U.K., especially with the NHS. So all that will help us to grow back the European business, which has been very laggard or lacking the growth actually.
Suruchi Parmar: Okay. So these customers will be for infusion therapy segment or renal or cardio? Can you specify?
Himanshu Baid: Mainly for infusion because the business which has taken a little bit of a backstep is the infusion business. See that is what we are trying to grow and grow this business. So initially, you have seen that EU has transitioned to a new regulatory system from MDD to MDR. And we had to drop many products initially in the bargain because it was taking a long time to get the approvals. So many products were pending.
And now as time has progressed, we have ordered a few more products in last quarter, which are EU MDR approved, which helps us to sell those products in the European market. And these are mainly critical care vascular access products, they got approval recently. And within I think next 6 months, we hope that we get another 15 new products will be EU MDR approved, which we can sell in the European markets with the same customer base and sale market. So I think that is what we are targeting right now. And all that is part of the regulatory and work we have been doing in last 6 to 8 months.
Suruchi Parmar: Okay. Okay. And sir, these new products that you have got approval for cardiovascular IVL and DEB, these are basically for the Indian market only, not for exports, correct?
Himanshu Baid: It will take at least 2 to 3 years to get regulatory approvals for global markets. Our first task is to sell these products in India like what we are doing for DES right now. All the 7,000 stents which have been implanted are in India right now. Though we have clinical registry in Europe and India both, which is 50 to 60 people will be implanted with stents out in Europe and which have already finalized that process.

And India, already as part of that program, we have already 200 patients already enrolled in the clinical registry. So gradually, see, the regulatory cycle is very, very long for medical devices, especially for critical devices which are falling in Class 3 devices, which are implantable for long term. So mostly companies spend 3 to 5 years in getting approvals for global markets.

Suruchi Parmar: So can you specify how much will be

the market for these products, the cardiovascular products
which you have got the approval?
Himanshu Baid: So basically, these are completely new technologies like drug-eluting balloon, our new technology because these are used in angioplasty. And today, in India, we are implanting almost 1.3 million stents. And while we are doing around close to 700,000 angioplasties today in India. Average per patient is around 1.6, 1.7 stents. So basically, to remove the plaque and sometimes just to ensure that there are no stents, people use drug-eluting balloons.
And even IVL is basically used for cutting the plaque in the arteries. So these are fairly new technologies in India and I think completely dominated by multinational companies. So I think we are one of the first pioneers to launch this product. So, market will grow, but I think I don't have any numbers because I just got the approval.
But the market will keep on increasing as the stent market in last 5 years has almost doubled. So similarly, these products, probably in India, I would say around 50,000 DEBs are sold or maybe around 10,000 IVLs are sold. So eventually, these products will almost become 2x, 3x in the next 3 to 5 years.
Suruchi Parmar: Okay. Okay, sir. I just want to clarify one thing. Like when Poly Medicure export to either U.S. or Europe or U.K. So you sell directly to the hospitals or the doctors or you sell to their pharma distribution players?
Himanshu Baid: So the business is very clearly sell to distribution partners who specifically have their own teams, medical device distributors, who specifically have their own teams, which can go to hospitals and promote the products. So we work in collaboration with these distributors, and we continuously train these people. Like last week, our team was in France, visiting at least 10 to 15 hospitals and training with the local distributors, their reps and the clinical nurses and doctors in France or we have done in the previous month in Spain before that.
So we continuously engage in those kinds of programs so that they understand our product, they get more the users get more friendlier with the technologies and the products we are manufacturing. And that's a continuous process. So it's actually done through distribution partners.
Suruchi Parmar: Just one last question. Can you specify the revenue mix going forward in FY '27, what you envision from cardio, renal and infusion therapy?
Himanshu Baid: See, in fact, we have not carved out those numbers, and we'll be able to give you more clarity once we formalize the business plan for FY '27, which should be in the next maybe 3 to 5 weeks.
I think that will be to give you a better position. But what we are seeing right now that domestic

business overall should grow around 25% for next year. That's the plan for next that's the plan we have been making and we are working on that.
And export business should grow around 12% to 15% because we had, let's say, a lower threshold, and I think now we should grow faster. So we are seeing probably growing at 12% to 15%. So that is what we are calling out. So overall, both the businesses will grow definitely.
And this is but individually, I don't have the numbers to tell you right now.
Moderator: Our next question comes from the line of Nilkhant from Aquirus Securties.
Nilkhant: Yes. Sir, if I heard correctly, you mentioned about the 20% growth in H2 compared to H1, right sir, if that is the case?
Himanshu Baid: Yes.
Nilkhant: So if that is the case, in a 4Q, you have to grow it almost around 18% to 19% on a Y-o-Y basis. But I also heard you mentioned about the quarter-on-quarter growth of almost around 10% to 11% in 4Q. So am I missing something or like can you please guide on that part?
Himanshu Baid: Yes. So if you see our H1 revenue was close around INR840-odd crores, that's what the number I remember. But we will en

d the H2 around INR1,025 crores, INR1,030 crores. So maybe that
ballpark number. I don't remember exactly. And when we look at the growth number so we are seeing almost 20% growth H1 over H2. If you see the quarter 3 numbers the revenue is close to INR493 crores and quarter 4, the revenue was close to INR530 crores or something that number close to that number. So basically, if you start computing the 2 details, it will come to rev 20% growth number.
Nilkhant: Okay. And sir, I see the employee cost increasing very sharply, and I assume that is largely because of the acquisition, the recently acquired company because at the stand-alone level, the employee cost as a percentage is close to 20%, but at the consol level, it's 23%. So going forward, should we assume this kind of employee cost for the purpose of that modeling? Or like how do you see it?

Himanshu Baid: See, as we go deeper into higher technologies, we definitely need more skilled people. Like today, if I was hiring a person for my infusion business, it will cost around INR60,000 to INR70,000 for example, ballpark. But if I'm hiring somebody for cardiology, it's going to cost me INR2 lakh a month, right? So, because last year, if you see in just 9 months in this year, we have hired over 90-odd people.

Actually, number Rahul was saying is 100, close to 100. So we have almost hired 100 people. Now all these people will become productive in the coming, so we are building the whole operational structure. We are hiring clinical people because if you're trying to sell high-end medical devices, I need the skill set within the organization.

We have hired a lot of people in R&D because we are supporting the other 2 acquisitions we have done. So a lot of R&D will happen at back end in India. A lot of operational excellence we

are building in India for those companies also. So a lot of hiring are happening, and we are going to build that. And that is built in the model today.

If you remember in the beginning of the year, we had guided for 25% to 27% EBITDA, whereas we were already doing close to 27.5% EBITDA in FY '25. Why we guided? Because we knew that we were working on these acquisitions. We knew that initially, these companies work at lower EBITDA. So the cost pressure will come in on the overall system. But now as we have done the acquisitions, we have done 1 quarter, we know where we are heading, and we still maintained on stand-alone basis 26.8% EBITDA margin. So this is very close to that 27% number higher spectrum.

And I think this will continue for a while because it's important that we build the competence in the organization. These products need a lot of skilling for selling to doctors, hospitals. And if we don't have the skills, we can't sell a product for INR1.5 lakhs. From selling a product of INR15, we are now moving to selling a product of INR1.5 lakhs. So we need a lot of skill sets. And that's what we are doing right now.

Nilkhant: Okay. Got it, sir. And sir, I assume that if I'm correct, you mentioned about from earlier guidance of machines from 550 to you have now guided to 450, right? So what is that we revised in the guidance downward side, particularly in the dialysis machine?

Himanshu Baid: Yes. So dialysis machine, again, if you see, we have guided 500 to 600 machines in the beginning of the year, but we may end around at 450, certain government contracts are delayed because, again, if you look at the big most of the larger companies are selling not just selling machines, they're placing machines into hospitals. Like Fresenius and Nipro, they place machines in the hospital and then because they have a larger balance sheet, they can do that. And then they work on a 5-year, 7-year contract for supplying consumables.

Here, what we are trying to do, we are trying to move away from this model, where we are able to sell the machine to

the user. And that is what we are doing. And certain of course dialysis program is very well funded by the central government and also state government. So, 80% to 90% ,70%-80% of patients are going to government-driven dialysis centers. And we are working on certain large, I think, contracts. And hopefully, we might get them before March, but our current visibility is 450 machines, but we don't know, it can be 470 also. But it is prudent that to give a number, which we think is, it can be done.

And I think next year, as most of these contracts may go into next year because of budgeting issues. I think we may see a lot bigger number. But again, we can't predict too much. Of course, we have, I think bidded in contracts, we have more than 600 machines already as of now, which are in pipeline. But when they come is a question mark.

Nilkhant: Okay. And also, sir, just wanted to know by the end of the 9 months FY '26, what would be our ballpark, if you can help me with the working capital numbers?

Himanshu Baid: Working capital numbers?

Nilkhant: Right. Probably in terms of days or absolute numbers, either of the 2.

Management: You want the net working capital number?

Nilkhant: Yes.

Management: Our net working capital number for 9 months will be close to 140 days.

Nilkhant: 140 days. Okay. Okay, sir. And sir, just one last question, if I can ask. Sir, I see ROW portion has not been picking up very fast. So what are we doing to increase that kind of, I see you're now doing good at least on a Q-o-Q basis. But when we say from the ROW perspective, like

how should we do see it like when it can pick, what kind of concentrated efforts we are taking to gaining it done?
Himanshu Baid: See, I'll tell you how the business. Business into 3 parts, one is India, one is Europe and one is rest of the world. So rest of the world also had Americas, Rest of the world also has Latin America, Middle East, Asia. So in every market, we have may also change. let me also brief people on the call. We have also changed the way we used to do business.
Today, it's not that you can make cheaper or you can sell a product. If I need to compete with China, I have to be 10% cheaper than China, if I had to break that market. But that is not happening because China's volume numbers are very different than India, they're 10x bigger than us. So how do we win the market? How do we win contracts? How do we sell more products?
So we have to reorient ourselves towards clinical side of the business. So today, we have employed more than hired more than 25 people in the clinical team, which are not going globally. So as I talked about earlier that we sent teams to France to Spain. So we are sending teams to different, different markets. And I think we have limited time, but I think and that is what is changing.
And once we engage more deeply with clinicians, hospitals, in those specific markets, we will see business growing. And I think that is the strategy we've adopted 6 to 8 months ago. And we are now going to see more results from that strategy. And that's the reason we are optimistic about Europe now because we have changed the traction. And I think rest of the world, we are also doing similar exercise.
Nilkhant: Got it, sir. Got it. And sir, just your broader sense on how do you see the EU portion shaping up well for us when compared to the Chinese dumping? And how do you see the situation going on?
Himanshu Baid: See, today, it's not in my hands that I can change the situation. The only thing we can do is come with better technology products. Products which perform better in performance because these are mechanical devices. These are not pharmaceutical products, it's not a pill that you pop it. So these are metal devices, needs training.
So we are focusing a lot, as I mentioned in my last meeting also -- that we have started our PACE Foundation, whic

h is just for clinical training for doctors and nurses. We opened the first PACE Academy in Delhi, and now we are going to open more in future. So I think a lot of work is

happening on the clinical side development side. And we will see better results in coming times because this industry has a very long gestation.
If you see medtech industry overall, in last 25, 30 years where we've been in existence, not -- except Meril is an outlier because they have got cardiology and orthopedic products, we've just started. So there's not a single company which has come closer to what we are doing. So you have to see that this industry has complexities. This industry needs regulatory approval. This industry needs innovation. And we have been working very hard on that.
And fortunately, the cash flows are very good for us, it's had sufficient. We'll keep on investing. I think it's a matter of patience. But yes, the number will start looking much better next year. I definitely hope that we should get to a 20% growth number next year. And that is our core target actually.
Nilkhant: 20% on FY '27, you are saying, right?
Himanshu Baid: 20% over FY '26 number.
Moderator: The next question comes from the line of Ravi Naredi from Naredi Investment.
Ravi Naredi: Sir, since last few con call, we are bullish, but 9 months data do not say something else. So how you compete with China in renal?
Himanshu Baid: Renal is probably today 10% of our total business. I can't just say that 10% business, I'm going to compete with China, rest I'm not going to compete. So we have to continually keep fighting for the business. And I think we still are the only company making these products in India. And I think we have been pushing the government to put an antidumping on Chinese dumping, which is happening in India.
They are getting products at 0 duty in India. So any industry -- forget about medical devices, any industry which has 0 duty with Chinese manufacturing, can it survive in India? I don't think so. None of the industries will survive in India with a 0 duty. Today, even on iPhones, we have 20% duty coming from outside. So -- or even cars have 100% duty, on the 120% duty.
So I think fundamentally, government will have to take corrective steps to increase duties on Chinese products or products which are imported at low cost into India to ensure that the domestic market survive. Otherwise, none of the any medical device industry, today, we still are 70% import dependent on medical devices. We are not the only, let's say, player in the whole

industry is dependent on imports.
So the only way to come out of this is that unless until the industry is protected, even after PLI, nothing has happened. So I think fundamentally, there has to be a systemic change. And I think that is what we are working with the government on the policy side that at least for the industry building itself dependency in India, at least there should be some protection and protection from dumping from China because that has happened across every industry across the world. It is not medical devices alone.

Ravi Naredi: So in renal, we are 10% only you are saying. So what is our main business?
Himanshu Baid: Main business is vascular access, sir infusion vascular access. It is around close to 62%, 63% of our main business.
Ravi Naredi: And in that business also, we are facing competition from China?
Himanshu Baid: Sir, every industry are facing competition. Why we'll not face competition from China? Every industry is facing competition from China. I think it's a matter of time. And I think if you have heard my comments I've made to other participants earlier. Next year, we have already called out that we should come back to that 20% growth. And definitely, domestic looks better. We may grow at 25%. But internationa

l business, especially exports, we are saying between 12% to 15%. International numbers, yes.
Ravi Naredi: But margins should be there because drastically margin reduced, so everything is bad shape now.
Himanshu Baid: Sir, why margin in bad shape, sir? We are at 26.8% EBITDA margin. How you say margin is bad?
Ravi Naredi: You see the net profit margin this quarter, 17.5% in the street of 19.7%.
Himanshu Baid: It is because of 2 exceptional items which we called out in the beginning of the call. If you have not maybe heard that part.
Ravi Naredi: No, no. I heard.
Himanshu Baid: Yes. So this is INR15 crores of exceptional cost in last quarter because of labor code adjustment, which we had to do. Every company has done that. And secondly, there is an acquisition cost, which has been now expensed out in the last quarter, which we have done 2 acquisition of. So it's a INR15 crores. If you add back INR15 crores, you will see a similar margin, sir.
Moderator: The next question comes from the line of Naman Bagrecha from IIFL Capital Services.
Naman Bagrecha: Sir, just a clarification. You guided for.
Himanshu Baid: Sir, slightly louder.
Naman Bagrecha: You guided for export business for 12% to 15% kind of growth for FY '27. I presume that this includes the acquisitions as well or this.
Himanshu Baid: Yes.
Naman Bagrecha: Or this is like own export okay.
Himanshu Baid: Yes. So the international business guidance about 10% to 15% growth. And if you see 9 months, we have grown around 9% on the international business close. So maybe Rahul can correct me on the numbers, but around 9% to 10%. And hopefully, by the year-end, we should grow around 13-odd percent, I think.

Naman Bagrecha: Sir, can you call out the revenue contribution from these 2 acquisitions, PendraCare and Citieffe for the quarter?
Himanshu Baid: Rahul can give you.
Rahul Gautam: These 2 acquisitions for quarter 3 have added about INR48 crores, INR49 crores to the top line.
Naman Bagrecha: Okay, sir. Okay. Sir, one more thing on the India business. Given that renal is facing challenges and China being China, they might keep on dumping in every category that we are operating. How confident are you in terms of this 25% domestic business growth guidance, if you could help us in terms of what would be the drivers, etcetera?
Himanshu Baid: See, if you see the numbers, as I said earlier, that domestic business, private business, which is around 88% of our current business has grown around 23% odd. And government business deliberately, we have been trying to shrink it because of somehow payments and payment cycle getting longer and also caused pressures there. So, and we don't want that because for us, more stable business because also the government is more tender-driven, so you don't know what's happening.
Domestic, private business is where we are going to corporate hospitals and large hospitals, that business is more steadier for us. And we've been gaining market share. And this year, we have

grown that business by 23%. That is 88% of our domestic business.
So next year, because as we have many more new contracts, which have come in this year with private hospitals, today, you can see Polymed products in every top private chain in the country. This was not the case 5 years ago. So we have done a lot of work internally to match our quality performance to the top multinational players globally. And that has helped us to gain that market share.
So next year also, we will be the reason we are calling it out. The next year, because of what we have done this year and also some of the new businesses we have developed over the last 6 to 8 months like cardiology, critical care and so on and so forth, that will help us to grow our domestic business by 25%.
Naman Bagrecha: Okay. Fair enough. One more thing on the acquisitions. What has been, let's say, I mean, your inte

rnal target in terms of how much scale can we do for these 2 businesses, let's say, in next 1 or 2 years? So currently.
Himanshu Baid: Naman you're not, can you please repeat that, please? Sorry.
Naman Bagrecha: Yes, sir. Sorry. What could be the contribution of these 2 acquisitions going ahead, FY '27, '28? Can it be, let's say, around 15%, 16% kind of contribution, top line contribution?
Rahul Gautam: No, no. So Naman, if you recall the announcement that we made about these 2 acquisitions, Citieffe when we acquired was about a EUR 17.5 million business. PendraCare was close to EUR 10 million business on an annualized basis. So we expect both these businesses to obviously grow in 2026 as well and FY '27 effectively for us.

And so both these businesses added about 16% to 17% of our revenue base of FY '25. And we expect a similar portion, maybe slightly lower because our core business, hopefully will grow faster than them. So somewhere in the range of 15% or so is their revenue contribution to the overall consolidated revenue for next year.
Naman Bagrecha: Okay. Okay. And on the own exports business, if we look FY '27, 10% to 15% guidance includes acquisition, which implies that our own export business probably will see a single-digit kind of decline on FY '26. Am I getting this correct? Or I mean, if you could help me on this one?
Rahul Gautam: Yes. I think on the organic side, which is excluding the acquisitions, our international business is currently on a flattish trend. And depending on how quarter 4 goes will go. But basically, it's going to be a low growth year, excluding the acquisition of the international business this year.
Naman Bagrecha: So could you also highlight in terms of what is the pricing differential between, let's say, Chinese products versus our products which we are selling in EU or let's say, the export market? And I mean, how can we, let's say, mitigate this risk going ahead?
Himanshu Baid: I think, Naman, if you've heard earlier, what I said that we have won some new contracts in larger European markets. So that will help us to get back the revenue, which we were missing.
And I think there were delay in a lot of contracts. I think NHS has almost delayed every contract by 1, 1.5 years because of change in government in the U.K.
And also, we have other, let's say, markets we are trying to bring in more products as we're getting more CE Mark products, another 10 to 15 products in the pipeline, a few products have already been done recently. So that's the reason we are able to see that visibility. And I think -- and we will give that number more final number, let's say, maybe end of quarter 4 when we have a final business plan coming from all our, let's say, business unit heads, and then we'll compile it and come back to you. But that is what we see today.
Naman Bagrecha: And sir, you also called out.
Moderator: I would request you to rejoin the queue.
Himanshu Baid: Yes, correct. I think Naman, we have to talk to other people also.
Moderator: The next question comes from the line of Harsh Doshi from Marcellus Investment Managers.
Harsh Doshi: You alluded that you have adopted a new strategy with respect to having a clinical study team, especially for the international market. Now in the geographies which we have would have adopted the strategy, let's say, 8, 9 months ago, are we seeing any early signs of success in those markets wherein even though we are a bit more expensive than the Chinese, we are able to gain market share or anything like that?
Himanshu Baid: See, before that, we were more relying on our distributors to put our products in the market, right? So now what we realized that, it is they are not able to do justice in terms of the clinical advantage of the product vis-a-vis other products which are sold in the market. So that is the

reason we have started sending our own teams to sit with a clinical expertise so that they can understand what exactly is happening in those markets.
What are the nuances which are needed for this product, what people need to see as a differentiator. And we are able to bring them out. And that's the reason we have won new contracts in NHS, we have won new contracts in Europe, mainly in Germany, and that's the reason for this change.
And it's already happening. We're adding at least 4, 5 new products in France, as we speak. Spain, we are adding 2, 3 new products. So every market, we have started adding new products after our clinical teams have started visiting. Earlier, we were only focusing on the distributors. So this adds on to the continuity of the business and also enhances our presence in the market.
Harsh Doshi: And the size of this team in India is about 300, 400 people, right?
Himanshu Baid: India, we have close to 500-plus people in India.
Harsh Doshi: And when will we be looking to have such a large team in these markets, Europe, rest of the world as well? I mean, have a 700 member team and replicate our India strategy in the global market?
Rahul Gautam: So I mean, I don't think the idea is to have such a large team. India if you think about it, India is not one country, right? it is one country, but it is a mix of very different, different geographies and states, right? So a much difficult country to cover the number of hospitals, the clinicians...
Himanshu Baid: So we are reaching out 8,000 hospitals today and 8,000 hospitals have each hospital 10 to 15 departments. And then we have 6 verticals. So you need expertise in every area. It's not you can't be generalist. That's the reason you don't see too many medical device companies of that scale in India because people not invested in the clinical. We are only trying to sell products and say I'm cheaper so buy my product.
Nobody is going to buy the product if it's cheaper, unless until you come with and want to focus and compete with the large multinationals. You have to talk about clinical advantages. And today, Polymed is exporting to 125 countries. So we have an advantage on the product. We in certain product categories, we have global leadership, like we are #3 in IV catheter market globally.
And tell me which company has 10% to 12% market share in one single product globally? So that is what we are trying to develop as an expertise, skill set. And I think that will that's what we have done globally, and we're trying to replicate that in India. And that's how it's going to help us to increase our market share and build more, sell more products in India.
Harsh Doshi: I was alluding that we replicate our India strategy in the global market, wherein the clinical study team becomes so big that we cater to their various requirements, do knowledge-based sessions and so on and so forth.

Himanshu Baid: Yes, yes. So India, see we have almost close to 40 to 45 clinical people in India. And also, we are training a team which can now go overseas to different markets and also train other people who are working with our distributors to train them also clinically. So that's the competence we are building. Of course, there are language barriers. There are technical every country, there's a different usage pattern. So we are developing all that knowledge and skill, which will help us to grow our business in the future.
We have done last 4, 5 years, 20% constant growth. So I think we think we can come back to that number easily. And probably this year was a very difficult year and not everything can be same all the time. So I think we have learned from what we have to do. And I think we have been implementing that very strongly. And especially without compromising the margins. I think that is also 5%.
Moderator: The next question comes from the line

of Bharat Shah from Shah Family Office.
Bharat Shah: First of all, a gentle comment. I think right at the beginning of the call, there was so much of information loaded for 15, 17 minutes and speed which is unmatched, it is really, really difficult to grasp all the things that are being said. I think it may be more helpful if there is an initial curtain raiser for a few brief minutes. Good amount of details are given in the presentation. And then I think the discussion can be elaborated because when continuous 15, 17 minutes of information being put out at a speed which is at least for me, difficult to...
Himanshu Baid: Bharat, taken, and I'll ensure that next time, we will ensure that we put more information in the presentation for sure. And we'll keep more time for discussions. And of course, we get very valuable comments, advice from people on the call. And I think we take every advice seriously, every suggestion seriously. So that helps us a lot to improve better in coming quarters, coming years.
Bharat Shah: Sure. Because that way, it allows a more meaningful discussion on strategy and outlook to

happen, which is the reason is a well-wisher I thought I wanted to bring about.
Himanshu Baid: Well taken.
Bharat Shah: Sure. Secondly, on the on one end, I heard for the next year, your first time talking about the top line. I'll come to the profit pool separately. On the top line, you say domestic business should probably grow around 20% to 25%. And International business should grow around 12% to 15%.
On the other end, I also heard a comment that total business probably will grow by 20%. So I'm assuming, say, in the current year, about INR1,850-odd crores of consolidated turnover based on your overall submission for second half versus the first half. So are we saying that INR1,850 crores of consolidated turnover is likely to grow by 20%?
Himanshu Baid: That's correct, Bharat. More than that I think, of course, what we are projecting right now, definitely, the numbers look to be around 20% or even more.

Bharat Shah: But mathematically, it doesn't seem to combine. For example, domestic growth, domestic piece is about one-third. And if that grows at 25%, that will give you about 8% of the total growth. If international piece is two-third, even if it grows at 15%, then that will give you about 9-odd percent. So the 2 together still can't add more than 17%, even if I assume higher range of the growth 25% and 15% instead of 20% and 12%.
Himanshu Baid: Bharat bhai, I think we you have not considered is the other companies which we run outside India, and they will also contribute to the growth. So one of the companies Plan1 Health, which is doing in oncology business, that is growing around 30%, 35% year-on-year. And other companies will grow around 15% or so odd percent. So overall, when you start calculating that, I think that's how we are saying we will be growing more than around 20% or so next financial year. Rahul can give more comment on that.
Rahul Gautam: Bharat bhai, just to add, obviously, this year, the INR1,850 crores number that you mentioned includes the acquisitions only for the part period. As those numbers get accounted for the full year basis will also contribute to the growth. So I think what Himanshu mentioned 20% on the consolidated revenue also will have an impact of the full year consolidation of these 2 acquisitions.
Bharat Shah: But if I include both the acquisitions for a full year and assuming both the acquisitions themselves will grow, so EUR 17.5 million and EUR 10 million, that gives you about EUR 27.5 million. If they grow by even 10% or 15%, that should be EUR 30 million. Then virtually most of the growth next year would only come from these 2.
Rahul Gautam: No, Bharat bhai, we also had partial consolidation of these in this year also, right? So that's in the base also. INR1,850 crores that

you mentioned, also has the impact of the part period consolidation here.
Bharat Shah: Okay. Just to clear the confusion, independent of these 2 entities which are sought to be consolidated independent of the 2 acquisitions, can we say the stand-alone domestic the domestic piece per se will grow at about 25%. And without these 2 acquisitions, our international business will grow around 12% to 15%. Is that something I'm right in my understanding?
Himanshu Baid: Yes, absolutely.
Bharat Shah: Okay. Then I think the overall number should be higher than 20% is my understanding. But I hope.
Himanshu Baid: Bharat bhai, we are definitely going to go for higher growth for sure. But I think as prudence, that is what we are calling out. And hopefully, we can deliver better numbers. Definitely, we are working on a lot of integration, a lot of things which are happening. And hopefully, the number will be better. But I think it is just because we don't have a final number today, which I can call out, say, Bharat bhai, this is the final number I'm calling out. These are we're still finalizing the business plan for FY '27.
For subsidiaries, we already finalized. India business and international business, we have finalized the business plan. So I think next 3 to 4 weeks, 5 weeks, we'll have a better visibility.

So definitely, on the next call, when we'll do, we'll have a very finite number to call out for all our investors.
Bharat Shah: Okay. Just one last thing. Because the new subsidiary, new acquisitions have a different profit margin, our stand-alone domestic business, of course, is a far superior margin. And our international business also has a superior margin other than these acquisitions. And there is a

differing competitive situation on all the 3 pieces right now.
So if I focus on the profit pool rather than trying to work on each of the different pieces, the overall profit pool of the current year, assuming at an operating profit level, last year, we did about INR450 crores. This is without counting other income and interest and depreciation. So about INR450 crores of operating profit we made.
And from both, it looks like the FY '26 probably will be something similar or a little bit here and there in terms of the operating profit is my assumption. These operating profit pool in the FY '26, what kind of growth do you believe for '27 is a fair assessment?
Himanshu Baid: Bharat bhai, see, I don't have, again, the finite number. I will be able to give more clarity, guidance in our next call. But I think once we do our Q4 call, we'll be able to give you more guidance for the final year because I think it's too early to call out a number for next year when I don't have the final number.
But what we, I can guide is currently on the revenue side because that is what we are seeing, and we are giving a range also. But I think once we see quarter 4 going out, then we will have a better visibility on that, better visibility margins, products, everything. So it will be unfair to call out that number today.
Bharat Shah: Okay. Just last bit of question. Can I assume the next year, your operating profit pool will grow at a rate faster than the turnover, equal or lower?
Rahul Gautam: So Bharat bhai, just on profit pool, right, because as the impact of so you mean the absolute number or you're talking about the margin? Just for me to clarify, to be clear.
Bharat Shah: No. I'm not talking of margin. I'm saying, current year, our, let's say, turnover is INR1,850 crores, and we are saying, hopefully, we'll grow at the rate of 20% or more in the next year. Our current year profit pool, I'm assuming at an operating level is about INR450 crores, INR460 crores, let's say, without counting exceptional debit of INR15-odd crores. I'm saying that operating profit pool, if top line will grow at 20%, whether operating profit pool will grow higher than

20%,
equal or lower?
Himanshu Baid: I think it will be more or less equal, Bharat bhai.
Bharat Shah: Okay. Okay, fine. We'll discuss in greater detail separately.
Moderator: The next question comes from the line of Jainis Chheda from Kemfin Family Office.
Jainis Chheda: Yes. Just one question from my end on the competitive side that, our two-third of the revenue comes from international market. And in India, as you are saying that Chinese competition is

still in here trying to get into like you are hoping that there is some antidumping duty I think of that sort in the domestic market. But what about the international market? How do you compete with China in the international markets?
Himanshu Baid: So let me tell you, see, what happens is our basket is very large. We have a product basket of almost 200-plus products on manufacturing side, right? And most of these products we export.
But when we see products which have more technological differentiation, those are the products where Chinese companies will be able to make cheaper and because their volumes are 10x, 20x from India today, manufacturing volumes.
Now products where we have patents today, if you see Polymed is around 375-plus patents as a company. So wherever we have technological advantage on the product, clinical advantage, that is where we can score. It's not that a business has gone to 0 international business. We are still maybe flattish, but we have still managed the market in spite of all the turmoil we have seen in the market. So it's not that market will just go to 0.
Polymed has sustenance. So we have sustained the market. And next year, we are going to see the growth coming back because we are going to add so many new products. Already we have launched 19 new products this year in 9 months, if you read the document, which we have put on as a presentation. So we're continuously innovating, continuously bringing new technologies.
I think that's the USP of the company from last 10 years.
Jainis Chheda: I understand that. But in terms of qualitative aspects, do you offer more margins to the distributors? Or do you focus on educating on your product superiority or like more on the qualitative side is what I'm trying to understand.
Himanshu Baid: So quality-wise also, we are at par. If you look at the qualitative side, today, why would a European hospital use my product, if it is not good in performance or clinically is not equivalent or superior than what we are using. So that's the most important part. Even if my price is 0, nobody will use it if my quality fails.
So I think that's very clear that qualitatively, because we have many, many approvals globally, whether FDA, CE Marks or Canadian approvals or TGA approvals in Australia or different markets. So that helps us to stay in the market at a competitive level in qualitative terms.
Jainis Chheda: And secondly, as you are moving into more higher-end products, do you see margins to move

northwards from here over 3 to 5 years perspective?
Himanshu Baid: I think so, too. I think I agree with you on that front. And I think because as I have told you, we are moving more in the technological side if you initial part of the call was about that disclosure that how the company move up the value chain. So definitely, when we sell orthopedic products or cardiology products or critical care products, our gross margin percentage should keep on improving. And that's what we think, and that's how we are planning ourselves for future.
Jainis Chheda: Yes. And one last, if I can just add in a small question. Are you looking at other regions like Middle East or anything of that sort?

Himanshu Baid: Could you repeat that? Sorry, it was very I was not able to hear it.
Jainis Chheda: Are you looking at other regions as well, such as Middle East or Southe

ast Asia or anything of
that sort?
Himanshu Baid: We are present in 125 countries, most important markets in the world. So we'll continue to expand our presence because, again, just by distribution partners, having there is not going to improve our market share. So the only way is to put our clinical teams there, and that is what we are building. So we are hiring more people internationally.
We're hiring more people in India who can travel internationally and support the existing distribution network. So -- and that's going to happen across the world. It is not going to happen in a few markets. These are going to happen at least 25 to 30 important markets we are serving today.
Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Himanshu Baid for the closing remarks.
Himanshu Baid: I'd like to thank everybody on the call, and thank you for your questions. And I think really, these probing questions make us more resilient. And also I want to assure everybody that the company is doing well, and we are on the growth path, a lot of new technology. And I also invite you to visit our facilities to get a better viewpoint of the company, what kind of technologies we are using in manufacturing.
Some of you have already visited, but I'll invite you other people, Rahul and his team, while we'll facilitate that visit the plants. And then we'll help you to understand the technology road map we have laid out for future, for growth of Poly Medicure. And yes, I think we are looking forward to that higher growth numbers in coming future. And that's what I can assure you.
Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Poly Medicure Limited, that concludes this conference call. Thank you for joining us. And you may now disconnect your lines.

Call: May 2026

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Subject: Submission of Transcript for Q4-FY26 Earning Conference Call under the SEBI (Listing Obligation and Disclosure Requirements), Regulation, 2015
Dear Sir/Madam,
Pursuant to Regulation 30(6) of SEBI (Listing Obligation and Disclosure Requirements) Regulations, 2015, we hereby submit Transcript of the investor Meet/Call held on 25t May, 2026, at 17:00 P.M. (IST) on the Audited Financial Results of the Company for the quarter and Year ended, 31st March, 2026, on Standalone and Consolidated basis, which were considered and approved by the Board of Directors of the Company, at its meeting held on 25% May, 2026.
This is for your information and record.
Thanking You,
Yours Sincerely
For Poly Medicure Limited
Company Secretary
M. No. A32270
Encl: As above
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“Poly Medicure Limited
Q4 FY '26 Earnings Conference Call”
May 25, 2026

MANAGEMENT : MR. HIMANSHU BAID – MANAGING DIRECTOR – POLY MEDICURE LIMITED
M R. NARESH VIJAYVERGIYA – CHIEF FINANCIAL OFFICER – POLY MEDICURE LIMITED
M R. RAHUL GAUTAM – PRESIDENT , STRATEGY & CORPORATE DEVELOPMENT – POLY MEDICURE LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Poly Medicure Limited's Q4 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone.
Today on this call, we have with us from the senior management team of the company,

represented by Mr. Himanshu Baid, the Managing Director; Mr. Naresh Vijayvergiya, CFO; Mr. Rahul Gautam, President, Strategy and Corporate Development. I would now like to hand the conference over to Mr. Himanshu Baid. Thank you, and over to you, sir.

Himanshu Baid: Thank you very much. Good evening, everyone. I welcome you all to our Q4 and full year FY '26 earnings call. I sincerely thank you all for being here today. Last financial year, FY '25-'26 was a year of deliberate transition, a fundamental upgrade from our business model towards high technology, high complexity, high-growth segments, a year in which we chose to invest in a difficult external environment rather than wait it out.

We invested in high-technology verticals, built out clinical and R&D teams. And despite general headwinds, we delivered every commitment we made during the Q3 call. So Poly Medicure is currently under strategic transition where we intend to become a globally recognized brand in high-end medical devices over the next 5 years. FY '26 was just the beginning of the journey. In FY '27, we'll consolidate initiatives that we have undertaken, drive synergies across the group and continued investments in high-end technology segments.

Let me share how we intend to leverage PendraCare and Citieffe over the next 2 years, the companies we acquired last year and integration work is fully underway. On the cost side, the procurement and manufacturing processes, outsourcing related savings, so we are working on those areas aggressively. On the revenue side, we'll be cross selling both directions. India will introduce these products. We are waiting for registrations to come through.

It takes between 6 to 9 months to get import registrations. And we have also started leveraging Polymed's distribution network globally for this product. And I think as time progresses, you'll see a lot of work happening there.

Internationally, we are using our global presence to widen the reach in newer markets, and that's already happening as we speak. On the R&D front, our teams are collaborating for new products. We are already working on a lot of new devices. The R&D team there in Europe and in India is working simultaneously to fast track a lot of projects which were stuck earlier. So a lot of work happening there. All these initiatives have already been undertaken, and I expect that post recovery, and all the necessary regulatory approvals will start to reflect in the performance of FY '27.

Before the numbers, I would like to update on the expansion of our global footprint in a new geography with an acquisition of Medyneo in Brazil, a medical device company in Brazil – Brazil is the largest medical device market in South America with a market size of approximately USD13–15 billion, serves as a gateway to the broader Latam region.. Medyneo comes with

ANVISA and import licenses, which fast track our entry into the market where approvals actually take years.

Brazil is a very important market for Polymed with a strong brand recall, and this is a step in this direction, ensuring long-term success of our business in that region. So we're in the process of hiring people there, building a team -- clinical team, sales team directly in that market. And as we had opened our own subsidiary, Polymed Brazil last year,

I think this is a continuation of that strategy that now we have a fully operating company with all the licenses needed to start going directly in that market.

Each of these initiatives is already in motion. I think in 1 or 2 years, we'll make these 3 businesses into a single global platform for growth. So we are already working in that direction. Some key business updates. We've launched close to 35 new products across the group in FY '26. Of course, that also includes some products which came through acquisition. On a stand-alone basis, we have added around 20 products last year.

On the Renal platform, we have placed around 450 dialysis machines last year, taking our installed capacity to approximately 1,000 machines. On Cardiology, now we deployed close to 11,000 stents. Our clinical registry — a 2,000-patient study — has over 650 patients enrolled. And I think by end of the year, we'll complete the entire enrolment of 2,000 patient pools in India and outside India.

Our U.S. business is picking up momentum with the conversation on multiple projects with customers, again, getting active. I think due to the scenario, which was created last year, especially because of tariffs, I think we had a setback. But now I think we are on track. And I think we're also getting some new products FDA approved, some are in pipeline right now.

So I think pretty positive about the U.S. development. And I think we have taken a 1-year setback on this business, but I think now we are back on track, and I think a lot of new opportunities are coming up from the U.S. after the change in scenario.

Let me share the financial performance. Let me start with stand-alone performance. On a full year basis, the stand-alone revenue was around INR1,662 crores, which was up by around 4%

compared to previous year. So that last year was a tough year for us, especially on the export front. The low growth in stand-alone is due to tough external environment, again, mainly impacted from international revenue. Gross margin expanded by around 128 bps and was up to around 68.1% from last year's 66.8% or something like that.
And on the profitability, we had guided stand-alone EBITDA margin in the range of 25% to 27%. We have delivered close to 26.8% at the higher end of the range and stand-alone EBITDA was INR446 crores. Stand-alone revenue for the quarter 4 was INR443 crores up 5.2% year-on-year, 6% sequentially, it was highest ever stand-alone quarter, with Q4 gross profit of around INR295 crores, EBITDA of INR121 crores, with a healthy margin of 27.3%.
So as you can see, there's been a constant improvement. So when we started the year, we were at around INR384 crores for the quarter revenue. Stand-alone, now we have moved to almost

close to of INR443 crores. So it's a steady increase. Every Quarter sequentially, we have been increasing the stand-alone business.
Now on the consolidated picture, full year consolidated revenue grew by 12.3% to INR1,875 crores, domestic business was around 20%, international was about 9% year-on-year. Of course, that includes addition from our acquisitions at the gross level. Of course, these were not full year revenue. These were one acquisition happened in September, one in November. So in FY '27, we'll see a full impact of the revenue.
On the Q3 call, if you recall, I commented that H2 will be about 20% above H1, and we have exactly delivered that. So growth has been from INR847 crores to INR1,029 crores, an increment of around 21%.
Q4 consolidated revenue was INR534 crores, up around 21% year-on-year basis with a gross profit of INR356 crores and 66.7% margin. The growth in the quarter was broadly based on domestic growth of around 25%, international business around 19%. And Q4 consolidated EBITDA were INR112 crores, a little lower than the stand-alone numbers because there was an impact of consolidation of low-margin

acquisitions and about INR9 crores onetime regulatory
and cost provisions in one of our international subsidiaries.
Other important point to highlight is shift in our revenue mix in Q4 '26. Infusion Therapy now accounts for 50% of the revenue, down from 57% in Q4 '25 with Renal around 11%, steadily rising, share coming from Cardiology, Critical Care and other acquisitions. In other words, our new higher technology segments are now contributing to over 50% of our revenue and I expect this proportion to keep on improving in coming years. And that is also one of the reasons that the gross margin has started looking upwards. On the balance sheet front, the equity remains strong and consolidated cash of around INR842 crores.
This amount is a strategic reserve for our strategic initiatives in future, and we intend to use operating cash flows to meet regular capex requirements across the group. For FY '26, the capex was around INR296 crores pertaining to our plants Haridwar, Faridabad, Mitrol and also in YEIDA Medical Park. Current year, I'll share the numbers slightly later. Let me give you the forward-looking guidance. Again, there has been, of course, a huge shift in the external environment. We have seen the current disruption caused by Gulf war, and I think the situation is quite challenging.
But let me tell you that we are managing every piece and working on lot of initiatives inside the organization. I think West Asia, I just want to call it out, around 6% to 8% of our revenue comes from there. And though the demand seems to be quite intact, we don't see any drop in demand. I think it's a logistics nightmare right now. And I think there's a bottlenecks which are causing some disruption in shipping products out of India. But I think from the demand side, I think it's pretty much intact.
And we have pending orders, which we need to execute, but we are still waiting for supply chain and shipping routes to improve and have better pricing. There has been an impact on raw

materials because and plastic packaging materials all across because most of them are crude linked.
And we see there was an impact of around 20% on an aggregate basis in raw materials and a meaningful headwind to the gross margin. But just let me tell you one thing that your company was maintaining adequate stocks, inventory was almost close to 2.5 to 3 months. And because of that, we didn't see too much of an impact in quarter 1. So far, we've been able to minimize it.

and we are taking more steps to minimize this risk.
And I think if the crude prices -- the current business plan, we have looked at, has been made on crude levels of around $100 and I think $100 to $110, but I think in time to come, crude prices will definitely soften up. So I think this headwind will kind of go down a little bit. But let me tell you that the freight cost and minimum wage revision in Haryana has caused some disruption, but we are able to get our price increase from customers between range of 3% to 5% already.
And also, currency has moved -- rupee has currently depreciated against all major currencies and company's 60% to 70% business is international, export driven on a stand-alone basis. So there we are able to recover some costs back overall. So on the current situation based on where we are today as on today, we may see some erosion on gross margin going from, let's say, 68% to maybe around 66% or maybe in that region, maybe lower by 200 bps, 300 bps. But this is just a present estimation.
And I think if the crude prices soften up, let's say, in the next few months, I think then this impact can also be minimized. But also to minimize this risk, we are already working a lot of cost-saving projects looking at alternate supplies sources. A lot of raw materials, which we are importing, we are trying to buy from indigenous sources. Lot of parts and components, which are co

ming from the third countries, we are also trying to make them in-house.
We are working a lot. We are also seeing some savings through our gamma plant, which is established this year, is now fully operational. So a lot of savings or optimization projects are already happening inside the organization. So hopefully, by the end of the year, we may see this impact to be very, very negligible, not even this INR200 crores, INR300 crores. But I just want to -- based on the current situation, I think we see today where we are, but going forward, it may further reduce. I think that's what we are looking at.
I just want to give you a revenue guidance for FY '27. On a consol basis, we are guiding a revenue of INR2,300 crores to INR2,400 crores, up from INR1,875 crores we have done in FY '26, which will include full year consolidation of PendraCare and Citieffe. On stand-alone basis, we are guiding on a revenue of INR1,900 crores to INR1950 crores with domestic business growing upwards of 20% and international business growing upwards of 15%.
So this is our guidance for the full year of FY '27, stand-alone INR1,900 crores to INR1,950 crores and on consol basis between INR2,300 crores to INR2,400 crores. Stand-alone EBITDA margin is expected to be -- again, we are giving a guidance of 25% to 27% range. Of course, this year -- last year, FY '26 was the same range we have given.

We should be able to almost cover the same thing. On a consolidated basis, EBITDA margin -- because our subsidiaries operate at lower EBITDA margin right now and we are in the phase of doing a lot of cost-saving projects there, so we expect this year consolidated EBITDA to be between 23% and 25%, but stand-alone will be between 25% and 27%.
We expect to spend between INR200 crores to INR225 crores on capex this year. This is a guidance. This is lower than last year. Last year was INR296 crores. This year, as most of these projects are getting ready, the plants are getting operational, so the capex requirement will be a little lower. But efforts, we are pushing more on automation right now so that at least we can mitigate some wage revisions, which has happened resulting in a higher wage salary cost.
In summary, I think we have delivered every Q3 commitment we made H2, 20% of H1, stand-alone EBITDA in the higher range of the -- higher end of the range, around 450 machine placements done in the year. So -- and almost 35 new products launched in FY '26. I think we have a clear domestic import substitution strategy and international strategy accelerating in U.S., Europe and with a prudent entry into Brazil.
I can genuinely tell you that business is now adequately positioned for growth ahead. As you can see already, the plan is to move from INR1,875 crores to INR2,300 crores to INR2,400 crores is a substantial what we are planning this year. So again, I want to assure all of you that we are on the right track. We've been able to preserve margins. We are able to preserve growth in the organization.
In spite of all the headwinds and challenging situation, we are still guiding higher so that -- because today, the demand is coming back, what we had lost earlier in the last year, and also Indian market, I think we can see our presence now in all -- most of the corporate chains, larger hospitals and even in standalone hospitals. And I think that business is also bound to grow in a higher percentage level. So thank you again for your trust and time. I'll now hand over to the operator, and we'll be happy to take your questions. Thanks again.
Moderator: Thank you very much. First question is from the line of Siddharth Negandhi from CWC. Please go ahead.
Sidharth Negandhi: Three questions from my end. If you could give us some details on the Brazil acquisition in

terms of the categories the target operates in, what is the revenue and what's the acquisition cost
like tha

t you've paid? And on the current acquisitions that were made, Citieffe and PendraCare,
is it fair to assume that most of their sales, which you highlighted broadly about INR65 crores
this quarter are in EU itself? Or is there an EU and ROW sort of split there? If you could give
us that and accordingly to understand what the organic performance on EU and ROW is?
And on your guidance of 15% to 17% stand-alone growth, could you give us a sense of how
would that pan out domestically versus for exports and for the core infusion therapy versus the
new therapies?
Rahul Gautam: Yes. Okay. So let me take the Brazilian acquisition, and I'll request Himanshu to comment on
the other questions. So the Brazilian acquisition is a small acquisition. It's a company which was
registered last year as a medical device storage and distribution company.

The company does not have currently any operations. And as Himanshu mentioned during the
opening remarks, the rationale for acquisition for this was to leapfrog the regulatory timelines
that are required to get the importation license and the ANVISA license for us to be able to take
the medical devices distribution business in Brazil. From an acquisition standpoint, it was about
$40,000. So it's a small acquisition from a cash outlay perspective, but it clearly saves us
anywhere between 18 to 24 months to be able to operationalize the business.
Himanshu Baid: And on the other 2 companies, yes, PendraCare and Citieffe have almost 50% sales in Europe
and 50% in rest of world. Citieffe has also a business in North America, in U.S. and Mexico,
which is around 35%, 40% of the business right now and 50% is in Europe. PendraCare has
majority of the business in Europe and then some business in Middle East and Latin America.
And on the Indian business, on the -- in stand-alone business, basically, we are seeing domestic
business will grow around 20%. That's what I've guided again. And international business will
grow around 15% or so. So we're anticipating stand-alone business to grow to around INR1,900
crores to INR1,950 crores from a current base of around INR1,662 crores.
Sidharth Negandhi: Got it. Just a follow-up on that, given how that's panned out. In terms of the headwinds that you
saw this year in Europe, how are you seeing the situation on ground now? And when do you
expect -- at what point in time in FY '27 or whenever do you expect this to normalize?
Himanshu Baid: I would say that we have bounced back in Europe. That's what I can tell you right now. We have
added quite a few customers in Europe. And also the existing customers where we had an over
inventory situation and we had a little slowdown in demand. I think that has come back. And
currently, in last 3-4 months, we are seeing a good uptake, and the pipeline is also very, very
strong in Europe. Overall, we are very positive about the current business in Europe, what we
are doing from Polymed stand-alone basis.
Moderator: The next question is from the line of Shamit Ashar from AMBIT Capital.
Shamit Ashar: So I just wanted to know how -- what kind of growth you are projecting in your Renal segment
because in the Q3, you had mentioned you are facing some competition from some domestic
players as well as some Chinese players?
Himanshu Baid: It is imports. Not domestic. Domestic, there is nobody. Except Polymed, there is nobody in the
market today, domestic-wise.
Shamit Ashar: Okay. So what kind of growth are you projecting for in FY '27 in the Renal segment?
Himanshu Baid: It's 20% growth in the renal segment again. So we will not say maybe around -- earlier, we were
targeting 30%, 35% growth. But I think the Chinese headwinds continue to kind of disrupt the
market. So we are still seeing maybe a 20% growth or maybe over 20% growth this year also in
this business. We have initiated certain actions against Chinese companies.
I can't tell

you because that's confidential. But we are working with the government of India to
help us through this because many Chinese companies have set up bases in ASEAN countries
where we have a 0 import duty on medical products from ASEAN countries. So that is hurting

the current environment. So we are working with the government to arrest that point. And I think
hopefully, you'll see some action. But in spite of all that, maybe it happens, doesn't happen, I
think we are still targeting a growth of over 20% in Renal.
Shamit Ashar: Got it. And also in the European market, are you back projecting around 15% growth?
Himanshu Baid: Yes, we are back. And I think we have added some distributors in Northern Europe. We have

added some distributors in in U.K. and also in Germany. So that -- all that is helping out.
Shamit Ashar: Are the Chinese players still dumping there? Is that situation resolving?
Himanshu Baid: See, China is dumping in every industry. I think that is the problem across the industry, not in any -- but because Polymed, we have a lot of products which are very specific. There are certain patent protection. So I think we are not impacted. See, the demand is not getting impacted-- see demand which was impacted due to supply chain.
Last time, I mentioned very specifically that there was, let's say, maybe an oversupply because of the route opening from Red Sea and also the containers going around Africa to Europe. So that was a mismatch there. But now everything is smooth. So I think now we are seeing a more -- better demand coming from Europe actually.
Shamit Ashar: Got it, sir. And also, if I look at your inventory, how much of that would be under goods in transit, if you could give some bifurcation because I'm sure some of that must have been because of the logistical issue. So how much do you expect to build it in the first quarter?
Himanshu Baid: So inventory in transit -- no, are you talking about export inventory?
Shamit Ashar: The overall inventory. So if I look at your balance sheet, your inventories have increased from INR285 crores to INR430-odd crores. So is there any inventory which is yet to be built?
Himanshu Baid: Is the consol number or you're looking at the...
Shamit Ashar: Consol number.
Rahul Gautam: So obviously, we got an impact of the acquisitions as well. If you look at the stand-alone balance sheet, that increase is about INR30-odd crores.
Himanshu Baid: On the stand-alone, it's only INR30 crores addition on inventory. And basically, the FGS, finished good inventory, as on 31st March was around INR30 crores, INR35 crores. So there's not too much of -- we don't keep so much of SGS and basically it's 5, 6 days inventory basically at the end of the year. So it's very tightly managed. And of course, there was raw material available. So that's the reason those first 2, 3 months, we are not able to feel the heavy impact of raw material price increase. So that's where you see that.
Moderator: The next question is from the line of Kanishk Gupta from SS Family Office.

Kanishk Gupta: Sir, my question would be that if the business is currently for FY '26 grown at low double digits despite the earlier confidence of mid-teens growth, what specific levers give management confidence that the company can reaccelerate growth over the next 3 to 5 years?
Himanshu Baid: See, I think we have to see that last year was more or less for us also a lot of transition year because there was a lot of focus on high technology, building new technology products. And over a period of time, Polymed was very steady on the -- so we have transitioned from low technology to medium to high technology, and that's a huge transition we are committing.
And as I mentioned on my call initially, -- so next 5 years, that's where the direction is, whether we focus more on orthopaedics,

on cardiology, neonatology, on oncology. So these are 4, 5 key areas, renal care. So these are 4, 5 areas we are going to focus more and more in future. And that helps us to even get a better gross margin in the business. And also, what we have seen over the last 1 year that wherever we had some lower revenue, we are trying to fix that.
U.S. was a big, I think, for us, I would say, a red flag because of the current situation, which was there in the U.S. on tariff situation. So that delayed our launch to the U.S. market quite a lot. So all that is coming back. India is coming back because -- see, you have to see it from 2 perspectives. First of all, a currency, which is -- Indian currency, which is devaluating is going to help us more in exports for sure. So that's a big advantage. Secondly, medical device industry is 70% import-driven in India, 60%, 70%.
So whatever company they were importing products in India, they are getting expensive for them. Being a local manufacturer, import substitution, bringing import substitution products, that makes the product more competitive to hospitals.
And also the whole scenario is changing in India. The hospital sector, which was, let's say, 50% cash driven, 50% insurance driven, now things are changing. I think there, it's now 60%, 65% insurance and balance is cash. So that also is pushing them towards more towards domestic manufactured products. So all these are tailwinds which are going to help us to grow our business.
And plus we are going direct to markets. We talked about U.S. a little bit earlier. We talked about Brazil and then going a little bit more direct in Europe with our subsidiaries. So all that will happen in next coming years, will help us to grow faster and increase our presence in important markets.
Kanishk Gupta: Sir, broadly at present, is it really safe to say that the worst is really behind us?
Himanshu Baid: I can say that absolutely for the moment, yes, but we don't know what can happen tomorrow. That is my worry. And I'm sure it's everybody's worry because what happens tomorrow morning,

nobody knows, but, I think if we see a steady state even at current crude level prices, I think we are in a good shape.
Kanishk Gupta: And sir, realistically, what would be the sustainable organic growth rate of the business over the next 5 years, excluding acquisitions?

Himanshu Baid: See, if you see even on the guidance we have given this year, even when we say INR2,300 crores to INR2,400 crores revenue guidance for this year on consol level, we're already talking about a 25% growth rate -- over 25% growth rate. So it's already -- we are pushing the pedal again. So this is very clear.
Even on a stand-alone basis, when we say INR1,900 crores to INR1,950 crores revenue from INR1,662 crores, we are already guiding over 15% to 16% revenue increase. And I think gradually, stand-alone will further increase as we launch more products in different segments we are working on as a lot of new launches are happening. So I'm sure some of you have visited facilities already know what we are doing.
Kanishk Gupta: Got it, sir. Got it. And the final question would be that over the years, what do you think has contributed most to customer stickiness in your business, especially in export markets where customers have multiple sourcing options?
Himanshu Baid: Yes. So I think there are 2 important points here. Most of our customer relationships outside of India have been for the last 15, 20 years. And we have hardly lost any large customer in the last 15, 20 years. That's number one.
And the stickiness is created because of 2, 3 reasons. One, because of quality, which we deliver because today Polymed has almost every quality -- our products comply to every possible global quality standard. Number two, in terms of performance, our products are performing at par with multinational products

in global market. Number three, the innovation we are able to do.
Today, the company has over -- at a group level, we have around close to 399 patents. So we are able to innovate products at a much frugal cost compared to any other company and then put those products in the market. So that gives us a stickiness in the business. So all these factors contribute to that stickiness.
Kanishk Gupta: And sir, in the long run, what kind of revenue mix do you want to achieve in terms of Indian and international business?
Himanshu Baid: So it's a great question. So ideally, I would like it to be between like 1/3 India and 2/3 RoW.
Moderator: The next question is from the line of Neel Mehta from Equirus Securities.
Neel Mehta: A couple of questions from my side. Sir, first for the quarterly perspective, our subsidiary revenue stands at roughly almost around INR92 crores. Can you please give the broad-based bifurcation of what kind of revenues will be from the PendraCare for the quarter? And what kind of revenues from the Citieffe? And what will be the Y-o-Y percentage growth rate of these 2? That's my first question.
Himanshu Baid: Yes. So Rahul can answer that question.
Rahul Gautam: Yes. So Neel, the total revenue of INR65 crores that we have done from the 2 acquisitions, about INR43 crores, INR44 crores is from Citieffe and the balance is from PendraCare.
Neel Mehta: And sir, what would be that Y-o-Y growth rate of that on a quarterly basis?

Rahul Gautam: Last year numbers, I will check on that and come back to you.
Neel Mehta: Okay. And sir, if I see from the stand-alone level, right, since you mentioned that INR30 crores only increase in inventory just because if you see the FY '26, our growth rate is around 4-5%. That's why probably it doesn't look so. But if we see from the perspective of the days, inventory days has increased from 50 to 58 days. How we are planning to reduce that?
And apart from inventory days, if you see the receivables, which has increased drastically from, let's say, INR340 crores to INR440 crores. Like in the terms of days, it's 68 days to 86 days. So can you just help me -- can you throw some light on that? How do we see that?
Rahul Gautam: Yes. So Neel, I think on the inventory side, we are not too concerned. In fact, it's currently helping us only because large part of our inventory is in raw materials, right? So which is helping us cushion some of the price impact that we're seeing. So a INR30 crores increase for a business of our size is probably not worrisome. On the debtor side, I think, obviously, there has been a significant jump on the debtor side, and that's primarily because of the external factors, right? Because the -- as you mentioned, the international environment was quite troublesome, and we had to support our customers in terms of better terms for them to drive growth, right? So I think

that's been primary reason. Bulk of the increase on the debtors have happened because of the international business. The domestic business receivable cycle continues to remain quite strong, and we don't see any challenge.
I think as the international environment becomes more malleable, I think the debtor cycle will come back. But in the interim for us, ensuring our customer retention and ensuring growth, we are there when the growth comes back, we are willing to extend the help to the customers.
Neel Mehta: Great, sir. So it is fair to say, let's say, from the perspective of FY '27, this would be at a normalized level of receivable days by the end of FY '27?
Rahul Gautam: I think at the moment, looking at the environment, I would expect receivable cycle to be similar for FY '27.
Neel Mehta: Okay. Okay. And sir, if you see from the export revenue from the perspective of 4Q FY '27 that we have roughly clocked almost around INR362 crores. If I remove the Citieffe and PendraCare or let's say, remove the

subsidiary revenues out of that, which is INR90 crores kind of numbers, then the core export growth looks slightly flattish or a slight decline in that. So how -- like what we are doing to ramp up that we can command the growth going forward from the export market growth ex of PendraCare and Citieffe.
Himanshu Baid: So I think 2 things. You're right. Export, in fact, were negative, not flattish also. We were, I think, minus 3% or 4% on the export side. But again, what we are trying to do is, as I said earlier, U.S., again, the doors are open, and we see some new products getting added this year for export to U.S.
market. We are in that process. So that will add something. Europe, we have added more distributors. So I think that is helping us to regain that growth in the European market. And in

certain markets, we will go direct as we opened a subsidiary in Brazil, we're going direct there. So that will also open some doors there.
So I think all in all, I think -- and then our focus has been more on the clinical side. So, we've added a lot of people on the clinical team. So, now we are doing a lot of new global clinical trainings. And we have increased our hospital visits internationally. So our team has been visiting globally all across from every -- almost every country in Europe to -- in Middle East or of course, or in Southeast Asia. All these markets, we are putting a lot of clinical support, which is helping us to mitigate earlier challenges. So -- and then this upsell is actually helping us to move into more products into the hospitals.
Neel Mehta: Perfect, sir. And just last 2 questions from my side. Sir, I think we have done really good in terms of Renal segment. I just wanted to know that what kind of -- would you like to put a number like how much dialysis machines that we have sold for FY '26 and how we see that number coming up in FY '27, that's my first question. And last question is that, Gautam, sir, can you just help me with the EBITDA margin of PendraCare and Citieffe for the quarter? That's it from my side.
Himanshu Baid: I think on the Renal side, very quickly, I said, we sold 450 machines last year. And this year also, we -- as I said, Renal business, we grew close to around 20%. So we'll see maybe a sequentially 20% increase in the sales of machines also this year. That's the current plan. And I think on Citieffe and PendraCare, maybe I'll ask Rahul to very quickly chip in. Rahul? Neel, can you just repeat your question on this, please?
Neel Mehta: Yes. So sir, I just wanted to know what kind of EBITDA margin that we have clocked for PendraCare and Citieffe individually for this quarter?
Rahul Gautam: Yes. So I think this quarter, the EBITDA margin, the acquisition has had a negative impact on EBITDA of about INR2.6 crores. There are 2, 3 reasons for it. Number one, quarter 1 tends to be -- or quarter 1 of their calendar year tends to be a lower quarter because of shorter working period. Plus, for PendraCare, they had a fairly large exposure to Middle East compared to what the overall group level is, which has gotten impacted a bit more.
And for Citieffe, they had a sort of a product mix issue in terms of selling certain low-margin products because of which EBITDA margins were lower. I think on a steady-state basis, once things become normal, we think both the business can operate at mid-teens in terms of EBITDA margin. And obviously, with the benefit of synergies that we will drive over the course of the next few years, we expect that number to go up to 20%. But quarter 4 or quarter 1 of their calendar year was a lower EBITDA margin for them.
Moderator: The next question is from the line of Sriram Palaniappan from ithoughtPMS.
Sriram Palaniappan: So in intravascular lithotripsy and drug-eluting balloon, for these new products, is the complete product development done in-house? And have the products

been commercialized? And can we
also know the utilization rate of the capacities that were expanded after QIP-1?

Himanshu Baid: I'll answer the last question first. So, after the QIP-1 we are seeing a capacity utilization of close to around 65% to 70% right now. And on the products which are developed, it's fully developed in-house. So a lot of products are in pipeline right now, which we'll announce in due course. We will already launch drug-eluting balloons, again, fully indigenously developed product. It's 100% import substitute product and very, very few companies are able to make that kind of product. And we are working on some high-level products, which will be around INR1 lakh or INR7 lakh, INR8 lakh, INR10 lakh products in times to come. So there are a lot of development projects going on in cardiology space, in orthopaedic space, also in oncology and also some new products are getting launched in renal space also.
Sriram Palaniappan: Great to know, sir. And sir, in the previous con call, you mentioned there's a good opportunity to replace the multinational in the stent segment. We usually enter a market where there's no domestic player as import substitution. But -- hello?
Himanshu Baid: Yes, yes. Go ahead.
Sriram Palaniappan: Yes. But here, we have a couple of large domestic players along with other large inventories. So how are we planning to like increase our market share in this competitive segment, sir?
Himanshu Baid: So again, the focus is not in selling stents. We are not focusing -- stent is a very small part of our business, maybe INR10 crores, INR12 crores out of INR1,800 crores. So I think that is not we are focusing on. Our focus is to develop products -- because you need the full basket when you are approaching a hospital with products. So we can't be just working on a few products and that doesn't complete the basket and it's very hard to change the practice.
So we are moving up the value chain, as I told you earlier, on DES and some other new devices, drug-eluting balloons and some other specialized products. So that is where we are working on. And I think drug-eluting stents forms a part of that basket. And I think import substitution, our focus is overall on the whole product category, whether it's renal or oncology or whether it was neonatal or it was vascular access. So we are working across all categories to bring import substitution into the country.
Moderator: The next question is from the line of Deepak from Sundaram Mutual Fund.
Deepak: So first of all, congratulations on delivering a good set of number on the top line as promised in the earlier con call. Sir, my question was first on gross margin. So if I look at our 9 months gross margin, what we delivered in the first 3 quarter, it was roughly between 68.5% to 69%. And you did highlight on the call that it is because our critical care and cardio vertical, which is a new vertical for us, which is ramping up nicely, and that is what you eventually want to grow in the next couple of years also?
But if I look at Q4 gross margin, there is a dip of almost 1.7% to 1.8% on a Q-o-Q basis. So despite these 2 products going up, let's say, in terms of execution and also full quarter consolidation of high gross margin business like Citieffe and PendraCare, I just wanted to understand why there is a dip in the gross margin in Q4?

Rahul Gautam: Yes, Deepak, I think the quarter 4 impact is primarily because of product mix issue. Obviously, we have a large product portfolio, right? And in some cases, some of the products are lower margin on a gross basis. And so I think the impact of that is primarily because of product mix rather than anything else.
Deepak: Okay. Got it. And you also had mentioned about these price hikes, which we have taken 3% to 5% and gross margin of 66%. Sir, do you thi

nk there is a risk to this number since the inflation is quite a lot. And I do understand that we operate at fairly high gross margin because of the nature of the business. I just wanted to understand how much price hike we would need to take incrementally, let's say, to offset any more erosion in the gross margin going forward?
Himanshu Baid: See, basically, when we see it today, our raw material percent is around 32%, 33% basically because that's where -- rest is the gross margin basically. So on that, we have seen almost a 20% increase in overall raw material pricing and when we spread across all the materials which we buy from packaging to basic raw materials.
So already, we see that some of it is mitigated by rupee depreciation across because we have. Almost 2/3 -- more than 2/3 revenue coming from international business. And then we have done some price increases with customers between 3% to 5%. So that will also help. So today, situation is very fluid. And I think we'll have more clarity end of quarter 1 when we review

everything.
But at the present stage, I think with the high inventory of raw material which we are carrying on as of 31st March, we will be able to really manage it very well. And hopefully, as we talk in the next few months from now, the crude prices may soften from where they are today. And that will again help us to mitigate those risks which have been created today. So, so far, I think we are okay. I don't see any huge risk, but let's wait for a few more months. So interim, I think we are okay in the interim situation.
Deepak: Okay. And sir, your Renal segment, so last call, you were sounding a little bit cautious because of this Chinese dumping. But this quarter, you have done very well, like 25% Q-o-Q growth in the Renal revenue. So I just wanted to understand, has something changed between the quarter for the execution to pan out so well? And how is the situation on the Chinese dumping?
Himanshu Baid: See Chinese dumping continues. I think there is no -- unless until government thinks otherwise, the dumping continues. And you have to see from that angle that today, Chinese are importing at 0% duty, only 5% GST pay on the finished product, whereas I'm importing -- I'm buying all the raw materials, I'm importing some raw materials, I pay 18% duty, I pay 2.5% duty custom duty on my raw materials, 18% GST. So there's a lot of cost inversion plus the dumping from the Chinese.
So all that is actually -- and that's the reason you see today, hardly any regional player has come in last 5 to 7 years in the country, in spite of the segment being very open and the growth is still there in this segment. So I think that is a challenge. And of course, Polymed being a large manufacturer, we are able to mitigate a lot of this because we have a lot of manufacturing

excellence. So we are able to mitigate that part. So again, our focus is to gain market share. We are working on that.
And I think this dollar devaluation, rupee devaluation against the dollar will also, may be one of the factors which may help us in the long run because somebody is importing products. They will have to pay at a higher price. So I think -- and we are also pushing the government to put some counter duties on the product. So let's see what happens. But I think overall, 20%, 25% growth is still attainable in this business.
Deepak: Okay. Okay. Sir, one last question on the acquisitions. So would it be -- will you be able to call out what was the Citieffe and PendraCare, let's say, calendar year '25 full year revenue in terms of euro million?
Rahul Gautam: Deepak, for Citieffe, that number was about EUR17.5 million. And for PendraCare, it was about EUR8 million.
Deepak: Okay. And sir, in these terms, how much growth are we anticipating in this both in FY '27 in euro terms?
Rahul Gautam: In euro terms, I think we should be growing for

Citieffe in low double digit, about 10% to 12%.
And for PendraCare, because of the Middle East situation and their exposure to that, I think we are restricting the guidance.
Moderator: Next question is from the line of Sidharth Negandhi from CWC.
Sidharth Negandhi: Just a couple of questions. On the INR9 crores onetime cost that you mentioned in respect of the acquisitions, if you could give us some colour around what that cost was? That was question number one. Question 2 was if I had to sort of deduce basis the 50-50 split in Europe and rest of the world for your Q4 sales for Citieffe and PendraCare, right, then that means the rest of the world sales in quarter 4 may have a slight degrowth. Is that the right inference? And if so, could you share what -- where that impact primarily was? That was question 2.
Rahul Gautam: I will take the acquisition cost question. Sidharth, basically these are transaction-related costs. So payments to advisers you have to do for undertaking the acquisition. So that's the cost. I think on your question -- and you mean you're mentioning sequential degrowth or year-on-year you're mentioning?
Sidharth Negandhi: No, year-on-year. So basically, looking at your INR65 crores split 50-50 into Europe and rest of the world and keeping that base, right? Europe seems to be more flat on Q4 FY '26 versus '25 and rest of the world seems to be a minor degrowth?
Rahul Gautam: Yes. So Sidharth, I think it's important to understand that it's a B2B business. So there are obviously on a quarter-on-quarter basis, some differences on where the orders are coming from. It's not reflective of any significant trend in the business. I think best for such business is to be looked at from a full year perspective. These quarter-on-quarter variations can always happen in which geography we are selling the products.

Sidharth Negandhi: Got it. Sure. And sorry, you had mentioned on the onetime costs being certain regulatory and employee costs. So is there already some manpower rationalization and cost savings that one can expect?
Rahul Gautam: No. These were basically costs which were just accounted for at the end of the year in quarter 4 and which impacted the quarter 4 numbers. And there is no manpower rationalization being done in any of these entities.
Sidharth Negandhi: Got it. And on Citieffe, just wanted to understand, you mentioned 17.5 million this year. And the acquisition call had mentioned about 17-odd million in '24. So was that flat performance or?
Rahul Gautam: Yes. So it was a flat performance, and it was primarily because of one of the tenders that they had been won in the Latam region was cancelled and was pushed out and because of which they lost a certain revenue in last calendar year.
Moderator: Sidharth, does that answer your question? We take the next question, which is from the line of Girish Jain from KJMC Capital.
Girish Jain: So, in the opening remarks, you mentioned that FY '26 was a year of transition. So, I presume you're referring to the move from product focused to a therapy-focused approach.
Himanshu Baid: That's correct. You've actually -- you have actually understood very well.
Girish Jain: And you also mentioned about the breakup of the segment revenue. I think you mentioned Infusion vertical has gone down to 52% and Renal has gone up to 11%. I could not capture the other percentages between Cardio and Onco.
Himanshu Baid: Girish ji, these are Onco, Cardio are very new businesses. So, we don't specifically call out those revenues. But the whole idea is that company at one point of time was doing 65% business on Infusion. And we are trying to derisk that and add more products in the other product categories. And I think that is really helping us to grow the business globally and also improve some gross margin. So that's the whole idea. We don't call out those numbers specifically because

confidentially, we don't want to share what company is doing and that information goes out publicly.
Girish Jain: But safe to assume that Infusion as a percentage of the overall revenue will still be coming down, even though it may grow on a stand-alone basis. But as a percentage of the overall, Infusion may come down and the other segments may go up and therefore, pulling your gross margin higher?
Himanshu Baid: Again, that is our core, core, core business. So, we think that it will stay around that 50% level infusion because that's where Polymed today, if you see one of the products we manufacture, IV catheter, we have almost global 11% market share on that product including 600 million of those pieces. So that means we have a global excellence on this product. There are hardly any companies in India which can claim a 10% global market share in any single product, and we have that today.

So, I think that still remains to be our core business and all accessories we produce, we have a global excellence. We have a lot of patents on that product technology. So that will be there. But as we move into the higher price segment, when you look at orthopaedics or cardiology, the price per product is very high. So that infusion which is, let's say, INR10, INR15, INR20, these products are thousands of rupees or sometimes north of INR20,000 also. So that is how the product mix -- revenue mix is changing.
Girish Jain: So hopefully, once the raw material price comes -- becomes normal, then we can expect some expansion in the margin with this change in segment revenue?
Himanshu Baid: Today, we are calling out those margins. If you see the guidance we have given for India business still at around 25%, 27% EBITDA margin in spite of all the headwinds, what you see today. And overall, we have guided for 23% to 25%. We know that the international businesses operate at lower EBITDA margin. So, we are still guiding in these ranges because we know -- and all this has been accounted for based on the current crude price level.
So, if we see some improvement in crude price level, let's say, in next few months, definitely, those margins should get better. I think that's what we think. But at least from the current state, let's assume that we are in that band of 25%, 27%. But yes, we will try to deliver at a higher band what we have delivered in the past year also in FY '26. We delivered the numbers at a higher band of between 25% and 27% and delivered at 26.8% EBITDA at the stand-alone level.
Girish Jain: Just a little question on the margin. Is there any -- I'm sure there must be a strategy which maybe you can highlight on how we plan to increase the margins in the companies which we recently acquired, Citieffe and PendraCare?
Himanshu Baid: Girish ji, it's a good question. So, what we are trying to do is we're trying to bring in a lot of synergies. A lot of engineering work we are doing in India right now. We are also looking at a global supply chain, helping them to secure materials at much lower price, what they were

buying earlier. And also, some part of manufacturing, we will probably ship to India at some point of time once we have all the regulatory clearances to do that.
All that will help us in the long run will help us to -- see, currently, these companies will operate, let's say, around 12% to 14% margin. That is what we anticipate. But I think in next 2, 3 years, we could see that improvement to going to around 18% to 20%.
Moderator: Ladies and gentlemen, that was the last question for today. With that, I now hand the conference over to Mr. Himanshu Baid for closing comments.
Himanshu Baid: I'd like to thank all of you for being on the call today and hearing us our updates on the company.
And let me assure you again, we are in medical devices, health care business. It's bound to grow.
Last year was a challenging year. Of course, agai

n, a lot of strategic planning went in last year in terms of acquisitions and capex spend.
I think in terms of infrastructure, today we are a company which has one of the best infrastructure or some of you visited plant already know that, that Polymed has one of the best infrastructures in terms of medtech manufacturing and we continue to build very strongly. And as we are seeing

more and more registrations coming through in many countries in the current year and also in following years, we'll see our business increasing globally.
And in India also, we are pushing hard. In a lot of these corporates today, the brand is very well known. People see that brand as a quality product, and it has taken quite a while to do that. And I think we are in a very safe space, I can tell you that. And I'm pretty sure that once you'll see our performance, which we already guided today, I think you will see that happening, and I think you'll see much better results in coming years. Thank you very much.
Moderator: Ladies and gentlemen, on behalf of Poly Medicure Limited, that concludes this conference.
Thank you for joining us, and you may now disconnect your lines. Thank you.